Blue Star Ltd. (BLUESTARCO)

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Call: Aug 2022

~ BLUE STAR
August9,2022
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Sub: Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations. 2015 (the
'Listing Regulations') -Earnings Call Transcript for the first quarter ended
June 30, 2022
With reference to our letter dated July 15, 2022, and pursuant to Regulation 30(6) read
with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the
Earnings Call Transcript pertaining to the Financial Results for the first quarter ended
June 30, 2022, of the Company.
The aforesaid information is also being made available on the website of the Company at
www.bluestarindia.com
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Blue Star Limited ~ ~ ~ rte
Company Secretary & Compliance Officer
Encl: a/a
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Blue Star Limited

Q1 FY’23 Earnings Conference Call

August 05, 202 2

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER
,

Moderator: Ladies and gentlemen, good day, and welcome to the Blue Star Limited Q1 FY’23 Earnings

Conference Call. We have wi th us today from the management, Mr. B . Thiagarajan – Manag ing Director and Mr . Nikhil Sohoni – Group Chi ef Financial Officer. As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B . Thiagarajan . Thank you and over to you, sir.

B. Thiagarajan: Thank you. Good evening, ladies and gentlemen, thank you for joi ning this call today. As you 're aware, we had declared our Q1 FY 23 Results yesterday. I thought that it is important for me to join this call as transition , as you may recall in May 2022 I joined the call along with Mr. Neeraj Basu r, who had resigned at th at point of time.

I am pleased to inform you that Mr. Nikhil Sohoni has joined us as Group Chief Financial Officer with the effect from July 1, 2022. He is on the call today and as you may be aware, he joined us from Mahindra & Mahindra . He has over three decades of professional experience. He began his career in 1992 after spending his initial years with AF Fergusson and C o and Geoffrey Manners & Company. After that he was with Mahindra and Mahindra Group from 1995. He has handled various roles there in a diverse career spanning over 27 years.

Nikhil had handled various facets of the finance and accounts function in Mahindra & Mahindra Limited . He was Chief Financial Officer of Mahindra Automotive s Limited, he was V ice President of Group Finance for the company. In his last role before joining us, Nikhil was designated as Senior Vice President , Group Finance and G roup Treasury , Mahindra & Mahindra Limited. He will be reading out the opening remarks and after that, we will be answering your questions jointly.

As you may have noticed, for the third straight quarter, we have delivered good results and it was backed by a very good summer season. The opening remark also will include the outlook . In the press release we had given our outlook as well . We remain optimi stic for the financial year FY 23. Though there are several headwinds with regard to the global recessional fears, inflationary fears, the re are issues related to global supply chain disruptions etc. However, there are silver linings as well such as the softening of commodity prices and the low penetration rate in India for various air conditioning and refrigeration products . Most importantly, we enter the last part of the value chain in a large building . Air conditioning solution comes in post the construction of the building a nd even in home construction, this is one of the last few items that are equipped by the owners of the home.

In the event of a slow down, it takes time to impact the air condi tioning refrigeration industry and similarly when there is revival also it takes time to impact . Our assessment based on market developments and order finalization is very optimi stic about the p rospects for FY 23, but we have to keep watching how the market is moving. W ith that, I will hand it over to Mr. Nikhil Sohoni for his opening remarks . Over to you Nikhil.

Nikhil Sohoni: Thank you, Mr. Thiagarajan , and good evening, ladies and gentlemen, this is Nikhil Sohoni and it gives me immense pleasure to interact with you for the first time. I 'll provide you an overview of the results of Blue Star for the quarter ended June 2022.

1. Financial H ighlights :

After two cons ecutive summers disrupted by the pandemic, this year witnessed no

rmal summer without any restrictions. The growth momentum witnessed in Q4FY22 continued in Q1FY23 with business and economic activities back to complete normalcy. Consequently, demand for all our products and services surged as compared to Q1FY22 and also Q1FY20 which was the last comparable period. Coming on the back of the best Q4 in last couple of years for every business segment that we operate in, we are happy to inform that the performa nce was repeated for Q1 wherein we have outperformed in every business segment as compared to the Q1 of last 3 years.

Financial highlights for the quarter ended June 30, 2022, on a consolidated basis, are summarized below:

-Revenue from operations for Q1FY 23 grew 87.3% to Rs 1970.32 cr as compared to Rs 1052.04 cr in Q1FY22.

-EBIDTA (excluding other income and finance income) for Q1FY23 was Rs 123.31 cr (EBITDA margin 6.3% of revenue) as compared to Rs 42.23 cr (EBITDA margin 4.0% of revenue) in Q1FY22. D espite continued pressures on gross margin and supply chain disruptions, revenue growth, price increases and consequent scale impact coupled with continued focus on costs enabled improvement in the overall EBITDA margin for the quarter.

-Profit before tax grew to Rs 100.69 cr in Q1FY23 as compared to Rs 19.23 cr in Q1FY22.

-Tax expense for Q1FY23 was Rs 26.34 cr as compared to Rs 6.52 cr in Q1FY22.

-Net profit for Q1FY23 grew to Rs 74.35 cr as compared to Rs 12.71 cr in Q1FY22.
-Carried -forward order book as of June 30, 2022, grew by 23.8% to Rs 3901.48 cr, compared to Rs 3152.30 cr as on June 30, 2021.
-Capital employed as June 30, 2022 marginally increased to Rs 1018.38 cr as compared to Rs 969.83 cr as on June 30, 2021, owing t o capital investments for the capacity expansion projects at Wada and Sri City.
-Higher cash from operations coupled with continued focus on working capital management enabled us to end the quarter with a net cash balance of Rs 81.03 cr as compared to a n et borrowing of Rs 68.47 cr on June 30, 2021 (debt equity ratio of 0.08 on a net basis).

-We had raised Rs 350 cr through issue of Unsecured Non -Convertible Debentures (NCD) in June 2020 in order to strengthen our Balance Sheet with a repayment tenor of 3 years with a call option to repay 50% of the NCD in May 2022. Given our current strong cash position even after funding our capacity expansion plans, we redeemed NCDs to the tune of Rs 175 cr in June 2022.
-We will continue to stay focused on healthy cas h flows and mitigating the impact of cost escalations.

II. Business Highlights for Q1FY23

Segment I: Electro -Mechanical Projects & Commercial Air Conditioning Systems

Segment I revenue grew 57.0% to Rs 793.43 cr in Q1FY23, as compared to Rs 505.24 cr in Q1FY22. Segment result was Rs 45.17 cr (5.7% of revenue) in Q1FY23 as against a profit of Rs 20.03 cr (4.0% of revenue) in Q1FY22.
Order inflow for the quarter more than doubled to Rs 1365.90 cr as compared to Rs 650.78 cr in Q1FY22.

1. Electro -Mechanical Projects business

With the onset of construction and capex cycle, order inflows from commercial building, factories, data center and infrastructure such as metro railw ay, water distribution and power distribution sectors picked up.
We received a couple of major orders from the Bangalore Metro Rail Corporation worth Rs 390 cr.
Carried -forward order book of the Electro -Mechanical Projects business was at record Rs 2777.45 cr as on June 30, 2022, as compared to Rs 2232.13 cr as on June 30, 2021, a growth of 24.4%.

2. Commercial Air Conditioning Systems

A healthy flow of opportunities across all the segments that we operate in coupled with the revival of demand from the ret ail, manufacturing, healthcare, and entertainment segments
enabled growth for the commercial air conditioning business during the quarter.
We have gained market share in all product categories and c

ontinued to maintain our number 1 position in Conventiona l and Inverter Ducted Air Conditioning Systems as well as Scroll Chillers and second position in the VRFs and Screw Chillers.
Some of the major orders received during the quarter were from Reliance Industries (Jamnagar), L&T – Railway Freight Corridor (Pra yagraj, UP), Laxmi Diamond (Surat), etc. to name a few.

3. International Business

The economic activities in the GCC region continues to be good in the backdrop of higher oil prices. Consequently, we witnessed healthy growth in inflow of enquiries.
The newly entered markets of Nigeria, Bangladesh and Nepal have also responded well to the launch of our new and improved applied range of products.
We have also commenced export of our deep freezers to the Middle East.
Order inflow grew by 9% and revenue gr ew by 38% as compared to Q1FY22.
The projects business in Qatar continued to do well. The operations of the joint venture at Malaysia continued to be impacted owing to competitive pressures in the region.
We will continue to focus on the expansion of the B lue Star product range and building brand awareness and brand visibility in different markets that we are present in.

Segment II: Unitary Products

Segment II revenue grew 122.5% to Rs 1124.21 cr in Q1FY23 as compared to Rs 505.37 cr in Q1FY22. Segment re sult was Rs 91.13 cr (8.1% of revenue) in Q1FY23 as compared to Rs 21.77 cr (4.3% of revenue) in Q1FY22. Margins for the segment improved owing to the impact of scale coupled with price increases undertaken to partially counter the impact of increase in in put costs.

1. Cooling and Purification Products business
We witnessed strong demand for our room air conditioners, thus enabling a 163% growth in revenue from the business during the quarter compared with Q1FY22. We surpassed sales achieved in the Q1 of p re-covid years with our new range of affordable mass -premium products being very well received by the market. We further strengthened our position as one of the preferred brands with first time buyers in Tier 3, 4 and 5 markets.
We grew in line with the m arket and maintained a market share of 13.25%.
2. Commercial Refrigeration business
The commercial refrigeration business witnessed increased traction across all product categories with strong demand from the ice cream, processed food and pharma segments c oupled with growth in demand for our supermarket refrigeration products from the retail segment.
We continued to maintain our leadership position in Deep Freezers, Storage Water Coolers and Modular Cold Rooms. We also launched a new range of visi coolers w ith a wide capacity range to suit different customer needs.

We received large orders during the quarter from players like Reliance Retail and Macleod Pharma and from several individual mushroom cultivation proprietors.
Our new manufacturing facility at Wada commenced commercial production during the quarter with a new series of indigenously designed and manufactured hardtop and glass top deep freezers ready to be launched in the markets.
Segment III: Professional Electronics and Industrial Sy stems
Segment III revenue grew by 27.2% to Rs 52.68 cr in Q1FY23 as compared to Rs 41.43 cr in Q1FY22. Segment result was Rs 5.89 cr (11.2% of revenue) in Q1FY23 as compared to Rs 5.56 cr (13.4% of revenue) in Q1FY22 owing to delay in execution of certain high value orders due to shortage of semiconductors.
With the increase in corporate capex, we witnessed growth in demand across all the segments that we operate in. Order inflows from the Healthcare, BFSI, Industrial and a few Government sectors enabled growth in revenue for the quarter. Revenue from the Data Security Solutions business also continued to contribute to our revenue growth. Demand for the Non- Destructive Testing busine

ss also gained momentum during the quarter.
Major orders were bagged from HDFC Bank, Reliance Jio, Axis Bank, Grasim Industries and IDBI Bank Limited to name a few.
With a wide portfolio of contemporary products and solutions forming part of our offerings, the prospects for this business segment continue to be positive.
III. Business Outlook
While the enquiries and order inflows continue to be good for our products and services, there will be headwinds due to inflationary pressures, weakening of Indian Rupee and global recessionary concerns. Given the poor penetration in room a ir conditioners and the commencement of capex and construction cycles, we are optimistic about the prospects for the rest of the year. Further, the softening of commodity prices and the on -going TCM program will help us to improve the margins.
With that, ladies and gentlemen, I ’m done with the opening remarks. I would like to now pass it back to the moderator who will open the floor to questions. We ’ll try and answer as many questions as we can. To the extent we are unable to , we’ll get back to you via email. With that we are open for questions.
Moderator: Thank you very much. We will now be gin the question -and-answer session. The first question is from the line of
Bhoomika Nair from DAM Capital.

Bhoomika Nair: Can you talk a little bit about UCPL in terms of what was the volume value growth , any price hikes taken during the quarter because unlike the rest of the peers , we have seen an improvement in margins on a Q -o-Q basis. And if you can also talk about within the segment, how much is RAC and what is the contribution of the other segments like commercial air conditioning ?
B. Thiagarajan: UCP as a segment title is used by one of our competitors. For us , it is unit ary products. We had increased the pric es in the first week of April a nd maintain our position to review the prices again in August. Commodity prices had gone up and we have optimized the product mix from January onwards to address the belly of the market through the affordable premium range of products .
We are also pursuing a total cost management program in order to optimize the costs. We have

a long way to go f or the net margin improvement. Compared to the net margins earned prior to the pandemic or the beginning of FY 20 it had deteriorated, primarily due to the commodity prices. Our goal will be to further improve the margins, while at the same time keeping a close watch on the current inventory level, outlook for the festival season and the movement in commodity prices. While we are happy that to an extent we are able to improve the margins, we still have a long way to go in order to get back to the reasonable margin levels. There would be also operating leverage with increased scale.

The last part of your question is connected with whether we can disclose what is the r oom air conditioners and the other products within Segment -II, unfortunately it will become a selective disclosure a nd so, therefore we don 't want to get into that . W e do have a commercial refrigeration business as part of Segment -II. In terms of margin profile, commercial refrigeration and room air conditioners will be almost identical . We have maintained our market share and there is no product mix change within Segment -II.

Bhoomika Nair: Yes, sir that clearly helps . Sir from the BE E rating which is go ne effective from 1st of July, what is the kind of cost increase and further incremental price hike that we will need to take purely from a B EE rating perspective ?

B. Thiagarajan: We have not increased the prices . As we were all aware that from 1st July the B EE rating will change we had launched future ready models. A five star rated AC would have remained five star even after the energy label change. There is no reason to increase the price because

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star may become two star, five star may beco me three star , that's all will happen in the energy label change. However, the new five-star conforming to new energy level standards would be costlier depending on the brand. The thumb rule is that each label change would improve energy efficiency by 10% and will result in a cost increase of around 7%. Price is a factor determined by the market.

Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Spark Capital Advisors.

Ravi Swaminathan: We have seen very good inflows in the EMP business that is electromechanical projects business. So, excluding the Bangalore order and Metro order also we have seen good traction, if you can throw some light on as to are there further large orders which are there in the pipeline. So, you can give a broad outlook as to which are the l arge contracts which are there? A part from the large orders, which are the sectors which are showing traction and within the order book, how much is our exposure now towards indu strial , commercial real estate, residential real estate, infrastructure , if you can give a broad breakup?

B. Thiagarajan: To set the context on the customer segments, there is a developer related buildings business that is driven by office consumption. T here is a construction cycle on driven by infra projects that are social infrastructure projects where Blue Star has MEP offerings . Core infrastructure such as construction of highways is not going to directly result in M EP order for Blue S tar. Broadly , infrastructure can be categorized into core infrastructure and social infrastructure. S ocial infrastructure comprises airports , Metro railway , healthcare etc. which are segments which result in MEP order for Blue star. In addition, the manufacturing CAPEX cycle has returned and a lot of manufacturing related investments are taking place in new manufacturing units that has a lot of ME P work to be executed . Then there is data center related expansion , data center consumes a lot of MEP work, so these are the broad segments.

Order inflow is a function of inquiry build up , RFQs in the pipeline , so on and so forth. There is quite a bit of Metro R ailway tenders whic h are yet to be finalized, there are water related MEP projects which are to do with water distribution in rural areas or tier three , four towns and getting executed by various state governments . There are enquiries for airports that will have to be constr ucted. We were of the view that with the onset of the pandemic, the developer related buildings business will not grow because office space consumption itself was a question. However, we noticed increase in office consumption that is driven mainly by IT, ITES , as that sector is growing. As far as the margin profile is concerned, it should be around 6% which we have been consistently delivering . Our cash flow and the balance sheet are healthy and we would continue to focus on them . These are important for us rather than market share in that particular business which is highly scalable, but we would like to do it in a steady manner t a nd in that context the other focus has been to earn a reasonable operati ng margin with a healthy cash flow.

The segment also includes the commercial air conditioning equipment which we manufacture where we enjoy a good leadership position. In that business , the focus would continue to be on product related innovation and kee ping ourselves technologically advanced. Tier three, four, five towns are beginning to grow and offer opportunities for that business in sectors such as shops, showroom , boutiques and restaurants.

Ravi Swaminathan: Got it sir and the 6% margins that you were talking about, given the fact that compared to say, a decade ago where there was intense competition at that point of time

now, we are seeing many players are not looking at this particular category, correct me if I 'm wrong . Can the re be a upside risk for this, can this be 8% or 10% over a two , three -year period?

B. Thiagarajan: There are still competitors in each of the segment s. In building there are set of com petitors , in Metro railway there are set of competitors, in water there are set of competitors. EPC business has its complexities and associated risk s such as time and cost overruns . There a possibility this margin will move to 7%, but we are not willing to commit it at this point of time because of what the industry and we had gone through. It is very important to ensure that we are able to deliver superior value . Customers are not going to be giving a premium unless we demonstrate the difference in terms of superior value . Therefore , there is a possibility margin can improve but we are not committing anything at this point of time . In the short term 6% margin is sustainable with a healthy cash f low.

Moderator: Thank you. The next question is from the line of Naval Seth from Emkay G lobal . Please go ahead.

Naval Seth: I have two questions. First is on the demand perspective on unitary product segments. So, last time, you had stated that demand was moving in a very strong lane and you were expecting close to around 30% growth in the summer season and eventually 25% for the full year for industry. So, given the current season has gone now, would you like to change that num ber u pward downwards a nd second ly, you had again given t he current guidance on EBIT margin in the last communication , at that point in time commodity was still in a bull run. So, would you again like to revise that upwards on your margin guidance as commodities have cooled off significantly now?

B. Thiagarajan: We had always maintained that the industry should grow by around 25% and we will grow by around 30% . There was good demand in March and April and there were reports of a possible 60% to 70% growth leading to shortages etc. Even at that point of time we had maintained that that the growth could be between 25% to 30% and Blue Star will grow ahead of the market as our goal has been to grow faster than the market and gain market share.

The demand started slowing down from May onwards. May was lower than April , June was lower than May . Over the past few years, the peak period is changing. At some point of time June used to be the peak month of demand for the industry then it moved to June third week, June middle , June first week then May became the peak month . Of late demand is peaking in March and April and that will be the trend as people tend to buy when the temperatures are shooting up and they are not going to wait for the end of the summer to buy. In this year there was a lso another fear that the prices will go up and therefore dealers and customers may have purchased ahead of the usual time . In the interim, there were also reports that the demand has completely s lowed down. There was an interest rate hike somewhere around May or June and therefore the consumer finance scheme costs would have gone up, the petrol prices also went up which could have impacted customer sentiments .

At Blue Star, we had always planned ahead to secure the supply chain. We looked at January to June for planning . January to June 20 19 was the last real summer season and compared to that we grew by 39% for the period January to June 2022 and we estimate that the market for the

same p eriod should ha ve grown by 30%, it is not Blue Star has outperformed the market by a huge margin.

As far as the m argin improve ment is concerned , we don't think it will improve in Q2 for the simple reason the commodities that are meant for Q2 would have come alrea

dy in t he pipeline.

Another important factor to be borne in mind is when the commodity price s went up, our margin was not impacted immediately it took time because we had inventory of raw material procured earlier. Similarly , the raw materia ls procured at highe r prices will be in inventory for some more time . Positive impact on margin should be visible sometime from September onwards.

Moderator: Thank you. The next question is from the line of Harsh Shah from Jeffries .

Harsh Shah: I just wanted to know the absolute order flow for 1Q?

Nikhil Sohoni: For first quarter the order flow for segment one is Rs 1366 crores a nd within that for EMP it is around Rs 746 crores .

Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please

go ahead.
Bhavin Vithlani: The question is on the commercial refrigeration segment. Could you help us with what has been the growth in the industry in the current quarter and the indigenization efforts that you have undertaken with commencement of the products ? What is the impact that had on the margins , I'm sure because depreciation would have come in the immediately but the utilization comes with a lag. These are my questions.
B. Thiagarajan: Growth in the commercial refrigeration would have been in the order of around 10 % to 11%. The general expectation is that the business should grow at a CAGR of 1 5% or more. However , there is a lag here . For instance , ice cream is a very important segment for the summer season and therefore, the ice cream manufacturer placed these deep freezers in Q4 itself they won 't wait for the summer season to buy the freezers . Similarly buying for the wedding and the festival season s happens much ahead. There would be demand build up from September and October onwards for the deep freezer segment. There had been a decline in the demand for storage water coolers as in the offices , factories and public places the employees or the public are not encouraged to consume from the water cooler. Storage water coolers generally grow at around 7% to 8% and we didn 't see that kind of growth . In our case, there have been multiple things that have been happening . Firstly, in room air conditioner there is a good demand and hence we kick start ed construction of the Sri City plant which should get commissioned by October , November this year in about three , four mont hs' time . In the Himachal Pradesh plant too, we are undertaking expansion in order to meet demand for the ongoing this season that ended and in the process, we shifted water coolers manufacturing from Himachal Pradesh to the Wada plant .

In the process of t his shifting we fell short of revenue by around Rs 10 crore s to Rs 15 crores, but that is a onetime impact . We are indigenizing manufacture of deep freezes of 300 liter and sub-300 liter capacities . This factory was commissioned in April post trial production between February and March. There would have been the impact of depreciation from April on wards . Now production 300 liter capacity deep freezers being stepped up. Production of 400 -500 liter capacity deep freezers is in full swing. W e have also commenced manufacture of glass top deep freezers that were earlier imported . Margin has improve d in that business from May onwards . The trend of margin improvement is likely to continue because of indigenization and visible from post the sale of imported inventories that we hold .
Moderator: Thank you. The next question is from the line of Sandeep Tulsiyan from JM Financial . Please go ahead.
Sandeep Tulsiyan: I had two questions. So, firstly from the overall margin perspective just want to get your thoughts , what we've seen in the past cycles that our AC industry has been able to pass through pricing industry effectively be it raw material i

nflation or be it currency deprecia tion, but in the current season we are see ing that it is becoming a challenge to come through and also subsequently a lot of large players are also setting up capacities in South India. So, how should we look at the entire industry structure ? Are we structurally headed towards slightly lower margi ns, are the path peak margins or say early double digits behind or do you think margins should resume this is more of a temporary phenomenon , more want to know your thoughts from a two to five-year perspective?
B. Thiagarajan: The margin will improve in th e second half, in our estimate by around 200 basis points if the commodity price is softening continues. In the peak season quarter, it could be around 10% a nd for the year around 9% EBIT margi n. To the question as to whether this business can become a 14% or 15% operating margin, we do not think so . A 12% EBIT business could be feasible for the room AC business .
The manufacturing capacity of finished goods is doubling. Market will double provided the products are made more and more affordabl e which means the margin profile is not going to change and the manufacturers are going to redesign the products and build scale . Scale gives an advantage and therefore market also grows it has happened in many categories and therefore the doubling of capacity is justified. There is also a PL I scheme, there is an x axis which is the investment , y axis is the in cremental sales over FY 21 period. PLI is based on the incremental sales over FY21 at 6%, 4% etc. and is not based on my investment. Therefore , a manufacturer who has invested in a PL I eligible facility has to grow his revenue .
Eventually the PL I money may get diluted in prices and therefore the market will grow. The market growth gives the advantage of the operating leverage. In addition, a component ecosystem has also developed and the comp onent manufacturers will have to earn the PLI by increasing their revenue which implies they have to matc h the prices that are available globally or locally a nd in the process the industry will benefit . Another connected element is the the

logistics cost such as container, shipping and ocean freight , that have increased four to five times . There could be savings on that as well going forward . As far as the Blue Star is concerned, you around 45% of our sales is from the southern part of the country a nd we had around 10 days of inventory of the finished goods coming all the way from Himachal in addition to the 10 days inventory under transit. The raw material for Himachal comes to Nhava Sheva port and travels all the way to Kala Amb in Himachal Pradesh .

In the Sri City plant the incoming raw material will be through Krishnapatnam port or Ennore port and the finished goods can move to all the states - Telangana , Andhra Pradesh, Puducherry , Tamil Nadu , Karnataka overnight. Therefore , there would be an operating costs leverage on account of these . Considering all these , our belief is that operating margin in the range of 8% to 10% is sustainable in spite of competition . We will continue to be transparent on price increase, margin pressures etc .

Sandeep Tulsiyan: Understood. Thank you so much , it's very elaborate with a good perspective. Second question , was from your product mix, which you typically share over the quarter, how this mass premium range is growing within your portfolio , where is it now , where do you expect it to go forward? Also from an e-commerce penetration perspective you were on a journey where you were behind the industry, the kinds of penetration rates they had on the e-commerce platform, how that has changed in the current summer season and wha t do you see going forward in these two spaces?

B. Thiagarajan: Up to a market share of 12% market one can operate

with premium products highly differentiated . However, if the goal is to become a 15% market share player, the belly of the market is to be addressed . This is very true in e very category that people consume in the country, right from airline to consumer durable s or auto mobile s. Therefore, we will be focusing more on affordable premium products so that we are able to compete in the b elly of the market with functionally superior, reliable and durable products that come with good after sale service from a trusted brand.

We no longer think e -commerce is a competitive advantage or it is a big lever one should be using because it is something that is available for a MSME player in a tier three town to a big brand. It's a marketplace, in which everyone would be present and continue to market. Our view is e -commerce does not provide for differentiation for a brand . It is basically around price as a very important lever other than convenience if offers . Therefore , there would be more increased price competition than differentiation. The channels such as modern trade and the power retailers can influence your market share if you are not present in those large chain of stores. We no longer believe that e- commerce is something very special . You have a product to offer at a particular price point and you will be present there.

Equally true is the fact that very large country like India with many rural markets , 65% of the sale coming from t ier three, four, five towns , 95% of the buyers are first t ime, 45% of the buyers are consumer finance d. This requires presence of small dealers. In states such as Uttar Pradesh or Pu njab, Haryana we need a product at an affordable price point. Despite the advent of e - commerce, we need a product at a particular price point to cater to the demand of the people and

then we become a relevant brand to them . Therefore, e-commerce or social media is an additional medium or channel to reach the customers apart from newspaper or media advertisement and that 's how view it. We will have same share as the indust ry share. T he only difference is that in e-commerce it can change in one season , let us say there is a sale that is happening one particular brand can go and offer the lowest prices it will simply shift in that quarter . If it is a particular brand which is discounting their e -commerce has the power to influence buyers to go ahead and buy and ther e will be a market share change in that particular season. Blue Star 's goal is to offer products which do not impact the long term brand personality of Blue Star . Under no circumstances even if our market share shrinks , we will not compromise that at all , our product has to confirm to certain standards , it is a value principle of Blue Star. More importantly, we need to have shareholder value enhancement and returns. Therefore, we would rather be focused on a margin of 8% to 10% than declaring that I am a 2 0% market shareholder. We have to grow scale and identify and operate in those markets. If we ha ve to compete on price we will rather go ahead and reengineer the product in such a manner without compromising all other things mentioned . So, so far it has worked well and we continue to invest in research and development , in terms of marketing brand building and work on other operating cost leverage .

Moderator: Thank you. The next question is from the line of Gopal Nawandhar from SBI L ife. Please go ahead.

Gopal Nawandhar : It’s heartening to see the margin improvement in such a challenging environment where rest of the peers are losing margins. Can you give some more color on this what is helping us in terms of improvement, whether it is mix, w hich is helping what is that because rest of the large players even the number three , number four, are losing money with the same scale which we have

? We have introduced more product in the mass category which is like very competitive. So, what all has helped Blue Star in terms of improving margins, year-on-year and sequentially also?

B. Thiagarajan: We won’t be able to comment on the other playe rs, they are all very competent and eminent players and they have to be respected. We will not be commenting about a particular quarter results of a particular brand or something like that. As far as Blue Star is concerned, as stated earlier in several press releases or at the product launch in January, in the last investor call, we have to address the belly of the market, and if we want to address the belly of the market, we need to go ahead and ensure that the products are redesigned. We were operating in the premium segment and should we try to sell and penetrate the market with the positioning , we were likely to lose money eroding the margins. W e therefore, had to re-design the products and if our goal is that we want our products to be reliable, compete globally and benchmark globally in terms of the features and performance, we need to be ensuring that we invest adequately in R &D. We had also anticipated that there will be commodity price hike and there will be some ki nd of impact . We had also stated that commodity prices are likely to soften . A big difference is that the industry advertising expenses, as a percentage of industry revenue is coming down. That is an operating cost advantage all the industr y players are gaining including Blue Star . As a percentage of the revenue advertising expenses will be lower . A key factor to watch out for is he correlation between share of the expenses and share of market.

We’re not seeing any more, full page advertisements runn ing in summer . In IPL a few brands including Blue Star advertised , but the television space is not bombarded with this. At the end of the day, there is a margin improvement and I mentioned earlier we are not fully happy with the improvement, we have still a long way to go which could be visible from Q3 onwards.

Gopal Navandher: Can you just quantify in the last year the rev enues from the water purifier business and the drag because of that business?

B. Thiagarajan: We are still a very small player in water purifiers. W e had stated that in FY19 and FY18 that the impact of water purifier business on margin is around 1.5% . Fur ther we had also said in FY 21 itself that it is no longer impacting the segment margins . It is not a drain anymore. We have invested and we have achieved some kind of market share. We are not aggressively going and pursuing the re to grow exponentially. The reason being, we ’re seeing some kind of industry structures changing in terms of water purifier business . Some players have got out, some players are not highly active and at this juncture we are happy with what we are doing. Water purifier business is not impacting in any manner the segment margin from FY 20 onwards .

Moderator: We will take the next question from the line of Amit Agrawal from Burman Capital Management . Please go ahead.

Amit Agrawal: Sir in earlier part of the call you mentioned a 30% growth in from the first of calendar year ‘ 19 to now for the industry and 39% for the Blue Star . So, was that value growth or the volume growth?

B. Thiagarajan: It is the volume growth and the value growth will be some 3% to 4% lower. The industry growth of 30%, is our estimate. I t is unlikely that the industry would have grown by 20% and we grew by 39%.

Amit Agrawal: Got it and sir would you have similar number for 1Q for financial year ?

B. Thiagarajan: Q1 results are already published and our growth in Segment -II is available there .

Amit Agrawal: But just from the AC perspective for the industry and for us ?

B. Thiagarajan: We would not like to deal with bifurca

ting Segment -II. There are questions around selective disclosure , but we disclose whatever we think is genuinely to be disclosed. In terms of the margin profile, it is not distinctly different between room AC and the commercial refrigeration business and both the products have grown it ’s our tandem , it is homogeneous that way.

Moderator: Thank you. Ladies and gentleman t hat was the last question for today. I would now like to hand the conference over to Mr. Nikhil Sohoni for closing comments.

Nikhil Sohoni: Thank you very much, ladies and gentleman with this, we conclude this quarter ’s earnings call . Do feel free to revert to us in case any of your questions were not fully answered. We ’ll be happy

to provide you with additional details by email or in person. Thank you.
B. Thiagarajan: Than k you , thanks a lot.
Moderator: Thank you sir. Ladies and gentlemen on behalf of Blue Star L imited that concludes this conference call. Thank you for joining us and you may now disconnect your lines .

Call: Nov 2022

[i£] BLUE STAR
November 10, 2022
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400 001
BSE Serio Code: 500067
Dear Sir/Madam, Blue Star limited
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www.bluestarindia.com
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
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Mumbai -400 051
NSE Symbol: BLUESTARCO
Sub: Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations. 2015 (the
'Listing Regulations ') -Earnings Call Transcript for the second quarter and
half year ended September 30, 2022
With reference to our letter dated October 21, 2022, and pursuant to Regulation 30(6)
read with Part A of Schedule Ill of the Listing Regulations , we are enclosing herewith the
Earnings Call Transcript pertaining to the Financial Results for the second quarter and
half year ended September 30, 2022, of the Company .
The aforesaid information is also being made available on the website of the Company at
www.bluestarindia .com
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Blue Star Limited
Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a
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CIN: L 28920MH 1949PLC 006870

“Blue Star Limited

Q2 & H1 FY23 Earnings Conference Call ”

November 4 , 202 2

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ANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Blue Star Limited
November 4, 2022

Moderator: Ladies and gentlemen, good day, and welcome to Blue Star Limited Q2 and H1 FY23 Earnings
Conference Call. We have with us today from the management, Mr. B. Thiagarajan, Managing
Director, Blue Star Limited; and Mr. Nikhil Sohoni – Group Chief Financial Officer, Blue Start
Limited. As a reminder, all participant lines will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone
phone. Please note that this conference is being recorded. I now hand the conference over to Mr.
B. Thiagarajan. Thank you, and over to you, sir.
B. Thiagarajan : Thank you. Good morning, ladies and gentlemen. It's a pleasure and privilege to join this call today. Thank you very much for sparing your time to attend this briefing from Blue Star on Q2
FY23 Results .
I am going to give a brief introduction after which Mr. Sohoni will brief you on the highlights
and then we will a nswer your questions. If you have noticed all throughout in my television
interviews and interactions with some of you and the press, I had indicated that the market is
doing well. The demand for all our products and services including cooling products had been
good. That's what I had been indicating, even though there had been many reports that the market
has completely slowed down.
Now, you will see from the results, all segments have done well. In specifically the room air conditioners compared with last year or compared with even FY20, we have shown good growth.
There was a second subject which was being discussed all through for the past 3 months that is
commodity price softening and therefore whether the margins will improve, we had maintained
that it is not likely to improve because we had raw material bought at old pri ces and perhaps we
have to look at the second half of the financial year for benefits . But then, the rupee continues
to depreciate. Of course, there is a view that it is dollar strengthening than rupee depreciating. I t
is offsetting the commodity price savings that will be accruing from now on. Therefore, on the
margin front, it is going t o be a tightrope walk, but we have mitigation measures for Q3 and Q4.
Apart from B2C, B2B business has continued to do well with record level of order finalizations
and order inflows and there is huge pressure to execute the orders, whether it is a large infra
project or shops, showroom, boutiques across main cities as well as tier 3, 4, 5 towns . That trend
continues driven by many sectors such as Metro Railway, water projects , electrification , retail
segment and the food related segments such as QSR.
Another subject is the impact of supply chain disruptions . We continue to procure in advance
and our inventory holding would be around 75 days instead of the usual 45 days holding, for
both the raw material s of metallurgical nature and the components.

We are not yet sure when things will normalize as far as the supply chain disruptions are
concerned. The vendors across have been indicating that some kind of stability can be seen in
China from January onwards and therefore things may begin to improve. But as o f now, there
is no concern about supply chain disruption except for the higher inventory holding levels. On
its impact on the capital employed, we have been managing our capital employed well, and we
don't think that is a challenge. We would have preferre d the supply chain disruptions to go away
by now, but it is not happening.
On the outlook :
We are optimistic about the second half of the financial year as well. It is arising from the fact
that the room air conditioner penetration level is low. The increase in the residential property
consumptio

n should help that cause as well. Embedded in that is a question on price increase.
We have to review that in January, because the product portfolio wil l again get rejig ged with
new products coming in. The commissioning of the Sri City factory should give us some kind
of competitive advantage compared with the Himachal plant.
In the B2B segment , there is a huge order inflow and therefore carry forward o rder book and
order finalization even in Q3 continues to be good. We have no insight further than what is
available in the public domain on whether there will be a slowdown, how much it will impact in
India. As far as the financial year 2022 -23 is concer ned, we are optimistic about the prospects
for the second half of the financial year as well.
And with this opening remarks, I hand it over to Mr. Nikhil Sohoni to give you the update on
the quarter.
Nikhil Sohoni : Thank you, Mr. Thiagarajan. So, good morn ing, gentlemen. This is Nikhil here and I'll be
providing you an overview of the results for the quarter ended September '22.
The sentiment in the Indian economy continued to be positive despite the ongoing geopolitical

uncertainties and the impact that th e strengthening dollar has on the global currencies. The CAPEX by both public and private sector continued to be encouraging. Consequently, all the sectors that we operate in saw a healthy growth and enabled us to end the quarter on a positive note.
1) Financ ial highlights for the quarter ended September 30, 2022 on a consolidated basis are as follows:
- Revenue from operations for Q2FY23 grew 27.1% to Rs 1576.24 crore as compared to Rs 1239.74 crore in Q2FY22.

- EBIDTA (excluding other income and finance income) for Q2FY23 was Rs 85.59 crore (EBITDA margin 5.4% of revenue) as compared to Rs 70.70 crore (EBITDA margin 5.7% of revenue) in Q2FY22. Operating Margin was marginally lower in Q2FY23 owing to higher input costs in certain segments and higher operating expenses.

- Profit before tax grew to Rs 57.53 crore in Q2FY23 as compared to Rs 47.44 crore in Q2FY22.

- Tax expense for Q2FY23 was Rs 14.89 crore as compared to Rs 15.99 crore in Q2FY22.

- Net profit for Q2 FY23 grew to Rs 42.64 crore as compared to Rs 31.45 crore in Q2FY22.

- Carried -forward order book as of September 30, 2022, grew by 30.6% to a record Rs 4162.05 crore , compared to Rs 3185.91 crore as on September 30, 2021.

- Capital Employed as on September 30, 2022, increased to Rs 1441.16 crore as compared to Rs 938.14 crore as on September 30, 2021, owing to higher inventory holding to mitigate continuing supply chain disruptions and capital investments for the manufacturing capacity expansion projects.

- Consequently, we ended the quarter with a net borrowing of Rs 392.62 crore (debt equity ratio of 0.37 on a net basis) as compared to a net borrowing of Rs 44.34 crore (debt equity ratio of 0.05 on a net basis) as on September 30, 2021.

2) Business Highlight s for Q2FY23
Segment I: Electro -mechanical Projects and Commercial Air conditioning:
- Segment I revenue grew 32.6% to Rs 959.07 crore in Q2FY23, as compared to Rs 723.40 crore in Q2FY22. Segment result was Rs 60.72 crore (6.3% of revenue) in Q2FY23 as compared to Rs 46.54 crore (6.4% of revenue) in Q2FY22.

- Order inflow for the quarter grew by 68.9% to Rs 1197.95 crore as compared to Rs 709.13 crore in Q2FY22.

1. Electromechanical Projects Business:
The overall pace of exe cution remained healthy. We witnessed a strong uptick in enquiries and order finalizations in the data center segment, metro railways and the factories segment. Inflow of tenders in the infrastructure sector continued to remain encouraging. We also booked our first order for railway electrification.
We received our largest ever order for an integrated data center project during the quarter.

Carried -forward order book of the Electro -Mechanical Projects business was at Rs 3053.83 crore as on September 30, 20 22, as compared to Rs 2240.12 crore as on September 30, 2021, a growth of 36.3%.
2. Commercial Air Conditioning Systems:
Growth in demand across all the segments that we operate in, enabled growth in revenue for the commercial air conditioning business during the quarter. We further consolidated our position in tier 2, 3 and 4 towns with approximately 65% of the revenue for the quarter coming from these cities.

We continued to maintain our number 1 position in Conventional and Inverter Ducted Air Conditioning Systems as well as Scroll Chillers and second position in VRFs and Screw Chillers. Some of the major orders received during the quarter were from West Bengal Medical Services Corporation Ltd., Nouveau Diamonds (Surat), L&T – Hockey Stadium (Rourkela), etc. to name a few.

3. International Business:

We witnessed growth across all segments and territories that we are present in. We further expanded our offerings across markets to cater to new customer segments. We witnessed strong demand f or our commercial air conditioning and refrigeration products and a few notable orders were received during the quarter from fast food chains like Americana, Dominos and Tim Hortons. We have also set up a wholly owned subsidiary in the United States to pur sue opportunities there.

The projects business in Qatar continued to do well. The operations of the joint venture at Malaysia continued to be impacted owing to a slowdown in construction and order finalizations. We will continue to focus on the expansion of the Blue Star product range and building brand awareness and brand visibility in different markets that we are present in.

Segment II: Unitary Products:

Segment II revenue grew 15.4% to Rs 524.79 crore in Q2FY23 as compared to Rs 454.71 crore in Q2 FY22. Segment result was Rs 32.40 crore (6.2% of revenue) in Q2FY23 as compared to Rs 23.26 crore (5.1% of revenue) in Q2FY22. We continue to expand our distribution footprint across the country apart from promoting our new range of affordable premium prod ucts.

Cooling and Purification Products:

Despite being a seasonally lower demand quarter, our room air conditioner business registered a growth of 17%.

The new energy labelling came into effect from July 1, 2022, with all our products conforming to the new BEE ratings. We grew in line with the market and maintained a market share of 13.25%.

The Sri City project is progressing well and is expected to comm ence commercial production in January 2023.

Commercial Refrigeration Business:

The commercial refrigeration business witnessed a growth in demand across all segments with consumption levels back to normal. Demand for our supermarket refrigeration products from the retail segment continued to be encouraging. Demand from the hospitality sector also revived during the quarter.

We continued to maintain our leadership position in Deep Freezers, Storage Water Coolers and Modular Cold Rooms. We also launched a new range of visi coolers with a wide capacity range to suit different customer needs.

Segment III: Professional Electronics and Industrial Systems:

Segment III revenue grew by 49.9% to Rs 92.38 crore in Q2FY23 as compared to Rs 61.63 crore in Q2FY22. Segment result was Rs 13.80 crore (14.9% of revenue) in Q2FY23 as compared to Rs 9.83 crore (16.0% of revenue) in Q2FY22.

We witnessed robust demand for medical diagnostic equipment with increasing awareness and investments in the healthcare sector post COVID . Demand for the non -destructive testing business as well as data security solutions for the BSFI sector also continued to be encouraging. Major orders were bagged from Arcelor Mittal Nippon Steel India Ltd., Jindal Saw

Limited,
HDFC Bank Limited, Tata Stee l Limited and ICICI Bank Limited to name a few.

With a wide portfolio of contemporary products and solutions forming part of our offerings, the prospects for this business segment continue to be positive.

Business Outlook:

The demand for our products and solutions from the segments in which we are operating in continues to be good. We will stay focused on our mission to grow faster than the market, profitability improvement and efficient utilization of capital, while contin uing to invest in manufacturing capacity addition, R&D and expansion of international footprint.

With the push in infrastructure investments and commencement of capacity expansion cycle in the manufacturing segment, we expect order inflows in the project s segment to remain buoyant throughout the year.

On the other hand, low levels of penetration will continue to aid market growth in the room air conditioner business going forward. Opportunity for our commercial refrigeration business is expected to be robust with the growth in food processing and the organized retail sectors.
Further, the softening of commodity prices and higher levels of indigenization will enable us to partly mitigate the impact of depreciation of Indian Rupee against the US Dollar.
We are optimistic about the prospects for our businesses in H2.
With that, ladies and gentlemen, I'm done with my opening remarks. I would like to pass it on back to the moderator who will open the floor to questions. We'll try and answer as many questions as we can and to the extent that we are unable to, we'll get back to you via email. With that, we are now open for questions.
Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Rahul Gajare from Haitong Securities. Please go ahead.
Rahul Gajare : My question is on the revenue. Blue Star has actually bucked the trend where most of the players or peers have seen pressure on their revenue growth and profitability. Could you throw some light on what is it that has helped you gain a market share? And is there any geographical contribution which has impacted this market share gain and revenue growth? That's the first question.
B. Thiagarajan : We will first address the B2C part of it . Our mar ket share was not uniform across the country. There were certain parts of India where we have been doing extremely well and also certain parts of India where we have been not doing that well, specifically the Hindi speaking belt in north India. We had communicated earlier the strategies on product repositioning and expanding the distribution footprint . In order to pursue growth , we have re-positioned the product portfolio in room air conditioner business to compete with range of products in Hindi speaking belt by making the brand relevant to them supported by the expanding distribution footprint . Virat Kohli was brought in as our brand ambassador with this perspective . The product repositioning is complete and expanding the distribution footprint is halfway through. That helped revenue growth in the Room AC business .
As far as the commercial refrigeration business is concerned, Q2FFY22 was COVID impacted . While the room air conditioner business saw growth last year after the summer sea son, commercial refrigeration business took longer to recover . Therefore, there is a growth compared to Q2FY22. Though the business es are opening up , but not to the extent we would like, but we expect a CAGR of around 20% in commercial refrigeration busine ss alone driven by the

processed food or the food retail sectors and the pharmaceutical industry . All these are driving revenue growth in the commercial refrigeration business .
Further on the commercial refrigeration bu

siness , the market itself is growing and we stay focused on tapping the opportunity. We are not getting into large projects there. Our ambition is to remain number one in deep freezers and modular cold rooms.
Com ing to electromechanical projects segment , we are very clear that we were playin g a very cautious game of picking and choosing the segments in which cash flows will be good. We were not chasing the market share. Our aim is to be a preferred vendor in the data centre and the factory segment s. Investments in the infra segment are also picking up. As we have the competence, we are participating in those opportunities such as water and Metro railway and power distribution.
Com ing to the shop -showroom -boutiques, Retail, after many, many years, the investments are back. This Diwali, opening and renovation of restaurant and retail outlets also picked pace . We will further strengthen ourselves by introducing products that are world class.
In VRF, from tho se doubtful days whether Blue Star will ever be able to develop and launch and sell a VRF, we are now a clear number 2 player there and we will continue to grow. There the strength is the investments that we have made in R&D as well as manufacturing.
Profe ssional Electronic s segment continues to grow based on the capital cycle coming back.
Therefore , it is a combination of a favorable market environment and adopting right strategies in certain businesses like the room air conditioner business . This will con tinue to be the direction.
However , there are also some businesses where we have not done well as we would have expected such as air coolers and water purifier s contribution from which continue to be negligible . We would like to grow in those businesses at 20% plus, but that has not happened.
Thank you.
Rahul Gajare : My second question is on the Project business. How is the domestic pipeline and specifically the competitive intensity that you feel, change in the domestic business? And given that you have intention to grow your international business, how do you plan to go about it? Do you have a limit for the revenue mix that you're looking at between domestic and International?
B. Thiagarajan : The competitive landscape there has not changed at all. Given t hat the entry barriers are not that

big, there is always intense competition and players actually reducing it to a L1 game. The contractual conditions of any kind are being accepted. Gettin g the contractual conditions applied and to comply with th em contin ue to be challenging in spite of the change in laws. Air conditioning is a sophisticated science. But unfortunately, it is invisible as well. That the decision makers spend more time on bathroom fittings, carpets, paintings on the walls etc. rather than the air conditioner is a reality. Air conditioning cost as a percentage of the total project compared with the civil and other parts of the project is still negligible. The competitive intensity is high because of the industry players themselves reducing it to cutting corners and executing the job.

The construction practices have not got modernized fully . Our strategy has been clear. Firstly, to ensure superior project delivery and ensure that best practices are followed there. Secondly, not to ch ase market share and ensure profitable growth and good cash flow . Thirdly to position ourselves as a pre -eminent , undisputed leader as far as MEP services are concerned. W e will continue with this strategy .
To repeat , just because construction cycle is on, we are not going to be chasing orders to grow the revenue. We will deliver superior projects in the country, and we will continue to upgrade and modernize our practices. We will be content with a 20% to 25% growth during th e construction cycle and continue to focus on 6 % to 6.5% operating margin fro

m that Segment .
Moderator: We have our next question from the line of Ravi Swaminathan from Spark Capital. Please go ahead.
Ravi Swaminathan: My first question is with respect t o the project business once again. Given the fact that large orders are kind of flowing in, can there be any upside to the profitability that we are looking at, so, basically, I mean, the ticket size would be large and because of that some operating levera ge can be there like data centers, etc., do they carry better margins? And if you can also give the order breakup across sectors, this will be great?
B Thiagarajan: Yes, there could be an improvement in margin due to the operating leverage, but that may no t happen in FY23. We still maintain 6% to 6.5% outlook basically because we are in a commodity cycle which is volatile and the orders that have flown in will get executed in an 18 months to 24 months' execution cycle. Margin s will continue to improve, but the improvement could be in FY24 rather than in FY23.
Ravi Swaminathan: Order book breakup across sectors, so basically how much is infra, how much is commercial real estate?
B Thiagarajan: We will publish that data in due course . All sub -sectors such as f actories and data centers , infra projects and building would be broadly equal .
Moderator: The next question from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
Shalini: This is Shalini. Sir, my question is could you help us understand what has caused the debt levels to go up in September? And also, just give us a guidance on how this number would look in the subsequent quarter, what is the peak debt level that we can expect?
Nikhil Sohoni: We have to loo k at the net borrowings position as there is surplus cash which the company retains . The net borrowing is around Rs.392 crore s. There is a n increase in capital expenditure compare d to the last year, as we are in the process of commission ing the Sri City pl ant for which we would have incurred capex of more than Rs.200 crore s. The inventory levels are also slightly higher because of the supply chain disruptions. We would be maintaining around 70-days

inventory compared to the earlier holding period of 45 days , that will be a combination of raw material s and also some amount of pipeline stocks. All of this will have to funded by some amount of debt. As we build for Q4, we have to stock again. So, there will be s ome amount of increase in debt levels a s we go forward. We will try to maintain a very healthy debt -to-equity ratio. The peak level as such can't be defined, but the debt levels can be expected to increase by Rs.100 to Rs 150 crore s going forward.
B Thiag arajan: The debt-to-equity ratio stands at 0.37. Increase in the he net borrowing leve l of Rs.100 crore s to Rs 150 crore s will be due to capex investments and increased working capital because the scale itself has grown. Working capital turns have not de teriorated due to debtors, it has deteriorated slightly due to the increased inventory holding. That inventory holding is critically important for maintaining the supply chain.
Moderator: We have our next question from the line of Manoj Gori from Equirus Securities. Please go ahead.
Manoj Gori: So, I just want to get some clarity. So, if you look at over the last probably couple of years, we have worked on products side, where we have done the engineering and everything, we have

worked on the distribution side, on the marketing side. So, probably, can you highlight like what are the other areas which we have identified where we can structurally work upon and probably we can continue this momentum in the times ahead also?

B Thiagarajan: Good question. Thank you for your observation. The very first thing that one will have to work on is frequency of major global e vents causing supply chain disruptions or ex

change rate. Over the past five years, frequency of these e vents have gone up. Therefore, building resilience is an area we are focusing on . The second is in research and development, you are in a market where it is price -sensitive because the growth is coming from first time buyers, tier -3, 4, 5 towns aspirational middle class, whether it is B2B, B2C, if it is a B2B, you're having MSMEs or startups growing the market. So, therefore, the expectation is it should be an affordable product. The third area to work on is to increase the export revenue . There is work to be done in expanding our global footprint. We have incorporated a subsidiary in the US. Then comes the manufacturing footprint expansion. We have the Sri City plant to be commissioned . The trial production has started, and the commercial production should commence by January. A bility to execute such large projects , hiring talent and growing fast will be a major priority. Lastly, competitive intensity is going to be higher . In room air conditioners, many people are expanding the capacity and in order to avail PLI, all players will have to sell more, because in PLI x -axis is the investment and the y-axis is the incremental sales over FY21. Therefore, there will be higher competitive intensity. While the market will grow, product s will become affordable . Bu ilding capabilities to deliver competitive products through product innovation and other levers is also an area that we will continue to work on.

Manoj Gori: So, just to continue, so, if you look at probably on the distribution side, can you throw some data points like what it is currently and probably what it was pre -COVID and -?

B Thiagarajan: We don’t believe that the distribution numbers will deliver real results. There could be a figure from 6,000, it has now become 7,500 and to grow it further to 10,000 number, 10,000 to 12,500 etc. However, t hat is not the approach we would like to pursue at all. If India's market size is going to be 8 million units, what is Blue Star market share goal and how that divides into various states, various towns and various outlets is to be estimated. Unfortunately, that data is not available in one single source. We are very particular about getting to that kind of planning. If it is in Aurangabad, how many ACs will be sold, what is the potential in each of the outlets , what is my share etc. That can be deliver ed with 4,000 dealer network 7,000 dealer network, 12,000 dealer network and the focus is not the number of dealers but from where we are getting that share. If our all India market share is 13.25 %, the share would not be uniformly 13.25 % from all the stores in which we are present. Therefore , we don't review this number of distribution points at all.

Moderator: We have our next question from the line of Sujit Jain from ASK Investment Managers. Please go ahead.

Sujit Jain: So, in the beginning of the financial year, the commentary was from all the players to increase prices by the festive season to take care of the table change. That has not happened. Plus we had thought of increasing 50 bps market share this year. So, I just wante d to check H1 market share I presume is 13.25%. For base H1, what was the market share? And is there a scope of delivering on that 50 bps improvement in market share? And I also wanted to check with you how south has been in this H1 for you in R AC? And is the competitive intensity increasing in South because everybody's putting the new capacity addition in south?

B Thiagarajan: We have been very consistent in our communication on price increase. We had increased the prices in April 2021, July 2021, October 2021 and January 2022. Post the closing of the financial year, we also took another price hike in April 2022 though not to the extent we would have liked to. We did not have to take an

other revision for the energy label change as the new models were future -ready and the energy label change related corrections ha d already been factored . We were willing to look at a price revision due to the commodity prices s oftening. Good sales in March , April and the first 15 -days of May led to an expectation of an 80% to 90% growth and consequent stock -out in some quarters. However, the tapering of demand from the second half of May led to increased inventory holding. We had also taken a view that it is better to look at January to June. Our outlook was a 15% to 20% growth over FY20 in FY22 partially also due to price increases which is how it panned out . The growth for FY23 could be 15% over FY22. Without the imp act of price increase, margins would have dropped by more than 10% and hence price increase helped. Further, reduction in advertising expenses from the pre -COVID levels also helped margin. At Blue Star, we have contained margin erosion substantially by a djusting the prices. As far as the next round of price revision is concerned , it would be reviewed in January after factoring in product portfolio, supply chain mix etc. By the beginning of Q4, we expect supply chain mix to

change as capacities that are being put up would be ready to
commence commercial production both for us and competition. We also expect operations at China to stabilize post the Chinese new year and the USD – INR exchange rates should also stabilize by then. That's the overall view .

Sujit Jain: What was the market share in H1?
B Thiagarajan: The current market share is 13.25%. Our goal is to reach 15% market share by FY25. There could be some improvement in FY23 and with the expansion of distribution footprint which as I had m entioned is still work in progress, we should be able to get that the market share goal.
Moderator: We have our next question from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.
B Thiagarajan: I am stepping out for a TV interaction You have to excuse me. Nikhil will continue.
Bhavin Vithlani: Late in the May when you had an analyst meet, you had guided for unitary cooling margins rising to 8%, 8.5% this financial year. Apparently, that supposed to be was the peak of commodity cycle. So, where are we in terms of the guidance for this?
B Thiagarajan: We maintain the expectation of 8% to 8.5% for this financial year.
Bhavin Vithlani: The last question is more of a balance sheet related. We have seen consistent decline in the trade payables days and that is resulting in increase in the working capital, so from 140 days in '21 March, we are now down to 80 -days. So, if you could just help us understand where do we see it settling and what is the strategy behind this?
Nikhil Sohoni: It is important to bear in mind the period for which we are looking at the payables days. The payables days have dropped compar ed to last year as the first quarter of FY22 was impacted very heavily due to COVID and th erefore the turnover and the number of days would not be comparable to the current year . That factor will have to be kept in mind. There is otherwise no big shift in the working capital cycle except for the increased inventory holding to take care of the supply chain disruptions. T here is no change in either payment patterns or in terms of collections otherwise.
Bhavin Vithlani: So, is 80 -days a new normal or we can see further decline in the payabl e days?
Nikhil Sohoni: The current levels are normal and we do not expect a further decline.
Moderator: We have a next question from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Lot of plants are getting commissioned in the n ext quarter or so in the south market. Our plant itself will also start ramping up, plus there is Amber and then there is a Lloyd plant as well wh

ich is coming up. Do you think while on one hand there will be some settling of the cost structure in the upcoming season with supply chain and rupee, etc., but these new plants increased cost structure can drive some competitive intensity in the market?
Nikhil Sohoni: The plants getting commissioned in the next quarter have been under construction for some time. Given the 7% to 8% penetration , there is enough opportunity for all players . There will be increase in competiti ve intensity but the increased penetration will enable everyone to tap the

opportunity . There are also opportunities globally. T he export markets will open up as we go along which would also be served by the additional capacities .
Bhoomika Nair: My second question is on our exports for ACs where we wer e looking at some white labeling opportunities. If you can just talk about progress and where are we in that entire aspect?
Nikhil Sohoni: There are plans for expanding global footprint. We will be coming out with announcements in around six months' time o n that.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question of the day. I'd now like to hand the conference over to Mr. Nikhil Sohoni for closing comments.
Nikhil Sohoni: Thank you very much, everyone. With this, we will conclude quarter's earning call Do feel revert to us in case any of your questions are not fully answered and we'll be happy to provide you additional details by e -mail or in person
Moderator: On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

February 6, 2023

Dear Sir /Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015 (the
'Listing Regulations') - Earnings Call Transcript for the Third Q uarter and
Nine Months ended Dece mber 31, 2022

With reference to our letter dated January 3 , 202 3, and p ursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript pertainin g to the Financial Results for the Third Quarter and Nine Months ended December 31, 2022 , of the Company.

The aforesaid information is also being made available on the website of the Company at
www.bluestarindia.com
Kindly take the same on record.
Thanking you,

Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer

\\172.16.31.16 \Legal and Secretarial Documents \(01) Blue Star Limited \2022 -23\Stock Exchange Compliance \Reg 30 Information and Update \Earnings Call Transcript \Q3FY23

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India L td
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"Blue Star Limited's

Q3 & 9M FY23 Earnings Conference Call"

January 31, 2023

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Blue Star Limited
January 31, 2023

Moderator: Ladies and gentlemen, good evening and welcome to Blue Star Limited 's Q3 and 9M FY'23 Earnings Conference Call . We have with us today from the management , Mr. B Thiagarajan – Managing Director , Blue Star Limited and Mr. Nikhil Sohoni – Group Chief Financial Officer, Blue Star Limited .

As a reminder, all participants lines will be in listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. B . Thiagarajan. Thank you, and over to you, sir.

B. Thiagarajan: Good evening, ladies and gentle men. Thank you for joining this call. In the normal course , we would have scheduled this call tomorrow. However, in view of the Union Budget presentation tomorrow, we had scheduled this interaction today itself. You might have viewed the results which have been already uploaded.

It is the fifth consecutive quarter we have done well. All segments have done well. And as I have been intimating on television channels or in the p ress and to so me of you , the margin s continue to be under pressure . The good news is that we are on course to achieve our plan for the financial year.

In B2C segment, the preparations for the summer season is on and the Sri City factory has just commenced commercial pr oduction. Q4FY23 will be a very important quarter in the build up to the summer. In B2B segment , the order inflows are very healthy and the pace of execution space is satisfactory. Blue Star Engineering and Electronics or the Professional Electronics and Industrial systems segment is also doing well.

I have with me, Mr. Ni khil Sohoni – Group Chief Financial Officer who will give you a Comprehensive Update on the Q uarter -ended December 31 , 2022, followed by the question and answ ers session .

In summary, we are very optimistic about the prospects for Blue Star for this financial year. We will continue to grow faster than the market, we will stay focused on costs, we will continue our policy of prudent capital allocation and we have set for ourselves pragmatic growth targets . We are confident of ending the fourth quarter also on a high note , and we are well prepared for the summer season ahead. There will be certain headwinds . However, we have learn t to cope with that. If there is a custom duty increase on the comp onents in the Union Budget tomorrow , many of you will have questions on how the margin will be impact ed. There could also be questions around the summer season , capacity additions , competition in room air condition er business, impact of inflationary pressure on project execution etc. O ur risk management framework is comprehensive to handle these challenges .

I will hand it over to Mr. Ni khil Sohoni for the Comprehensive Update on the Q uarter and then we will answer your questions. Thank you very much. Over to you, Nikhil.

Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good evening , ladies and gentlemen. This is Nikhil Sohoni and I will be providing you an Overview of the Results of the Blue Star for the Q uarter -ended Decemb er 20 22.

Despite inflationary pressures and general slowdown in the w estern economi es, business and consumer sentiments in India continue to be optimistic during the quarter. Enquiries and order inflows in our B2B business continue to be buoyant. Simultane ously, the demand for our B 2C products continue to be healthy . Consequently, we ended the quarter on a high note with growth across all segments and a robust order book.

1) Financial highlights for the quarter -ended December 31 , 2022, on a consolidated basis are summarized below

:

- Revenue from operations for Q3FY23 grew 18.7% to Rs 1788.20 crore as compared to Rs 1506.22 crore in Q3FY22.

- EBIDTA (excluding other income and finance income) for Q3FY23 was Rs 104.71 crore (EBITDA margin 5.9% of revenue) as compared to Rs 90.59 crore (EBITDA margin 6.0% of revenue) in Q3FY22.

- Till Q2FY23, the Company followed Written Down Value method of acc ounting depreciation. Since the Company is investing significantly in capacity expansion, it was decided to relook at the depreciation methodology. Based on review of the expected pattern of consumption of future economic benefits embodied in Property, Pl ant and Equipment, it

is concluded by the management that ‘straight line’ method of depreciation reflects the
pattern in which such benefits from use of the assets are expected to be consummated. Accordingly, the depreciation method has been changed from ‘ written down value’ method
to ‘straight line method’ with effect from October1, 2022. This led to a lower depreciation charg e for the quarter by Rs 10.80 crore .

- Profit before tax grew to Rs 80.05 cr ore in Q3FY23 as compared to Rs 70.32 cr ore in Q3FY22.

- Tax expense for Q3FY23 was Rs 21.64 cr ore as compared to Rs 22.75 cr ore in Q3FY22.

- Net profit for Q3FY23 grew to Rs 58.41 cr ore as compared to Rs 47.57 cr ore in Q3FY22.

- Carried -forward order book as of December 31, 2022, grew by 47.3% to a record Rs 4861.99 cr ore, compared to Rs 3301.33 cr ore as on December 31, 2021.

- Capital Employed as on December 31, 2022, increased to Rs 1505.56 cr ore as compared to Rs 1107.41 cr ore as on December 31, 2021, owing to higher inventory holding to prepare

for the upcoming season and mitigate supply chain risks and capital investments for manufacturing capacity expansion projects, at Wada and by the subsidiary Blue Star Climatech Limited at its plant at Sri City.

- Consequently, we ended the quarter with a net borrowing of Rs 395.85 cr ore (debt equity ratio of 0.36 on a net basis) as compared to a net borrowing of Rs 165.11 cr ore (debt equity ratio of 0.18 on a net basis) as on December 31, 2021. Coming to business highlights :

2) Business Highlights for Q2FY23
Segment I: Electro -Mechanical Projects and Commercial Air Conditioning Systems
- Segment I revenue grew 20.5% to Rs 1000.09 cr ore in Q3FY23, as compared to Rs 829.85 crore in Q3FY22. Segment result was Rs 71.68 cr ore (7.2% of revenue) in Q3FY23 as compared to Rs 52.41 cr ore (6.3% of revenue) in Q3FY22.

- Order inflow for the quarter grew by 97.1% to Rs 1680.76 cr ore as compared to Rs 852.82 crore in Q3FY22.

1. Electro -Mechanical Projects business :
Investment plans in infrastructure and manufacturing facilities continued to be actively pursued leading to improvement in enquiries and order finalizations. We continued to witness healthy order inflows from all segments including factories and data centers. We also booked s ignificant orders in the newly entered railway electrification segment.
Carried -forward order book of the Electro -Mechanical Projects business was at Rs 3685.23 cr ore as on December 31, 2022, as compared to Rs 2310.72 cr ore as on December 31, 2021, a growt h of 59.5%.
Major orders were received during the quarter from Bangalore Metro Rail Corporation Limited and Central Organisation for Railway Electrification.
2. Commercial Air -Conditioning System:
Demand from the government, industrial, healthcare and hospitality sectors continued to be encouraging. This coupled with continued focus on channel expansion across tier 2, 3 and 4
towns enabled growth in revenue during the quarter.
We continued to maintain our number 1 position in Conventional and Inverter Ducted Air Conditioning Systems as well as Scroll Chillers and second position in VRFs and Screw Chillers.
Some of the major orders received during the quarter were from Uda

ipur Cement Works Ltd., Reliance Projects & Property, etc. to name a few.

We have a lso received a major order from Amdavad Municipal Corporation for the newly launched state -of-the-art large capacity centrifugal chillers.
3. International business :
We observed growth across all segments with increasing demand for our products in the international markets. We witnessed strong demand for our room air conditioners and VRFs and

ended the quarter with a healthy order book.
The pace of execution of projects and order inflow in Qatar witnessed slow down due to preparations and restrictions i n the run up to the FIFA World Cup. The operations of the joint venture at Malaysia continued to be impacted owing to a slowdown in construction and order finalizations amidst weak macroeconomic conditions in the country.
We will continue to focus on the expansion of the Blue Star product range and building brand awareness and brand visibility in different markets that we are present in.
Segment II: Unitary products
Segment II revenue grew 15.1% to Rs 701.90 cr ore in Q3FY23 as compared to Rs 609.68 cr ore in Q3FY22. Segment result improved to Rs 51.83 cr ore (7.4% of revenue) in Q3FY23 as compared to Rs 38.78 cr ore (6.4% of revenue) in Q3FY22, due to the benefit of scale and higher share of revenue from our own manufactured products.
The Cooling and Purification Products business :
Despite subdued festive demand, our room air conditioner business registered a growth of 15%, with channels beginning to stock up in December for the upcoming season.
We grew in line with the market and maintained a market share of 13.25%.
The new plant at Sri City commenced commercial production in January 2023 and is expected to aid improvement in margins going forward.
Commercial Refrigeration business :
The commercial refrigeration business continued to witness traction across all segments with a substantial increase in consumption levels. We also witnessed strong demand from tier 3, 4 and 5 cities, enabling growth in revenue for the quarter.
We have als o been receiving major orders for cold storages for the logistics segment, which is expected to offer significant opportunities in the coming months.
We continued to maintain our leadership position in Deep Freezers, Storage Water Coolers and Modular Cold Rooms.

Some of the major orders received during the quarter were from Reliance Retail, Dr Reddy's Pharma, Milma, Hatsun Agro, and several proprietary agro customers to name a few.
Segment III: Professional Electronics and Industrial S ystems
Segment III revenue grew 29.3% to Rs 86.21 cr ore in Q3FY23 as compared to Rs 66.69 cr ore in Q3FY22. Segment result was Rs 10.98 cr ore (12.7% of revenue) in Q3FY23 as compared to Rs 12.76 cr ore (19.1% of revenue) in Q3FY22, impacted by planned investments in business development, marketing and other initiatives for future growth.
We continued to witness strong demand for our healthcare offerings driven by increasing awareness and investments in the sector. Demand for the non -destructive testing business from the industr ial sector and data security solutions for the BFSI sector also continued to be encouraging.
Major orders were bagged from Arcelor Mittal Nippon Steel India Ltd., Indian Overseas Bank, Bharat Heavy Electricals Limited, ICICI Bank, Hero MotoCorp to name a f ew.
Business outlook :
The Company has performed well for the fifth consecutive quarter and expects to maintain the growth momentum in the coming quarters. We will continue to stay focused on rejigging our product portfolio, introduction of new product cat egories and expansion in domestic and international markets. Simultaneously, the Company is investing in enhancing its R & D capabilities and various programs to mitigate supply chain risks and profitability impro

vement.
We are optimistic about the pros pects for the fourth quarter.
With that, ladies and gentleman, I'm done with the opening remarks. I'd like to now pass it back to the moderator. We'll open the floor to questions. We'll try and answer as many questions as we can. To the extent we are unabl e to, we'll get back to you via e-mail.
Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. We have a first question from the line of Ravi Swaminathan with Spar k Capital . Please go ahead.
Ravi Swaminathan : So, we had seen margin expansion in the projects and cooling products business of more than 7% we had clocked in this quarter . How sustainable is this , how do we think about profitability in both the segments? And also on the professional E&I segment , it has dropped to 12.7%, historical numbers used to be 15%, 17% average . Why has it dropped so much , your thought process?
B. Thiagarajan: The Electro -Mechanical projects segment is a combination of Electro -Mechanical projects and commercial air-conditioning business that has sale of equipment as well . Margins may vary quarter -to-quarter depending on the business mix. It also depends on the profile and pace of projects being executed as not that all projects earn the same margin. We are very h appy with

the margin this quarter, but continue to maintain the margin outlook at 6% to 6.5% . In the cooling product s segment, we ha d increased the prices five times consecutively before the summer of 2022 , but post-summer of 2022, we have been maintainin g the price s to strike a balance between market share and margin . We sincerely hope that the commodity prices softening will help improve the margins . As indicated in the last conference call , improvement in margin due to softening of commodity prices is getting offset by the rupee depreciation. The obvious question could be around a price increase. In the build up to the summer , a new range of products are being introduced, including a lot of them from Sri City . Sri City in addition to the new affordable range of products, also provides cost-Optimisation around incoming raw material as well as outbound finished products. O f course, in this financial year it would be contribute three months ' production . However , there is a leverage in terms of logistics and working capital , as compared to the 10 to 12 days of transit inventory, any of the locations in south can be served overnight from Sri City . Coming back to the question of price increase i t would be factor of new product launches by us as well as competition. O ur product launches are scheduled from February 7th onwards in various locations. We are clear about our direction to grow our market share to 15 , but that is not going to be at any cost . We have to manage our costs in order to compete to get to that market share . The margin outlook for the segment remains unaltered at 8% to 8.5% There could be some impact on the PBT due to interest and depreciation on the CAPEX investments . In a broader sense , we are very happy about the CAPEX cycle across the country which benefits us through increased opportunities across businesses such as package d air conditioning and Electro -Mechanical projects . However, Blue Star also is i nto a high CAPEX cycle with investments in Wada plant and Sri City . Therefore, we have changed methodology to the 'Straight Line Method' and we are prudent in ensuring that our capacity expansion is in line with our growth. Pressure on margin s will contin ue due to competition but we will continue to pursue our goal .

Ravi Swaminathan: And the margins of professional E&I segment ?

B. Thiagarajan: That segment also has agency business and therefore , the top line and bottom line may not have direct correlation at all times . We are a system integrato

r and the segment does not deal in our own manufactured items . In the medical electronics business, we are doing refurbishing as well. Similar to the projects business, the margins may vary quarter on quarter depending on the mix. Therefore , a full year margin comparison would be more appropriate in that segment rather than a quarter to quarter basis.

Moderator: We have next question from the line of Sandeep Tulsiyan with JM Financial. Please go ahead.

Sandeep Tulsiyan: First question is pertaining to the industry profitability, where, of course, a lot of guys are setting up local capacity that will increase materially. But, at the same time, we see barring the two listed Voltas, Blue Star, all the other listed players are making a loss, right from Lloyd to I FB, Whirlpool or Hitachi. So, where do you see the profitability normalizing over what time period going forward, if you could give your thoughts on that please?

B. Thiagarajan: This is happening period for the industry . Therefore, this question keeps arising among analyst s, management , our board and the other relevant stakeholders India's penetration in room air -conditioner segment is very, very low at a sub -7%. At some point of a time, it should rapidly move up to at least 25%. T here is a huge market growth opportunit y with changing weather conditions , urbanization and higher disposable income. It was not affordable at some point in time, not because of the capital cost, but the recurring cost, but thanks to the energy labeling , air-conditioner consumes only 20% of what it consumed in 2020 in terms of energy which helps reduce th e recurring e xpenses. So, there is a growth opportunity. There is focus on indigenization a nd capacity expansion thanks to the PLI scheme . PLI itself is also going to be based on the incremental sales over FY21. Therefore , every brand wants to achieve incremental sale of the particular component in order to earn the PLI benefit. We have been maintaining this is likely to drive market growth . Competitive intensity will be high whenever there is a growth opportunity. Everybody is eyeing this mar ket due to the low penetration . Competition is intensifying due to this opportunity. From Blue Star 's point of view, we are prepared to compete. In 2010, there were apprehensions as to how a B2B company being a late entrant in the B2C space would grow . There were also apprehensions as to if we will grow largely as an institutional player beyond 5% market share and also if we would ever get to a double digit market share. We have grown and now aspire to get to a 15 % market share . We have not stated we aspire to be number 1 or the number 2 player nor have we stated t hat we want to become a 20% market share player . Our goal we believe is doable, with the right mix of customer segments and our product s portfolio which we are working at . What we have done is only now 50%-plus. We have some more to do in order to ensure that we are able to deliver consistent results, in terms of product s portfolio , in terms of distribution footprint , in terms of our own manufacturing capacity etc. On the qu estion of the likely margin, it is dependent on the competitive landscape . We are confident that Blue Star will reach 15% market share and the conviction that we will deliver at least the 8% operating margin . We are a significant player in institutional sales , we are number 1. We do extremely well in quite a few geographies , within India where we hold the number 1 or number 2 position . We have to replicate that largely in the north India market in the Hindi speaking belt. We will pursue a long -term goal which is pragmatic and keep working towards that to deliver consistent results. We would be aiming to get to 15% market share but that would not be at any cost. From a strategic planning perspective , we

have set out that , we will grow faster th an the market and attempt 15% market share by FY'25 with an operating margin of 8% to 8.5% operating margin. Our actions and decisions will be driven by that objective . We are prepared for possible seasonal impact in some summers in-between . Blue Star's portfolio will continue to focus on both B2B and B2C.

Sandeep Tulsiyan: Second question is on the numbers. The unallocable expense has increased materially , if we look at it on a year -on-year basis, al l the segmental numbers look good . How should we read that number , is it predominantly A&P expenses which is being shown up here and we should associate this with the unitary product segment ?

B. Thiagarajan: There is no material change in any specific item as there are multiple items in that line. It includes the FOREX gain/ loss which are really unallocable, certain professi onal fees on corporate initiatives in order to either improve the manufacturing margin s or manufacturing

excellence. There is also a marketing campaign cutting across the product lines. Therefore, there is no single item contributing to the increase nor is it going to be the trend . Our policy of allocating everything that is identifiable with the business that continues.

Moderator: We have our next question from the line of Praveen Saha y with Prabhudas Lilladher. Please go ahead.

Praveen Sahay : My question is pertaining to what you' ve guided about the new range of products going to be increase d. So, it will be largely the mass premium product segment which will be from the Sri City?

B. Thiagarajan: Sri City will produce both the range of products . We have classified the product category into three , affordable, affordable premium and pre mium. The three -year strategic plan is based on these categorizations . Sri City and Himachal plants will produce a mix of all these categories . The new products that are going to be launched predominantly are in the affordable range while here would be so me launches in the premium range as well. As mentioned earlier , we are a number 1 player in institutional segment and high end residential customers and quite a few products that are required for that segment are premium . Affordable range will enable the margins to be protected even while grow ing the market share in the Hindi -speaking belt. Therefore , the products that will be launched for the season will be a mix of these categories .

Praveen Sahay: One clarification on what you had said about the 8.5% margin target. So, fair to understand that whatever the benefit from the Sri City you will receive , it will pass on to the margin , it will not consider ed for some price action to gain market share ?

B. Thiagarajan: The operating margin that we would like to deliver is 8% to 8.5%. W e have to grow faster than the market in order to benefit from scale . There would also be a PLI benefit that could contribute to margin. The margin earned would be a factor of PL I, scale benefit and operating leverage, The PLI benefit would be available from FY24 and would be determined at the end of FY24 based on incremental sale duly certified by a c harte red accountant certificate and filed with the DPIIT. Therefore, i ts impact may not be visible quarter -on-quarter .

Moderator: We have next question from the line of Dhananja i Bagrodia with ASK Investment Managers. Please go ahead.

Dhananjai Bagrodia: Sir, just want ed to know w ith Sri City now we've been focusing on it and a lot more other players have also started focusing on South , how is that in terms of so much capacity coming on impact a), and b), what margin working capital asset turnover do we see for this project?

B. Thiagarajan: We never had a factory in the south and therefore were incurring huge costs on incoming raw material and the outgoing products fr

om the Himachal plant. In addition, we had to hold inventory of ra w material as well as the finished goods in that 10- day period. Th erefore , producing at Sri City has a cost leverage . In any case, our Himachal plant has reached its full capacity . If we had not commissioned the Sri City factory in record time, we would have fallen short of capacity . Some of the Q4 requirement is also going to be met from the Sri City plant . Working capital turns will improve due the reduction in in -transit inventory of both raw materials and finished good s. In addition, there would be savings on transportation cost s as compared to the costs that would have been incurred on transportation from Kala Amb near Chandigarh to various locations in the south . There would be additional interest and depreciation on account of the new investments and the new facility is expected to break -even in around three years like any other investment.

Dhananjai Bagrodia: Sir, this maybe a little longer -term question. What are we doing in terms of our positioning in room AC wher e we are being able to see such strong growth and let's say a market leader is not being able to see the similar growth and it's not like we are undercutting them in prices? So , are we going to different channels , what would be our strategy in this?

B. Thi agarajan: Perhaps we were underperforming in the past and had some inefficiencies , which we sincerely believe we are addressing now . Compared to the market leader we were lagging on market share and margins which also widened at some point of time it widened and the leader would have benefited from scale. We believe we have been able to catch up due to addressing some of the inefficien cies we probably had.

Dhananjai Bagrodia: Sir, are we available with many large retailers like some of the ones or are we more with let's say smaller mom and pop shops, because a lot of the large retailers still working with only the global pla yers or the Indian leader ?

B. Thiagarajan: Each player has a set of customers and a process of servicing certain geograph ies, and through certain products with certain features at certain price points. With our premium product range, we may not have been able to earn margin in line with our targets. We didn't want to grow our market share by underselling our products . Over the past two to three year s we have repositioned our product s portfolio in order to widen the addressable market . We have to segment the market through a micro analysis of addressable market. Of the total population of I ndia of 1.30 billion people the customer base could be only 30 million e even in FMCG and only 1 million in a few other categories . We were very clear that we could grow market share beyond 10% until we address the affordable premium segment which helped us to address a wider customer base who may not be willing to pay the premium .

Moderator: We have the next question from line of Anupam Gupta from IIF L Securities . Please go ahead.

Anupam Gupta : The first question is related to the project s business. So, clearly order inflows and o rder book are growing very well for you. How do you see the outlook here for the next few quarters and should ideally the re venue or the execution could also follow there or do you see any slowdown in execution run rate at this point of time or let's say a couple of quarters down the line?

B. Thiagarajan: The execution pace is expected to be good. In fact, there is pressure in quite a few projects to get them executed quickly. The CAPEX plans that were impacted by the pandemic is catching up so as to be ready when the global recessionary pressures reduce . Similarly , in quite a few

infra projects, the public sector undertakings would like them to be complete d as early as possib

le. Unless and until something completely unforeseen happens , most customers want to get their projects executed quickly. Consequently , revenue will follow the order inflow. T he enquiry funnel is good. Even office space is getting consumed. The re could be headwinds. If we consider room air -conditioners, a market size of Rs 17,500 crores looks very miniscule . The value of MEP projects getting finalized in a year is around Rs 6,500 crores which in our view is only 20% of what is required and the other 80% is an opportunity. That could drive consistent growth.

Anupam Gupta: The second question is related to the margins in this quarter specifically. So, given that you have changed the depreciation policy, if I look at the EBIT margins for both the segments, obviously is higher because of lower depreciation if you look QoQ or YoY. So, ideally, your margin guidance should also be higher just because the depreciation would be lower increm entally going ahead at the segment EBIT level. So, is that the right reading or would you still maintain your margin guidance at 8%, 8.5% for products and 6%, 6.5% for projects?

B. Thiagarajan: So far, our track record has been good and by and large we hav e met , what we have been indicating. The margins indicated are our minimum margin target and could increase. However , we would like to maintain that margin outlook in the near term .

Moderator: We have the next question from the line of Gopal Nawandha r with SBI Life Insurance. Please go ahead.

Gopal Nawandhar : Sir, can you just give the rationale for the change in the depreciation accounting method, is it like across all plant & machinery we have changed or just only for the new CAPEX which you

have complet ed?
Nikhil Sohoni: The accounting standard s require s to consider change in the pattern of consumption going forward. As you would have heard during the call that we have invested heavily in capacities this year at both Sri City and Wada which require d us to review the pattern of consumption for all our assets. It was felt appropriate that this is a right time to look at whether straight line method is a more appropriate way of depreciatin g the assets . If you look at the accounting policy, the useful life of an asset is estimated at around 20- years. For a manufacturing company, it has to be equally depreciated over a period of time. Under the WDV method, which also is an acceptable method, almost 70% to 75% of the asset will get depreciated in 10 -years. We have been following it historically, and the standard requires us to can give it a relook when there is a trigger . So, this year given that we have capitalized a large part of the plant and machinery, there was an opportunity to relook and t he depreciation method was changed after an appropriate review .
Gopal Nawandhar: So what was the capitalized amount for Sri Cit y plant?
Nikhil Sohoni: We have capitalized capacities at Sri City and Wada plants in the current year and the total capitalization is in th e region of around Rs.280 crore s.

Gopal Nawandhar: If I multiply this amount by 20 so, that amount comes to Rs.300 crore. So, are we saying there is no remaining depreciable amount from the past project s?
B. Thiagarajan: The capitalization for the full year will be Rs.280 crore s. The assets were depreciated earlier also and the impact o f change in the method for the quarter and Year-To-Date is Rs.10 crores which has been disclosed in the results.
Moderator: The next question is from the line of Manoj G ori with Equirus Securities . Please go ahead.
Manoj Gori : Just want to reconfirm . You said about 15% market share. So, probably, if I am wrong, please correct me , is this 15% for FY' 24 or FY'25 that we are guiding for or we are as piring for?
B. Thiagarajan: It is FY25.
Manoj Gori: So, probably this year we

should be exiting s omewhere around 13.5 % to 13.75% and probably next two years we will be looking for another 100 -150 basis points of market share gain?
B. Thiagarajan: That's right.
Moderator: We have next question from the line of Atul Mehra with M otilal Oswal Asset Manage ment . Please go ahead.
Atul Mehra: Just one question in terms of competitive intensity again . In a scenario where like you said, if the market penetration is so low and it has so much room, there can be competition for room market share, would be a priority over margin, while our philosophy is t he two. S o, in an environment where more where competitio n focuses on market share over margin , like how would you react in terms of would you still want to maintain 8.5% at the cost of market share o r would you reevaluate at that point in time?
B. Thiagarajan: It's a genuine question . We are clear about a few t hings . Firstly , we want to be an air-conditioning and refrigeration -focused company and as of now, we do not have any plans to get into white goods . Secondly within this category , there are opportunities within India and we have stated that we will also look to enhance our international footprint . Further , there is a huge construction cycle and capacit y extension in progress which would benefit us across segments . Driven by this development , we expect the market to grow. We would not be looking to grow market share at the cost of margin . At the end of the day, the shareholders are looking for results. There is no foolproof model that dilut ion of the prices leads to increased market share . That could trigger a reaction f rom other players and at the end of the day the whole industry will be going downs. There is no data- point to prove that such a step is sustainable. A product like room air conditioners has a brand value and price alone is not the factor driving customer preference . We believe it will be ay futile exercise to go ahead and aim to increase the market share to 20% instead of 15% by diluting the margin to 6% . There is no rationale for this at all. That strategy could lead to a situation where our product wil l sell only on price and each time the channel partner will only be asking for reduction in price . Blue Star brand is valuable . At

the end of the day, RO E and return on capital employed are also important . We would like to deliver more shareholder valu e by widening product categories in which we are not present , indigenize to improve margins and expand international footprint that would create long -term value. We are clear , and there is no desperation for us to be moving up the ranking and improve the market share by diluting the margins . We don't have deep pockets to be doing that , and any industry that did it destroyed itself . Our own view is that no brand has survived adopting that

kind of a stra tegy.
Atul Mehra: Just one follow -up question is we have been one of the early movers in terms of understanding the value of manufacturing and so on l ike we have been doing that since quite some time. But , going forward your view s on outsourcing to some of the P LI players versus setting up your own manufacturing from a three to five year perspective , would you say that like the proportion of own manufacturing will go up actually speaking in the next five years or so?
B. Thiagaraja n: We will not be outsourcing finished goods at all but only the c omponents. Our PL I benefit is only for sheet metal s and powder coating and we have not invested in motors, drives and plastic injection molding. We will look to source these components from entities that have the PL I benefit in those categories . We will not completely outsource and put a label as that would not give us the brand value .
Moderator: We have next question f rom the line of Khadija Mantri with S

ha rekhan. Please go ahead .
Khadija Mantri: I wanted to know , what is your estimate for the room air -condition er industry growth for FY '23 and FY' 24?
B. Thiagarajan: March will be a very big month There are many views in the industry . I am of the view in value terms that industry will grow by 15% minimum – the industry , that is my estimate.
Khadija Mantri: That is for Q4?
B. Thiagarajan: No, full year FY24 over FY 23 the growth for room air -conditioner should be at least 15%
Khadija Mantri: Also, you would have observed that one of our competitors talks that they have lost market share. So, have we been able to gain a little bit of that market share in some of the regions ?
B. Thiagarajan: If you ask about this quarter , it is stable ; for the full financial year , we have gained marginally.
Khadija Mantri: But have we gained it from our competitors or is it because of our penetration into new regions?
B. Thiagarajan: We have gained through increased presence in certain underrepresented markets and widening the product portfolio .
Moderator: We have next question from the line of Rahul Gajare with Haitong S ecurities . Please go ahead.

Rahul Gajare: Can you di scuss the inventory level of Blue Star and that of the industry right now before the season starts ?
B. Thiagarajan: Our view is everybody will hold 20 % to 25% more inventory than the previous year in anticipation of market grow th and course correct as may be required . In addition, there has been an increase in lead time for some of the components that is leading to increase inventory holding and not the finished goods inventory
Rahul Gajare: So, let me just rephrase. When I'm talking about winter, I meant, inventory which was not sold, old inventory, I'm sure –
B. Thiagarajan: It would be very negligible . There could have been old inventory i n Q2 due to the energy level change and a subdued festival season . The focus now will be to produc e new models in preparation for the summer season . We don't think inventory is an issue at all now.
Moderator: We have next question from the line of Shrinidhi with HSBC . Please go ahead.
Shrinidhi: Sir, you attributed some of the margin in this year that you demonstrated in room AC business to own a manufacture d product. So , one thing is would it be possible to share how much of your finished products are currently coming from own manufacturing and how is it likely to evolve over the next two to three years as Sri City ramps up?
B. Thiagarajan: Most of the products are own manufactured product , the only difference being that they would have been manufactured in in Himachal earlier and now they are getting manufactured in Sri City as well . Commercial production started in Sri City on 1st of January and in our estimate , around 15% of annual sales will be coming in this financial year from Sri City .
Shrinidhi: Correct me if I'm wrong , so, are you saying that all of the finished air -conditioners that Blue Star will sell in FY '23, all those came from in -house manufacturing ?
B. Thiagarajan: Anyway, the government had stopped the import because of certain other regulations
Shrinidhi: No, not even domestic assemblers of the f inish ed goods we're not procuring that at all , is it?
B. Thiagarajan: We outsource only W indow air -conditioners, which account for around 5% to 6% of our total sales . All other air-conditioners are manufacture d by us . A large part of c omponents continue to be imported by all players today, because India doesn't have the component ecosystem.
Shrinidhi: Second question I have is that you have come out with this affordable product range . Wondering, is this product range a margin- neutral margin -additive or margin- dilutive at an overall level ?
B. Thiagarajan: Margin -neutral. This product range is benchmarked against what is

available in the market or
what is the customer expectation and we are protecting our margins.

Moderator: Ladies and gentleme n, that concludes our question- and-answer session. I'd now like to hand the conference back over to Mr. Nikhil Soh oni for closing comments. Over to you, sir.
Nikhil Sohoni: Good evening, and thank you very much, ladies and gentlem en. With this , we conclude the quarter 's earning call. Do feel free to revert to us in case any of your questions are not fully answered , and we'll be happy to provide you additional details by e -mail or in -person.
Moderator: Ladies and gentlemen , on behalf of Blue Star Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2023

May 10, 202 3

Dear Sir /Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015 (the
'Listing Regulations') - Transcript of the proceedings of Fund Managers and
Analysts Meet held on May 5, 2023
With reference to our letter dated April 28 , 202 3, and pursuant to Regulation 30(6) read
with Part A of Schedule III of the Listing Regulations, we are enclosing herewith the
transcript of the proceedings of Fund Managers and Analysts Meet held on May 5, 2023 .
The aforesaid information is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.
Thanking you,

Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl.: a/a

\\172.16.31.16\ Legal and Secretarial Documents \(01) Blue Star Limited\ 2022-23\ Stock Exchange Compliances \Reg 30 Information and Update\ Earnings Call Transcript \Q4FY23

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

Blue Star Limited

Transcript of the proceedings at the Conference of Fund Managers and Analysts to discuss the
FY23 performance

Venue: Four Seasons Hotel, Worli, Mumbai 400018

Time: 11 am to 1 pm

Mr B Thiagarajan:

Good morning, ladies and gentlemen. I have pleasure in extending a warm welcome to you for this conference.

Before I proceed further, I have pleasure in introducing Mr Vir Advani. Many of you know him . He's the Vice Chairman and Managing Director and Mr Nikhil Sohoni who is the Group CFO.

I also have senior colleagues from Blue Star from various functions - they will introduce themselves.

To begin with, Mr P Venkat Rao.

Mr P V Rao:

Good morning. I'm P V Rao - President and COO, heading the B2B business group - Electro Mechanical Projects and Air Conditioning Solutions Group as it is called. It has three lines of business es - the Projects business, the Commercial Air Co nditioners Sales business, and the After Sales Service business. So this is a consolidation of three lines of business. And I'm with Blue Star for the last 34 years. Nice meeting all of you. Thank you.

Mr B Thiagarajan:

Thank you. Mr Shashi Arora...

Mr Shashi Arora:

Hi, good morning to all of you. I am Shashi Arora. I am President and Chief Operating Officer for CPAG - Cooling and Purification Appliances Group. We have the Room AC business housed in CPAG. And I've been with Blue Star for over a year now . Thank you.

Mr B Thiagarajan:

Mr Wilson Jebaraj...

Mr Wilson Jebaraj
Good morning, I'm Wilson. I handle the Electro Mechanical Projects and Customer Service Group. I've been with Blue Star for the last 25 years.

Mr B Thiagarajan:

Thank you, Wilson. Mr Srinivas Reddy...

Mr Srinivas Reddy:

Good morning, my name is Srinivas Reddy. I'm responsible for the Commercial Refrigeration Business. I've been with Blue Star for the last 25 years. Thank you.

Mr B Thiagarajan:

Mr V S Ashok...

Mr V S Ashok:

Good morning everyone, my name is Ashok. I'm the Chief Human Resource Officer. I've been with this company for 31 years. Thank you.

Mr B Thiagarajan:

Mr D V Kasbekar...

Mr D V Kasbekar:

Good morning, ladies and gentlemen. My name is D V Kasbekar. I am CEO of the wholly owned subsidiary, Blue

Star Climatech. I am heading the manufacturing function of unitary products. I've been with Blue Star for about the last 25 years. Thank you so much.

Mr B Thiagarajan:

All of you know Mr Sivakumar , who is now goin g to take charge of a different role...

Mr Sivakumar :

Good morning, I'm Sivakumar - I have met all of you personally. I am the CFO of the wholly owned subsidiary, Blue Star Climatech Limited. And I am with Blue Star for twelve years. Thank you.

Mr B Thiagarajan:

And Mr Dipankar De...

Mr Dipankar De:

Good morning everyone. My name is Dipankar De. I head the Corporate Planning function at Blue Star. I have been here for the last four years. Thank you.

Mr B Thiagarajan:

Thank you Dipankar.

We have quite a few other colleagues including Ms Priya who heads the Marketing function.

We last met in 2018 - that was in St. Regis - that time we were celebrating our Platinum Jubilee. We are in our 80th year of operations and on September 27, 2023, we will complete 80 years. We continue to be the oldest air conditioning and refrigeration company in India.

First of all, I would like to thank you. In these interactions, Vir or Nikhil or myself, we continue to learn from you because you are the eyes and ears o f the market. As much as you ask us the questions after each interaction, we also benefit from what are the issues that you have in mind or what we should look at. So thank you for that.

It's a pleasure interacting with you here again in person at a confe rence after five years - otherwise, we have been meeting at quarterly intervals . And we are also particularly pleased that we are meeting you after delivering exceptio

nal results in the financial year FY23 as well as Q4 FY23.

The format of this will be... There is a first part which Nikhil will present about the financials for the quarter and the full year. We are not going to have a separate investor call for that - that is one part of the presentation.

And followed by Vir's presentation on the corporate strategy. And post that we will answer your questions. Questions will be answered by Vir, Nikhil, me, or any of our colleagues who are present here.

In case we are not able to answer the questions, Sivakumar is going to make a note of that, and we will respond to you within 48 hours. So that's the first part of it.

You have seen the audited financial results that were published. This is the sixth consecutive quarter where we have delivered the numbers or exc eeded the expectations. In fact, we have exceeded our own expectations in all the quarters. The questions can be related to that and the benefit of this meeting will be the long term picture as well.

But from last night, or yesterday afternoon itself, the re had been many calls to me or to others about the unseasonal rains in the North, and what is going to happen in April. I thought that it's better to address that part once and for all because so many of you are interested in that.

Before that, I also w ant to point out that that we have been transparent all along. In fact, if there is going to be a price increase, in all probability it would have been Blue Star that would have announced that there is going to be. If there is a margin pressure, we have an nounced it. If there is a drop in sales, we had gone ahead and said so ahead of the industry. So we want to maintain that tradition of being transparent.

At the same time, we will not be able to be selective in disclosures. Just as the meeting commenced, we have uploaded the presentations which are going to be made to the stock exchanges itself. That is what we believe in.

Now, in that context we may not be able to give you - that within Segment Two - Unitary Products, what is commercial refrigeration? O r within the first segment, how much is product, how much is projects? So you have to understand this particular problem or the dilemma we face. It's not that we don't want to, but it is important for us to be also clear on the regulatory requirements.

The second is connected with what information is available to the competition or not available to the competition. In fact, you are aware, we were the first ones to go ahead and publish the integrated report in the industry. BRSR, we will be doing it - nume rous amount of data is going to be getting disclosed, but in a multinational environment, that data is not available for my competition, whereas my competition will get it.

And some of you, a couple of you - I don't know whether you are present here or no t - had asked about our major competitor in India. They have the commercial air conditioning products and the service in the unitary or cooling product segment added. In our case, we have not done so - Segment 1 includes the commercial air conditioning products, Segment 1 includes the service. Now, that part to be added to unitary products - it can boost the profits or the EBIT substantially.

Now a couple of the inquiries are - can you tell us how much has to be removed from my competitor, or how much has to be added to my result? Again, it becomes selective. The companies have their own rationale of doing it. We believe Segment 2 is connected with the products, and we will deal with that. I don't want to bring in commercial air conditioning service revenu e, or commercial air conditioning product revenue into that segment. We may decide to change that at some point in the future and that is fine. The thing is, that kind of disclosure becomes selective - if we do it, we will do it for everyone and make

it cl ear that this is what we have done. Because Blue Star as a corporation
believes that we have to be fair, we have to be compliant, and we have to be transparent - we should never misguide you.

Now coming to Room Air Conditioners... It was in December, act ually, I was discussing with Sashi. It was the 16th of December when we were preparing for the summer season, and he was to make a presentation to our board on the 31st of December. We were planning for the inauguration of the manufacturing facility at Sri City, what is stocking and the campaign, what is the advertising money. That particular day, I told them something tells me there will be rains during summer, specifically April. Subsequent to that, there were three interviews of ET Now, CNBC - I had clearly stated that there may be IMD forecasts that there will be rains. So the fact of the matter is that there are unseasonal rains, which is not in our control.

But I had stated, and this is the Company's view as well, that because of many reasons, the fu ll year market growth should be around 20%. That is our estimate - forget the summer, forget the festival season. By looking at a 15 -year period of what has happened in the market - in an energy label change year, in a year in which rains are there, in an El Nino year, or whatever it is - our estimate is the market for the year will grow by at least 20%. Second point - within Blue Star, we have figured out that the peak of summer - what used to be in May last week, it moved to May middle, at some point of t ime May, it started peaking in April last week… And in an interview in February, I had stated that my belief this year is that it is going to peak in March last week, which is what so far it is.

Now the summer season, how we calculate in Blue Star is bec ause the dealers end up stocking for April in March itself. We believe that the growth should be at least 20% during the period of January to June. It can be even 25 %, because there is now a prediction that May 7 or May 8 onwards temperature is going to sh oot up in Delhi and the summer will last till June 15. Our broad direction is if you take the period January to June, I think the market will grow at least 20%. If market is growing by 20%, we should grow more than the market in order to gain the market share. That's what we have done for the past 11 years. If you take the period January to March we have grown by 22%.

There was a question this morning whether that is from commercial refrigeration or that is from room air conditioners. Again, broadly, all businesses have grown. In fact, commercial refrigeration last year had some hiccups in summer, and therefore the growth has come from room air conditioners. If in three months 22% growth is there, it should be a growth of similar nature is our understandin g - that is what we are aiming for. We can't worry every day whether it rained or this week it rained - our supply chain is planned in that manner.

Connected question - whether there are inventory pile ups... It is not so because West, East, South are doi ng extremely well. Within Blue Star, whether we are monitoring everyday sales... It is not so, because we are very clear that there will be some markets which will not grow, some markets there will be rain, some markets, some model will not be there, some other market that will be there. And I'm again quoting this, that this is like T20 cricket, and every day the picture can change. We have learned to play that game, and we believe that we can play it well.

Now, as we have stated again and again, I should have a product which is competitive, I should have a distribution network which is robust, I should have the brand salience, and we should work hard, and we still believe irrespective of rain in north, we sh ould do well.

And can things go dramatically wrong? It can. We don't know that. But go

ing by our track record we will figure it
out. So this is the broad answer to that question. Because only less than ten days ago there was an interview with regard to s hortage of material, whether we are going to face shortages. And within three days that whether stocks are piling up. And last night it rained and there is a weather forecast summer will be harsh in May and June. It's impossible to react to any of this.

So, the bottom line is we still believe the market for room air conditioners for FY24 should grow by 20%. Our goal is to grow faster than that. And if you take the summer season, which we calculated January to June, we still believe that the growth will be more than 20%.

Now the last part of it. There is also an Investors, Fund Managers, Analysts Feedback Survey which we will commission from next week or day after tomorrow it is - and we will welcome your feedback on which areas we can improve, what you t hink we should do better. Please give us your feedback.

With that, I invite Mr Nikhil Sohoni to make a presentation on the Q4 and FY23 full results.

Mr Nikhil Sohoni:

Thank you Mr Thiagarajan, and good morning ladies and gentlemen.

So let me start with the safe harbour statement. This is because we will be talking about the numbers in the past as well as certain future looking statements.

Coming to the results... They say resilience is an attribute of people which is required to su cceed in business and life. And I'm sure this goes well as well for the businesses also. If I was to start the presentation with a name, I would have called it Firing Back.

If you see the results for FY23, the results have been good will be an understate ment. It has been excellent results and one can see that the revenue growth has been 32% and it has added almost 1900 crores to what was the last year's base. Same way for the quarter it was around 16% growth. What is important is not only the growth but t he value creation by way of making it a profitable growth. And that has happened because the operating margins you can see are clearly up by 50 basis points. So it has gone up from 6.3% to 6.8% for the quarter and from 5.7% to 6.2% for the year. Again, if you look at the trend for the last year while it was 5.7 % and ended with 6.3 %, this year it was average of 6.2 % and ended with 6.8 %. So that speaks well as far as the direction is concerned.

Of course, one important thing also is that yesterday, the board has declared the dividend of Rs 12 per share and they have also declared bonus of 1:1. Post bonus, which is approved after the approval of the shareholders, the dividend will stand restated at Rs 6 per share.

Coming to profitability... If you see the PBT - and we have this time an exceptional item, so we are seeing PBT before exceptional item - the growth is again... the same 50 basis point which you saw in EBITDA is translated right up to the PBT and probably it has gone up to around 70 basis point when it comes to PBT stage. So thus it is carried forward all through and the benefit which has come to the operating margins and not been lost when you come to the PBT stage.

During the last quarter we have changed the method of depreciation from WDV to stra ight line method. That was required because we have invested in capacities and when you invest in capacities you are required to give a relook to the consumption pattern. So having done that, what has happened is we have in fact been in sync with the indus try now and we are more comparable to others also. Having said that, at a PAT stage, if you see the benefit you will see

a return of 5% which will be including exceptional income. During the quarter we have sold a land parcel at Thane which has given a pro fit of around 170 crores - net of tax around 139 crores - and if you exclude that, the margin is around 3.3%, which is again a 50 basis p

oint improvement over what it was last year.

When we are investing in growth what is most important is the cash flow a nd how we are financing it. This slide probably will bring out quite well how the growth has been financed. So last year was the year in which if you see the investment in capacities was quite substantial having invested around Rs 353 crores. At the same t ime, because of increase in scale, the working capital requirement also went up. So combined, it was more than Rs 500 crores of requirement. However, all of that could be managed with just Rs 100 crores of incremental debt. The company of course had a very strong starting cash position and also ended with a good cash position but the cash accruals for the year were also very strong at Rs 400 crores - and this is without taking into account the exceptional income of land sale which gave another Rs 179 crores , or Rs 139 crores net of tax. So that said the cash flow has been very robust and therefore we are prepared to finance in growth in the right way it should be, without over leveraging.

Coming to business highlights, this has been the year when all the segments have given an exceptional performance.

Starting with the Segment 1, which is Electro Mechanical Projects and Commercial Air Conditioning - you can see that clearly the growth for the quarter has been 10% and for the year has been around 25% in revenue terms. This was because of the government investment in infrastructure, the good uptick which was there in private capex which all of us are aware of. In commercial air conditioning there has been a product portfolio expansion, and at the same time, there is also a good demand from Tier 2, 3, 4 towns. So all of that has helped the increase in revenues. Again the profitability if you see in terms of segment margins, there is a directio nal improvement. Last year we have reported 6.1% average whereas this year it is 6.9% average for the year. So that shows that the margins for the business are also improving and that is possible because of cost management, because of scale and also becaus e of a good profile of the customers projects which we are handling.

Coming to Segment 2, again a very good growth - 22% for the quarter and 39% if you look at it on an annual basis. This was possible because of the rejigged product portfolio which we ha d. We also came into the affordable segment and of course that also translates into a good margin with average of last year being 6% and average for the current year being 7.8%. So it is almost 140 basis point improvement in this segment in terms of margin s. This includes commercial refrigeration and for that business also we are seeing a very good traction and a good demand going forward.

Coming to the last segment, that is PE&IS or Professional Electronics & Industrial Systems - a small segment but a very niche market. The growth in the revenue has been quite good at around 33% to 35% on an annual basis. The margins over here have been slightly impacted - it's still good in double digits but it's been slightly impacted because of the investments which th e segment has done for business development and for the future.

So overall, if you see all the three segments have reported a very good revenue for the year, the company, the margins have shown quite a good improvement as well as traction, and this sets a good ground for us going forward. So if you look at the business outlook, what I would like to cover is that we are ending FY23 on a very high note and a very strong note. At the same time, we will continue to focus on investing in research and developme nt, we will continue to invest in channel, we will continue to invest in manufacturing footprint, and of course we will continue to focus on cost - because that is what has helped us maintain and improve the margins and that is what will drive the future a s we go along. Thank you.

Mr Vir Advani:

Great - thank you, Nikhil - I think they got a good overview of the year. Of course there'll be many questions that I'm sure will come up. I will now take you through our strategy. We do a three year rolling str ategy in Blue Star. We started doing this, I think about six years ago. I think when we started we weren't doing such a good job of it - we were making three year plans but never meeting them. I think that's improved over the last few years and I'm happy to say that at least the last two financial years we met whatever goals we had set ourselves if we wound back three years.

So what I'm showing you today is a limited glimpse but I hope it conveys the direction. This is an extract of a presentation we made to our board of directors in March of 2023. So it's less than two months old, so it's very fresh. Of course, there's a lot more behind it, but I'll give you a sense of where we're going. So with that I'll jump in.

You would have seen last year's perform ance that Nikhil took you through. This is just a five-year snapshot of what has happened. Of course, you know that we had two years of COVID especially in the summer for Blue Star. That's why you see the dip there. But I'm happy to see that in spite of the two years of COVID, all positive CAGR and even of course, you see a very high number of PAT of Rs 401 crores in FY23, but without Thane it's still Rs 261 crores . So good recovery on that front as well.

So I think the direction that we set ourselves going forward is to improve this CAGR significantly. We're ass uming COVID is behind us. There's no such surprise looking ahead. So I'd say next three years, all this CAGR is looking at north of 20% on top line and bottom line.

Return on capital, another very important measure for Blue Star. We are a low margin busi ness, as you know, and therefore return on capital is something that we track very, very carefully. You'll see steady improvement in R OCE. Return on equity as well, even without Thane is about 20.3%. So we believe that we're doing a good job on managing our capital and deploying it well.

As far as quantum of capital is concerned, you can see a net debt level which is very comfortable. This is, of course, after the significant capital investments that we have started to make in FY22 and FY23. These investme nts will continue in FY24 and FY25 at least. And so we will be looking at our net debt levels fairly carefully as we go forward, but committed to delivering R OCE north of 30% and an R OE of 20%.

If I just wind back, many of you know the company, so I don' t need to go back to 1943. Thiag mentioned we're in our 80th year, very proud of this journey, very proud of this heritage. So I'll force you to look at a few of these milestones... If I go back, I think 1972 was really the start of what we call our Projec ts business that we have today. Very important milestone for the company, when we got into large air conditioning projects, which you know then we moved into MEP projects in 2008 -9.

Manufacturing commitment actually started way back in 1985. Small investment - I'd say the first significant investment in manufacturing that the company made was in 1997 with setting up our Dadra plant - that was our first modern manufacturing factory. Hi machal Pradesh was the next big one in 2007. We then opened Wada around 2010 -11. And then all the way until 2021 -22, there was very limited capital investment in new factories. We were, of course, upgrading and expanding existing factories. But 2022 is the year which is another milestone for manufacturing, when we have set up both our modern room air conditioner plant in Sri City, Andhra Pradesh, as well as our ultra automated deep freezer plant in Wada. I think you will see as if we are to meet five years from now, our journey, if I show you, will have significantly more capex in manufacturing

as we go forward.

Other highlights of this is of course our entry into the UAE market and into the Middle East in 2017 with forming Blue Star International. And you may have read in 2022 -23, we established subsidiaries in the US and in Europe. So another theme that you'll see going forward for Blue Star is an internationalisation of the business. So if I wind back, 1985 is Projects, 1997 is Manufacturing, and 2017 wil l be our Internationalisation plan.

This is extremely important for us. It's all over our website and all that - you may have even seen it every now and then, but this is what drives Blue Star. This is what runs us, this is how we deliver what we do. We h ave a vision which is to dream, to strive, to care, and above all, to be the best in everything that we do. I want to tell you that... So there's no number there, there's no Rs 10,000 crore, Rs 20,000 crore, thousand crores of PBT. Th ese are not numbers . This is a direction. It is about setting a growth mindset in the organisation. And I'm proud to tell you that all our close to 3000 employees will be able to tell you this vision, will be able to tell you our credo without referring to any PPT or any docume nt. And that's how we run the company.

So there's a growth mindset which is part of the vision. And then equally important is our credo, which is I am Blue

Star and I take pride in delivering a world class customer experience. I'll tell you this, that th is is as important as a growth mindset because we're very clear that unless there is ownership at an individual level, and all our 3000 employees, our extended organisation of 30,000 people, our dealers and distributors and technicians and everyone, when y ou add it all up, I think it may be 60 -65,000 people. It is our goal, and at least we try to ensure that a large number of these people understand what the credo is, which is taking personal responsibility of delivering a world class customer experience to our main stakeholder. So that's our credo.

We also have a Blue Star Way, which are eleven guiding principles, again, that we follow. I think that one, none of us will be able to rattle off what those eleven are, but rather than rattling off what they are , I can assure you that over 90% of the organisation will be living the Blue Star Way. That's just in our DNA - this is how we work, this is what we stand for. And I think collectively, these three very powerful tools are leveraged by us as a senior manage ment team to ensure that we deliver year after year to or exceed the expectations of all our stakeholders.

I think as far as governance is concerned, I'm proud to say that I don't need to spend too much time on this because Blue Star stands for governanc e. And I think you're aware about this and you're clear about this. That's why you're here, that's why you invest in us.

So with that background, I'll spend a few minutes on our way ahead, how we see the next few years. So our strategic direction is we ha ve it in three buckets, as it were. We have a growth objective, we have a profitability objective, and we have an excellence objective. So there are three objectives. That's the framework of our strategic direction. The first one is growing faster than the market. You hear my colleague Thiag talking about it all the time. That's what we stand for in each line of business that we have.

So the first thing is to build scale. I think that's a repeating thing that you'll also hear in Blue Star is building scal e. So we want to build scale by participating in all the growth opportunities that the air conditioning and refrigeration industry have for us in India. So I talk about India first. So whether it is the middle class, whether it is MSME, whether it is the l ight commercial segment, whether it is Tier 3, 4, 5, 6, 7 markets - these are all areas that we are keen to be present in and ca

pitalise on. How do we do that? So we have an air conditioning business, as you know, right from a window unit up to a large cen trifugal chiller. While we do end up spending a lot of time on room air conditioners and we talk a little bit too much about that, I think what has emerged in Blue Star is that there's a common theme for all our product categories that we look at when we p lan.

So the first is to launch affordable products. So we have high technology products, we have premium products that has been traditionally Blue Star's strength. Over the last three or four years. Really, in COVID and post COVID, we have developed and we've been working hard to develop a capability to also bring affordable products. And this is not

just in a three star mini split, right? That's not the only thing - we do this in chillers, we do this in VRF, we do this in ducted, we do this in deep freez ers, we do it in cold rooms. And that's how we want to grow. So we will always see Blue Star having high technology products and affordable products, even side by side as we go forward. That's one important way that we can address the entire market.

The second one, again, that cuts across all our product businesses is distribution reach. We know where we are strong, we know where we're weak, and we're working on improving that. Again, this is not just a room air conditioner story. It applies to our commer cial air conditioning business, commercial refrigeration business as well.

And finally is the Blue Star brand and making it salient. And again, I'll say it needs to be salient in HSM markets, in Tier 3, 4, 5 markets, not just for room air conditioners, b ut even for a centrifugal chiller. Because if you believe in India's growth, and if you believe that the growth of India is going to be outside its metros, then you need to build a brand in all your product categories that is relevant to the whole of Bhara t, to the whole of India. So that's what we're doing in air conditioning.

In refrigeration, in addition to these affordable products, distribution and the brand, specifically we're looking at two strategies. One is for our deep freezer business, which is a very important business of ours, we want to build scale and we want to widen the range. We are the leader - we think that we can increase our market share much more. We believe that the future of this business is going to be huge because food, food secu rity, food availability, and the per capita income of this country is growing. So if we fast forward ten years from now, we are very confident that this is going to be a large market and we want to dominate it. So that's a big focus for us. The other thing is, in that context, is to add adjacent products. So it's not just about cold rooms and deep freezers. We're building capability and products in retail, in healthcare, in kitchen - these are all new and emerging segments for that business.

And thirdly, as part of building scale is our MEP business. I will say this, that I think we're consistent about this for at least the last seven or eight years. While the order book has grown tremendously in the last year, and we're obviously all excited about it, we continue to focus on profitable growth. Cash flow is the only metric that matters in this business for us. We've been fortunate that we've been able to select projects that meet our cash flow requirements, that meet our profitability requirements, and yet we've been able to deliver the added order book. And it is not the reverse, right? So we're not the type of company that will go and build an order book and then figure out how to make it profitable. That's not Blue Star. We're doing it the other way aroun d.

So in that context, I think we've talked about this in many calls. We are purposely and strategically diversifying the order book away from commercial buildings. So commercia

l buildings for us are IT parks, hotels, hospitals, retail
malls, et cetera. We are purposely going after different segments - infrastructure, data centres, factories. And it is a conscious decision. And again, when I say infrastructure, that's a very broad statement - so we go drill down into railway electrification or into metros , or into water. And what we're doing is we're ensuring that we build a portfolio of projects. So when we reach a maximum limit of what we are comfortable with in a segment, we stop accepting any more business there, and then we look at other segments. So it is a strategy that we have been executing over the last few years, and we will continue to do this as we go forward. Regardless of the segment that we operate in, we are the contractor of choice, and we stand for superior project delivery. We won the ME P Contractor of the Year for seven years in a row in this country, and that's what we continue to do. And very frankly, even if you are a PSU customer who we believe doesn't value quality or doesn't value superior project delivery, we still deliver it. And we believe that whether it is a public sector unit or it is a central government project or it is a developer or it is a manufacturer, everyone in India is looking for superior project delivery, which in our mind is on time and on cost. And that's what we stand for.

Other than our India business, we have, as I mentioned, an ambition to grow into a globally important air conditioning and refrigeration company. This is an important point because we have evaluated in the past, and we have decided not

to become a white goods player in India. Many questions come to us on that. We are very clear - we want to be a globally significant air conditioning and refrigeration player. And when we want to be globally significant, we need to be operating outside jus t India - we realise we need to be operating out beyond even the Middle East. So you saw an entry into the Middle East in 2017 - that business is up to about $100 million in size. You're now seeing subsidiaries being set up in the US and Europe - that will grow into a $100 million business in the near future. That's the direction that we're going in.

We feel, and this is long term, so I don't want to talk about a three year objective or something, but over a 10 -15-20 year period, you will see a Blue Star, which is globally present significantly in multiple geographies. Now, it is not what the majority of our competitors are doing in terms of a strategy. We know that, we understand that. There is risk associated with this plan - we understand that as well. There may be a question - there aren't that many successful manufacturing companies from India who have been able to build a successful global business - that is also true. But we believe we can. And we believe we can because we have R&D capability, and we have innovation capability, and we have products that are relevant for those markets - especially in a new world which requires energy efficiency, which requires decarbonisation, which is looking for better solutions than what exists today. So Blue Star s tands out in the world, and I say this in the world, as one of the companies that innovates in air conditioning and refrigeration technology. So it will be foolish for us not to go out to these markets and compete. So that's our plan.

And lastly, we have a subsidiary, Blue Star Engineering and Electronics. I know it doesn't quite fit into the entire portfolio, but it is a very important part of our plan. It is a small but highly profitable business. We believe we can scale it. It's about Rs 330 crores in revenue today - we believe that it should cross Rs 1000 crores in revenue in the near future. We believe it will deliver at least Rs 100 crores of profit to the group, and therefore we stay committed to it.

So across these business

es - India, International and E&E - we're fairly confident of growing faster than the market,
addressing all the opportunities that exist in AC&R.

Moving on to profitability, I will say this very frankly, profitability is our numb er one strategic objective. I started by saying we're a low margin business, but that is what we are today. It doesn't mean that's what we want to be in the future. If we measure ourselves against global competitors, our operating margins are lower. I know India is a price sensitive market, no doubt. But there's still opportunity to improve profitability. Nikhil talked about it, maybe in the questions you will have something and we'll address that.

But what we're focused on... One is driving scale. Scale has an objective of operating leverage, right? So operating margin will improve - you saw that in last year as well. In spite of all the challenges we've had in raw material, we've been able to improve EBITDA margin by about half percent. And in FY24 we'll drive another half percent improvement. So it's a journey - so scale will contribute. But beyond scale, we have a very structured total cost management program that runs in the company across all our verticals. Of course, we're doing it sequentially - we can't handle everything at one time. So you will see gross margin improvement in multiple businesses going forward. It's done in a very structured way and we are expecting that to contribute significantly to our profitability targets.

I talked about prod uct innovation - extremely important part of this whole game. So we innovate not just for market access and new markets. We also innovate for profitability improvement. It's built into our R&D, into our supply chain. And we are hoping to leverage that furt her.

Lastly is indigenisation and backward integration - I think you're more familiar with this. In room air conditioners, in deep freezers, but even in commercial air conditioning - you will see, and I mentioned to you, you'll see a lot more manufacturin g capacity being built, plus you will see a lot more backward integration going forward.

On excellence, I say that out of everything, it is our people that make the most difference. Now, everyone says that it's part of management jargon to say that. Hone stly, in Blue Star there's nothing more true than this. And again, I think you look at the last six quarters of outperformance - it is because of our people. There's actually nothing else we've done very differently from anyone else. So people are extremel y important. We are today and we will always be, and I say we will always be the preferred employer in our industry. And that's very important if we are to build talent, build capability, build scale. So we of course have programs that run in the company f or succession planning, talent management, all of that.

We did a survey recently, I think many companies do this Great Place To Work employee survey. It's about a trust index, it's about really gauging how engaged your employees are to your organisation. And we just completed in... we ran it in Jan, Feb of 2023, so this is very recent data. We got a score of 81, which is better than the 69 we got in ‘16 and better than the 75 we got in ‘19. I won't go into the details of how this score is created - I think you have to look at the direction. You will see a highly engaged organisation - I know many of you do channel checks, you go out in the market. I think if you do that today, you'll probably get even better response than you did a year ago. And that's a fact, and that's the momentum that we built up as far as our people are concerned.

The other one is innovation and R&D - you would have seen a news article went out a few months ago saying that one of our promoters, our chairman emeritus, Mr. Ashok M Advan i, has given a grant of 100 crores to the company with nothing in exchange, no equity, no obligation. It is a no obligation gift given to the company with the objective of strengthening our R&D and innovation. Firstly, I'm a promoter, so therefore it's odd for me to say this, but I'm going to say this because it's a fact. I haven't heard of any other promoter in this country who believes in his company so much to have given money to the company and ask for nothing in return. That's the commitment and convic tion that our promoters have to this company and have R&D in this company, more importantly. He's too intelligent a man to have given 100 crores to be put behind something that is not going to give us all returns, right? That's the kind of belief that he h as and we have in our innovation and product development. So you will see a lot more innovative products from the company.

Financially, I think you consider us to be a conservative company. You consider us to be an intelligent company when it comes to ca pital allocation. I know there have been some questions to us in the past about are you really correctly allocating your capital, you have some risky low margin business, do you want to put it there, et cetera. So we take those inputs constantly from you, from other stakeholders - but we've made a plan that we believe has an optimal capital allocation, will be value creation, and that we will follow the financial discipline that we have been for the last decade at least that I've been around. We have an opp ortunity to improve working capital, no doubt. We've gone through two or three years of very high inventory because of supply chain challenges - those are easing off. So we will see some improvement on working capital. But on the flip side, you'll see a st ep change in capital investment and therefore we'll have to be prudent about how we allocate this capital and we will be.

Lastly, digital, very important part of our plan. Of course, one is on the cybersecurity front, we did have something come up in the end of Jan, early Feb that we communicated on. We were able to contain that situation extremely well. We're very proud of our IT team for having brought back operations almost immediately. But we continue to invest in protecting the company from cyber thr eats - so that's one.

But really, the money is going to digitalising all our customer facing operations. Because we see there's a tremendous opportunity to reach our customers directly and to enhance engagement with them, to improve the overall service, delivery experience, all of that. So a lot of money going there. We have a large analytics program running - data analytics program, because you do know that we have products that we can cross sell to our customers. We also are fortunate, unlike other dura bles, where customers buy more than one of our products - they buy a first air conditioner and a second, and a third and a fourth. So there's tremendous opportunity in analytics.

Finally, our manufacturing plants are extremely modern, not just from machi nery and manufacturing process, but from IoT and a digital perspective. And we extract tremendous benefit from that. So you will continue to see big investment on the digital front.

Lastly, on ESG... It's a buzzword. I think you will agree that on governance, we don't need to speak much. We stand for what we do and we'll continue to do that. On the social front, we have a very important CSR program that runs. We have selected certain areas of skilling and health. These are areas that are relevant to us and important to us. So we continue to spend on that and we will continue to do so. In the company, we have a very important objective of gender diversity. We have 9% of our employees ar e women. We have a near term target, we have a long term target, and we stay committed to that. So that's our social strategy. As far as the environment is concerned, it'

s a little different ,
right? We're an air conditioner company, refrigeration company. So technically, we're not good for the environment. But our environmental strategy is in that context. What we've committed to do is to stay ahead of the curve as far as technology is concerned - drive energy efficiency, drive improvement in ozone depletio n, drive improvement in global warming potential of our products. And I'm proud to say that we stand neck to neck with the best in the world. So that continues to be our investment on the environmental side. Other than that, we have taken up a net zero mis sion in the company. I don't have a date to tell you by when we will be net zero, but we have initiated investment on that front, we have initiated work on that front. We will in due course declare a date - I don't have that right now. So that's what we're doing on the environmental front.

So with that, this is my last slide - then we open it up for Q&A. I'll just repeat pretty much what I've said for the last 20 minutes. We continue to be guided by our vision, Credo and the Blue Star Way. It's non -negoti able. We will be a globally competitive AC&R player. I want to make it clear we're not going into washing machines and refrigerators and all of that - it's not for us to do. Profitability improvement is the most important strategic objective for the compan y and you will see year on year improvement in profitability. We are committed to that and we will drive that. We will continue to have differentiated products that meet the large mass of the market. So differentiated means both in technology and in price points and in cost base - all of that we will work on. We are significantly increasing our commitment to R&D and manufacturing. Again, we may have been asset light, low capital employed in the past. That's not the future - we are investing. We will continu e to attract and retain the best talent, I told you, in the industry and perhaps beyond. And really we stand for strengthening our balance sheet and giving returns to our shareholders and our stakeholders that they hold us accountable for. We will continue to stay focused on sustainability - it’s very important to us given what our products do to the environment. So that is, in a nutshell, what Blue Star is going to do over the next few years.

So with that, I close with, we have our tagline, which is buil t on trust. That is what we stand for and I hope that it comes across in all our interactions today and in the future.

Mr B Thiagarajan:

Thank you Vir, thank you Nikhil.

We now open it up for questions. There are volunteers with the mics. These proceed ings are being recorded, so if you can just say your name and firm from which you're representing...

Q&A 1:

Hi. This is Atul Mehra from Motilal Oswal Asset Management. Firstly, congratulations to the entire management team for the very good performance. A couple of questions…

One is on the room AC business - while the performance has been very good so far, given how the competitive environment is, how do you forecast, like you mentioned about the three year strategy plan. So in an environment where the industry gets even more competitive versus what it is today, how would you try to balance growth and profitability? And what are your market share aspirations from a three year perspective as you build the three year strategy plan?

Mr B Thiagarajan:

Than k you. The market size today - it's a year in which it crossed 8 million units. We expect this market will continue to grow, the penetration will improve. Our estimate of penetration is somewhere between 7 -8%. This financial year, that is FY24, we expect i t to cross 10 million units in terms of numbers. The market according to me, according to Shashi Arora's estimate, and the industry estimate as a whole, within three years it has the po

tential to double. It can
become 20 million units, for multiple reasons .

And our own market share goal is 15% by FY25. And we estimate our market share, both the residential segment and institutional segment put together, should be today around 13.5%. In volume terms we will be marginally higher than 10%, in value terms we w ill be at 13.5 %. We crossed eight lakh units, next year our plan is to cross that magic number of 1 million units.

Coming to competition, it will be intense for multiple reasons. I talked about this subject in a number of interviews . This is one category which is growing compared with other white goods or consumer electronic products. We have, on the top of it, manufacturing capacity or the indigenisation, that is localisation, that is taking place, and the PLI scheme... manufacturing capacity is also dou bling.

Third, the power consumption has substantially come down thanks to the energy labelling program. So therefore this product is no longer seen as there is a recurring cost. If you look at 15 years ago when AC categories talked about as... look, it is not the initial cost, it is a running cost... but from 2000 to now, it is consuming only 20% o f the electricity that it consumed. Of course there is inflation in the electricity bills, as is the case in other categories, but it is no lon ger seen as the running cost is a deterrent.

Next is the room air conditioners are not just one per home - there will be multiple. And we are beginning to see - so far more than 90% was first time buyers - you are beginning to see the second air conditioner being bought.

Last point is connected wit h the finance that is being utilised. The consumers are... our Indian market is becoming a consuming economy where people are trying to use their credit cards or consumer finance scheme. Last year we have touched 40% of the sales coming through the consume r finance scheme. And our estimate is it will be touching 45 - 50% this year.

Everything put together, the last point which again I had talked about in the past, what is going to happen is that PLI money which will be coming in will eventually be translatin g into people using it to improve their sales because X - axis is the investment threshold, Y -axis is the incremental sale. The PLI will not be paid for production, it will be paid for selling more. So on one end you have localised it, so that gives you some benefit. Second part is you are building scale and third part is my own estimate or the company's view is this money also will be making the product cheaper. It will get diluted in the market.

So, like it had happened in many other categories, we think the golden period for air conditioners is around. Everybody will try to utilise their capacity - therefore, competition will be intense. We can't shy away from that. So what we explained as our strategy that differentiated product, expansion of the distrib ution footprint, the brand salience,

specifically making our brand relevant for markets where you are weak - in our case it is the Hindi speaking markets. In our case it is to build our brand for the new generation consumers. So you are seeing that already happening.

Q&A 1:

Thank you very much. So, just one other question on the R&D part. The grant obviously is a great gesture by the promoters. If you could give some context - in the absence of this grant, are the things like would we have continued to do R&D the way we would have done? And because of this grant, is there something that we will do which we would not have otherwise?

And similarly, just one connected question more on the finance side with R&D is all this will be it will not make any impact on the P&L, right? Because you've received the money without any consideration in terms of quid pro quo. So the expensing of this R&D will not have any P&L

impact, right?

Mr B Thiagarajan:

I will answer one part. If I miss anything, Vir will step in. So , first of all, if you are talking about room air conditioners, okay, so there is a room air conditioner, there are commercial air conditioning, commercial refrigeration. This figure I have disclosed, so you can very well note down if you want, the R&D exp enses for the room air conditioners - FY23 was Rs 26 crores and we are planning to invest Rs 30 crores in FY24.

And advertising expenses for the above the line, below the line put together was Rs 61 crores in FY23, and we are planning to spend Rs 73 cror es - that you're seeing with IPL, we have started. So that is the investment that we have planned.

Now, distribution network, we were at 8000 touch points - we are moving to 10,000 touch points this year.

Now Blue Star, in my view… in a way, the multin ationals do have their global R&D supporting them. In our case, we have international collaborations and we will be the largest setup in terms of R&D - we continue to spend. Now, your question is connected with how this incremental money will be utilised. Normally, what happens in R&D? You are doing R&D for 18-month period, 24-month period, three -year period, and depending on the product portfolio that is required, we will prioritize the projects.

This money, to begin with, is going to help us to advance quite a bit of the projects which would have happened in FY25 or 26 - we can fast track that. That is the first part of it. So that your existing resources can actually focus on quite a few other things which we talked about. We have to make the products c ompetitive. We have to focus on the TCM initially, because you have a goal to improve the market share in a country where it is price sensitive and there is intense competition. So there is a strategic R&D effort to go ahead and ensure that you are ready f or the future. So that is where this money will be utilised. Anything else you want to add?

Mr Vir Advani:

I'll just add to that. Just to be clear, again, Mr Advani has given it with the clear instruction that this will only be for additional R&D work. Additional work that we had not already planned, and the additional work has a further criterion that it must contribute to either a brand new product category for the company, or must contribute to a high efficiency objective or must lead to decarbonisation of our product.

So there are both technical as well as financial criteria that he has self -imposed on the company. Otherwise it's his own tax paid money he's given as a gift to the company. So he could have easily just given it and left it at that. But

he's obviously taken a deep interest in ensuring that the money is utilised correctly for additional benefit s to the company - it is not a gift to subsidise the existing R&D expense of the company that is anyway planned.

That's one clarification. The other is as far as the P&L is concerned, this will be P&L neutral. It will neither add to the P&L of the compan y nor will it reduce our cost in any way. So any plans that we have made, this is not accretive or dilutive to the financial plan.

Mr B Thiagarajan:

And by the way, I think last night somebody called me. The profits have gone up, so they are trying to fi gure out whether anything else have come in. So Mr Ashok Advani's grant is not the reason for profit going up. In no year it will go up, and in FY23 results, there is nothing there.

Yes, please...

Q&A 2:

Hi sir - my name is Dhananjay Bagrodia from ESK. Just a couple of questions I wanted to ask you. Let's say by end of FY25 across our segments, what would capacities be looking like? What capacities would we be seeing by end of

FY25 and how much would capex be for those?

Mr B Thiagarajan:

Nikhil, do you want to take

that up?

Mr Nikhil Sohoni:

So on an annual basis, we'll be having a capex of around Rs 250 to Rs 300 crores. So that is what we expect to have consistently for the next two years. And the capacities of course will be... what we are going to do is the capacities will be built in a modular manner. So the overall spend will be in line with whatever is the requirement at the moment at Sri City we are expecting to go from 300,000 to 600,000 and similarly on the other plants also we'll see the need and then we'll invest in the capex.

Q&A 2:

So roughly what would be effective capacity by FY25 for each for RAC and ...?

Mr B Thiagarajan:

So I'll answer the room air conditioners part. We manufacture six lakh units in the Himachal plant - so both the plants produced six lakh units and that we believe is the maximum capacity - some 2 -3% more it may produce. Sri City is designed for 1.2 millio n units, and what Nikhil explained was what is commissioned or commercial production by January is three lakh units. So it is in modules of three -three -three - three will become six, six will become nine, nine will become twelve. Next year, I mentioned to you our goal is to for example we want to do 1 million units. Six lakh will come from Himachal plants, three lakh is going to come from Sri City, one lakh is outsourced products which is predominantly window air conditioners. That is the breakup.

Now, yo u know, in FY25 I will need 20% more. Therefore we will commence that part of it - here again the building is done, it is the lines that are to be done. So it is all planned and modular, and we believe by FY25 we will need that additional capacity.

Q&A 2:

Secondly on your HVAC strategy in North America and Europe - anything you could shed light on that?

Mr Vir Advani:

So it's a little early - we just set up the subsidiaries there. We've got a sales team on the ground. Products are being designed and dev eloped for those markets. These are essentially commercial air conditioning products for the B2B market, not consumer products. So I think it's still early.

FY24 also will be relatively... we will get some business off the ground. So zero business done i n FY23, some business will start in FY24. I think we'll have a better idea by the end of this year to share with you outlook for those geographies.

As far as the Middle East is concerned, I mentioned to you that we've reached about $100 million in busine ss. To be clear, our strategy in the Middle East and Africa is product export. That is product designed and developed in India, manufactured here and then sold through dealers, distributors in these countries. We have a small projects presence in Qatar, no t big and not planned to be scaled up. It's a niche business we have there. So even going forward, as we grow this $100 million business in the Middle East, it'll be all product related exports that we'll be doing.

Q&A 2:

And sir last question, if I coul d squeeze in. We've always been speaking about the industry consolidating number of players. But what we've been seeing now is that number of players actually has been increasing as the more fringe players have started coming in, maybe retailers and stuff. Would you see that trend continue, the industry fragmenting three years later? Or would you see a lot of these smaller players keep reducing?

Mr B Thiagarajan:

I do not think any new player has come in. Somebody is becoming active some year and that's a bout all. In a category that is going to grow, and I told you it is going to double - I do not foresee anybody else new coming in.

Q&A 2:

Like Croma, Flipkart have also started producing...

Mr B Thiagarajan:

Private labelling across the country, across the globe - it is not a big thing at all. It'll be there - so it will all add to the growth. So real signific

ant players, I think 5 -6 will continue to be there. And automobile, look at it, how many players are there? This is a c ategory which is going to double. And on the lighter side, I keep pointing out how so many fund managers and how many analyst firms, how many brokers are there?

Q&A 2:

True, true. Thank you.

Q&A 3:

Thanks for the opportunity. Nikunj Mehta from HSBC MF. I have three questions.

So first, on the room AC side. So when we look at how the industry is kind of shaping up, a lot of manufacturing is now going to happen in -house - across peers for us as well. So purely from a cost structure perspective, if I go five years back when a lot of things were getting imported and getting assembled and sold in India, how will be the ones with the PLI benefit? How will the cost structure change for the industry per se? And for us, that's question number one.

And second question is we speak a lot on the product differentiation part, but when we see the market right, so the players who have become aggressive, it's purely more on the price points that the people are play ing. So when we talk about the product differentiation, where exactly are we positioning ourselves versus the competition? So these are two questions on the room AC side.

Mr B Thiagarajan:

So the first part is till FY19, the estimate is close to around 6 0% of the air conditioners were getting imported in some form or other. Somebody was importing the IDU part, somebody was fully importing. The reason being China is the cheapest producer of this product category because their domestic market is estimated a t 18 million and you got their exports all added together, they will cross 110 million . And India, you are seeing 8 million it has crossed next year is expected to cross 10 million. So it is a huge difference. They are a very competitive producer that was available and rightly the manufacturers, the players in India, imported and sold.

Government identified a few categories - their formula at that point of time was whenever the threshold of Rs 10,000 crore or more import is happening in a particular categ ory, because they can track it, they have to do something. You know that there is leather, shoes, furniture, and air conditioners got included in that.

And at that point of time, there were two things that were happening. There was one connected with P hased Manufacturing Program or PMP, where the duties will keep going up. Second part was connected with the PLI scheme. I will give you PLI and therefore you can start producing in India. Shashi can step in and add... At that point of time there is a free trade agreement with some countries in the Far East through which the product can come in at zero duty. So you are increasing for the components. You are saying PLI will come, but what happens? Zero duty products can come in, so therefore they can't go bac k on FTA. But they introduce d a rule that any product that is coming with the refrigerant filled will not be allowed. So therefore you don't have any other choice - you have to get an IDU or a ODU. In the FTA, IDU/ODU had a full duty - it is not under zero duty. So therefore they blocked that import or made the imports costlier.

Now today, if you compare, there are two, three problems. One is there is a duty that has gone up. Two, you cannot get the air conditioner readymade - you have to take it to your factory. You will import and take it to a factory and redo that. The third is the ocean freight has gone up. If you benchmark against December 2019, it is almost 300% more. And Chinese prices are no longer cheaper - Chinese p rice also has gone up. Then government introduced the non-tariff barrier, which is a quality control order, where unless and until the BIS goes and inspects that factory or their component vendors ' factory, they won't. So there is in a ma

nner of speaking, you will never be able to survive by importing. It is a level playing field.

Now, unfortunately, India cannot avoid importing components - inner grooved copper wire, copper tubes - it has to be imported. India, there is one manufacturer trying to do that under PLI. Compressors - one manufacturer has come in and it should step up - you have to depend on them. Chips, anyway, it has to be imported.

So in this particular context, whether India can be as competitive as China? No. Whether Blue Star has a disa dvantage against competitors? I don't think so. We have figured out what we need to do. All that I have to worry is whether there is a level playing field or not. I am not having anybody who is importing and selling, I'm not worried that it will never be c ompetitive. I hope that answers your question. Shashi, if you want to add anything...

Q&A 3:

That's helpful. And second was on the product differentiation part - with the competition, I mean, resorting only to the pricing front. So, how are we looking at it?

Mr B Thiagarajan:

I am of the view that we can... Shashi will tell you, there are under five buckets, products, differentiated offerings are there. He will tell you just now, but the direction is very clear that I should have a product for all price points, point number one. Point number two, I should have a product meant for all expectations in the market. Okay. Price is going to be a factor - in this product, large demand is from first time buyers, large demand is from Tier 3, 4, 5 towns. Quite a few factors are now - energy labelling determines the energy efficiency, you can't differentiate. Ozone depletion or the global warming norms are fixed - you can't differentiate on that. Very little room is there. Our direction is every price point have a p roduct, don't ignore any channel, including ecommerce. Go ahead and serve the customers according to their expectations, which he will explain to you.

Mr Shashi Arora:

So, to your first question, to note is that PLI is not on finished goods, it's on comp onents. To that extent, there are a lot of players who are jumping into component manufacturing in India. So therefore, as the ecosystem develops within India, we will also gain from it as components get locally available. And therefore, by some expectatio n, slightly more competitive in cost compared to when they were being imported. So, that's the first part.

The second part is that if you go back a couple of years ago, we were largely playing in the premium segment. Today, and it was covered in the pres entation as well, we are now playing in the belly of the market. We are playing in the affordable segment. And we are ensuring that any product segmentation that happens in room AC - whether heavy duty, whether smart ACs, whether price competitive ACs - we are there in the full range. So, starting from windows to all three star, five star, going up all the way to two, two and a half tons, we ensure that we are there in all segments and therefore maintain product competitiveness and price competitiveness.

Q&A 3:

Sure. That's helpful. Thank you.

Q&A 4:

Hello, sir. This is Ravi from Avendus Spark. Congrats on a good set of numbers.

My first question is with respect to the split in the cooling products business between room air conditioners and the other products, what is the ratio over there? And in terms of... my second question is with respect to the profitability of both the Proje cts business and the Cooling Products business - how much more levers are there for the profitability to improve?

Mr B Thiagarajan:

See, first of all, Vir mentioned th at scale is an important lever. So you have to keep growing faster than the market. Number one. So you asked about the projects business also, I

think. How the profitability will improve, Venkat will
answer - what we are doing in terms of the portfolio wise, how we are spreading in order to improve the profitability. In products, under the Total Cost Management program, we are very clear that the products are to be designed in terms of design for value. And if there is somebody who can create a product at X Rupees, Blue Star should be able to also produce at X Rupees. This capability was not there with us three or four years ago. Over the period, now we are confident. If on this earth if somebody can produce a product at a particular price, we will figure out a way, design the product and deliver that. That's where we are.

Now, specifically , I know this is leading to room air conditioners again. If it is connected with room air conditioners, the Sri City plant of Blue Star Climatech itself gives us some edge in terms of inbound as well as outbound logistics. Earlier the components were comin g into Mumbai and Nhava Sheva port, and all the way it was going to Himachal. Sri City can get from any of the ports - Ennore Port or the Krishnapatnam Port or the Chennai Port. The outbound you know, southern region will constitute over 45% of the All Ind ia sales. We can reach any of the markets - whether it is Kerala, Karnataka, Tamil Nadu, or Telangana, Andhra Pradesh, Pondicherry - within 24 hours. Earlier we have to transport all the way - one is the transportation cost from Himachal, next is the inven tory holding period. So that gives us, apart from design for value, as the scale goes up, you get the procurement and Shashi mentioned the local component system is evolving and again for them to earn the PLI they have to sell more. So obviously there is competition out there. So this is the broad thing.

Venkat, do you want to add in terms of projects?

Mr P V Rao:

On the projects business we have a slightly different strategy. We used to be predominantly a commercial buildings MEP player till about 4 -5 years back. So the first lever is to basically build a diversified projects portfolio. So that's what we have done i n the last 4 -5 years.

Today the commercial buildings portfolio is about roughly one third, which used to be about 80%. And we now have significant presence in the factories and data centres which are really emerging. And we choose carefully the projects in terms of due diligence, in terms of better cash flows, and also the fast-track projects, et cetera. And we are also a significant player in the infrastructure projects. So this is the first part.

The other thing is, important lever is, better contract s management. So we have strengthened there - we ran a program internally, we call it as Business Process Restructuring Program. Internally we named it as Project Tiger Woods and we have strengthened our commercial controls and the contracts management.

Third important lever is the procurement effectiveness. The scale also gives us the procurement to … better procurement player in the market. So that gives us some more leverage. So this is how we are able to... we are hopeful that the profitability will f urther improve going forward.

Mr B Thiagarajan:

Again, in commercial refrigeration, the market for lower capacities are going up - because it is an ice cream and frozen food driven market. As the players want to grow their market share - ice cream manuf acturers - the retailers are coming up in smaller towns. and these are not 500, 400 deep freezers - it is 300 and below.

There again, profitability improvement and what we are intend to do, Srinivas Reddy will explain to you.

Mr Srinivas Reddy:

We made the first leg of investment to manufacture indigenised capacities above 300 litres. We are now investing, in sub-300 litres as Mr. Thiagarajan explained. We expect this particular line to go online in the next six to seven months,

and we expect the demand to boom for this category in the next decade to come in.

Mr B Thiagarajan:

Thank you. Some of the products recently launched are displayed outside, I would request you to have a look at that as well.

Q&A 4:

Swati Jhunjunwala from BoB Capital. So, first question is on the internationalisation. As we increase our exposure to the international market, our working capital cycle is expected to increase, right? So how do we expect to tackle that?

And a second question is on the RAC. So one of the c ompetitors recently mentioned that many of the players in this market have been giving discounts during the April period and they are banking on when these discounts eventually do come, like they evacuate. After that, they will increase their market share again. So, what are your thoughts on that? These are the two questions.

Mr B Thiagarajan:

The second part I will answer. First part Vir will...

Mr Vir Advani:

So on the internationalisation, you asked whether working capital will go up. So this is a pr oduct export business. Of course there will be credit terms that will be given, but these are all LC backed transactions. So yes, there is some credit terms there, but equally, we will have back to back understanding with our vendors on the payable side as well. So, while there'll be some increase in working capital, I don't think the Capital turns in that business are going to be significantly different from our segment one capital turns, for example. This will not be a cash business like room air conditio ners, but I would say they'll be in line with segment one turns, the product side of it. So I won't worry about that.

The investment in that business is more in R&D, in labs, in infrastructure to design and build products for those markets, and of course in manufacturing capacity, because already we're seeing increase in India business that we've talked about. So this will be additional capital investment that we have to take into account for these markets. So that is what we built into the plan.

Mr B T hiagarajan:

The second part is connected with discounts, right? Can you repeat that? Second part is connected with discounts.

Q&A 4:

So the second part is related to the RAC market. So the competitors have mentioned that many of the players have given a lot of discounts during the April period. And they have said that when this settles down and when everybody come back to the higher prices is when they expect to increase the market share back. So what are your thoughts on that?

Mr B Thiagarajan:

They w ill keep giving discounts. Throughout the year, all of them give discounts. So there is nothing you can do about it - we don't have any control. The question is that we should be able to compete, correct? And your question is that how will we improve the m argin as well as market share. Broadly?

It is indeed a tough game. There is no doubt about it at all. But we are very clear that our market share goal is modest. The market will grow - there is no doubt about it that you need not suspect at all. You can suspect whether we will become 15% - we have to demonstrate to you we will become. And we are very clear that our guidelines had remained for many years, if you look at it - we will do 9 -9.5%. We have moderated it down from I think the H2 call onwards. We had said that it should be 8 -8.5%. So that difference what you are saying, some point of a time, and I had stated this that we have to manage this because the capacity is coming up and the competition will be intense. And I indicated to you eventually the PLI money is not going to get added to the bottom line. It will get diluted. But the end benefit will be good because the scale and the capacity that you have created, your localisation that has happened. So that's the reason we are not com

mitting to you t hat it will be 9.5% to 10% operating margin. Still we will go keeping in mind the competition.

And there will be seasons like this - for example in Delhi, some brand can get desperate to go ahead and reduce the prices. But Blue Star doesn't play that gam e at all. We are very clear, and if you ask me at the end of it whether I have to choose one market share and the profitability, we will choose profitability if we have to. But we are confident like it has happened in the past. From 2011 this has been the doubt will we succeed? Will we succeed? When inverter came the same question inverter has come will you? And now PLI scheme has come will you? This competitor has come... It is good that they are there. And on the whole, I think the ecosystem is going to d ramatically change. And if we keep this kind of scale and growth and you have a say in the market and we are a distinctly preferred brand there in quite a few markets.

Q&A 5:

Meanwhile, if I can go ahead?

Mr B Thiagarajan:

Please go ahead. I think ther e are multiple - so you, then here this gentleman... So you go ahead.

Q&A 5:

Bhumika from DAM Capital. So, just wanted to talk about the projects business. We've seen a very significant order intake in this year. How are you seeing that moving ahead? And if I see the exit margins, they've actually jumped up

quite a bit, almost around close to an 8% kind of a margin. Traditionally we've hovered around a 4 -5% kind of a margin profile. So can this perhaps now start moving up to a 6, 7, 8% kind of a margin pr ofile? Or you think this is more of a quarterly aberration?

Mr B Thiagarajan:

Mr. Venkat Rao will add... First of all, when you see the Segment 1, there is a project part of it and there is a products part of it. And at this juncture, it is the products as well as the projects - both are doing well and the proportion of the products had significantly gone up. And Venkat can explain to you how he sees margins moving forward.

Mr P V Rao:

On the projects part, I'll explain. With the diversified project portfolio we are able to build in the last 4 -5 years, at a gross margin level, we are able to improve close to about two and a half percent. So that is translating to at least a couple of percentage at the EBITDA level. So, moving forward, the last questio n, which I explained with the levers which we are addressing the projects business, we are hopeful that at a gross margin level, perhaps we will be able to move it up by about another one to one and a half percent. So to that extent, EBITDA also will impro ve. That's about the projects business.

Q&A 6:

Sorry, just one question on the international business, I know we spoke about it. We are looking to focus a lot more on international markets in the longer term. Here, will we be looking at branding and crea ting our own distribution, brand, et cetera, in the international markets? Or will we be actually looking at white labelling ? That's it from my side.

Mr Vir Advani:

We're just defining our strategy in these new markets. In the Middle East, you know, it i s building the brand. In North America and Europe, we're in the process of designing and developing products. There, commercial air conditioning is B2B, where we are prioritizing our work. As we go through this year, we'll figure out the most sensible way to enter each of these markets. We may have multiple sort of marketing strategies to do so.

We are aware of the high cost of building a brand in some of these markets. So we'll be selective about where we build the brand and where we partner with others. So little early, I think by the end of this year we'll be a little bit more clear and we'd be happy to share more as we go forward.

Mr B Thiagarajan:

There was a question before the conference commenced with regard to whether the room AC

capacity expans ion is
for the international market. As of now, it is not so. We do not have any plans to get into export of room air conditioners to Europe or US immediately at all. The priority, as we mentioned, is for the commercial air conditioning products.

Q&A 7:

Hello, sir. Thank you for the opportunity and congratulations on a great set of numbers. I am Lovish Soien from Dalmus Capital. I have just a couple of questions.

So you had mentioned about backward integration at your Sri City plant. So I wanted to unde rstand what is the current level of backward integration today and how is it expected to go forward? What are the components that you are producing in house and what are the components you are getting from outside?

So, that is one and also we have heard from some places that there is a labour problem at the Sri City region, due to which some of your competitors and other manufacturers are not able to get labour properly for their operations. So what is your experience regarding that and how do you plan to expand your facilities as you increase capacity? Thank you.

Mr B Thiagarajan:

the very first thing is connected with finished goods - what we are outsourcing. Other than window air conditioners, we do not outsource anything at all. And the second part is, in terms of indoor units, it's very few SKUs which we are at present dependent like cassette air conditioners IDU, which you see, which also in the next six months we should have launched it. This will be the last season where we will depend on. So I'm telling you what we are dependent on. Rest of it all we are doing ourselves.

And as far as compressors are concerned, we do not have any plans to manufacture compressors. The Indian ecosystem is improving there, and that is a prudent way to do that as well, because that particular part you cannot manufacture at that cost at all. And a s far as drives, which is the other major component, is concerned, we had done our own exercise. We hold the IP and are getting it manufactured through others. That's what is important, because they are manufacturing huge number of electronics and therefor e they can make it. IP is ours, so the drives design we have developed and we will get it manufactured outside.

Otherwise, raw materials only we import. Everything else is in house there. In other words, the complete sheet metal and powder coating assembl y is inside. Now you can ask the last part whether we are doing injection moulding . Injection moulding , again, our calculation shows mould we own, but we get it manufactured or moulded by the moulders. That is the most cost effective way. Otherwise, it is a completely integrated plant.

Q&A 7:

So the second question was regarding labour problems that we have heard at Sri City.

Mr B Thiagarajan:

Okay, so any of the locations in India, first time when you are manufacturing this problem will be there. Sri C ity ... so far, if you look at north was the hub, right - it was Noida or the NCR region that had the room air conditioning manufacturing facility. And when we went to Himachal, we created that ecosystem of workers, training them. So we are the first one t o commission the factory there - during the course of the years, others will come in and therefore you have to recruit people and train. So there is no shortage of labour. Whether trained workers are readily available, this is a question.

And when Sri Ci ty is becoming a hub, a major hub, because Sri City's combined capacity will be larger than what is available in Delhi. So there will be this effort that has to go on. Especially when you are getting started, you rush for. Now, labour problem - when you sa y labour problem means it is union - there is no such trouble. It is shortage of manpower for room air conditioner manufacturing. It is expected one should have planned for that,

and we have so far done it.

Kasbekar, you want to add whether you have any problems? He is Blue Star Climatech's CEO.

Mr D V Kasbekar:

As on date, we have not experienced any labour trouble or shortage of labour. In fact, I want to tell you that more than 50% of our labour is gender diversity - female operators are working and abundant supply of labour is there. The issue is how do we train them and uplift their skills quickly. So we have a training school wherein we expose the operators to the required skills and uplift their skills. That's the issue. I don't see any labour sh ortage or union trouble there in Sri City, as such. We have not faced that kind of issue. I hope I have answered your question.

Mr Vir Advani:

Thiag, I'll just come in. I understood someone asked a question about whether working capital related to the international business is going to be a concern. Now, Nikhil explained to me what the doubt may be. So I'll clarify.

We don't hold any inventory in the field. It is all sold to a dealer or distributor and it is picked up from the Indian port. So we neither hold inventory in the factory or in any warehouse or in India or any warehouse overseas. So what that means is that it's a standard receivable. It's an LC, but obviously there's a period given - it could be 30 days, 45 days, 60 days. So it is to that limi ted extent that working capital will go up. But there's no build -up of inventory in our books of any kind anywhere either in India or overseas. I think that clarifies it.

Q&A 7:

Just on the distribution channel. So the modern retailers like all the Vijay Sales, Reliance Digital, Aditya Vision, Bajaj Electronics - so they are getting bigger in terms of the franchises. So over the next 3 -4 years, how do you see the distribution chan nel evolving?

I mean these modern retailers, will they have a higher bargaining power in placing the brands and second on the ecommerce channel, how do you see that transitioning over the next 3 -4 years and what is the strategy for that?

Mr B Thiagaraja n:

Our understanding is as follows. Unlike many other countries, here everything is going to coexist. You will have the normal standalone retail chains, there are regional retail chains, and there are modern retailers or the power retailers all India. And there are distributors distributing like it extensively happens in the north and there is going to be ecommerce, and soon you will have ONDC as another game changing channel.

All of them have to compete with each other. I don't think you will be able to determine - and this is the dilemma of the modern retailers as well - that how they will grow, how the others will grow. Equally, you are finding the distributors are being, in a manner of speaking, taken over by larger ecommerce platforms in the sense th at the sub - dealers, the ecommerce channels are able to serve directly. So this is going to be an evolving thing.

That is why I mentioned earlier, our strategy is very clear that we would like to maintain our share across all the channels. Each one has go t some plus point, each one has got some minus point. But coming specifically to the modern retail and their behaviour is more or less like - by behaviour, I mean the purchasing behaviour - is more or less like ecommerce. Because they are buying large quan tity and they will pay you upfront - there is no problem in terms of collections or something like that. Their bargaining power is high and it is a play of what product portfolio you have got, what brand salience you are able to create and the pull, and th en the channel's own preference and the relationship.

And again, out of all the product categories of ours, this is the one which is with high seasonality as well. Next one will be the refrigeration product. So season

to season it changes. If you ask us to guess what can happen, the modern retail plus ecommerce put together can be 60% of the total market in three years' time . Very likely because there is also both in... Shashi can correct me - he has seen quite a few new regional chains emerging because t hey are acquiring. Even in a place like Varanasi the smaller dealers are acquired to form. And we have seen in south a different model that for purchasing alone they come as a consortium that also we are seeing. It is going to be evolving. ONDC, we have to wait and watch what is going to happen there.

And ecommerce alone, if you look at it in FY23 they had de -grown. FY22 they had grown and it is somewhere around 15% of the total sales is happening there. FY24 we believe that it could be 20% and it can go up to 25% in 2 -3 years' time. And again they have to wait what is going to happen in the ONDC world.

The gentleman there...

Q&A 8:

Hi sir, this is Girish. You partly answered the question. I wanted to understand for Room AC growth across channels, how that is coming through. You said ecommerce is degrowing. The rest - modern retail and general trade, how they would have done in FY23.

Mr Shashi Arora:

So the question is largely in some senses related to the earlier question. So two parts here. One is that India is a country, like Mr. Thiagrajan very well expressed, where all channels will continue to coexist. So we don't see modern retail or regional re tail or ecom or distributor or indeed sales and service dealers SSD channel becoming overdominant. So as long as none of these channels become overdominant, and as long as we are not over dependent on any particular channel, I think we'll maintain both gro wth and profitability. So that is the way we operate. For example, SSD channel is a very strong channel for us and therefore we continue to play to each channel strength such that it works in our favour from a growth and a profitability perspective.

Q&A 9:

Hello. Thank you sir. I'm Yash Varma. So my question is on the MEP part. What are the steps that we have in place within the organisation which make sure that the cash flow profile, the cash flow focus which was mentioned in the PPT will not be comprom ised for the sake of order inflow growth or revenue growth?

Also, if you can list us with, let's say if any metrics do you have in mind, qualitative or quantitative, that minimum threshold margin or RoC which we have in place when we are bidding, and typ ically what are the qualities of the project where Blue Star will never participate?

Mr B Thiagarajan:

That will be a highly... last line will be a very highly classified information. I can't tell you in this sector I won't pick up the order, or anything like that.

So the direction is very clear - that (a) we want to go faster than the market, build scale which Vir had mentioned. The second, our guidelines remain the same as we had given on 31st January in the sense that 8 to 8.5% operating margin we wi ll aim in room air conditioners or the unitary product segment. And in projects we are saying... we used to be saying something like 6 to 6.5%. 6.5% to 7% is the goal that we have got - some quarter it may be 7.5, some quarter

you saw it as 8%. But I think that is what we will aim in terms of the margin. Now, you have seen the ROCE, which is talked about. This is the ROCE direction and that's how we will move forward.

Q&A 9:

Sure. Thank you.

Q&A 10:

Just one follow up. In terms of a strategic choice, y ou are very clear that white goods is something we will not enter. So can you walk us through your thought process of why? Because you have a distribution, you have a brand and the opportunity is there.

So why the strategic choice of not looking at white goods? And is it like for now, or maybe we will never enter? May

be three year down the line or five year down the line. Thanks.

Mr B Thiagarajan:

Our employees also ask the same question. So the question is you have to make a choice. Look, already you'r e all asking what capital will be required and so you need money for everything. And now if we get into refrigerators, 90% of the questions will be on refrigerators now, like room air conditioners, now it is happening.

So we did debate, we debated a coup le of years ago in an extensive research. Dipankar is the person who led that exercise, along with our CFO and other presidents. We did evaluate refrigerators, we evaluated washing machines, we evaluated small appliances, because many small appliances comp anies are generating hell a lot of cash and you are all part of it.

Many of you are here that when we entered water purifiers, you all asked the question why are we entering now? It happens at the board level also that if you don't enter, you're asking why you're not entering. If you enter, why did you enter? So that's the whole problem. Now, after evaluating the Blue Star ’s financial goals , like we should get above 30% ROCE and we should improve our profitability. We want to manage our balance sheet wel l, keep the borrowings under control.

In this particular context, we came to the conclusion it is desirable for Blue Star to build global leadership in air conditioning and refrigeration, rather than getting into growing our categories in India. Very clea r direction. Now, when you are saying refrigeration, why not get into refrigerators, was the last part of that discussion. It is only an addition. So we said no, the penetration levels and the different type of competencies that are required, and the capex that will be required - we said what makes sense for Blue Star is to go ahead and build our leadership across the globe. That's the direction.

And to begin with again, we decided that it will be through commercial air conditioning products, not through projects, not through room air conditioners. Room air conditioners, we will look at it after we have succeeded because we do have enviable IP. If you look at the VRF, we have the capability, and inverter drives - we have built the global competence in that particular category. So it gives us the confidence that we have high degree of success. Still it is a work in progress in that strategy, rather than getting into the ever -tempting refrigerator and washing machine business.

And you know there the brand b uilding, most importantly, it is not room air conditioner salience will get me that - I have to again invest as a leader, which we learned in water purifiers that people didn't buy Blue Star water purifiers readily or even the dealers - you have to invest money to promote that.

Mr Vir Advani:

So Thiag, just to add on... What he said, one is about choice - so we had to make a choice. We could leverage the distribution we had in room air conditioners or we could leverage the technology we had in commercial air conditioning. These are the two standout capabilities that the organization has.

We evaluated therefore leverage distribution into other categories versus leveraging technology for other markets. And we felt that... and we had to choose. We couldn't do both because we have a resource constraint both financial and non -financial where we don't want to try and do both and fail. In our own analysis, the leveraging the technology for global markets seemed to be more attractive than the other one. It's not to say that the other one is bad or whatever, but for Blue Star we thought that there was a higher return on incremental invested capital going down this path as against the other path.

So that's why we did it. It was a financial decision and we'll see w hether we are right or wrong. But we think we're on the right path. Because we've done this, will we

never do something else? The answer is absolutely not. We're only
80 years old, we'll be here for another 80 years. So certainly we will keep exploring thi ngs in the future. So we don't have a timeline that we're saying for the next three years we won't do something or something. It's not like that. We continue to scan the market for opportunities and if at some point we feel that our distribution strength n eeds to be leveraged with other products, we will revisit that plan.

Q&A 11:

This is Nikunj Gala from Sundaram Mutual Fund. I have one question to the CFO.

The unallocable expenses last year were approximately Rs 90 crores which has increased to Rs 170+ crores. So what are the major line items here to understand the nature of the expenses better here and if you can help us, which are the items where increase was higher than the earlier year?

Mr Nikhil Sohoni:

What you have to look at is this is probab ly the first full year of operation after last few years getting dented every quarter. Last year there was one quarter in which there was a dent because of COVID. So this year was the full first year of operations, which means that everything, including tr avel, transport, freight, everything comes back to the normal level.

At the unallocated level, what happens is that there are common expenses which are there in terms of common staff and everything for which the increments also happen. So all of that has taken place. There have been conferences which we do at a company level which also started last year. So all of that has resulted in the expenses coming back to where they were earlier. So to that extent, unallocated expenses have gone up.

Q&A 11:

If you look at even the pre -COVID time, it was hovering in the range of Rs 90 crores which has increased.

Mr Nikhil Sohoni:

You have to see the scale also. The scale has gone up, the total employees in the company has also gone up. So to that extent, the staffing which is required at the corporate level will also go up. So the unallocable expenses are basically at a group level which are required to support the group.

Q&A 11:

But any breakdown you can help us with, out of Rs 170 crores , how much would be the corporate overhead versus any other line item which you have included here? Or whether the ANP at a group level is a par t of that? Or it's allocated to each and every…

Mr Nikhil Sohoni:

Costs allocable to every business to the extent possible identified are all - like for example, advertising, it is debited fully to the businesses. And freight or forwarding or anything, i t is purely corporate expenses. And if it is a company, why the exercise that has been taken? For example, some consultant was engaged for some program that may be in the... there again, we break our head to distribute to the extent possible.

Q&A 11:

Sure. Thank you.

Q&A 12:

Hi, sir. This is Ashish Jain from Macquarie. Sir, you spoke about 20% revenue CAGR at the company level in the next, say, two to three years. Can you break it down by business for each segment, especially given for room AC, you also spoke about the volumes doubling for the industry. So can you just break that 20% CAGR number into various segments for yourself?

Mr B Thiagarajan:

I think it will happen equally. So it will be very difficult for us to figure that out. Because if you look at B2C business, it is dependent on the market growth. And if you are looking at the projects business, it is based on the pending order book that you are seeing. And commercial refrigeration business continues to grow - that is one business wh ich is on a small base in the country as a market and it will continue to grow. Very difficult to break up - this is going to grow by this much, this is going to grow by this much.

Q&A 12:

Okay, thanks.

Q&A 13:

Good afternoon, this is Ashwani. I wante d to know what kind of effort you are making on the after sales service both on the commercial side and on the room AC side and how is it differentiated versus how critical it is for your success.

Mr B Thiagarajan:

Wilson, do you want to answer that? Tha t's the Gold Standard effort.

Mr Wilson Jebaraj:

Yeah. We have within the company a policy which is Gold Standard Customer Service. So we invest in training our people, our technicians, our channel partners to ensure that there is a seamless delivery whi ch we maintain. Like how it was shared, the credo is taken across right up to the technician level which then enables us to differentiate between us and others. So that's one of the things that we do consciously.

We also have channel partners that we dev elop to meet the needs of the service delivery as far as the commercial refrigeration goes. So apart from our own sales and service dealers, we have channel partners to take care of that as well.

Mr B Thiagarajan:

So to add to that, one of the programs that we have undertaken is to be the benchmark for service as far as the room air conditioners is concerned. Which will mean... By the way, we have invested adequately in the digital enterprise initiatives in service. And we are looking at how it can be ta ken to the very next level.

And in commercial refrigeration we have been continuously innovating in terms of how to delight the customer. Say for example, it is a quick service restaurant or it is going to be a retail store. If a cold room is going to fail, there are mobile refrigerator vans which will quickly shift that frozen food. By the time in 8 hours we repair, this can be shifted back. On the whole, we believe we are doing well in terms of service, but there is huge room for improvement as well to position ourselves as the best. That's our mission.

Q&A 13:

And second, sir, you said in your conversation earlier that 90% of the buyers are first time buyers in room AC. So in this basically with so many brands there and the pricing competition is al so very significant, what is the real customer loyalty?

I mean the first time buyer, see, if it is a replacement buyer, it is very likely that he may consider buying the brand which he has bought first time. In case of the first time buyer, what is the m ost critical attribute for him to choose, I'm just asking, Blue Star versus others. What's the most critical thing?

Mr B Thiagarajan:

It's a great question. We are right now on an analytics program. One of the things that we are looking at is also analysing this. The dipstick sample shows that more than 95% of the buyers of Blue Star end up buying Blue Star if he is buying the second one . Now, we do not have data for the referrals how much it is happening. So that is something which we are applying our mind.

The competition one, how that is happening, the real input that is available to us is from some of the dealers. But most important ly, very recently we could get this information from the ecommerce channels, because there it is completely known and it is an authentic information that is available. Now, I do not think - from these two data, the dipstick that we have done from the ecomm erce players data - there is very high level of loyalty. And whether it is significantly different from other brands, I don't think so. Because the comparison, we compare with the top three brands in that,

so I don't think there was in that limited data. B ut your question is valid, relevant - it is also one of the subjects that we are trying to figure that out through the analytics program.

Q&A 13:

Further on the after sales service, how big is this business and what's your market share there? I mean, are you able to service

a significant part of population which is there of Blue Star products? Or do you still have room to increase market share there?

Mr B Thiagarajan:

So, if you're talking about service as business, there are multiple activities that ar e taking place there. One in the room air conditioners or the commercial refrigeration products - there is no annual maintenance contract there - it is a warranty. And again here the warranty on compressor is five years, ten years. Warranty on the inverter is ten years. So therefore there it is a repair service as the main service revenue. And spare parts will be the second service revenue stream.

In commercial air conditioning - which are chillers or VRFs, or the package air conditioning or even in cold rooms - there will be annual maintenance contract, there will be repair service, there will be spare parts and there will be other value added services like for example energy management or the air management, water management, so on and so forth.

Now, a s I told you, because of the limited disclosure, or because of the reason that I don't have the competition information, why I should disclose what is my service revenue... we are not able to disclose this, unfortunately. You have to forgive us. But to the specific question, whether there is scope for improving the service revenue, yes. It can be higher by 20% compared with what we are.

The areas are connected with certain segments in Tier 3, 4, 5 towns. Not coming into annual maintenance contract is one. Two is the spare parts reach and making it available to the technicians and the end customers. So there is a 20% scope that is available there and that is part of the mission which Mr Wilson Jebaraj is driving.

Q&A 13:

Thank you. Wish you the very best.

Mr B Thiagarajan:

Thank you for coming over. Thank you for your interest in Blue Star. So if some of the questions are not answered, you can email that to Mr. Sivakumar and we will be happy to respond to you. And as I mentioned, the products are display ed there. You can have a look at them.

Please do join us for lunch. Thank you.

Call: Aug 2023

August 9, 202 3

Dear Sir/Madam,

Sub:
Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015 (the
'Listing Regulations') - Earnings Call Transcript for the First Quarter ended
June 30, 202 3
With reference to our letter dated July 24, 202 3, and pursuant to Regulation 30(6) read
with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript pertaining to the Financial Results for the F irst Quarter ended
June 30, 2023 , of the Company.
The aforesaid information is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.
Thanking you,

Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

\\172.16.31.16 \Legal and Secretarial Documents \(01) Blue Star Limited \2023- 24\Stock Exchange Compliances \Reg 30 - Information and Update\ Earnings call Transcript \Q1FY24
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"BlueStarLimited's
Q1 FY24 Earnings ConferenceCall"
August 04, 2023
MANAGEMENT : MR. B. THIAGARAJAN –MANAGING DIRECTOR
MR. NIKHILSOHONI– GROUPCHIEFFINANCIAL
OFFICER
Moderator: Ladies and gentlemen, good day and welcome to the Blue Star Limited's Q1 FY24 Earnings Conference Call. We have with us today, from the Management, Mr. B. Thiagarajan – Managing Director, Blue Star Limited and Mr. Nikhil Sohoni – Group Chief Financial Officer, BlueStar Limited.
As a reminder, all participants' lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*'then '0' on your touchtone phone. Please notethatthisconference is beingrecorded.
I nowhand the conference overto Mr. B. Thiagarajan. Thank you,andover to you, sir.
B.Thiagarajan: Good morning, ladies and gentlemen. Thank you for joining this call. We had the opportunity to meet many of you on May 5th at the physical meet at Hotel Four Seasons. We had announced theresults forFY23.
You may be aware in that conference and subsequently in many interactions including television interviews, the concerns about the unseasonal rains during summer season and

therefore, possible impact on room air conditioner sales and how or what we are doing had beenraised.
We had said that this was not expected, but we will figure out how we go forward and if we are in the room air conditioner business, we have to cope with these kinds of uncertainties. When itrains, theindustrycan get impacted. We were alsoimpacted to an extent.
I had always maintained that given the penetration levels in the room air conditioner segment, the long-term prospects for that business will continue to be good and we had gone on to project that for the industry and individually for Blue Star for the financial year FY24, the growth will be at least 10% and the 15% respectively. That had been the direction with which wehave beenworking.
The important thing was, there was a huge build up to the summer because the IMD forecast indicated a very favorable summer season for companies such as ours. Fortunately, unlike the earlier years where one will end up building inventory through the import route, we are relatively better off because of the component ecosystem that has evolved, and the finished goods manufacturing happens locally ina muchbiggerway than whatused tobein the past. Therefore, there has not been an inventory pressure which could have led to dilution of prices andwould have taken alongertime to recover whenthefestival season sets in.
The second part is Blue Star's own business model where we are not entirely dependent on B2C businesses alone. We have a strong b2b portfolio as well. Fortunately, for us the other businesses, such as electromechanical projects and commercial air-conditioning and Commercial Refrigeration had risen to occasion and these businesses have delivered and partially compensated for the shortfall in the room airconditionerbusiness.
The good news was that the month of June was far better than the month of May, and we are hopeful that in the balance part of the year, even the room air conditioner business, should comeback to deliverhighergrowththan thepreviousyear.
You have seen the Results, and I will hand it over to Mr. Nikhil Sohoni who will take you through the highlights for the quarter. Post that, we will answer your questions, including the announcement that we will raise additional capital. And I suppose many of you will have questionsrelated to that. Thank you very much.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. So, good morning, ladies and gentlemen. This is Nikhil Sohoni, and Iwill be providing you an overview of theresults ofthe company. We entered Q1FY24 on a strong note on the heels of an exceptional Q4FY23 performance with a record carried
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orward order book and a promising summer season. While the projects business continued to do well in the quarter, unseasonal rains across the country resulted in muted demand for unitary products. The Company swiftly took necessary corrective actions, and thanks to its diversified B2Bbusiness portfolio,delivered goodresults for the quarter.
1) Financial highlights for the quarter ended June 30, 2023, on a consolidated basis, are summarized as follows:
■Revenue from operations for Q1FY24 grew 12.6% to Rs. 2,226.00 Cr as compared to Rs. 1,977.03 Crin Q1FY23.
■EBIDTA (excluding other income) for Q1FY24 improved to Rs. 145.00 Cr (EBITDA margin 6.5% of revenue) as compared to Rs. 123.31 Cr (EBITDA margin 6.2% of revenue)inQ1FY23due toscaleand better realizations.
■PBT before exceptional items grew 12.8% to Rs. 113.61 Cr in Q1FY24 as compared to Rs. 100.69 Crin Q1FY23.
■Tax expense forQ1FY24was Rs.30.24 Cr as compared to Rs.26.34 Crin Q1FY23.
■Net profit for Q1FY24grew toRs.83.37 Cr as compared to Rs.74.35 Crin Q1FY23.
■Carried-forward order book as of June 30, 2023, grew by 37.4% to Rs. 5,359.05 Cr, as compared to Rs.3,901.48 Cr as ofJune30, 2022. Carried-forward orderbook as of March 31, 2023,stood atRs. 5,042.27Cr.
■As reported earlier, the company continues to invest in manufacturing capacity expansion as a part of its growth plans and to improve profitability through localization. .
Consequently, the capital employed as of June 30, 2023, increased to Rs 1700.00 cr as compared to Rs 1018.38 cr as of June 30, 2022. We also continue to invest in and expand our R&Dportfolio.
■Thus, we ended the quarter with a net borrowing of Rs. 283.46 Cr (debt equity ratio of 0.20 ona net basis)as compared to a netcash positionofRs.81.03 Cr as ofJune 30,2022.
■Considering the growth plans and the ensuing capex requirements of the company, the board has approved raising of funds by way of QIP to ensure a balanced and optimum capital structure.
2)Business Highlights for Q1FY24

Segment-I:Electro-Mechanical Projects and Commercial Air-Conditioning Systems:
Segment I revenue grew 19.1% to Rs. 949.12 Cr in Q1FY24, as compared to Rs. 796.76 Cr in Q1FY23. Segment result was Rs. 66.62 Cr (7.0% of revenue) in Q1FY24 as compared to Rs. 45.17 Cr (5.7%ofrevenue)in Q1FY23.
Order inflowfor thequarterwas Rs.1,224.65 Cras compared to Rs. 1,365.90 Crin Q1FY23.
1. Electro-Mechanical Projects business:
While there were fewer than anticipated orders from the commercial buildings sector, we continued to witness healthy bookings from the factories and data center sectors driven by the continued thrust of the Government in encouraging manufacturing investments. We also witnessed an uptickin enquiries from thehealthcare and hospitality sectors.
Additionally, inflow of enquiries and tenders in the railway electrification and metro railway sectors remained buoyantthroughoutthe quarter.
Majororders were received from InduslndBank(Chennai), MarutiSuzuki, etc. to name afew.
Carried-forward order book of the Electro-Mechanical Projects business was at Rs. 4,038.14 Cr as on June 30, 2023, as compared to Rs. 2,777.45 Cr as on June 30, 2022, a growth of 45.4%.
2. Commercial Air-Conditioning Systems:
Continued traction from the government, industrial and healthcare sectors coupled with increasing demand from the education and retail sectors enabled growth in revenue during the quarter.
Demand from tier3, 4 and 5 cities continued to beencouraging with significant and high value orders from thesetowns.
We continued to maintain our number 1 position in Conventional and Inverter Ducted Air Conditioning Systems as well as Scroll Chillers and second position in VRFs and Screw Chillers.
We alsoreceived many significantorders for therecently launched centrifugal chillers.
Some of the major orders received during the quarter were from Foxconn Technology (Bangalore), IOCL (Baroda), Mindspace Business Parks (Thane), etc. to nameafew.
3. International Business:
Business and economic activities in the Middle East markets continued to remain upbeat. With significant growth plans and ensuing policies by the Saudi government, there have been huge investments in the region. Consequently, we witnessed strong demand for our B2B products across territories. Despite delayed summers, we also witnessed a growth in demand for our room air conditioners as compared to last year.
The pace of enquiries and order inflows at Qatar continued to remain moderate with economic activities in the country yet to pick up after the FIFA World Cup. The operations of the joint venture at Malaysia is slowly bouncing back after a prolonged slowdown and weak macroeconomic conditions in the country. We are also in the process of developing advanced products and solutions for NorthAmerica and Europe.
Segment-II, Unitary Products:
Segment II revenue grew 6.3% to Rs. 1,198.45 Cr in Q1FY24 as compared to Rs 1,127.59 Cr in Q1FY23.Segment result was Rs. 89.34 Cr (7.5%ofrevenue)in Q1FY24as compared to Rs. 91.13 Cr (8.1%ofrevenue)in Q1FY23.
1. Cooling and Purification Products business:
Due to unseasonal rains, demand for room air conditioners remained flat. Our growth was modest, and themarketshare was maintained at 13.5%.
Margins for thequarter remained flat on account ofsubdued demand.
We continue to invest in expanding our distribution footprintacross thecountry.
2.Commercial Refrigeration business:
The commercial refrigeration business witnessed traction across all segments with an uptick in demand from the hospitality, pharma, and processed food sectors. With the opening up of educational institutions and commercial establishments such as malls, we witnessed strong demandgrowthfor ourstorage water coolers.
Additionally, with significant investments in infrastructure for the warehousing and logistics segment, we witnessed growth in the modularcold rooms category.
We also witnessed increased traction for our kitchen refrigeration equipment, driven by the growth ofQSRs andthehospitality sector.
We continued to maintain ourleadership position inDeep Freezers, Storage Water Coolers and ModularColdRooms.
Some of the major orders received during the quarter were from the New Parliament House (New Delhi), DHL (Chennai), and Nestle Indiato namea few.

Segment-III: Professional Electronics and Industrial Systems:
Segment III revenue grew 48.9% to Rs. 78.43 Cr in Q1FY24 as compared to Rs. 52.68 cr in Q1FY23. Segment result was Rs 10.49 Cr (13.4% of revenue) in Q1FY24 as compared to Rs. 5.89 Cr(11.2%ofrevenue)in Q1FY23.
With a steady rise in corporate capex across segments, we witnessed growth across all lines of business. The non-destructive testing business continued to gain momentum. Increased penetration and investments in the healthcare segment by both the public and private sector continued to create opportunities for thehealthcare business.
Major orders were received from Tirumala Hospitals, FIS Payment Solutions, Bhushan Power andSteel, Bank ofBarodato name afew.
3) Business outlook:
With continued investments in the infrastructure sector and with the capital investment cycle playing out in a significant manner in many sectors including manufacturing, the demand for our B2B products and solutions is expected to be robust. The demand for commercial refrigeration products continued to grow at a healthy pace. While the summer season impacted the room air conditioners category, given the penetration levels, we hope that the demand will revive in the festive season. As in the past, we will remain agile and implement necessary course correction strategies. We are optimistic aboutthe prospects for the restofthe year.
With that, ladies and gentlemen, I am donewith my openingremarks. Iwould liketo now pass it back to the moderator who will open the floor to questions. We will try to answer as many questions as we can. To t

he extent we are unable to, we will get back to you via email. With that, weare open forquestions.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the lineofBhoomika Nair fromDAM Capital. Please go ahead.
Bhoomika Nair: Sir, my first question is on the unitary product segment. We have seen about a 6-7% kind of a growth and if I can get some color of how the actual RAC and the other Commercial Refrigeration bit of the business has done, because we understand the market has seen a bit of a decline and you mentioned that our market share has been fairly steady. So, is it possible to get some color on the breakup of revenue growth or how the two parts of the business have performed within thesegment?
B.Thiagarajan: You are wanting to know whether room air conditioners degrew and that is compensated by Commercial Refrigeration. Is thatyourquestion?
Bhoomika Nair: Yes, sir.
B.Thiagarajan: That would be a selective disclosure. You are not aware of what it was last year also. Our estimate is that the industry would have degrown by 10% in the room air conditioner business. We would have degrown less as for uslarger sharecomes from theinstitutions business.
Bhoomika Nair: So, is it fair to say that means that we have gained market share? Because we have obviously not degrown thatmuchas theindustry.
B.Thiagarajan: Very, very marginally. The other aspect in the market share data is value-based v/s volume based.Quitea fewdatathatwillbeavailablein thepublic domain isbased onthevolumes.
There had been an energy label change and there had been a repositioning of our products itself. Our average price realization per unit would have come down because we are into affordable segment as well. Therefore, it is a challenge to figure out accurate data. We want to be transparent to the extent possible without violating any of the regulations. In that context, though our volume would have grown, in value terms, we wouldn't have gained market share. It wouldhave remained thesameis our assessment.
Bhoomika Nair: Sir, my second question is related to the fundraise that was brought up. You know, what is the requirement for this? Where are we looking to kind of utilize these cash flows? And would it be entirely through equity, or given that we are largely debt free, there would be a mix of debt andequity as well?
B.Thiagarajan: Since many of you will have question around fund raise, Nikhil will elaborately answer this question so thattheothers can usetheiropportunity forotherquestions.
Nikhil Sohoni: The intention of the fundraise is to ensure that the company always has an optimum capital structure. This raise will be primarily equity. The net debt level was Rs. 283 Cr this June compared to a Rs. 81 Cr cash position in June 2022. At a gross level, the debt is at around Rs. 600 Cr.
As we grow, we have had a substantial CAPEX in last two years, which have primarily been funded by internal accruals. While that will continue to fund CAPEX going forward, we also want to ensure that we have sufficient net worth available, should the growth capital be raised byway ofdebt going forward.
There will be CAPEX,over next threeyears which weneed tofund. We haveto ensurethat we have sufficient balance sheet strength to raise debt going forward. All of that requires us to have a very strong balance sheet, which this equity raise will enable, and that's why this fund

infusionhasbeen thoughtabout.
While we are targeting to raise equity, the approval of the Board is by way of QIP giving flexibility to raisethrough debtorequity, but ourprimary intent is toraise equity.
Bhoomika Nair: And the use of funds, for what will we, Imean, we have started our Sri City facility. So, where will this CAPEXbe utilized towards?
Nikhil Sohoni: CAPEX investment is a continuing process. In the current year, we are also investing in sub 300-l

itre capacity at Wada in addition to the investments in Sri City. In Sri City, we presently have a capacity of 300,000 ACs per annum, which will go up to 600,000 as we go forward. As we scale up, the volumes go up, in value terms, even the working capital requirements would increase. This being a seasonal industry, inventory level at June is perhaps the lowest level of theinventory andas we go forward, workingcapital also has to bebuilt upto supportthescale.
We will also explore the option of retiring some high-cost debt in the books. The usage would be a combination of all these including working capital, CAPEX and general corporate purposes.
B.Thiagarajan: I will elaborate on plans for Sri City. There are three phases there. In the first phase which is under commercial production, the capacity is 300,000 units. Total planned capacity is 1.2 million units. Thereare two morephases planned inSriCity.
In the meanwhile, the other information is also in public domain that the current factory is around 20 acres. We have bought 40 more acres of land in Sri City, which internally we call it as Sri City 2. That is meant for commercial air conditioning products, both for domestic and export markets. And after completing phase three, we will commence the construction of the Sri City 2 plant.
As Nikhil mentioned, the fund raise is basically for the capacity expansion in line with our growth plan, and it is also coming at a time when we had postponed these investments for many, many years. As you may recollect, it was in 2011-12 we started with Jammu and Sri City land itself was bought, and we waited and waited for us to get the confidence that yes, these capacities are required. Andso,primarily, this is areason for our raising capital.
Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Spark Capital. Pleasego ahead.
Ravi Swaminathan: My first question is with respect to the ordering environment regarding the first segment. This quarter we had seen roughly around Rs 1,200 crores of order inflow, and it was more or less kind of flattish compared to corresponding quarter last year. And after many quarters of successful growth, there has been some kind of a pause. Do you think this is temporary? What are the factors that are likely to drive the growth further going forward, if you can elaborate on that? Are there any large infrastructure orders which are in the pipeline which can drive this growth? If you can talk more about this, it will be really great. And also, the quality of those orders in terms of profitability, is it improving, at the same place, or probably even declining? So,if youcan talk aboutthat?
B.Thiagarajan: Mr. Ravi, thank you for the question. The simple answer is the construction cycle is on and there is a healthy enquiry pipeline. Quite a few orders are under finalization. We had always
maintained that we are not building a market share in that business. We are interested in profitable growth and free cash flows. That is theprinciple as far as that business isconcerned.
We would also want to maintain our differentiation on superior projects delivery. The huge order inflow, which was beyond our expectations, required us to beef up our design execution team. Projects business is not like a factory where everything is in a controlled environment. We have to mobilize manpower and execute the project without losing focus on commercial controls.
To answer your questions, any order that had been booked in H2 of last year or this particular quarter or in the next few quarters will be of very high quality. That is strictly reviewed by the Risk Committee under the Enterprise Risk Management framework. Much more than anyone else, you are aware ofthis business history, what the industry went through, what we had gone through.So,we arevery clear aboutourpriorities.
In a particular quarter, there could be loss of orders due to competitive intensity. There are

quite a few segments which are doing extremely well in terms of enquiries and order finalization. These aremanufacturing, followedby data center, healthcare.
We are beginning to see the hospitality sector coming in. Quite a few airport enquiries are going to be floated, and in the package air conditioning segment, Tier-3, 4, 5 towns are doing extremely well. There again, you are seeing small hotels oreducational institutions ormarriage halls and so on and soforth.

Looking at segment wise opportunities, we think office space consumption has slowed down compared with last few quarters. However, we have also diversified into segments other than office buildings.Hope Ianswered all yourquestions.
Ravi Swaminathan: Yes, thanks a lot for thedetailed explanation. Are thedrivers for thethird segment very similar to thefirst segment orthereare differences there? Aretherestructural growth triggers theretoo?
B.Thiagarajan: Distinctly different. The driver for the third segment is manufacturing related CAPEX and the banking financial institutions related CAPEX. The healthcare part of it is not dependent on other segments. Itis asegment which continues to grow.
Ravi Swaminathan: Andlast question.What would be theCAPEX plans for thenext two years? That isFY24-25.
B.Thiagarajan: In the AGM, this was a similar question. My rough estimate is somewhere around Rs. 750 Cr over thenext three years. Much ofit may happen in FY24 and FY25. FY26 will belower. This is our rough estimate.
Moderator: Thank you. The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.
Rahul Gajare: Sir, I have two questions. You know, the first one is on the UCP business basically. Given that we have seen a 6% growth in the segment and, you know, the industry has seen a decline and even the room air conditioning has seen a decline, is it possible you can throw some light on how the regional sales have been for you? How the growth or decline has been across the region?So,that isthe first question.
B.Thiagarajan: I think we did well in Tamil Nadu in April and the first half of May. There was a similar pattern in Andhra Pradesh as well. East and Northeast regions did extremely well throughout the season. Gujarat did well and Mumbai was one location where it was March and April, followed by first 10 days in May, after that, it didn't pick up at all. Northern Region did not do well.
Rahul Gajare: Sir, is it possibleyou could actually quantifyhow the growth generally was in theSouth forthe quarter andhow bad was itin theNorthand so on?
B.Thiagarajan: I presume you are comparing with the last year. I don't think that data is going to be very relevant.
We are of the view as also emphasized with the government or policymakers that the overall market size for room air conditioners was 8 million units. That 8 million units should have moved up to 10 million in FY24. So, we should be worrying about whether it would move up to 10 million unitsornot. Themarket size is supposed move up to 13 millionunits by FY25.
All the PLI schemes, the government working, projections, everything is built on that particular assumption. The manufacturing capacity expansion of various companies also will be broadly based on these numbers. So, we would be focusing on growth in the overall market size rather than focusing on select locations. There is a possibility still that 8 million units will become 10 million units this year. And Blue Star will grow to at least 10 lakh units compared to the8 lakh unitsthatwe didlast year.
Our view is that the festival season should do better than last year. Looking back at history, wheneversummer has failed, festival season has always been good.
Anotheraspect is that thedataecosystem is yet to mature in this industry. Therefore, we would like to focus on 8 lakh units growing to 10 lakh units The data published by the Bureau of Energy Efficiency is thelicense feethey collected for the BE

E labeling, which is not published brand-wise, but for the estimates of the government and the policy, they do share that data in a limited way.
Rahul Gajare: Sir, my second question is on the project business. You know, we have a strong order backlog now. You did indicate during the Analyst meet of your intention to go, you know, North American market, European market. Is it possible you could split this order backlog that you have right now, you know, between domestic and international and the kind of profitability thatyouhave in boththesemarkets? That's my last question.
B.Thiagarajan: Segment-I comprises the Electro-Mechanical Projects and the packaged air conditioning. The commercial air conditioning is part and parcel of that. Our export presence today is in the MiddleEast and South Asia and North Africa markets.
The annual reportdiscloses what is ourexportrevenue.We areaminuscule playerthere. There is a demand for our products in European market and the North American Market. Therefore, we want to pursue these opportunities. We have set up wholly owned subsidiaries in Europe as well as North America.
As explained in the May meeting, the product specifications are different in the export market. For example, United States the frequency itself is different, it's a 60 hertz product. It has to meet their energy efficiency norms, refrigerant norms and the brands to whom you want to sell, you have to get required approvals. So, the R&D testing for all of this has to happen over a 12-

to-18-month period.
There will be some trial orders that will be given to produce, and they are to validate the product, and we want to be satisfied because we won't enter United States market with a product which is halfbaked becauseour interest and ambition ismuch bigger there.
It may take 5 - 10 years, but we want to build it in right way as we have no plans to get into refrigerators, washing machines etc. We aspire to be a global player in air conditioning and refrigeration.
In the revenue for the quarter or in the order book, there is nothing that is significant from UnitedStates orEurope. It will be some trial orders, intheregion ofaround USD2 - 3 million.
When we have significant order wins, we will be happy to report that this is the win that we have got. So, right now the pending order book comprises substantially Electro-mechanical projects business and Commercial Air Conditioning business, which are ducted systems, inverter ducted andVRF.
Moderator: Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.
Ankur Sharma: Thanks for your time as always. Not sure if this question was answered, but if you could talk about the channel inventory given the fact that you know, as you said, the companies and the channels were preparing for a good summer and clearly, you know, the unseasonal rainfalls.
So, one was on channel inventory, how is that? And more importantly, we have heard there would besome pricecuts, in fact, toclear out inventory as well. So, ifyou couldjust talk about what haveyou been hearing,what isthe competition doing, etc?
B.Thiagarajan: For us the inventory is not high as it used to happen 3-4 years ago, because we are able to quickly moderate theinventorylevel. So,it may only beslightly higher.
In fact, if we are to look at the working capital deployment July of this year versus July of last year, there is no significant change. It is more or less the same. Working capital turns had
remained unaltered. There could be some pockets where inventory could be higher. The channel did not buy as expected, they were also regulating their cash flows. Whomsoever had bought in May, they could buy only after clearing out their inventory. The channel also has beenvery prudent.
On the whole, there may be pockets and some brands that may be carrying inventory. In our view, the industry has come to terms wi

th the fact that it is a bad summer season and we need to move on. There are no reactions such as pleas to reduce the GST and so on and so forth We have come to terms with that. There may be some additional inventory. However, it is not somethingimpacting theindustry ina big way, anddefinitely notBlueStar.
Ankur Sharma: And just the second question on your guidance for the full year in terms of sales growth and margins for theUCP segment, any changes there?
B.Thiagarajan: In January, I felt that FY24 should see 20% growth for the industry and Blue Star should grow by 25%. Somewhere in April, I had said that it should grow by 15%, and we should be growing by 20%. And I think it will be somewhere around between 10% to 15% is my latest estimate, and Blue Staralso should begrowing in the same way.
Ankur Sharma: Andmargin, sir?
B.Thiagarajan: If we want to maintain theEBIT projections which wehave said, itwill befor a full-year basis, it is 8%to8.5%.
Ankur Sharma: So,itis stickingto themargin largely around8%to 8.5%.
B.Thiagarajan: Blue Star will always be concerned about that. You know, if you are falling in margin one quarter it is finel, but we are very clear that on a full year basis, we should be aiming to earn a 8% to 8.5% margin on a steady basis. Again, this also I had clarified that three years ago prior to COVID, prior to PLI scheme, we always felt that it would be 9.5% to 10% or at least 9% to 9.5%. We are no longer saying this. I think with the capacity expansion that is happening and thenew competitive landscape,oneshouldbehappyif itis 8%to8.5%.
Moderator: Thank you. The next question is from the line of Pankaj Tibrewal from Kotak Mutual Fund. Pleasego ahead.
Pankaj Tibrewal: I want to dwell a little more on the capital raise plans, though Nikhil ji alluded on that, the balance sheet strengthening is the primary cause. But when I look at all the parameters today and the fact that we have done Rs. 600 Cr of CAPEX in the last two years and the next two years will not be that substantial, I am still not able to understand why to raise capital unless there is a big plan on some investment? Because the DNA of the organization is quite disciplined on the working capital side, whether it be Project business or UCP business. So, just wanted to understand more where is this money going to be. Or is it the experience of COVID where we at one point were a little bit, you know, in a bit of a precarious situation, is thatleading toa raiseofcapital?Just thatwillhelpbecause equity comes withits own cost.

B.Thiagarajan: Thank you for that question. It's good that you asked that question. First of all, this is a different question, you know, that in my 10 interactions, seven used to ask why you are not raisingcapital? Howareyou going to befunding this CAPEXgrowth?
The argument used to be around our being very conservative. We have not been aggressive in expanding the capacity. And you know very well, we were the first one to commission a room air conditioner plant underthePLI scheme in theindustry and in SriCity.
We have been very clear that as a corporate core competence, manufacturing value addition is very important and for margin improvement given our past margin profile, we felt that it is important for usto go ahead andinvest in manufacturing.
The other important aspect is the seasonality of the room air conditioner business, where you start building inventory from December. In the earlier conversations, that you would have heard of, in abad summer likethis,we wouldhave been stuckwith huge inventory because the orders wouldhave beenplaced andtheLCs would havebeen opened.
In the COVID year 2020, we had more than Rs. 450 Cr of inventory and more than 900 containers all coming in. As you would recall, we paid Rs. 8 Cr of demurrage charges for holding those containers. Now, it is important in this business that you have that flexibility of moderating theinventory build-up andmanufacturin

gis importantfor that.
In the Commercial Refrigeration business, more than 60% of the products we sold were sourced from China. Deep Freezer is a voluminous and low-cost product. Around 7% of the cost is in packaging and then the ocean freight and the transportation all put together was huge all together adding up to 16% or 17%. Then you have the exchange rate going up. So, that business you will not be able to justify importing anymore. You have to make it here.
Therefore, we invested in developing capability, how you will develop that product at a Chinese cost, and we reached a conclusion year before last that we will be able to do that.
That's how thedeep freezer investmentcame in.
Now the ice cream industry is growing, and when they are reaching Tier-3, 4, 5 or processed food, it is calling for lesser capacity Deep Freezers of, 250 litres, 200 litres, 150 litres etc., whichare even more competitive, every Rs. 10, Rs. 20 will matterthere. So,wedeveloped that capability andwe areinvesting thereto go ahead andmanufacturethosesmaller capacities.
Coming to room air conditioners, we are very clear that this market will continue to grow. We are now talking about some 10 million units against the domestic market size of 90 million units in China or a total manufacturing capacity of 130 million. The domestic market size of 10 million units will grow to 20 million units within three years and to 40 million units within another three years. There could be a bad summer season in between, but the direction is very clear. Therefore, thatcapacity is required.
Having decided that we will be only an air conditioning and refrigeration company, we would like to explore export opportunities. And we believe that we have the right to win business in Europe and in United States ofAmerica. There is absolutely no doubt about it because we hold thoseIPs whetheritis aVRFsystem, whether it istheinverter, we havemastered that.
We can't import from somewhere and trade. Our calculation clearly shows that it is not necessary for us to set upa manufacturing unit overseas. It is not at all necessary for Europe or UnitedStates markets and inthat context, we need capacity. So, it is mainly meant for capacity expansion.
Now, it is notto do with whether therewillbeanotherCOVID.I think that's what you implied, that we want some resilience capital in hand if another COVID comes on, something like that. It may as well happen,butthisplan is not connected with that.
The question is when we have become Rs 8,000 Cr company and grow to Rs 10,000 Cr, to Rs 12,000 Cr there would also be requirement of working capital. And our balance sheet had been thin. The very question of yours has theanswer. How withthis net worth you will beable to fund for thegrowth?Andthis isthe background.Nikhil, overto you.
Nikhil Sohoni: Just to elaborate, like you said, while there was a Rs. 500 Cr CAPEX in the past, the guidance that we have given now is around Rs. 750 Cr over next three years, ofwhich also, large part of whichwillhappen in FY24 andFY25. So, that's theprimary reason for thefundraise.
Pankaj Tibrewal: No, I understand the entire argument on that. My only point was that Net debt to trailing 12 months EBITDA is still half a time, and some debt is always good from a discipline perspective from acorporateside.
Nikhil Sohoni: The proposed fundraise will not make us debt free because working capital financing will continue by way of debt. And it is up to Rs. 1,000 Cr. So, we are trying to bring in that optimum capital structure which is required. We have taken an approval of up to Rs 1,000 cr from the Board.Dependingonour requirements over thenext twoto threeyears is what we are goingto planout.
Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Pleasego ahead.

Bhavin Vithlani: Just one question from my side. Your peers have invested in captive compressor facilities giving the reason that

technology changes will be rapid and that will give them a competitive edge. Well, Blue Star has both the commercial refs and the room AC, why would you believe it will not bea competitive disadvantage for you?
B.Thiagarajan: Thankyou for that question. The commercial airconditioner has huge varieties of compressors. India is a growing market and is yet to reach optimal size. In commercial AC we are a minuscule country when we look at consumption. Now, the overall market size is small.
Within that, you will have some 60 to 70 types of compressors. So, it is impossible for India to bemanufacturing that.
Globally, there are commercial air conditioning, Commercial Refrigeration compressor companies. There are plenty of them, and it is prudent for you to depend on them. There is no reason for you to be going captive. When you don't have the scale. There is some 300, 200, 100 compressors. You cannot set up a facility at all. These compressors are distinctly different applications.
Coming to the room air conditioners. The compressor is a high technology product and as I had clarified a number of times, Blue Star is no longer concerned about technological capabilities. Yes, it is a difficult job. We will have our own learning curve to be developing a particular product at a particular price for a particular margin that we have to realize. I am not undermining the challenge, but it is not impossible for Blue Star to do. Our concern is connected withwhat isthebreak-even volume thatyou shouldhave.
Now, if Blue Star is making compressors, you can imagine, I cannot sell that to any other manufacturer because quite a few multinational have their own compressors coming from abroad. They are not going to buy from us. Our competitors will not buy because there are compressor manufacturers outsideand why should they bebuying from a competitive product?
Mr. Piyush Goyal at the time of PLI had tried this, whether Indian companies can come together to set up a compressor manufacturing venture? Calculation showed that for this scale, it is really not possible. My view is that if Blue Star wants to look at it it should when it reaches 2 million units in room air conditioners, this year, hopefully, we will be doing 1 million. So, when we reach 2 million, you can evaluate whether at that cost it is viable for you. And as of now with this 1 million or 1.2 next year, 1.5 third year, I don't think it is prudent for us toget into compressors.
Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Sir, my question is again on the fundraising plan. Now, even if you are spending, let's say, Rs. 300-350 Cr annuallyover thenext two years, we should begenerating EBIT which is going to be higher than that, actually significantly higher than that, which should take care of your CAPEXrequirements as well as working capital requirements. So,even if thenet debtgoes up, it will go up by a fairly minuscule number. So, just unable to understand why exactly are we goingfor anequity raise?
Nikhil Sohoni: Our gross debt currently is around Rs. 600 Cr and net debt is around Rs. 283 Cr. As the company increases its scale, therequirements arebound to go up.
The CAPEX plan which the company has, till now we have continuously funded from internal accruals. Going forward, as we said, we want to continue with this backward integration
journey withtheincrease ofproduct portfolio also,which will requireinvestments inR&D. All ofthese investments will require usto spendaround Rs. 750 Cr.
Now, if we have to use that kind of money over the next year or two, then we need to have a leverage capacity, which will be available to us because that will not be the end of it. So, we have tosee that thebalance sheet is ready for our future growth. Wehave tosee on a long-term basis.
As we said that we have invested in Sri City in o

ne more land, which will be a Sri City 2, where we will look at expanding the commercial air conditioning after a year or two. So, it is with the long-termintent thatthis planning hasbeen done for thebalancesheet funding. It's not somethingwhich is onlyfor next oneyear.
Aditya Bhartia: Is it true, sir, that you don't want to have much debt on the balance sheet and at least on a net gearingbasisyou wantto be netcash positive at almostall times?Is thathow you think?
Nikhil Sohoni: We want to be prudent as far as debt is concerned. We would never like to overleverage ourselves.
Aditya Bhartia: And when you say overleverage, up to what level of debt are youcomfortable? And when Iam speaking about debt,I am basically referring tonetdebtlevels?

Nikhil Sohoni: So, see, I would say that a net debt position anywhere above 0.2, 0.25 to 0.3 makes us very uncomfortable, one thing we have to understand is in terms of rating in terms of balance sheet strength, all of that, it becomes very important. You know, this is a seasonal business. So, you need to ensure that your debt position is right through the seasons also. Suppose the season is bad, and you are influenced by high debt levels at that point of time. To avoid such instances, you have to have that optimum balance for the capital structure. You can't be, you know, overleveraged andthen suddenlybefaced with aproblem.

Aditya Bhartia: And sir, my last question is on the export potential, while what you are doing in North America, Europe sounds very encouraging, just wanted to understand what are the kind of internal targets that you are having? How do you think of these markets shaping up? And can theybecome a meaningfulpart ofthebusiness, let's say, over a5-6 years' timeframe?

Nikhil Sohoni: It is still just a beginning with US and Europe. We have communicated that we will come out with the strategy in six months' time. We have got some anchor customers with whom we are in talks. We are already present in the Middle East and in those markets we are in touch with few ofthesecustomers. Themarkets, ofcourse, are promising, and thatis why wehave formed a subsidiary over there. At present as we speak, we are connected with a few of the customers and exploring opportunities, and we feel that this market does hold good promise. There is immense potential there. Of course, we have to deliver on that potential, and we are confident we will, which makes us kind of very positive for this entire whatever start we have done in thosegeographies.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference backto Mr. NikhilSohonifor closingcomments.

Nikhil Sohoni: So, thank you very much, ladies and gentlemen. With this, we conclude this quarter's earning call. Do feel free to revert to us in case any of your questions were not fully answered, and we will behappyto provide youwith additional details byemail orin person Thank you.

Moderator: Thank you very much. On behalf of Blue Star Limited, that concludes this conference. Thank you forjoiningus,ladies and gentlemen. You may nowdisconnect yourlines.

Call: Nov 2023

November 6, 202 3
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the Second Quarter and Half Year ended September 30, 202 3

With reference to our letter dated October 11, 202 3, and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript pertaining to the Financial Results for the Second Quarter and Half Year ended September 30, 202 3, of the Company.

The aforesaid information is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited
Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

\\172.16.31.16 \Legal and Secretarial Documents \(01) Blue Star Limited \2023 -24\Stock Exchange Compliances \Reg 30 - Information and Update \Earnings call Transcript \Q2FY24 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol: BLUESTARCO

"Blue Star Limited 's
Q2 & H1 FY24 Earnings Conference Call "
October 31 , 202 3

MANAGEMENT: MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator : Ladies and gentlemen, good day, and welcome to Blue Star Limited 's Q2 and H1FY24 Earnings Conference Call. We have with us today , from the management, Mr. B. Thiagarajan, Managing Director, Blue Star Limit ed; and Mr. Nikhil Sohoni, Group Chief Financial Officer, Blue Star Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiag arajan. Thank you, and over to you, sir.
B. Thiagarajan: Thank you. Good morning, ladies and gentlemen. It's a pleasure interacting with you today. Also, I wish to convey the festival greetings to all of you and your family members. As you might have seen from the results announced yesterday, it was an excellent quarter for Blue Star with Revenue from Operations growing by around 19% , EBITDA , margin improving to 6.5% of revenue from 5.4% of revenue and PBT again grow ing significantly to INR 95.03 Cr that is 5% of the revenue. Today we will address your questions on the quarter that ended , as well as the outlook for the forthcoming quarters.
As you may be aware, during the quarter we also completed the QIP issue and we are on a different trajectory with rega rd to strengthening our balance sheet, devising our growth strategies and what we would like to deliver in the coming years. Before Nikhil interacts, gives you the update on the quarter and we begin to answer the questions, I would also like to state that the festival season has started off well. We had impressive sales during Onam and subsequently during the Puja as well.
As we are approaching the Diwali season, the demand from the market seem s to be significantly higher than what it was last year. The or der inflow from several segments , as far as B2B businesses are concerned , are also healthy and encouraging. We have moved past the issues pertaining to supply chain.
Our manufacturing capacity investments are on track , supply chain disruptions are behind us, and we continue to invest in capability building in terms of people and processes. I can share with you that barring certain unexpected or unintended consequences that may be arise due to global economic issues, we seem to be on track to end the financ ial year on a high note.
With that, I will hand it over to Mr. Nikhil Sohoni.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good morning, ladies and gentlemen. I'll provide you an overview of the results of Blue Star for the quarter ended September 2023.

Q2 FY24 has turned out to be an excellent quarter with demand for room air conditioners bouncing back and B2B business es continu ing to grow at a healthy pace. Moreover, margins improved across business segments , both owing to the continued th rust on Total Cost Management initiatives and stability in commodity prices and rates. Further, the company witnessed healthy order inflow and consequently ended the quarter on a record carr ied forward order book.
As you ar e aware, during the quarter, the company also successfully completed a fund raise of INR 1,000 Cr through our first ever QIP transaction. This has witnessed a strong response from existing and new marquee foreign portfolio investors , sovereign wealth funds and top domestic institutional investors.
1) Financial highlights for the quarter ended September 30 , on a consolidated basis, are as follows:
■ Revenue from operations for Q2FY24 grew 19.5% to INR1,890 .40 Cr as compared to INR1,58

2 .29 Cr in Q2 FY23 .
■ EBITDA (excluding other income) for Q2FY24 improved to INR 122.69 Cr, which gives an EBITDA margin of 6.5% as compared to INR 85.59 Cr, which is an EBITDA margin of 5.4% in Q2 FY23 . This improvement was due to scale and higher gross margins.
■ PBT before exceptional items grew 65.2% to INR 95.03 Cr in Q2 FY24 as compared to INR 57.53 Cr in the Q2 FY23 .
■ Tax expenses for Q2 FY 24 was INR 24.26 Cr as compared to INR 14.89 Cr in Q2 FY23 .
■ Net profit for Q2FY24 grew to INR 70.77 Cr as compared to INR 42.64 crores in Q2FY23 .
■ EPS for Q2FY24 stands at INR 3.65 as compared to INR 2.21 in Q2FY23 .
■ The carried -forward order book as of September 30, 2023, grew by 44.4% to INR 6,008.52 Cr as compared to INR 4,162 .05 Cr as of September 30, 2022 .
■ As already reported, the company continues to invest in expanding manufacturing capacity, accelerating its R&D investment as well as digitalization investment as a part

of its growth plans and profitability improvement programs. Consequently, the capital employed as on 30th September 2023 increased to INR 2,069.62 Cr as compared to INR 1,441 .16 Cr in September 30 , 2022 .

■ The net cash position as of September 30, 2023, was INR 285.85 Cr as compared to a

net borrowing of INR 392.62 Cr, as of September 30, 2022 .

2) Business Highligh ts for Q 2FY24

Segment -I: Electro -Mechanical Projects and Commercial Air -Conditioning Systems:

Segment I, revenue grew by 12.1% to INR 1,077 .21 Cr as compared to INR 961.22 Cr in Q2FY23 . Segment result was INR 65.28 Cr, that is 6.1% of revenue in Q2 FY24 as compared to INR 60.72 Cr that is 6.3% of revenue in Q2 FY23 .

Order inflow for the quarter was INR 1,764.80 Cr as compared to INR 1,197.95 Cr in Q2FY23 .

1. Electro -Mechanical Projects business:

While the slowdown and delay in order finalization in the commercial buildings sector continued during the quarter, enquiries and orders finalization s from the factories , data centre, railway electrification, water MEP, metro railway sectors and health care sectors remain ed buoyant. The company continues to be focused on profitable and healthy cash flow projects.

Carried- forward order book of the Electro -mechanical Project business was at INR 4,609 .37 Cr as on September 30, 20 23, as compared to INR 3,053.83 Cr as on September 30 , 2022 , which was a growth of around 5 0.9%.

2. Commercial Air -Conditioning Systems:

The Commercial Air Conditioning business continued to witness traction from the industrial, health care and retail sectors.

Additional ly, demand for 3 and 4 cities also continued to increase significantly with major orders from these towns in light commercial segment .

We continue d to maintain our number 1 position in Ducted Air Conditioning System s as well as Scroll Chillers and second position in VRFs and Screw chillers.

3. International Busines s:

We observed growth across all segments with increasing demand for our products in the international markets. We witnessed strong demand for our VRF systems with increasing adoption of this technology and rising demand from developers seeking value -oriented brands.

The pace of enquiries and or der inflows at Qatar started to pick up with a few major orders received during the quarter.

We are also in the process of developing advanced products and solutions for North America and Europe.

Segment -II, Unitary Products:

Segment II revenue grew 38% to INR 729.49 Cr in Q2FY24 as compared to INR 528.69 Cr in Q2 FY23 . Segment results grew to INR

61.61 Cr, which is 8.4% of revenue in Q2 FY24 as
compared to INR 32.40 Cr at 6.1% of the revenue in Q2 FY23 . This was aided by both scale as well as improved gross margin.

1. Cooling and Purification Products business:

While the second quarter has traditionally not been a strong quarter for Room air conditioners, aided by latent demand arising out of muted summer, the industry this year is estimated to have grown at 30% over Q2FY23 and the company registered a growth of 39%. Our market share for H1 is estimated at 13.5%.

2. Commercial Refrigeration business:

With growing investments in segments such as food retail, HORECA , hospitality, dairy, ice cream, processed foods and food delivery on the back of rising consumer demand, we witnessed volume growth across major product categories such as deep fre ezers and visi coolers . We also witnessed robust demand for storage water coolers from the institutional segments.

Additionally, demand for cold storage s from the warehousing, processed foods, pharma and HORECA segments remained strong during the quarter.

We also launched our new range of deep freezers compliant with the recently launched BE E star rating program.

We continue to maintain our leadership position in Deep Freezers , Storage Water Coolers and Modular Cold Rooms.

Segment -III: Professional Electronics and Industrial Systems :
The segment revenue was at INR 83.70 Cr in Q2FY24 as compared to INR 92.38 Cr in Q2FY23 . Segment result was at INR 12.23 Cr in Q2FY24 as compared to INR 13.80 Cr in Q2FY23 .

The steady rise in corporate capex across segment s continued to drive o verall demand for this segment. The non -destructive testing business continued to witness traction on the back of manufacturing investments. Increasing investment s in health care by both public and private sectors continued to drive growth for health care business. However, a slowdown in data security business partially impacted revenue growth for the quarter.
3) Business outlook:
The early indications are that the demand for room air conditioners and commercial refrigeration products during the forthcoming festival season will be good. With a healthy order book and steady inflow of enquiries, B2B businesses are expected to maintain the growth momentum.
We remain optimistic about the prospects for the remaining quarters and committed to creating long -term value for our stakeholders.
With that, ladies and gentlemen, I'm done with the opening remarks. I would like to now pass it on back to the moderator, and we'll open the floor for questions. We'll try to answer as many questions as we can. And to the extent we are unable to, we'll get back to yo u via email. Open for questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Lavina Quadros from Jefferies. Please go ahead.
Lavina Quadros: Congrats on a good set of numbers . I just wanted to understand the INR 1,000 Cr that you have raised in the QIP. Could you just outline your investment capex plans for the next 3 to 4 years? And in which areas would you be spending? If you can give a broad sense as well, that would be gre at.
B. Thiagarajan : Nikhil will be answering .
Nikhil Sohoni Over the next 2 years, that is FY24 and FY25, we expect the overall manufacturing investments to be in the range of around INR 650 Cr in various segments that we are invested in. We are building capacities. There is Sri City Phase 2, which we are invest ing in . We are increasing the manufacturing capacity from 600,000 to 1.2 million units . We are a

lso
investing in sub -300 litre deep freez ers, and other new products which we will be launching. We will also be investing in research and development both in terms of building labs as well as in terms of product development . Besides , there are also investments happening on the digitalization fr ont, and incremental working capital is always going to be there as we scale up. This spend will be happening over a period of 2 years.
Lavina Quadros : Okay. And just on the sub 300 -litre deep freezer market, Daikin is the number one player there. Are you all number two? Just to understand the market share dynamics a little bit?

B. Thiagarajan : In room air -conditioner?
Lavina Quadros: No, in deep freezers. Commercial refrigeration?
B. Thiagarajan : I will first give a background on this. Nu mber one is , deep freezer is typically used for any frozen product, but that usage is expanding beyond ice cream. That is the growth driver. Like ready to fry stuff, etc. gets stored there.
Second is , typically deep freezers are in the 400 and 500 lit re capacity range. And 300 lit re capacity has been coming into play in the past four – five years. That quantity has becom e significant. What is actually happening is that with the expansion of ice cream consumption into smaller markets, you have smaller cap acity deep freezers market size growing, like 150 lit re, 250 lit re, so on and so forth. This category in my view will continue to grow at a CAGR in excess of 20%. And also, out of that, the lower capacity deep freezer demand will be significantly growing. Third is, compared with the hard top , the glass top deep freezer consumption is beginning to grow in a much faster way.
For the deep freezers which were getting imported from China, the tariff as well as non -tariff barriers like the QCO, will make that business model unviable for many small manufacturers or the dealers who depended on imports ., Thus, i n the process, domestic deep freezer market promises good growth potential. We will continue to invest in expanding our manufacturing footprint as far as deep freezer manufacturing is concerned.
Practically, we will be in a position to manufacture any type of deep freezer and of any capacity .
Currently, we should be enjoying a market share of close to 28% in this segment and we will continue to improve that market share.
Lavina Quadros: Thank you, sir. Lastly , just on the China imports, how much approximately of the market was it

earlier?
B. Thiagarajan: My guess is till last year , 50% of the deep freezers consumed in India would have been imported from China. Many people, like even an ice cream chain , may end up directly importing. There were many local players who were importing and branding it. Blue Star itself imported less than 250 lit re capacity from China only.
Lavina Quadros: Understood, sir. Thank you.
Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.
Ravi Swaminathan: Sir, thanks for taking my question and congrats on a good set of numbers. My first question is with respect to th e room AC market. You had mentioned that we would have grown at 39% in this quarter. Your sense on what can be the market growth for FY24 for the entire room AC market? And how much more potential for market share gain is there for you over the next couple of years in the room

AC space?
B. Thiagarajan: Since it was a lost summer season overall the growth will be less than what was originally projected. If you recollect, we all felt that the market should grow by at least 20% and Blue Star should grow by 25% . I had maintained after the summer that still by end of the year, we will end up with a market growth. It will not be a de -growth. My estimate is that the m

arket should grow by at least 10% and
we should grow by 15% as compared with the market. That's the estimate. There is a possibility that the market can even register 15% growth. The entire thing will depend on how the climate conditions are in February ’24 and March ’24. It depends on the onset of summer season.
Ravi Swaminathan: Okay. And the non -room AC business also, you had talked about deep freezers . As an entire sub - segment, non -room AC business, can it grow at a faster pace than room AC driven by deep freezers and other products?
B. Thiagarajan: It has always been growing, but the weightage of that is very small . You are talking about a product category like room air conditioner, which is INR 20,000 Cr market , compared with around INR 2,500 Cr market for deep freezers. Deep Freezer market has been growing much faster than room AC, but it will ne ver be able to catch up with the room AC market size.
Ravi Swaminathan: Good. And say in terms of profitability front also, there has been a jump in the gross profits. That's because of the mix improving or commodity prices going up, operating leverage at EBITDA level. Your thoughts on that?
B. Thiagarajan: Multiple things. Number one is the scale itself helps. Number two is connected with the cost management program, both in terms of product design and product portfolio re -alignment. The third thing is con nected with this quarter in particular having lower advertising spend. You may say that advertising would have been lower last year also , but if you look at the industry as a whole, advertising spends are coming down , you might have noticed that for the category itself. It is scale , and in our case also product portfolio changes which includes redesigning and repositioning the products, which improves the gross margin.
The third is the operating costs are kept low, specifically advertising expenses. But equally consumer finance related costs, which is part of the gross margin, has gone up significantly and it will continue to go up for the reason that more than 45% of the sales are happening through consumer finance in case of room air conditioner.
Moderator: Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.
Sanjaya Satapathy: Thanks a lot for the opportunity. My question is on the profit margin on your construction side of the business. That i s MEP. If you can just tell us, what are the levers available to you and what kind of sustainable margin can one look at in that particular segment, considering that the order growth is so strong?

B. Thiagarajan: The guidance is 6.5%. We keep saying that d o not look at one particular quarter margin for that business , for the simple reason that it may be a particular project getting executed or a set of projects getting executed in one quarter compared with certain other projects getting closed in different quarters.
The second thing is that segment one comprises electromechanical projects within which there are buildings, there is infra, there are factories and there are data centers and each one of them comes with a different margin profile. There is a seco nd segment which is package air conditioning, which is VRF and ducted systems which also is part of this segment. The third is associated service business within that. Now, we do believe that at a steady state we may be able to deliver 6.5% margin in that. Anything above 6.5% is dependent on a particular quarter and what is happening. It could be a project which is getting closed, or it could be the mix of the package d air conditioning orders which are being executed.

The good news is that for our own manufactured package d air conditioning and VRF, we are in a quarter where the commodity prices are stable, exchange rates are stable , and we have carried out our design

optimization and other improvements and benefited from scale itself. This is benefiting. And the service business is a steady one.
The levers that we have got are - stay focused on quality of the project orders and fre e cash flows. That is the secret to improving the margin s cale. In package air conditioning or VRF, we should continue to invest in R&D and continue to look at design optimization initiatives and scale itself , will help us to improve the margins. Therefore , our guidance remains 6.5% to 7% and we are confident that we will maintain our market leadership. We will continue to grow faster than the market and we will keep you updated if there is a huge shift that is going to happen in terms of margin, I mean upwards.
And again, I would like to reiterate that as far as the project business is concerned , we are not chasing market share , we are chasing profitability and cash flows. And we will scale depending on the opportunities that are available, which as of today is in factories, data center and infra projects.
Sanjaya Satapathy: Thanks a lot, sir. Will you also be using part of your fundraising etc., to reduce balance debt considerably or that is not something which we are looking at right now?
Nikhil Sohoni : Yes, on an immediate basis, the money will go for debt repayments. What it does is that it gives us the capacity to raise monies going forward when we actually do the spends. Keeping money idle would definitely not be a good financial proposition and the refore it will in the short term go to repay the debt. But the ultimate end use is what we already defined , that is, manufacturing , R&D and digitalization , and by repaying debt we are creating capacity for that.
Sanjaya Satapathy: Thanks a lot, sir.
Moderator: Thank you. The next question is from the line of Dhanan Bagrodia from ASK. Please go ahead.

Dhanan Bagrodia: Sir, congratulations on a fantastic set of results. This is on your 8.4% UCP margin in an unseasonal quarter , is this something now ste ady state which will be there going ahead? And what have we done differently this quarter to get these margins in UCP business?
B. Thiagarajan: I am not very sure that I will be able to commit to this steady state. But you are aware of the background. We felt that this business can give 9% to 9.5% margin. That one was pre-COVID target and we all felt it was achievable and we ourselves have delivered in some quarters. And in the recent past, I have been saying, it more looks like an 8.5% to 9 % EBIT margin business. That I have been categorically stating even in television interviews.
Basically, because the competition is increasing , and given the seasonality factor, one will be in a position to assume that 9% to 9.5% is not going to be feasibl e. That is the background. For t his particular quarter, it is due to a) significant growth in the revenue. In this business, the elasticity with regard to scale is very high because you are monitoring the operating cost constantly.
Second is, we do hav e the repositioned products, which in line with our strategy . We were a premium player ; we became affordable premium and now we have introduced affordable range. The product repositioning is helping.
Third, we have been saying, when Blue Star Climatech commences production, we will be able to provide certain margin improvement. And that is what is happening because Sri City is now operational. At least 30% of the quantity of air conditioners sold are c oming from Sri City, which Blue Star sources from Blue Star Climatech Limited. And guidance, we think we will be somewhere between 8% to 8.5%.
Dhanan Bagrodia: Okay. Fantastic. And secondly, sir, regarding our capex , how much would be the total capex we can expect for this year and next year? After now, with this new capex, this may be a follow up to that. How are we think

ing about using our capacities now for exports? Because now we have had some time. Any thoughts on those?
B Thiagarajan: Nikhil will answer. If you are asking specifically about the room air conditioners, you are asking Blue Star as a whole?
Dhanan Bagrodia: Sir, I'm asking for exports now. Will we be using our additional capacities now, to even export? And any thoughts on how we plan t o go about that when we enter new regions and new countries?
B Thiagarajan: Okay. Your earlier question was related with room air conditioners. This question is on the Blue Star as a whole. First point I want to clarify is, our international footprint expa nsion program is not through room air conditioners in this phase at all. The very first phase of our expansion is connected with commercial air conditioning systems and solutions, which are basically the larger air conditioning systems. We will one day be exporting room air conditioners. But today, it is not our intent for the simple reason, China is a very large player in the global market. I do not think we will be able to, succeed there at this point of time. You have to build the scale; you have to buil d your reputation to

become that.
But our clients are connected with the commercial air conditioning systems. And in that, again, each country has got its own design standards. Energy efficiency is different, voltage frequency is different. Thus, we are at tempting to foray in Europe and North America. We have certain leads. We are in the process of developing, prototyping, and testing our products. And again, we are not planning to sell using our own Blue Star brand. We are going to be making it for international brands. That is the direction. Our existing capacity will be used for design and manufacturing. We are expanding the capacity as the market grows for domestic as well as international markets.
Dhanan Bagrodia: Okay, perfect. And sir, what will be the capex number for this year and next year?
Nikhil Sohoni : The total capex, including maintenance and everything, will be in the region of INR 650 Cr over two years.
Dhanan Bagrodia: Okay, perfect. Thank you so much. Thank you.
Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar: Yes. Thank you. First of all, congratulations, sir, on the impressive strategy. I have a first questio n. In the cooling segment, sir, what is the share of room AC revenues in the first half?
B Thiagarajan: What is the revenue of?
Amit Mahawar: Room ACs in the UCP?
B Thiagarajan: We don't disclose that. It becomes selective disclosure.
Amit Mahawar: Okay, fair point, sir. Second question is on, we are moving from 6 lakhs to 1.2 million. Broadly, 12%, 13% of next two years, three -year annual recurring market demand can be our capacity share. It also implies, we keep the outsourcing also high. So broadl y, on a medium -term basis, can you help us understand how much probably will be, met by capacity and what is going to be the outsourcing strategy? Because at 1.2 million capacity, right, which in Sri City 2 will come at 13.5% market share in the first half , which you've mentioned, on a two years, three year basis.
B Thiagarajan: You can make an assumption , roughly around 10% is getting outsourced, which is basically window air conditioners. And also, certain models like vertical air conditioning systems The market size is small. It is not worthwhile to manufacture these products . That will be getting outsourced. You can assume that 90% of the air conditioners sold by Blue Star will be made by Blue Star in its own factories. Either Blue Star or Blue Star Clim atech should be manufacturing that. Rest should get outsourced.
Amit Mahawar: Fair point. Very helpful. And I can assume ex of compressors, the entire bill of material is covered by Blue Star?

B Thiagarajan: No. There are a few other items which may be mad e outside also. Like for example, there may be motors which we buy from outside. There are certain electronic components w ith our IP. We may get it fabricated outside. It is our own manufactured with whatever needs to be outsourced. Obviously, we do not manufacture compressors as of now.
Amit Mahawar: Fair point, sir.
B Thiagarajan: There will be many other components which will be. It is not everything is made in-house .
Amit Mahawar: Fair point. Thank you very much. And thank you for great color as yo u always provide. Thank you, sir.
Moderator: Thank you. The next question is from the line of Swati Jhunjhunwala from BOB. Please go ahead.
Swati Jhunjhunwala: Thank you for taking my question, sir. Sir, I have two questions on the UCP side. First, could y ou give us some color on the volume growth for the quarter? And second, you are saying that industry has grown at 30%, but few of the players have reported an amount of around sub 20% growth. So, any idea or any color you can provide on, who are the major players who gained share during the quarter?
B Thiagarajan: I will not do that. The important thing is that, when we say our growth, it is over last year. Thus , how I performed last year determine s this year ’s growth apart from this year ’s performance itself . But the question is compared with the market growth, whether we have grown faster? Yes, that's what we understand. Our internal estimates reveal that we have grown faster than the market in terms of the volumes. And the market growth is 30% and we have grown by some 39%.
Swati Jhunjhunwala: Okay. And can you just give any idea on the volume growth for the quarter for the UCP business?
B Thiagarajan: Volume growth only I am saying. Revenue and volume today you can assume are one and the same. Becau se for the simple reason, when there is a distinct change in the pricing or the product portfolio , I think both will be one and the same as far as this quarter is concerned. There was no ste ep jump in terms of prices. There was no energy labeling that was taking place in this particular quarter. So, volume growth or revenue growth should be more or less the same.
Swati Jhunjhunwala: All right. Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Securit ies. Please go ahead.
Anupam Gupta: Yes. Good morning , sir. So, you talked about deep freezers growing faster than RAC. But let's say,

if you look at the product business as a whole, so the non -RAC portion, now that you are doing expansion there as well an d you are targeting exports as well , over the medium term, how do you see the non -RAC portion of the product business growing in terms of revenues for you? And would it also make any major difference to the margins versus RAC business?

B Thiagarajan: No. W hat you have to look at is in Blue Star's total portfolio, what is the room AC business? I have estimated it should be in the range of around 30%. One -third of our business should be coming from room air conditioners.

Anupam Gupta: Okay. And then the non -RAC, so let's say when you say the…

B Thiagarajan: There is a projects business and in the long term that may become around 15% of our portfolio, 15% to 20%. The rest of it comes from commercial air conditioning or commercial air conditioning service or both domestic and international.

Anupam Gupta: No, sir. What I was referring to was more of the commercial refrigeration business. So, within the product business itself, you have the RAC and the commercial refrigeration…

B Thiagarajan: You are indirectly asking within segment two, how much is commercial refrigeration?

Anupam Gupta: No, I am not asking that, sir. I am simply asking, what rate

at which it will, in your view, for you given the expansion which you are doing, what rate at which it will…

B Thia garajan: No, you can very easily assume. Next five-year period, 25% CAGR will definitely happen in the commercial refrigeration business. It is a very small base.

Anupam Gupta: Okay.

B Thiagarajan: And so far that growth was also coming from unorganized s ector, which will dramatically change for the simple reason, no longer Chinese import is possible. So, it should be a high growth business for organized players who have their own manufacturing set up.

Anupam Gupta: Okay. And as you are expanding, is the c ompetition also expanding capacities to cater to this now that the Chinese imports are not happening?

B Thiagarajan: Obviously. Anywhere where growth is there competition will always be there. And when the market becomes significant, even multinationals wi ll start coming in. Already you have seen many small players being taken over by international players. And so that's part and parcel of the game. And it will be a good sign, right, if others are coming in.

Anupam Gupta: Yes, sure, sir. The second question is for Mr. Sohoni. If you look at this quarter, the capital employed in the product business was significantly higher. I understand unallocated portion was also higher because you have raised the fund. But why did the capital employed in product business go up very sharply, Q -on-Q?

Nikhil Sohoni: The investments which are happening in Sri City Phase 2 plus the sub 300 litr e, all of that investments are happening in the current year. So, to that extent, the capital employed will go up. Also working capital, itself is high in this quarter as we start building up for the season.

Anupam Gupta: Okay, so it's already reflecting in the second quarter, is what you're saying?

Nikhil Sohoni: Yes. It's there in the balance sheet. The capital employed will have whate ver is the fixed assets, capitalization, CWIP etc. Even capital work in progress is part of capital employed.

Anupam Gupta: Fine. That's all from my side, sir. Thank you.

Moderator: Thank you. The next question is from the line of Shrinidhi from HSBC. Pl ease go ahead.

Shrinidhi Karlekar: Yes, hi. Thank you for the opportunity and congratulations on a great set of numbers. Sir, a couple of questions I have on the electromechanical projects and commercial AC segment. Sir, the product business that the company has within this segment, the VRFs and chillers, may I know what percentage of this business, product business, comes from the project order that the company takes or are largely both these businesses independent?

B Thiagarajan: No. I am sorry. I wish I'm able to disclose that, but the segments were defined in a particular manner, and we have been maintaining that. There is absolutely no reason for us not to disclose that, other than the regulatory reasons. The real issue is that I am a listed compan y, and my competitors are multinationals. Look at our disclosures, look at our integrated report and the BRSR, all kinds of information that we disclose and unfortunately, we won't be able to have access to any of this information as the competition may no t be listed . So, my multinational competitors get access to enormous amount of information.

If that information is available in a fair manner across all and there is a level playing field I am sure more transparency can be expected .

You look at the BRSR, how much of information we have disclosed. Not even 10% of that will be available for unlisted competition . Even the registrar of company's disclosure will be one lump with limited transparency Therefore, for now you have to do with what we can in best interest.

Shrinidhi Karlekar: Actually, sir, I am not sure, I framed my question rightly. I wanted to know, is the projects order you take that drives your product business or these are mutually exclusive business? That 's what I wanted to know. Not the mix of product that…

B Thiagarajan: Absolutely an important question . Some 10 years ago , the project s business would bring in around 40% of the product business, that is commercial air conditioning products like chillers , for example, or any units like that. But increasingly, there is no correlation whatsoever. It is not even 2% that you get out of it.

If you ask me service, yes, there may be 20% service business which may come because you are exhibiting a large project and not because your equipment is there, but it opens up the larger maintenance of a particular facility and you may be in a better place to grab that order. And to disclose to you further regarding large projects and the unbundled equipment. Let 's say, there is a big airport

that is coming. He will go ahead and tender out chiller separately, which I may be a bidder I may be still supplying the chiller to that project, but it is not due to projects order . Project base is a separate package altogether.

Shrinidh i Karlekar: Right. No, I understand, sir. And sir, last, I want on the project part of this segment. How often does the contract Blue Star takes have a direct contract with the end customer who is investing and how often it is with some master contractor w ho is between you and its main company which is investing?

B. Thiagarajan: Roughly around one third comes from what you call as general contractors.

Shrinidhi Karlekar: Okay. And lastly, sir, on the product business within that, how is the enquiry pipeline looking like?

B. Thiagarajan: Good, except for the building. 'By building, I mean an office complex or mall . I think office spaces are largely unutilized. Post the pandemic, they are getting utilized, and there is a delay .

Number two, we can imagi ne in the bigger cities, there is no space for any more complexes to come. So, we will have to see where it will develop . For example, it could be like Gurugram came up at some point of time and Noida came at some point of time. Now I think it is Delhi, Agra and maybe even huge development, you will see in Mumbai . It was a textile mill, which released that kind of real esta te. I suppose, it will be the new Mumbai Airport, related development hotels complexes that should be rising in that vicinity . It should come back. Today, the buildings segment is not looking good .

Shrinidhi Karlekar: Thank you for answering my question, a nd all the very best.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: Congratulations on a good set of numbers. Sir, my first question is a follow -up on the last participant's quest ion. While I understand that we've been moving away from the commercial building sector, sir, this quarter growth is kind of a deceleration because our historical average has been approximately 30%.

So I just want to know that this decline in the growth r ate is any other factor contributing to this? Or are we seeing any stress? If you can throw some light on the quality of the order book as well as the geographical spread in terms of where we're booking the orders?

B. Thiagarajan: In the projects busines s you are asking?

Natasha Jain: Yes, sir.

B. Thiagarajan: But you are saying the growth has decelerated?

Natasha Jain: Sir, I have historically seen that you at least post the 30% growth because second and third quarter, you tend to do more order booking s. This year, it's slightly tepid at 12%. So just wanting to

understand what has led to a slowdown in this growth?

B. Thiagarajan: We are not seeing a slowdown. I don't know how you are concluding. And if you recollect in the last conference call, I had ex

plained this as well because there was almost similar question, I think it was from Ravi Swaminathan, I think that time I had explained, Point number one , Blue Star will be interested in booking high -quality orders, which should have strong cash flow and p rofitability. This is number one.

Number two is the orders that are finalized have different speeds . There are some orders which will get finalized this quarter and some orders may not. In the project business, you should not be looking at a particular qua rter to be concluding about a trend, definitely not. Because, when lump orders will come in , that is INR 400 Cr, INR 300 Cr order s, it can completely switch.

Third is when you are saying quarter over last year quarter, it is dependent on what happened in the previous quarter. What has to be really looked at? Internally, how we look at it? What is the carry forward order book, that is the historical information that is available. What do we look at it? We look at trailing four quarters, what is the order inflow , trailing four quarters, what is the order inflow in the previous year. That is the other way of comparing it. So going by all of this, I am not with the figures that are available , feeling that something has slowed down at all. If at all we know from our market insights, orders from the building sector finalizations are not taking place. So, Nikhil, what is the order?

Nikhil Sohoni: Yes. When I gave the an alysis, our order inflow for segment one, we said was INR 1,765 Cr as

compared to INR 1,198 Cr in Q2 of last year, which is a 47% growth. Therefore , I was a little surprise d when you say it was not there ., The growth was 47%. And if you're comparing it wit h what happened in last September , even the base is going up. That is also what we have to understand.
B. Thiagarajan: But in any case, you have to look at pending order book or carried forward order book, whether it is growing or staying at that level, then it is a good indicator.
Nikhil Sohoni: And carried forward order book, we told is at INR 4,600 Cr, again st INR 3,053 Cr of last year, which is a 51% growth.
Natasha Jain: Understood, sir. I think that helps a lot. Sir, my next question is on the RAC business. It's more of a macro -related question. The channel checks indicate that premiumization has been happening in the RAC segment . We found out that Daikin has come out with more affordable category products. So, over the medium term, do you think that this could pose a challenge in terms of customers shifting to more of premium brands? And I basically want to know what our footing in th e premium placement category is?
B. Thiagarajan: I will clarify, but I wish to explain affordable product is not premium. Affordable means opposite of premium.

Natasha Jain: No, I meant that Daikin was not in the affordable category, but from the premium it is come to mid - premium segment by cutting prices or even rolling out products, which are not that expensive. So broadly in a comparison basis?
B. Thiagarajan: We are reading news articles . There are luxury car sale go ing up or the premium products are b eing consumed, the large -size televisions are being consumed. It is true, but it is not the mass of the market at all. India's market , category after category, whether it is the FMCG or garments or consumer durable s, and automobile s, biggest market is in t he affordable segment.
And the growth is coming from aspirational middle -class , growth is coming from Ti er 3, 4, 5 towns. And therefore, for a brand to build market share beyond this particular percentage, it has to come from affordable segment. And Blue Star was a player , with a premium product until it was around 10%, 11% market share. We understood that from there to move further, we have to bring in affordable premium . Then we moved to affordable. There

fore , we do have affordable, affordable premium and premium. And the premium products constitute less than 10% of our total sales today.
You take anyone, it will be the same. You take airlines category who is number one? You take automobile, who is number one? You take washing machine, who is number one? You take refrigerators who is number one?
You will find a common denominator. The y are players serving the bottom of the pyramid. By design, by inten t, by strategy, we announced that we have repositioned our product so that without sacrificing my margin, I will be in the position to deliver products for every price point. And that is one of the reasons for our being able to maintain growth and improve profitability.
And it is not for air conditioning alone . You look at any category . You have to become a player who can serve the bottom of the pyramid and the growth in India will come from the aspirational middle - class Tier 3, 4, 5 towns if it is B2C . If it is B2B, it is the MSME startups. And if it is geography, it is very clearly smaller towns. I'm not saying in bigger town s there is no sale, but that is not where growth is coming from . The growth is actually happening elsewhere. Most importantly, things like e-commerce in any category, whether it is food consumption, movie ticket, travel or cons umer durable or books or groceries, the fact is you are being driven towards low cost and the technology is also integrating that habit. And it is not a cheap product deliver ed, you have to have the brand you have to have the ability to develop a product a t that cost to be competing at that price point which all of us will do. And the long -term implication is, all players who are capable of doing that will survive. And the fact of the matter is even if you take the energy label, five Star remains only 25%, 26%, It's all three -star, two star which is major ly consum ed.
Natasha Jain: Understood. Sir, that is again very helpful. Sir, just last, one last question. Again, this is more on the longer -term prospect. Sir, one of the listed player in the market leader in RAC is now planning to scale up or rather venture into the commercial AC portfolio. Sir, given that you are very favorably placed in that segment over the longer term, how do you see the landscape changing in terms of commercial AC and the competitive i ntensity there? Thank you.

B. Thiagarajan: India's penetration levels are lower. And it is the fastest -growing market in the world. It is going to be the fastest -growing market for many decades to come. So obviously, many players will be coming in. Many ex isting players will become aggressive. And we have to fight. We have to grow in this environment.
And we have done so for many years. Blue Star's real growth started when our Indian AC industry growth started when LG, Samsung came into this country. And Bl ue Star's own growth started when the VRF got introduced, we had to compete with the multinationals like Daikin. So, for a company

to reinvent itself and move forward , competition is important. So, competition will intensify. I have no doubt about it at all.
Natasha Jain: Understood, sir. Sir, thank you so much and all the very best.
B. Thiagarajan: Thank you.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to Mr. Nikhil Sohoni for closing comments.
Nikhil Sohoni: Thank you very much, ladies and gentlemen. With this, we conclude this quarter's earnings call. Do feel free to revert to us in case any of your questions were not fully answered and we'll be happy to provide you the additional details either by e -mail or in person. Thank you.
Moderator: Thank you very much. On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may connect your lines.

Call: Feb 2024

February 6, 2024
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015 (the
'Listing Regulations') - Earnings Call Transcript for the Third Quarter and
Nine Months ended December 31, 2023
With reference to our letter dated January 12, 2024, and pursuant to Regulation 30(6)
read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the
Earnings Call Transcript pertaining to the Financial Results for the Third Quarter and
Nine Months ended December 31, 2023, of the Company.
The aforesaid information is also being made available on the website of the Company at
www.bluestarindia.com
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Blue Star Limited
Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a
\\172.16.31.16\Legal and Secretarial Documents\(01) Blue Star Limited\2023-24\Stock Exchange Compliances\Reg 30 - Information and Update\15. Earnings call Transcript\Q3FY24BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol: BLUESTARCO

"Blue Star Limited
Q3 & 9M FY24 Earnings Conference Call"

January 31, 2024

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Blue Star Limited Q3 & 9M FY24 Earnings Conference Call. We have with us today from the management Mr. B. Thiagarajan – Managing Director, Blue Star Limited and Mr. Nikhil Sohoni – Group Chief Financial Officer, Blue Star

Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiagarajan. Thank you. And over to you, sir.
B. Thiagarajan: Thank you. Good morning, ladies and gentlemen. It's a pleasure and a privilege to talk to you today over this Earnings Call. I am in a car on highway. If the call gets disconnected, Nikhil will continue the conversation.
As you are already aware, we declared our Q3 Results yesterday. You might have noticed that we have posted Revenue growth of close to around 25% and Net Profit growth of around 72%. All businesses of Blue Star, whether it is B2B or B2C have done well. We have witnessed significant growth due to festive demand and perhaps the pent up demand that would have been there for the room air conditioners business. Tier-3, 4, 5 towns continue to do well and the businesses from light commercial as well as large infrastructure products continues to be good. The carryforward order book stood at a record Rs.6,038 Cr.
During the call, Nikhil will explain to you the highlights of various businesses, post that we will answer your questions.
We have also declared yesterday that Mr. Vir Advani will succeed Mr. Shailesh Haribhakti as Chairman of the Board w.e.f. April 1, 2024.
We have also inducted two independent directors; Mr. Vipin Sondhi and Mr. Murlidhar Gangadharan.
Over to you, Nikhil, for your opening remarks, post that I will come back for questions and answers. Thank you very much.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. So, good morning, ladies and gentlemen. This is Nikhil Sohoni, and I will provide you an Overview of the Results of Blue Star for Quarter-ended December 2023.
Financial Highlights:
There was a healthy demand for room air conditioners and refrigeration products during the festive season combined with growth in commercial air conditioning business and has resulted in a record growth revenue in Q3 FY24.

The company's focus on Total Cost Management initiatives, product portfolio optimization and scale benefits has resulted in significant growth in profits.
1) Financial highlights for the quarter-ended December 31, 2023, on a consolidated basis are summarized as follows:
■ Revenue from operations for Q3 FY24 grew by 25% to Rs.2,241 Cr as compared to Rs. 1,794 Cr in the Q3 FY23.
■ EBITDA excluding other income, for Q3 FY24, improved to Rs.155 Cr, which gives an EBITDA margin of 6.9% as compared to Rs.105 Cr in Q3 FY23 with an EBITDA margin of 5.8%. So, this improvement is due to scale and higher gross margins.
■ PBT before exceptional items grew 67.9% to Rs.134 Cr in Q3 FY24 as compared to Rs.80 Cr in Q3 FY23.
■ Tax expense for Q3 FY24 is at Rs.34 Cr as compared to Rs.21.6 Cr in Q3 FY23.
■ Net profit grew 72% to healthy Rs.100 Cr in Q3 FY24 as compared to Rs.58 Cr in the Q3 FY23.
■ EPS stood at Rs. 4.89 in Q3 FY24 as compared to Rs. 3.03 in Q3 FY23
■ The carried- forward order book as of December 31, 2023 grew by 24% to Rs.6,038 Cr as compared to Rs.4,861 Cr as at December 31, 2022.
■ As reported in the preceding quarters, the company continues to invest in expanding manufacturing capacity, accelerating R&D and digitalization as a part of its growth plan and profitability improvement programs. Consequently, the capital em

ployed as of
December 31, 2023 has increased to Rs.2,298 Cr compared to Rs.1,505 Cr as of December 31, 2022.
■ Net cash position as on December 31, 2023 was Rs.157 Cr as compared to a net borrowing position of Rs.396 Cr, which was a debt-equity ratio of 0.36 as on December 31, 2022.

2) Business Highlights for Q3FY24
Segment-I: Electromechanical Projects and Commercial Air Conditioning:
The revenue grew by 17.9% to a healthy Rs.1,182 crores as compared to Rs.1,002 crores in the Q3 of last year. Even the segment results at Rs.96.6 crores in the current quarter, giving a margin of 8.2% as compared to Rs.71.6 crores, giving a margin of 7.1% in the Q3 of last year.

Order inflow for Q3 FY24 was at around Rs.1,260 crores as compared to Rs.1,680 crores in the Q3 FY23.
1. Electro-Mechanical Projects Business:
While the slowdown and delay in order finalizations, the commercial building sector continues, enquiries and order inflows from factory and data centers continue to remain healthy. There has been a slowdown in tender inflows in infrastructure sector. However, execution of the existing projects continued at a healthy pace. The company continues to be focused on profitability and healthy cash flow projects.

The Carried-forward order book of the Electro-Mechanical Projects business was at Rs.4,648 Cr as of December 31, 2023 as compared to Rs.3,685 Cr as at December 31, 2022.
2. Commercial Air Conditioning Systems:
The industrial, healthcare, education and retail sectors continue to fuel growth in addition to a significant increase in demand from Tier-3 and 4 cities. The company continues to make significant investment in R&D and upgrade its product portfolio.
During this quarter, the company launched its new range of state-of-the-art indigenously manufactured Centrifugal Chillers. The first batch of chillers equipped with Variable Frequency Drives was delivered and commissioned for Tata Electronics for its manufacturing facility in Krishnagiri.
We continue to be the market leaders in Ducted Air Conditioning Systems and Scroll Chillers and remain No. 2 in VRF and Screw Chillers Category.
3. International Business:
With our mission to expand our international footprint, apart from driving growth in the Middle East and Africa markets, we are in the process of developing, testing and getting approval for our commercial air conditioning products for Europe and North America markets. We are in the right direction and will continue to make investments in R&D and manufacturing in order to become a significant player offering high energy efficient and sustainable products for the international markets, both for heating as well as cooling.
During the quarter, the company commissioned the Ashok M. Advani Innovation Center in Bhiwandi, which houses many first-of-its-kind testing facility for Indian and international product range, including VRFs.
Segment-II: Unitary Products
The revenue grew by healthy 35.5% to Rs.955 Cr in Q3 FY24 as compared to Rs.705 Cr in Q3 FY23. Segment results were at Rs.67.9 Cr which is 7.1% of revenue in Q3 FY24 as compared to Rs.51.8 Cr, which was 7.4% of revenue in Q3 FY23.
1. Cooling and Purification Products business
Aided by good festive season, we witnessed a strong growth in Room AC business. Even though summer season 2023 was a disappointing one, with the strong demand in Q2 and Q3, the revenue shortfall has been substantially made up.

Stable raw material prices, exchange rates and introduction of new entry level products helped us to substantially maintain the margins in Q3.

Our market share for Q3 FY24 is estimated at 13.75%.

2. Commercial Refrigeration Business:
Driven by strong demand for deep freezers and modular cold rooms, our commercial refrigeration business witnessed significant growth. As in the case of room air conditi

oners,
stable commodity prices and exchange rates help us maintain the margins. The Total Cost Management initiatives helped improve the margin profile.
The new energy labelled deep freezers manufactured by the company, have secured high degree of preference in the market. A new manufacturing line for small capacity deep freezers ranging from 60 to 200 litres has been commissioned and the products are expected to be launched in the Q4 FY24.
The growing investments in warehousing and logistics sector as well as the processed food segment is driving the growth for our modular cold rooms. We continued to maintain market leadership in Deep freezers, Storage Water Coolers and Modular Cold Rooms.
Segment-III: Professional Electronics and Industrial Systems
The revenue grew by 20.1% to Rs.103 Cr in Q3 FY24 as compared to Rs.86 Cr in Q3 FY23.

The segment result was at Rs.15 Cr, which gives a margin of 14.7% in Q3 FY24 as compared to Rs.11 Cr, which was a 12.7% margin in Q3 FY23.
The Non-Destructive Testing business continued to gain traction with significant orders received during the quarter. The Healthcare business is benefiting from the expansion of the country's healthcare infrastructure and the rise in private and public investments. With the data security solutions moving to Cloud, the demand continues to be muted.
III. Business Outlook:
We expect to deliver strong performance with the continued execution of healthy carried forward order book in the B2B business. Low penetration coupled with increased demand from Tier 3 and 4 cities will continue to support growth in the products business.
We shall continue to focus on strengthening our product portfolio and grow both locally and globally. While the conflict in the Middle East region and Red Sea is a matter of concern, we expect to end the financial year on a high note.
With that, ladies and gentlemen, I'm done with the opening remarks. I would now like to pass it back to the moderator who will open the floor to questions. We'll try to answer as many questions as we can and to the extent, if we are unable to, we will get back to you via e-mail. With that, we are open for questions.
Moderator: We will now begin with the question-and-answer session. The first question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Sir, on this EMP, we've seen a very strong margin expansion driven by focus on profitability aspect of it. Do you think that these margins i.e.around 8% odd are now the new normal a and that's what we should look at going ahead?
B. Thiagarajan: Segment-I comprises of mechanical projects as well as packaged air conditioning and related customer service operations. So, it may not be appropriate to infer the margin outlook every quarter. The more appropriate guide would be the full year margins. In this particular quarter the packaged air conditioner segment, which is ducted systems and VRF performed well. It is based on the production and the orders that are being executed for that particular category. In some other quarter, we may have a relatively higher share of projects than the packaged air conditioning. So, quarter wise, maybe a difficult thing to arrive at, but our guidance for segment I is between 7% to 7.5% operating margin.
Bhoomika Nair: Coming to the Unitary Products segment, we've seen a very strong growth that has been ahead of the industry. If you can just talk about what the industry saw growth in the current quarter and how are you looking at the upcoming season and what are you hearing from the trade in terms of inventory stocking, etc.? Another question is related to that would be the margin profile. This quarter, there has been a little small blip in terms of margins. Anything to read towards that, and should we be trending towards that 8.5% margin that we had earlier guided for?
B. Thiagarajan: First, I'l

l answer the margin, then go back to the other parts of your question. The margin for this financial year would be impacted due to the summer washout. Our guidance for the annualized margin would be 8% to 8.5% for Segment-II. In a year when the summer is not strong, the festival season tends to do well. People decided to postpone the purchases in summer and buy at an opportune moment later in the year. As the industry tries to pick up post the lost summer, the prices tend to fall in the later part of the year due to the inventory buildup. We have seen that on number of occasions. The overall economy was good, the sentiments were good, it is good for the industry that after a major hit in the summer season, the demand picked up during these months. The demand continues to be good even today. I had mentioned long ago at the end of Q1 itself, whatever happens given the lower penetration in this Room Air Conditioner segment, the industry should witness at least 10% to 15% growth. Blue Star aims to do better than the market. Our target is to do 20%. March will be a very significant month. This particular year is not an energy label change. We are witnessing another trend in the market which in the last conference call also we had said, that more than 50% of the sale is happening through consumer finance scheme which means there is an element of consumerism. Next thing is connected with the Tier 3, 4, and 5 markets. Even though monsoon was not all that great, we continue to witness good demand from Tier 3, 4, and 5 markets as well. The important element is, in the past, the dealers would not like to miss the summer season sale as they will end up stocking. They will be worried the companies will not be able to deliver certain models. There will be advanced bookings and they will go ahead and stock. I think that system has undergone a transformation. They are managing their working capital well. They are looking at the total domestic manufacturing capacity, and their stocking has become monthly based on the demand. And therefore if you ask me, are they beginning to stock for the summer? No. Are they hoping that the season will be good? Yes, that is because the festival season demand has been good, and the

winter has not been strong in many parts of the country. So, they think that there will be good sales. So, they are optimistic about it.
We had discussed last year also that the peak selling season which used to be May-middle advanced to May 1st week and more like April is the peak for this particular category. And if the summer is going to set in very early, March could be the peak, In that case, April may not be the peak. On weather, nobody will be in a position to bet. But the overall outlook is that this category will continue to grow. There could be some summer season mishap or there could be some other elements like elections are going to happen and so on and so forth. But I can share with you, the estimates show that India is the fastest growing market for air conditioning and refrigeration. For the Room Air Conditioner demand, market size is projected to be around 50 million by 2040. It may cross 10 million this year. Then you can estimate what is in store for the industry in the future.
Bhoomika Nair: Obviously, given the strong growth projection that is there, is there any easing of the competitive intensity between brands in terms of lower discounting and schemes, etc., being offered or dealer margins coming down?
B. Thiagarajan: The competition will be intense just because everyone would like to tap the growth opportunity and consolidate their position and improve their market share. That's how the consumer durables industry operates.
Moderator: We take the next question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: I will just exten

d what you said. One is that November, December obviously was much warmer than usual and the benefit we could see in your numbers. But on the contrary, it seems January is much colder than usual. Is that something you think that will have a bearing on Q4 in terms of demand? The second part of the same question is, you mentioned 50% of the sale happens through consumer financing and clearly all the consumer finance companies that have reported results, their commentary seems to suggest that they are pulling back in terms of lending to the sector in general. So, don't you think there is a reason for demand to be actually much more muted at least in the near term based on these two trends? Maybe just continuing this, how's the inventory in the channel? We understand that there's also been quite a lot of push of inventory into the channel in this quarter. If you could just comment on that as well?
B. Thiagarajan: We monitor weather across the country. And while it is true January is colder but only in some parts of the country. So, we expect the demand for January to be the same as last year. I don't think there is a de-growth in that particular segment. And the new models which are meant for the season will get launched from now on, many brands will be launched in January, February, March. In a consumer durable business, whenever there is a new launch, there is a customer pull. As on date we are not seeing any demand growth slowdown. Equally, I am aware of the fact that there are small appliances where there is stress, in FMCG. If you ask me whether room air conditioners will catch up with that, that doesn’t seem to be the case based on the market. The demand continues to be good. Whether it has the potential to slow down, well always, there is a potential for it to slow down.

The second part, i.e. consumer finance is connected with the regulation of the RBI. As of now, they have not pulled back. If they are going to pull back, it will be a level playing field. It is not only meant for Blue Star. But equally I am seeing another fact that there is interest by many NBFCs to grow their market share in this consumer finance space. So, there is intense competition which will mean players like us will have to negotiate and get the best out of them whomsoever wants to participate. Now, the third part of it is connected with the inventory. There is always a push factor, if you are not pushing, somebody else is going to push. That’s how the sales teams operate in this sector. But the dealers have become smarter; dealers are managing their working capital exceedingly well. This is a big transformation. Unless and until there is an attractive discount for a limited period or someone will have to buy in order to be eligible for an incentive scheme. But overall, across the country the dealers have, or the distribution channels have learned to manage their working capital well. I am taking more time in the initial questions so that these fundamental factors are not repeated again and again. We now have multiple channels such as the modern retail, regional retail, e-commerce, distributors and a single outlet player. Significant share of sale is happening through the modern retail, regional retail, e-commerce. So if you look at that, that part of it will be more than 50%. So, these players are very organized and professionally managed and tracking store-by-store what is the inventory level. So therefore, the industry pushing it and the demand not going to be there in the subsequent months is incorrect. It is more or less that will give an indication of whether the secondary movement is happening or not. So, therefore, summary is, as of now the industry is doing well, Blue Star is doing well. For summer, the outlook is good, and the penetration levels are lower, and we think that the demand will cont

inue to be good. And even if it is not going to be, which I keep telling often, the long-term direction is this industry is in its golden phase. What happened in China is happening here. It is the fastest growing market. It will become the largest market by 2050 in terms of market size. That's where we are moving. And all other policy planning, whether it is energy, sustainability, e-waste, everything is built around this particular expectation.

Moderator: The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: I have two questions. One was, as you said, the industry launches new models before the upcoming summer season, so, do you think we would be looking at any kind of price hikes to be taken with that or do you believe that given where RM prices are in the correction that we've seen or maybe because competition is really intense as well, there may not be any price hikes which could come through? Second, I was just trying to understand your market share gains a little better, clearly, we've outperformed the industry for quite some time consistently over the last couple of quarters. So, if you could help us with your region wise market share, where have you taken the most share, what have you done differently, that would be very helpful?

B. Thiagarajan: I will answer market share part first. It is 13.75%. We continue to do well in South, West and East. In North, we have got the scope to improve. And we do not have yet the data on market wise or region wise what will be our share. All that I can tell you is, if the all India average is 13.75%, it will be 200 basis points lower in the northern region. Now, we do have store wise information that is competitive which I will not be able to share. We know the outlet wise what

is the size and what our share in that counter is. That data is available however I will not be able to share the same because it is a competitive information.

Now, the question on price increase, price is dependent on the competition I have a market share goal. I have an operating margin goal. I have to play around with this. Now, I foresee that the prices are remaining stable. It can drop if there is going to be demand slowdown like it has happened in small appliances or FMCG, some parts, it can happen, but it will be known on perhaps February second half onwards you will begin to see what is going to happen. The new models are being launched basically to fill the gaps where at a particular price point, at a particular margin, you are not able to compete with your key competitors. The truth is that more than 90% are first-time buyers and that are entry level products, are preferred by them. Three star continues to be the dominating product category. Five star is only around 25%. Now, there are clear emerging demands for heavy duty machines in markets such as Punjab, North India. And you do have products which are smaller in size like 1 ton. I am seeing a trend where the demand for 1ton model is expanding. That maybe because the second or third AC for a home, that purchase is beginning to happen. The pricing obviously is going to be based on these factors like do I have a heavy duty product, do I have a competing 1 ton product, do I have a product which I have fully localized? You're seeing still in places like Sri City the factory is being inaugurated. People are localizing. All these will impact the cost and therefore the pricing and PLI scheme claims will have to be made and people will now keep an eye on the PLI, which means they have to show a growth over the previous year. This is the summary of it. As of now, the pricing seems to be stable. Y'u have to watch February-end, March what is going to happen. Margins are being improved by us by various things as Nikhil had explained.

Ankur Sharma: Just a follow up on th

e market share. Actually, my question also was what's driving our outperformance versus the industry, clearly, that was my bigger question?

B. Thiagarajan: We are continuing to deliver highly reliable products which are world-class while we have also entered the affordable segment. Even within affordable segment, I would like to believe that our products are superior in terms of quality and reliability and performance. Second factor is the Blue Star brand. And the third is the aftermarket investments that we are doing.

Moderator: The next question is from Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: My first question is with respect to the first segment, the project business. If you can throw some light on how the outlook is in terms of ordering for some of the sub-segments there like infra, industrial, commercial, real estate, etc., that will be great?

B. Thiagarajan: We are witnessing a slowdown in the Commercial buildings in terms of order finalization. And in infrastructure segment, we would expect the focus to be on the pace of execution. With the elections around the corner, many projects are being accelerated for execution, and therefore, one can expect new projects will wait for finalization till July or August. We take it as a good sign for the simple reason, the record order book, this is a comfort to predict what it will be. But

at some point, of the time, I think this slowdown in inflow of Electro-Mechanical project orders
is good for us. We can focus on execution, focus on tight working capital management, and then

prepare for picking up the orders. I anticipate right now there is slowdown in one sector, I think a few other sectors also will slow down. What will keep growing is manufacturing and data centers, that investments will continue to happen.

Ravi Swaminathan: Do you see some large ticket orders in the pipeline, sir across any of these sectors, so which can change the inflow say in FY25 or '26?

B. Thiagarajan: There are many tenders that are there like Chennai Metro and all that. But I'm not very sure that a number of them will get finalized before June or July.

Ravi Swaminathan: How do you think about the competitive landscape here compared to say 10 years back or something of that thought especially in large orders, do you see that stable or probably ease a bit?

B. Thiagarajan: It's a mad competition. There are always players who will offer lower prices and much attractive terms. There are many players. It's not that it's a comfortable competitive landscape. These are tenders, you have to compete, and you have to be the lowest. Only in private sector manufacturing or data center, somebody is going to be providing a premium, if you can demonstrate that you deserve that. Otherwise it's the intense competition.

Moderator: The next question is from the line of Abhishek Shah from Ambit Capital. Please go ahead.

Abhishek Shah: So, a couple of quick questions. One was on the order book. You mentioned that we have a 6,000-odd Cr order book currently. So, what is the expected timeline for execution? And secondly, what would be the current utilization? And any CAPEX plan you have going forward?

B. Thiagarajan: The execution you can take it as around 24 months, specifically the Electro-Mechanical projects one. This order book will include the Unitary Products also. But, predominantly, close to around Rs 4,500 Cr of orders should take around 24 months of execution time. On the other part, Nikhil will answer.

Nikhil Sohoni: So coming to capital spend, see, we will be continuing to invest as we have said, when we raised the QIP also. The spends will be going towards manufacturing, R&D, digitalization. So, all of these investments are on track , and as we grow these investments will also be happening on a continuous basis. Current year, we expect the spend is in the region of ar

ound Rs.350 Cr as of now in the nine months. And one good part is that all our manufacturing investments are modular, which means that as we see the demand go up, we can kind of continue investing in that capital expenditure. Same way, the product development is going to be the focus area and we will invest in product diversification and develop products both for international geography as well as for the domestic markets over here, We will also be investing in digitalization. So CAPEX is a given. You can take an annual CAPEX in the region of around anywhere between Rs.250 to 300 Cr going up to Rs.350 Cr at times. But that kind of capital expenditure will happen in the company now at least over next two to three years.

Abhishek Shah: On your current utilization?

Nikhil Sohoni: Utilization of the QIP?

Abhishek Shah: No, just in terms of your current capacity, what levels you have and how much?

Nikhil Sohoni: In terms of manufacturing capacity?, I will say that probably we should be running at around 80% at least in Sri City and in HP we will be running at almost full capacity because of the demand. So, the capacities are running full because the demand that you are seeing and revenue growth into which it is getting translated is all result of that.

B. Thiagarajan: To further substantiate the Room Air Conditioners part, this year, we want to close with 1 million units and around 600,000 will be coming from Himachal, and some 3,50,000 to 4,00,000 we should produce, I'm not talking about the sale, because you may be producing for the subsequent month as well. So, what Nikhil mentioned as modular is this supposed to be growing at 3-3-3 in four phases. Himachal is at its full capacity. More than 600,000 it cannot produce.

Moderator: The next question is from Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: My first question is on the Commercial Refrigeration side. So, while we have done our channel check, we found out the present counter for your refrigeration product was sold out. So, just want to understand what's the current capacity there, how are we ramping up the capacity, and when can we expect better rollout or faster rollout in terms of the Commercial Refrigeration product?

B. Thiagarajan: First of all, the Commercial Refrigeration products are not sold through channels in large quantities. They are meant for very niche residential purchases. The products we distribute through the distribution channel are bottled water dispensers and deep freezers of smaller capacity. There are other commercial refrigeration offerings such as modular cold rooms, deep freezers of all capacities starting from 60 litres to 500 litres capacity. Majority of the deep freezers gets sold through the OEMs, such as Amul or Mother Dairy or Arun Ice Cream.. The smaller capacity deep freezers 60 litres to 200 litres that earlier was not manufactured by Blue Star, was getting sourced and sold in the market. There is a non-tariff barrier called QCO, and that import, and selling has been now banned. Anticipating this, we had gone ahead and set up another line for that in our Wada deep freezer facility. The trial productions and the field trials are going on now. So we will be in a position to deliver locally manufactured 60 litres to 200 litres deep freezers from April onwards. Therefore, sales through distribution channels is not a significant part of our Commercial Refrigeration business. It is in the showrooms for some residential customers who may want to pick up for storing meat, etc., But a 60 litre freezer capacity, many refrigerators also offer. There are refrigerators with even 100, 150 litre freezer capacity if they want to have. Now, our priority obviously will be the OEMs who are buying thousands of numbers. This is the background behind your channel check.

Natasha Jain: My second and last question is regarding the E

MPS order book. So since many quarters now,
we've been sighting that moving away from the Commercial Building segment because there we've seen maximum delays. So, when can we expect this segment to be hive it off completely

or we'll still have exposure there? And going forward, what are the segments which will drive our order book?

B. Thiagarajan: So there is absolutely no plan to hive it off, it is operating as a wholly owned subsidiary with its own board and a specific focus. We know it is a niche business, and it is critically important for Blue Star for the simple reason, first thing is, we have built capability in certain specific areas like industrial testing or data security or medical electronics in diagnostics space. Second, it is a business with no capital employed there. It is a very limited capital employed and it generates a lot of cash. Sentimentally, it is important for us, this business has been with us for more than six decades and it has always made money and the talent that we have built over the years is very remarkable, and many multinationals who are there in the country today, came through that business, whether it is Honeywell, Johnson & Johnson, HP, all those people were represented by this business in India. Then where the market was larger, they went ahead, our own professionals have gone there. So, we maintain the relationship with those companies as well. So, this business will continue to grow, and I think the thrust area is connected with the medical diagnostics. That is the area which will drive the growth. Second area is an emerging segment which is warehousing automation. We have some unique skills there and that is connected with the electronics and digital and we expect that also to drive. So, these are the two areas we will look at it going forward in a significant way.

Natasha Jain: Just one question to Nikhil, sir. So can you just explain the proportion of unallocated portion in the segment capital employed, because that seems to be very high for the past three quarters, so, where exactly is this going into?

Nikhil Sohoni: With the QIP funds coming in, some amount of investments both in mutual funds and fixed deposits have gone up. So, that is definitely going to be there. that's one area I think which you have to keep in mind which will cause the capital employed to go up.

Moderator: Next question is from Swati Jhunjhunwala from BOB Capital. Please go ahead.

Swati Jhunjhunwala: My first question is in the UCP segment. Is the entire source volume-led or is there a price deviation as well?

B. Thiagarajan: Can you repeat the question?

Swati Jhunjhunwala: Entire growth of 35% that we've reported, is it entirely volume-led?

B. Thiagarajan: That's right, of all the products there including refrigeration products.

Swati Jhunjhunwala: Secondly, in anticipation of the strong summer, do we expect capacity to be a constraint given that we're already running at 80, 90 sort of capacity utilization?

B. Thiagarajan: No, it is not a concern at all. We have full capacity to take care of the next year's demand. It's relatively a simple manufacturing estimate in that product category, right? So, all models are known and what numbers will come, it is modular in nature, and one more thing that we do not

manufacture window air conditioners rather we source. So, everything is intact for next financial year. Even the subsequent financial year, we know what capacity is needed and Sri City, as I mentioned is modular, it will expand.

Moderator: The next question is from Anupam Gupta from IIFL Securities. Please go ahead.

Anupam Gupta: Firstly, is on the RAC and the Commercial Refrigeration business. For the next, let's say, two, three years, what sort of product gaps do you still see and where you will invest incrementally for the domestic mark

et?
B. Thiagarajan: In terms of manufacturing?
Anupam Gupta: Yes, in terms of the product portfolio, as you have expanded your portfolio, you have covered a lot of gaps already, but incrementally?
B. Thiagarajan: In room air conditioners, the energy label change will be due in January 2025. So therefore, the positioning of the products will completely change. There are two, three things which drive the product portfolio change; one is the regulatory which is connected with the energy labeling; and the second thing is that, when you have intense competition, you need to keep on innovating. And you will begin to see what we had launched six years, seven years ago, which did not have demand, all that will start coming back at this point of time, the time is right like a WiFi enabled air conditioners, that market size will significantly grow. The third is connected with component ecosystem. When component is locally made and available, you have to redesign the product because that manufacturer may be offering different types and in different specification you have to optimize the machine. As Nikhil mentioned, the R&D investments are very important to be there in the market and to be competitive. And in deep freezers, as I mentioned to you, many capacities and the curved glass top, these were all earlier not a significant market. Today, it will become very significant. Water coolers are becoming a very large market in India. So, you have enough and more to be done in terms of product portfolio, it's a dynamic thing.
Anupam Gupta: In your opening remarks, there was a comment on the product exports which you're doing right now to Middle East. But let's say if we look at all the medium term for five, six years when you're able to break into the larger market, how large do you think your exports can be for the commercial air conditioning side of business?
B. Thiagarajan: First of all, in international geographies like US and Europe we are not going to be selling in our brand, we are going to design and make for others, that's what we are attempting to do. And for these markets, the products are to be designed for that country's regulation, energy efficiency or safety or refrigerants. So, we are currently in the process of developing the products, prototyping and getting the approval and acceptance. has All these have to fall in place with the launch of the customer for whom we are going to be making. Now, if you ask me what is our aspiration, it is to do in a three-year timeframe; we want to do USD 500 million of business in the international market. But it is only a beginning, we have a long way to go. I think when we have clarity, let's say we have secured a significant base there, we will be able to tell how the trajectory is going to be. The market is large, opportunities are huge, but we are just at the beginning.

Moderator: The next question is from the line of Shrinidhi from HSBC. Please go ahead.
Shrinidhi: A couple of questions from my end. Sir, have you seen Room AC industry getting consolidated in top five players through calendar year 2023?
B. Thiagarajan: I think it is already, my view. Compared with many other categories, if you take the top six players, they have close to 70% market share whether there will be only these players in future could be a question. We have seen in these categories in India specifically, many hang around with 4% -5% market share also. And we may even see private labels coming up at some point of time. It is the fastest growing market. It has the potential to become the largest market in the world. In 2040, 50 million seems to be possible. In that event, it is going to be many players.
Shrinidhi: Just on this, I wanted some color on the margin divergence versus traditional generated channel versus the future channel wherein you include multiformat retailer, regional retailer and e-co

mmerce. So, would it be possible to give some color on the margin divergence at the EBIT level?
B. Thiagarajan: I think everything is converging for the simple reason, see, we used to think e-commerce is the most price-conscious market and you have to be highly competitive; it will have therefore lower price realization. So, e-commerce and modern trade is not much different at all. Now, thanks to the e-commerce, what price you are selling is known to every retailer across the country, every customer across the country. So, I am not seeing one channel giving you more profit than other channel. What you may have to look at is, how efficiently you are servicing that channel so that your operating margin is higher. Not the gross margin per se. Let us say, a modern retail who is buying 100,000 units from you which you are able to take care of and service him efficiently with the team of two people versus that 100,000 comes from 4,000 outlets and you need battalion of people. So, therefore in terms of price realization, there is a convergence because everything is known to everybody today. And most importantly, in the retail outlets, the people who are there as in-shop demonstrators are company deployed people. So, these brands will come to

know what price the other fellow is selling in some other thing. So, there is a complete information network that is available in every market.
Shrinidhi: According to your assessment, how much percentage of AC demand would be coming from the first time buyer?
B. Thiagarajan: My estimate is 90%. See, 50% is consumer finance which are first-time buyer definitely. The thing is that there is no authentic data. Perhaps the industry can come together and do, I do not know. But in a dipstick study, it is very clear; 9 out of 10 buyers are first-time buyers, and it is reflected in the entry level products selling more.
Moderator: The next question is from Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: We had indicated a plan to reach 10,000 outlets for UCP segment. Now, we are at the end of January 2024. So, can you indicate the progress done so far, and also the plan if you want to indicate for FY25? Second question is EMP segment did extremely well. If we look at the history

in FY06 to FY09 period, but post that, almost six to seven years, FY09 to FY15, we had reported low single digits. So, do you see similar structure building now that we are nearing the top and in one or two segments you also highlighted proactively that there might be some slowdown in order closures. So need your expert views on what happened in that period and how different we are in the current ongoing cycle?
B. Thiagarajan: Can you repeat your first question?
Aniruddha Joshi: So the outlet reach we had indicated?
B. Thiagarajan: The second question is connected with the slowdown.
Aniruddha Joshi: Second question is on EMP segment.
B. Thiagarajan: I think it is irrelevant in how many channels you are there. I had explained in a number of calls or in one-on-one meetings. It was an old terminology, how many outlets we are present, how many outlets you are going to expand, and the companies also keep telling the figure, our own sales guys also keep telling the figure. According to me, it is completely irrelevant. You have to look at what is the potential of a counter, in that counter what is your market share and how you will maximize, and number of counters are becoming increasingly irrelevant. so that's the first part. Second part is the consolidation of modern and the regional retail, it is a big phenomenon, you will watch as India grows, more than 70% of the market will be controlled by these players, like a Vasanth & Company in South, Satya or Croma or Jio or Vijay Sales, they are very big players. So, this consolidation when you do, the number of outlets you need not worry at all because

they know how many outlets they are going to expand and how they will reach. That is the second reason why I'm saying, number of outlets are irrelevant. Now, the distributors So, a distributor is a sales point to you. A distributor will have 300, 400 kind of places to sell. Now, how this counting around to be saying, that in our own internal review, if somebody is telling me 15,000 outlets, I do not pay attention at all, this is my philosophy. Now, if you earn 10,000, that would have been already achieved, it depends on how many sub-dealers you had and how many counters he had. So, my request is you should not pay attention to this at all about number of outlets in future. Now, one more thing that is going to happen is the ONDC which is going to come. You watch in about 18 months' time, everybody can sell through ONDC and it will be served, that is going to change the phase of distribution itself. Now you may be aware of another model. Another model is that sub-dealer outlets which the distributors were managing, big players are trying to serve them like for example, Jio will be able to serve a sub-dealer in Varanasi, for example. He has to punch an order; no distributor need to stock and deliver to him. So this part I'm not worried at all. We will be already in 10,000, it may become 12,000, these are all irrelevant. And within that particular one, what is my share that is how we have to measure and move forward, that's what we do.
EMP segment, yes, the slowdown signals are there in some segments other than factories and data centers. And we feel it is good basically because we can focus on execution and we can push up whatever we can do because carried-forward order book record has no meaning, it has

to convert into revenue and receivables have to be realised There is no point in sitting on an advance or no point in sitting on inventory or work-in progress.
Moderator: We take the next question from the line of Dhananjai Bagrodia from ASK. Please go ahead.
Dhananjai Bagrodia: Now with this new policy coming around for solar generation, which would require households to, let's say, solar rooftop, the greatest impact on that would be actually coming from consumer durable players like ACs which would be specially players like Blue Star. I just want to understand we've always positioned ourselves as a mass premium brand. Would we ever look at

maybe in certain select pockets look at the volume game and maybe reduce our prices and go completely mass because in those places they'll always look at operation cost and running cost vis-à-vis brand as such. Is that something we would look at?

B. Thiagarajan: Very clearly, we want to grow. We have stated our first step is to get to market share of 15% by FY25 and we are at 13.75%, we have a huge hill to climb, and we also have intense competition happening. Now, every opportunity is welcome, and we keep looking at how to make the air conditioner more and more affordable. So the answer is yes, we will look at every opportunity.

Dhananjai Bagrodia: The growth in those numbers could be even higher than what we estimate. So as long as we're willing to reduce prices, then we'll definitely get our market share objectives which what we think of.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Just a couple on the bookkeeping side. In the EMP segment if you can just share the breakup between exports and domestic in your order book? And in the UCP side, the breakup between RAC and non-RAC for this quarter and YoY, that would be great?

B. Thiagarajan: So the second part is a selective disclosure. It becomes difficult for us to say how much is Refrigeration and how much is Room Air Conditioners. Now, on the first part, the export is negligible. We don't focus in Electro-Mechanical p

rojects for the export markets at all for the projects part of it. In terms of products, as I told you, these are all some trial orders and small orders and whatever we export to the Middle East region. So, therefore you can imagine the pending order book is largely domestic.

Lokesh Manik: On the trend that you mentioned, where you will see consolidation in the retail segment more towards the modern retail front, would this reduce your bargaining power and would it have an impact on your margins, you would have a higher bargaining power with standalone outlets versus modern retail?

B. Thiagarajan: The question is you have to compete. The options are plenty. The market is growing, and every player would like to. All that I can tell you is that we are very happy that it is the golden period for this particular category, both B2C as well as B2B and both Air Conditioning as well as the Refrigeration. The second is, we are also happy that there are capable competitors who are multinationals. So, therefore they are going to be producing products which are superior, and it

is better to compete with them rather than those old days of assembly, cheap products, etc., then you will not be able to compete with them at all. It is possible for us to compete with the multinationals. The third is that there is a country specific regulation, let's say, energy efficiency, for our ambient conditions, the seasonal energy efficiency ratio. It is not somebody who can suddenly bring a product from abroad and launch it. They have to redesign the product that makes it a level playing field. And the imports are now you can say it is highly regulated, therefore, the supply chain related competition is healthy. Consumer finance, it is a level playing field. So you have to compete, but you are competing in a very healthy environment, therefore we are happy about that.

Lokesh Manik: My question is actually between general trade and modern retail. So how would your bargaining power go?

B. Thiagarajan: All are having equal bargaining power. The question is that in the modern trade, all the big brands are going to maximize their share and he has got the power to be ordering 10,000 units or 20,000 units, he is going to be asking you for a particular deal which you have to compete and offer. In a small retail, he has got a share. I told you, counter wise we have to look at how my share will be maximum. He has got his own bargaining power. But if your question is intended to about which is more profitable, I'm telling you all are having same price realization today because everybody knows at what price you are delivering to somebody else. The difference could be what is your operating margin because your cost of servicing a particular channel may be lower per unit when it is modern retail. The simple answer is if I have to compete with a player-A, it is one and the same whether it is here or there. Bargaining power is one and the same.

Moderator: The next question is from the line of IS Rana from Sundaram. Please go ahead.

IS Rana: My question is around the Blue Star's position in the cold room market segment and what are the strategies employed to enhance the presence in the market? And also, what is the approach dealing with unorganized sectors in the cold room, unitary and commercial segment, particularly in terms of maintaining comparative margins, so if you could elaborate on this?

B. Thiagarajan: We are perhaps the only player who has got the end-to-end solution, in the sense, there is a cooling unit in outdoor, there is a cooling unit for inside the cold room, and there are panels that are required for constructing a cold room. So, we call that business within Blue Star as modular cold room business. We are the player who supply everything together. So, in unorganized case what happens is, he buys panel from somebody, outdoor unit from somebody, ind

oor unit from
somebody controls from somebody. So, the Blue Star value proposition is I give you everything together on a turnkey basis. Our dealers are trying to install it.
IS Rana: What is the focus going forward, are you going to increase your investments in this cold room segment given the demand and requirement in the country is going up?
B. Thiagarajan: It will be a very huge market in the coming years driven by basically the retail driven by food processing, driven by consumption of processed foods, driven by pharma and healthcare. Now,

our next step there is highly energy efficient inverter-based system. Because they all work 24/7 and energy guzzlers. So, we will be one of the players having highest energy efficiency. That is the way we are moving forward.
IS Rana: With regards to the demand for deep freezers and modular cold rooms, how is it going and what is your focus going forward?
B. Thiagarajan: It is at least 25% CAGR.
IS Rana: For both, right, I mean, deep freezers and modular?
B. Thiagarajan: Yes, there again when the market grows, competition will come. Today, you see the number of players being lower. When the market grows, there will be many more people coming in there also.
Moderator: Ladies and gentlemen, we'll take that as the last question. I now hand the conference over to Mr. Nikhil Sohoni for closing comments.
Nikhil Sohoni: So, thank you very much, ladies and gentlemen. With this, we will conclude the quarter earning call. Do feel free to revert to us in case any of your questions were not fully answered or if we are not able to take your question, we'll be happy to provide you with the additional details by e-mail or in-person. Thank you.
Moderator: On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

May 9, 202 4
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the Fourth Quarter and Financial Year ended March 31, 202 4

In further ance to our letter dated May 3 , 2024, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the Fourth Quarter and Financial Year ended March 31, 2024 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call , for your information and records.

The aforesaid information is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.
Thanking you,
Yours faithfully,
For Blue Star Limited
Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a
\\172.16.31.16 \Legal and Secretarial Documents \(01) Blue Star Limited \2023 -24\Stock Exchange Compliances \Reg 30 - Information and Update \15. Earnings call Transcript \Q4FY24BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol: BLUESTARCO

"Blue Star Limited
Q4 & FY24 Earnings Conference Call"

May 03, 2024

MANAGEMENT : M R. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the B lue Star Limited Q4 & FY24 Earnings

Conference Call.
We have with us today from the management Mr. B. Th iagarajan – Managing Director, Blue Star Limited and Mr. Nikhil Sohoni – Group Chief Fi nancial Officer, Blue Star Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the call, please signal an operator by press ing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiagaraja n. Thank you. And over to you, sir.
B. Thiagarajan: Thank you. Good Morning, Ladies and Gentlemen. Wel come to join this Particular Briefing from Blue Star Limited for the Q4 FY24 Results and FY24 Consolidated Results.
You might have seen the results declared yesterday after the board meeting and we are happy to report that as in the past we have closed the finan cial year on a high note with an impressive performance in Q4 FY24.
As you may recall, the financial year began with hu ge expectations during the summer season of 2023, but then due to rains, it was the quarter that was impacted. But even in Q1, we exceeded or outperformed th e market estimates. From then on Q2 and Q3, you hav e seen our results; it was an all-round performance both in our B2B busine sses as well as B2C businesses.
During the financial year, our investments continue d in manufacturing capacity expansion as well as in research and development and marketing a nd distribution. Of significant importance is our QIP fundraising, amounting to Rs.1,000 Cr fo r funding the growth.
We are happy to inform that the FY25 also has begun with a huge unprecedented demand in the room air conditioners category due to ongoing summe r season.
I will hand it over to Nikhil for an Update on Q4 F Y24 and FY24 Financial Performance and post that we will be happy to answer your queries. Thank you.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good Morning, Ladies a nd Gentlemen. This is Nikhil Sohoni and I will be providing you an overview of the results of Blue Star Limited for Quarter ended March 2024.
I. FINANCIAL HIGHLIGHTS FOR Q4FY24 and FY24
The Company ended FY24 on a high note with a revenu e growth of 21.4 %, Operating profit growth of 34.9%, a record carried forward order boo k amounting to Rs 5,697.34 crores (FY23 Rs.5,073.27 crores) and a strong balance sheet. In an all-round performance, all businesses performed well gaining market share and the company improved operating margin by 70 bps (6.9% in FY24 vs 6.2% in FY 23)

The Company continues to invest for future growth w ith a focus on research & development, manufacturing, sales & distribution, digitalisation , talent development and capability building.
Quarter ended March 31, 2024
Financial highlights for the quarter ended March 31 , 2024, on a consolidated basis, are summarized as follows:
■ Revenue from operations for Q4FY24 grew 26.8% to Rs 3327.77 crores as compared to Rs 2623.83 crores in Q4FY23.
■ EBIDTA (excluding other income) for Q4FY24 was Rs 2 41.90 crores (EBITDA margin 7.3% of revenue) as compared to Rs 179.17 crores (E BITDA margin 6.8% of revenue) in Q4FY23.
■ PBT before exceptional items grew 46.4% to Rs 214.1 3 crores in Q4FY24 as compared to Rs 146.30 crores in Q4FY23.
Year Ended March 31, 2024
Financial highlights for the year ended March 31, 2 024, on a consolidated basis, are summarized below:
■ Revenue from operations for FY24 grew 21.4% to Rs 9 685.36 crores as compared to Rs 7977.32 crores in FY23.
■ EBIDTA (excluding other income) for FY24 improved t o Rs 664.94 crores (EBITDA margin 6.9% of revenue) as compared to Rs 492.78 cr ores (EBITDA margin

6.2% of
revenue) in FY23 recording a growth of 34.9% mainly due to the impact of scale.
■ PBT before exceptional items grew 44.9% to Rs 557.1 6 crores in FY24 as compared to Rs 384.57 crores in FY23.
■ Tax expense for FY24 was Rs 142.85 crores as compar ed to Rs 154.69 crores in FY23. The effective tax rate was 25.7% for FY24 as compar ed to 27.9% for FY23.
■ Net profit for FY24 grew to Rs 414.31 crores (4.3% of Revenue) as compared to Rs 261.49 crores (3.3% of Revenue) (excluding the prof it on sale of Thane land parcel of Rs. 139.24 crores net of tax) in FY23.
■ In view of the record revenue and profits earned by the company, a dividend of Rs. 7

per share (Rs.6 per share in FY23, adjusted for bon us of 1:1) is recommended by the Board of Directors of the Company.

■ Carried forward order book as of March 31, 2024, gr ew by 12.3% to Rs 5697.34 crores, as compared to Rs 5073.27 crores as of March 31, 20 23.

■ Capital Employed as of March 31, 2024, stood at Rs 2156.70 crores as compared to Rs 1542.25 crores as of March 31, 2023, primarily owin g to capital investments.

■ In Sept 23, company completed a successful fund rai se of Rs 1000 crores through its maiden QIP issuance, which witnessed strong respons e from existing and new marquee

foreign portfolio investors, sovereign wealth funds and top domestic institutional investors.

■ In June 23, company had issued Bonus shares in the ratio of 1:1, i.e., one bonus equity shares of Rs. 2/- each for every fully paid-up equi ty share of Rs. 2/- each

■ On the back of strong operating cash flows, coupled with QIP inflows the Company reported a net cash position of Rs 455.93 crores as of March 31, 2024 as compared to a net borrowing of Rs 208.41 crores (debt equity rati o of 0.16 on a net basis) as of March 31, 2023.

II. BUSINESS HIGHLIGHTS FOR Q4FY24

Segment I: Electro-Mechanical Projects & Commercial Air Conditioning Systems

Segment I revenue grew 20.3% to Rs 1506.83 crores i n Q4FY24, as compared to Rs 1252.62 crores in Q4FY23. Segment result was Rs 112.53 cror es (7.5% of revenue) in Q4FY24 as compared to Rs 99.21 crores (7.9% of revenue) in Q4 FY23.

Segment revenue for the year grew 17.4% to Rs 4715. 46 crores as compared to Rs 4015.63 crores in FY23. Segment result was Rs 341.09 crores (7.2% of revenue) in FY24 compared to Rs 276.78 crores (6.9% of revenue) in FY23.

Order inflow for the quarter reduced by 7.8% to Rs 1226.77 crores as compared to Rs 1329.90 crores in Q4FY23 on account of delay in finalisatio n of orders.

1. Electro-Mechanical Projects business

Driven by strong demand from manufacturing, data ce nters and infrastructure segments, this business continues to do well with improved margins and healthy order book. The demand from commercial buildings and real estate sectors a re yet to take-off. We continue to be focused on prudent project management and healthy c ashflows.

During the year quite a few major orders were recei ved from Factories, Data Centers and Infrastructure segment and the carried forward orde r book of the business stood at Rs 4343.83 crores as on March 31, 2024, as compared to Rs 3892.86 crores as on March 31, 2023, a growth of 11.6%.

2. Commercial Air Conditioning Systems

The revenue growth was majorly driven by its produc t portfolio and channel expansion. The growth is driven by demand from industrial, healthc are, hospitality, retail, educational institutions and data centers.

The launch of VRF Lite has enabled the Company to a ddress the premium residential segment. The enquiries and demand for newly launche d Centrifugal Chiller remains strong. We continued to maintain our No.1 position in Conve ntional and Inverter Ducted Air Conditioning Systems as well as Scroll Chillers and strong second position in VRFs and Screw Chillers.

3. International Business

Due to

global disturbances, international business, which is at a nascent stage, saw a subdued performance. We are focused on products exports and hence we are investing in R&D to expand our product portfolio. Our subsidiaries in U S and Europe are engaging with customers and we expect the business to pick up tra ction soon.

Segment II: Unitary Products

Segment II revenue grew 34.8% to Rs 1708.88 crores in Q4FY24 as compared to Rs 1267.72 crores in Q4FY23. Segment results improved to Rs 14 1.43 crores (8.3% of revenue) in Q4FY24

as compared to Rs 106.95 crores (8.4% of revenue) i n Q4FY23.
Revenue for the year grew by 26.6% to Rs 4592.20 cr ores in FY24 as compared to Rs 3626.93 crores in FY23. Consequently, segment results impro ved to Rs 360.31 crores (7.8% of revenue) in FY24 as compared to Rs 282.31 crores (7.8% of re venue) in FY23.

1. Cooling and Purification Products business
Momentum gained during festive season in Q3FY24 was further bolstered by a stellar performance in Q4FY24. The exceptionally strong dem and in the southern region and product diversification especially with a range of Affordab le Room ACs helped us surpass the milestone of 1 million units. Our market share during the yea r improved and is estimated to be at 13.75% compared to 13.50% in FY23.
The launch of new inverter split air conditioners u nder flagship models like "Heavy-Duty ACs" and "Super Energy-Efficient ACs, aided a substantia l revenue growth.
It is anticipated that with the enhanced product ra nge and prevailing hot summer weather conditions the growth momentum will continue in the Q1FY25.
2. Commercial Refrigeration business
The commercial refrigeration business witnessed exc ellent traction in the quarter with strong demand witnessed from OEM's, hospitals, offices and educational institutions.
Increase in outside-the-home consumption remains on e of the major drivers of business growth especially in the perishable food sector. Blue Star became the 1st Indian company to receive India Design Mark for its 300-600 ltrs Deep Freezer s & also got BIS Certification as well for Deep Freezers.
We continued to maintain our leadership position in Deep Freezers, Storage Water Coolers and Modular Cold Rooms.

Segment III: Professional Electronics and Industria l Systems
Segment III revenue grew 8.3% to Rs 112.06 crores i n Q4FY24 as compared to Rs 103.49 crores in Q4FY23. Segment result was Rs 13.57 crores (12.1 % of revenue) in Q4FY24 as compared to Rs 19.83 crores (19.2% of revenue) in Q4FY23.
Segment revenue for the year grew by 12.8% to Rs 37 7.70 crores as compared to Rs 334.76 crores in FY23. Segment result was Rs 51.50 crores (13.6% of revenue) in FY24 as compared to Rs 50.50 crores (15.1% of revenue) in FY23.

The market for the non-destructive testing business has grown due to Make-in-India related capacity expansion as well as the introduction of h igher quality standards and specifications in various industries. The healthcare business is bene fiting from the expansion of the country's semi-rural healthcare infrastructure and increased investments. The data security business continues to face challenges as customers move from on-premises IT infrastructure to the cloud.

III. BUSINESS OUTLOOK
Robust demand across businesses and geographies, bu oyant festive seasons, new product launches and hotter weather conditions enabled us t o end the year on a high note with healthy revenue growth and margin profile. We continue to i nvest in expansion of our distribution network, enhance R&D and manufacturing capabilities to strengthen our brand recognition in the market. The Company continues to be acknowledge d by the Government of India for adopting greener technologies that are ahead of its curve leading to sustainable growth.
In FY 25, Company will continue its focus on mainta ining/improving margins, prudent cas

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management, effective talent management. Given the weather forecast projecting a robust summer ahead, with our new and resilient product po rtfolio and focus on aforementioned key levers, we are optimistic about the business prospe cts for Q1FY25 in particular and FY25 in general.
With that, ladies and gentlemen, I am done with the opening remarks. I would like to now pass it back to the moderator, who will open the floor t o questions. We will try and answer as many questions as we can. To the extent we are unable t o, we will get back to you via e-mail.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: We've seen a very strong quarter with 35% growth a nd for the year we've seen a 27% growth for the UCPL segment. Here, how would have the RAC segm ent grown and the commercial refrigeration business would have grown, can you pl ease split that for us?
B. Thiagarajan: I think I am participating in the call for now 20 years. I think the problem is this. I can empathize with the investors with regard to this requirement of the break up there. So, what all business are there? To recap, there is Room Air Conditioners , very negligible volume of Water Purifiers,

Air Purifiers, Air Coolers, then you have got Comme rcial Refrigeration products which are Water Coolers, Deep Freezers and Cold Room. Now, it becomes a selective disclosure and hence we cannot give split. So, I am really not able to s olve this problem. Now, another answer, if we decide to restate the complete thing, then it will make sense. If I were you, I will be going by what is my market share in Room Air Conditioners an d what is the room air conditioner market size, that is the only way you will be able to unde rstand that. I don't want to get into a selective disclosure. So, you have to bear with us for this. Internally also we keep discussing this, that whether at some point of a time we should go ahead and break that up. See, in our internal MIS and other things, there are constraints we have, b ecause the factories serve multiple businesses, there is the brand related and there are common dea lers and this has been the concept. Originally, we conceived it on that basis. There is an EPC part of it and Packaged Air Conditioning which

are Commercial Air Conditioning where both are take n together . As we grow, both the businesses are growing and whether at some point of a time we will give a break up, we'll see. Just go by room air conditioners, our market share, that will then guide you that what portion of that is room air conditioners, what portion is comm ercial refrigeration. Profitability wise, you need not worry. Both enjoy same kind of profitabili ty

Bhoomika Nair: As you mentioned that we're seeing a very strong s ummer and a very strong demand, what is your estimate that the industry will see a growth i n Q1 FY25 and potentially in the year as a whole? And secondly, with the recent increase in ra w material prices, have we taken any price hikes either in Q4 or in Q1 so far?

B. Thiagarajan: Fortunately, because the demand is good, prices ar e holding. Between Q4 and Q1, there has not been any price increase. We launched the new produc ts from January and we had announced the prices and seems that the same is holding on. So, there is no change in that. I don't think in the market also you are seeing any kind of massive pric e disruption. Whether we are increasing the prices, because the demand is huge and there are sh ortages in pockets, I don't think so. Because that has not been the principle Blue star has been operating just because there is huge demand and shortage we should go ahead and increase prices , that's not happening.

Now, coming to market projections, so from January,

February onwards, I have been saying the market can grow anywhere between 20% to 25%, and we want to grow between 25% to 30%, that was my outlook. Now, going back even in March, that is what we thought till March third week, suddenly in March fourth week there was a hug e surge in demand from the dealers and this despite the fact that there is ongoing electio n season due to which in the past we had seen both in 2019 as well as 2014 that we could not ant icipate that kind of demand. The March-to-March alone, my estimate is the market would have g rown, or the primary sales would have grown by around 40%. Now, in April, I may be wrong, as I do not have the full picture, my estimate is the market would have, say, for primary sales of April alone grown between 65% to 75%. And if you take the secondary sales because Ma rch last week, enough material was there, I think anywhere between 70% to 90% growth would ha ve been there in secondary, tertiary sales in the month of April.

Now , second part, the peak in past had been May month I have a feeling that because there is a huge consumer finance and other facilities availabl e, the people are going and buying ahead. So, it is quite likely that this time in April itself t he market has peaked. I have a feeling May demand may be lower than April. It may be unrealistic to e xpect that there is again around 70% demand growth in May and then it will be repeated in June, July like that. Now, keeping all this in mind, whether 25% to 30% growth holds good ? I think it m ay be better than that when the summer eventually ends we can look at this. But equally, w e are not believing at this moment that the growth can be summer-to-summer, it may be March to July this year, the last year is not comparable anyway, if you take the normal summer ye ar, it will be a 50% growth, we are not yet believing that would happen. It will be better than 30% for the full summer season is our estimate. If you take Q1 alone, I think it can be 3 0% to 40% growth will be there is my view. We have to wait for May 15 th to revisit that. Over the years, my experience is it starts off like

that. You would have seen last year reports. There was a report by an industry association and some of the players that it is going to be 90% grow th, market will double this summer, it didn't happen. So, broadly the summer has set in early, an d people have advanced their purchases, it will keep coming down is my view as we go forward. But in April, primary sales itself, which is around 55% growth and secondary & tertiary sales, w ould have been anywhere between 70% to 90%, keeping in mind the material was there in the last week or delivered in the last week of

March and there are shortages in quite a few pocket s.
Bhoomika Nair: Given this scenario, do we expect margin profile t o improve? This year also if we see the segment sales has been growing by about 27%, but ou r margins have pretty much held on at 7.8%. Do you think that this can possibly improve t o 8.5%, 9% into FY25 given the strong demand that we see?
B. Thiagarajan: At this juncture, we have another 11 months to go. There will be many twists and turns, all will take place. The important events will be the Union Budget, important decisions will be made in terms of supply chain, what are the items that will be brought under QCO, like copper QCO was there, time was extended, there are CCD-related ann ouncements which are expected. So, in a business there are many moving parts, all this will happen. But broadly, we are of the view that it can be around 8.5%. That is the thing that we ar e working with.
Moderator: The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.
Nitin Arora: Just on the profitability of the UCP segment, can you answer this first, for this quarter when you

are growing at 34%, last quarter we grew 36%, our m argins are like 7.1% and 8.3%. Even in absolute EBIT growth, you're matching your revenue growth. Can you first throw some light why this is happening because I mean there is no ze ro operational leverage in the business or we are trying to be more aggressive, which doesn't aug ur well when you yourself saying industry has a very good tailwind right now because of the s ummer season, can you just clarify why such low profitability?
B. Thiagarajan: Given the outlook that we had indicated, I don't t hink one should be unhappy. Where are you getting that? We had given an outlook, correct. So, where is that coming from?
Nitin Arora: Sir, for example, let's say even I don't think tha t when the outlook was given you would not be expecting that Q4 will be a 35% growth, right. So, my question is not related to what has been the outlook versus what is given, obviously, it's i n your guidance range. But nobody knew in January that March and April would be such heat sea son and you yourself saying -
B. Thiagarajan: April has not come into picture, March alone has c ome into picture.
Nitin Arora: Exactly. Exactly. So, you're growing at 35%?
B. Thiagarajan: You are talking about Q4 to Q4 margin of Segment-I I?
Nitin Arora: Yes, sir.

B. Thiagarajan: The Segment-II standalone margin for Q4 was 8.3%. Y ou may ask compared with this for this huge revenue growth, but it is not. You have to not e that huge advertising expenses has been there in Q4, right, because the IPL started, advert ising campaign started. If the material is moving out to the primary channel, you have to support it with advertising. So, there is an advertising expense surge in that quarter. The right way to com pare in a good summer year is, you have to look at Q1 margin and Q4 margin, and that gives a b road indication of how the full year will be. In FY24, Q1 is not a quarter to be accounted for se gment-II because it was a washout summer season. In Q4, volume surge, equally we have incurr ed advertising expenses. It's not due to pricing or margin. It is the operating margin, the cost has come in.
Nitin Arora: Is ad expense optically very high deliberately in Q4 because that would be every Q4, right? So, is this Q4 was quite high?
B. Thiagarajan: Not necessary at all. Like for example. It depends on if you are going to be in IPL and substantial number of matches are happening in IPL and the pack age that you have got is that way, it can. And because of the elections, IPL number of matches and number of matches in which we were there would have been high. Advertising expense of this Q4 is very high.
Nikhil Sohoni: Again, you have to look at it that in Q3, it was 7 .1%. So, it is 8.3% against 7.1% in Q3, which was also a good quarter.
B. Thiagarajan: He's asking about the operating leverage and he is assuming that the cost will remain the same. The additional quantity is sold in March would have substantially improved the margin. In Q3, there was no advertising expenses, that comes in Q4 that is the problem this year especially.
Nitin Arora: Second question is on the export side, because I t hink we're doing a lot of R&D there as well. When do you start seeing ramp up of the export busi ness and any targets in mind over the next two years, how big this can become?
B. Thiagarajan: I think it will be at least 18 months. We are exec uting some trial orders and then in US, Europe, there had been a slowdown. In our view it is good f or us because it will gives us time to develop our products. And the US market is expected to pick up only in the coming year post the elections. I don't think before elections you will see US ramping up. We are not selling the regular Air Conditioning solutions, it is decarbonization e nergy efficiency, improvement-related products, and therefore the regulations and the bra nds the

re will have to ramp up. So, there are trial orders that are being executed, necessary app rovals are being obtained and in 18 months it

should ramp up. Whether we have internal target? We do have internal target because if we are
investing, we should be having tight targets closel y monitored by the board.
Moderator: The next question is from the line of Ravi Swamina than from Avendus Spark. Please go ahead.
R Swaminathan: My question is with respect to the first segment. The order inflow kind of has seen a bit of decline
over the past two quarters, and I think for the ful l year also it had been kind of slightly subdued
compared to the last year. How the industry would h ave grown in FY24 over last year and how

is it likely to grow, which are the sub-segments wh ich are promising in terms of growth and why
the softness for us, are we kind of a bit conservat ive in taking orders? You had mentioned that
there were some kind of finalization delays which w ere there. Will we see a better lumpy kind
of orders flowing in post-elections, if you can thr ow your thought process on this, will be great,
sir.
B. Thiagarajan: Your questions are valid. We have been seeing a sl owdown in some of the segments, basically
the Commercial Building Segment, there has been del ay, some of the infrastructure projects also,
there is a delay and our understanding is that post -elections, it should pick up and there are
enough tenders and the openings of the tender, nego tiations and finalization of commercial
terms, these are all getting delayed. The growth pr imarily is now driven by the manufacturing
and data centers and so therefore those orders cann ot compensate for large infrastructure
projects. This is the first answer.
Second one is that, you are very clearly aware that we are not chasing the market share at all in
this business. We are very clear that it should be free cash flows and how timely execution will
take place to the extent possible. And industry, it will be the same. It's not that there is some new
player to whom we are losing the orders, it's not s o. And yes, it should revive some time in Q2.
Again, our direction here is, there is no point in sitting on huge record carried forward order
book, it doesn't help in any manner at all. In fact , it is dangerous to be having a huge order book
because while you may have price escalations, you m ay not get everything out there and so we
are now focusing on data center manufacturing that kind of projects, wait for the infra projects
to get the order finalization cycle to begin, in th e meanwhile, expediting the speed of execution
and collection is important.
R Swaminathan: Is there a mix in terms of our advantage as of now like certain sub-segments like data center or
manufacturing, do they carry better margins than th e overall average, and because of that
profitability, which is like 7% can go back to 10% which we used to do 10%, 11%, 12% and all,
is there a possibility of that happening, keeping i n mind the competitive dynamics?
B. Thiagarajan: So, three parts: #1 is, are the jobs of manufactur ing, data center more profitable? It will be for
the simple reason, they are fast-track execution pr ojects and therefore it should be compared
with infra projects which is 3-2.5-years like the m etro railways or water, airports and all that,
obviously the answer is, yes. And the second part i s connected with the segments. See, at some
point of time, we will do. We couldn't do this in t his particular concall. We will try to give a
break up of comparison of last year as well as this year key segments what has been, we will
provide that in the subsequent quarter when we enga ge with you for the Q1 results, we will
indicate that. The margins, I do not think it can b e 10% at all. Even though there is significant
amount of Packaged Air Conditio

ning where the VRF, Ducted, Chiller that part, the
manufacturing and sales service part is part of seg ment-I. Even then I do not think so, because
EPC business can only be a 4% to 5% EBITDA. It is p ushed up because of the manufacturing
and service elements that come in that segment. So, our outlook for this segment-I is 7-7.5%,
segment-II is 8-8.5%, in a good summer year, it may be around 8.5%.

R Swaminathan: And growth for the first segment, how do you envis age that for the next two years?
B. Thiagarajan: At least this financial year, we are attempting to grow the revenue by 25%. Internally, that's what
we are working towards. We don't know what will hap pen. That is the aspiration. I tell you that
the segment-II, there is no problem, the growth sho uld be in a good summer year, full year
growth to exceed 20%. So, we should do better than that. Segment-I, there is enough order book
and order inflows will come in. See, we are selecti ve. That market size is huge and the number
of projects are happening. So, it may not be diffic ult to do 20% growth even in segment-I.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: In line with what I think Nitin had asked earlier, we are seeing one of the largest players in the
sector being extremely aggressive in terms of prici ng, and that is something we've heard across
the board. Is that something that is having a beari ng on profitability? So, since volume numbers
are so much better, we understand you're spending o n advertisement. But, is that also an element

which has kept the margins under check despite such strong volume growth, and as we look at the first quarter of this year, which again you are indicating is very, very strong in terms of volumes, could the margins for you and the broader industry be under check because of one player going very aggressive?
B. Thiagarajan: For a particular quarter or a particular season, t he answer may be something different. Like for example, in a huge summer season, there are shortag es, pricing may not be an issue at all for anybody. Now, this has to be taken strategically gi ven the fact that India is a market with huge potential, India is the fastest growing market, Ind ia's penetration levels will more than double in the next three years to four years and by 2045 or ' 47, India has the potential to overtake China. In that backdrop, for the Room Air Conditioners bus iness you can plot what is the demand growth, how the competitive landscape is likely to pan out, what is the manufacturing capacity already existing in underinvestment, what will be c reated, what are the supply chain constraints, what are the competitive things and the gaps. If yo u keep that in mind and going by certain other information that is available from other durables, like what happened in refrigerators or washing machines for example, or two wheelers, automobile, you can easily conclude that the demand growth is given, you need not worry about it at all . There may be a bad summer in between. That's fair enough. Demand will continue to grow. S econdly, the growth is driven by aspirational middle-class. The cost structure is impacted by a f ew other things which is not applicable for other categories, like for example, once in two yea rs, the energy labeling upgrade, the refrigerant related regulations that are supposed to come in, t he highly seasonal nature of the product, therefore, the inventory that you have to hold or t he manufacturing capacity utilization throughout the year, extention of obligation for th e e-waste, consumer finance at its peak like 55% of the sales happening through consumer finance . If you keep all those elements and advertising, that is needed for occupying the share of mind and after knowing which are the markets that are beginning to grow in a big way lik e Tier-3, 4, 5

, I am of the opinion that it is a market with 8.5% operating margin. I do not think i t is a 10.5%, 11% operating margin market at all and keeping in mind all the durable broad ma rgins they are making.

Now, one may say extensive backward integration is happening but then you have to make again R&D investments and many other things, learning cur ve, etc., where before you are able to improve, but then in a growing market, the competit ion will also be interested in growing their market share. And I do not see anybody being shaken out and thrown because in every country, the players are there, it is known. In that backdro p, it is 8.5, if you are lucky it can go to 9 at some point of a time. I do not think 9 is possible is my view. In that context, somebody is pricing lower in one particular year, somebody is gaining m arket share, somebody is losing market share, we are indifferent to that. We will go ahead and ta ctically price in some markets, but we are very clear that profitably you have to grow the business and we know it will eventually settle down. If we are to be getting into the game of, that I wi ll drop the prices to gain the market share,one - or two quarters, it may happen, but it does not yie ld result. Historically, I'm not seeing any evidence when somebody has dropped the prices. You can change the game through your product or technology. And lastly, I don't think we have th at culture at all. Our direction is very clear. We know what the potential revenue is possible in this market, what is the margin possible, within that set our goals.
Pulkit Patni: My second question is, we have for a long time wai ted for that J-curve in India's AC demand, if you look at the last 10-12 years, despite some good , some bad summers as an industry, we've grown at that early 12%, 13% kind of rate. Do you t hink we are at that stage where we are either already hit or hitting that J-curve, where that gro wth rate could be much faster, I mean, I'm saying keeping in consideration the strong real estate dem and we are seeing, the low penetration, I mean, are you of the view this is still an industry that will grow between 12% to 14% on a normalized basis or we could see a five year period where we could grow faster?
B. Thiagarajan: Much, much higher is my view. It is going to explo de in the next five years.
Pulkit Patni: And why is that?
B. Thiagarajan: It will explode. It is exactly like in China what h appened post 2005 and it will be a very high growth market for this category.
Moderator: The next question is from the line of Dhruv from A mbit Capital. Please go ahead.
Dhruv: So, I have a question on the VRF segment. So, we h ave seen that a lot of premium housing projects have been seeing good traction there. So, if the trend of VRF being installed, something that you are seeing or something that we've also se en in the developed markets, and how should we think about this category growth in the next fou r or five years? And also if you could just talk a little bit about the competitive dynamics th ere?
B. Thiagarajan: So, where the VRF comes into play? VRF comes into play for a very high energy efficiency in a commercial establishment. First of all, let us un derstand it. In India, residential segment is far

bigger than the commercial segment, unlike certain other markets where the commercial segment can be much, much larger. Now, the calculat ions will show, keeping in mind the energy labeling program and the energy efficiencies that we have achieved, if you are looking at a three

bedroom apartment, a five-star inverter installed i n three bed rooms, will have the potential to deliver more energy efficiency than a VRF. If you h ave to look at the cost, because that market size is huge and therefore the price levels tha

t ar e operating, again, room air conditioners, five-star, 1.5-ton installed, in this particular example of a three bedroom plus hall, that will pay back faster. If you have to look at the ease of operatio n, in an Indian home, I think all bedrooms, hall are not occupied and it is limited usage in the hal ls or the dining area, or the living room. Again, we are not seeing any kind of a great advantage. I' m going purely by the calculations of payback, given that it is a developing market and it is driv en by aspirational middle class, it will not make a commercial sense yet in the residential space, be cause of the price levels at which five star, 1.5-ton air conditioners are available. But having said that, there are customers who need sophistication and who are looking for different ki nd of solutions and these maybe even larger homes beyond three-bedroom, four bedroom, VRF is an application. So, this is about the residential part of it. And the commercial part of it, definitely VRF provides far superior benefits in terms of energy savings, given that if they are all 18-hours, 24-hours, 20-hours application. And most importantly, compared with the central air conditioning, the installation lead time is very, very fast, there is no ducting installation, so many other things take place, generally, VRF installation can be done very, very faster and ther efore VRF will continue to grow but not necessarily like a room air conditioner. In India, the market size will be far lower as compared with residential application.

Dhruv: I had a question on commercial refrigeration. I th ink in your opening remarks you mentioned that segment has done very well. So, just wanted to understand till when do we have the import substitution tailwind, the BIS-related table that w e saw. Have the import substantially dropped or do you think that next two or three years we'll continue to grow at a very healthy pace?

B. Thiagarajan: I think that's fully stopped, in the sense that th ere is a QCO regime and in that QCO regime, to go and get approval and that those QCO approvals ar e of limited validity period. So, practically you have to be doing it here. There are only very f ew categories which are all less than 25 crores market size. It may be some wine cooler and some es oteric applications, or it may be connected with some healthcare-related refrigeration product specialty. Otherwise, the entire deep freezer segment has moved to localization. There may be pla yers who are getting some sub-assemblies and trying to put together something. That maybe an inefficient way of doing that is our view. It is like room air conditioners where you are importi ng some specialty air conditioners from outside. Here again, that's what is happening. It i s fully stopped.

Moderator: The next question is from the line of Anupam Goswa mi from SUD Life. Please go ahead.

Anupam Goswami: So, my first question is on the overall strategy w ise, where do you think Blue Star market share is and how do you gain market share from here, let' s say from the Korean players, is there a strategy to look and expand market share in that pr emium segment?

B. Thiagarajan: First part is that I suppose you are looking at ro om air conditioners. The second part is you are looking at the category as a whole. It's not premiu m alone. I do not have, within premium, what is our market share. I do not have that part of it within room air conditioners, but the thing is in

room air conditioners, our estimate is that it's 13 .75%, it may be slightly higher than that, but it is what it is, and we believe we gained market shar e even in FY24 and going forward, we had stated that we would like to reach a market share o f around 15% in FY25. So, the clock has begun and let us see. Gaining market share has been one of the important goals and every year from 2011, we have gained market share. So, let

us see.

Anupam Goswami: So, our strategy is to gain market share in the pr emium segment or more in the affordable segment?

B. Thiagarajan: I am talking about the full category. The growth i s driven only by affordable segment. Premium segment is growing but if you have to gain market s hare, you have to address the bottom of the pyramid, it's all 65% sale is from tier 3, 4, 5 mar kets.

Anupam Goswami: Lastly, do we face any competition from Daikin, th ey being producing more affordable ACs now, do we face any threat from them?

B. Thiagarajan: No, you face competition from everyone, including D aikin. I won't use the word, “Threat.”

Competition is supposed to be there in a growing ma rket. We face competition from everyone.
Moderator: The next question is from the line of Sanjaya Sata pathy from Ampersand. Please go ahead.
Sanjaya Satapathy: Sir, my question is that can you just give us a fl avor of the space that the Company is taking to improve the qualitative aspect of its products, bec ause whenever I'm going and checking out in places like Amazon and other places, I kind of see a mixed signal in terms of quality of the Company's product?
B. Thiagarajan: I'm not sure by going to Amazon, how will you under stand the quality you may be talking about, whether the product is an entry level product, is p remium, product is next generation. I am not sure you will be able to judge whether the product quality is good or wrong. If you have come across, please let me know. It is impossible to be assessing that. Now, on the other hand, if there are some customers who have posted about the delive ry or something rather than the customer rating, we do monitor and when you are crossing som e 1.1 million of air conditioners, there will be complaints, but it is negligible. So, we are ver y clear that the products will have to be of world-class quality and reliability, these are stro ng pillars forming part of our business operations. If you come across, please let us know. To the extent, today, hour-to-hour what is the installations that are pending, in the summer seaso n whether we are able to install within one day, the time is getting extended because of huge d emand or unprecedented demand, and during summer season, the number of calls may be also high . This is monitored round the clock hour-to-hour. I get a report on the pending installation s, pending calls and which location. So, if there are, I would request you to let us know. But, on th e other hand, by going to Amazon, you saw an entry level product. You use the word mixed signals . Is there a product comparison? It depends on a particular day strategy out there or what I am pushing some particular model in that strategy that could be. But on the whole, I do not think we are reasonably sure because even the third-

parties have been engaged to certify that. Our prod ucts will never be second to anyone at all that we make sure.
Sanjaya Satapathy: Just the additional thing that I just wanted to he ar your views that when Blue Star came into this unitary product, it kind of gave a clear message th at you are getting office kind of comfort at home and now that you are getting into more and mor e entry product. But overall as a brand, are you really going to be positioned more of a premium brand and aspirational brand or you're getting mass product where like you'll be catering to almost everything?
B. Thiagarajan: In 2015 itself, we moved out of that office like c ooling, for the simple reason. In tier-3, 4, 5 markets office itself may not exist, right, they wo n't be able to relate to office like cooling. We had migrated to a different value proposition that it is a fast-cooling AC. We were only in premium; we went to affordable premium and now we are in pr emium, affordable premium and affordable. And if you have to grow, you have to be in all the three segments. So, we are

there
in all.
Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain: I have two questions. First question is, I underst and that Blue Star gave 80 months comprehensive warranty from 1st of March, I think u ntil 30th April, and that has significantly contributed to your Q4 volumes. Now, 80 months is c lose to almost an entire replacement cycle for an RAC. So, I want to understand what kind of w arranty cost should we be looking at as a result of this? And any kind of mathematical conver sion you can broadly say in terms of one unit of RAC sold entail to what percentage of ASP a s a probable warranty cost down the line?
B. Thiagarajan: I don't pay attention to this particular subject a t all for the simple reason, this is a one-time for the 80th year. So, all this goes on in the market, some stabilizer-free, the installation-free, so on and so forth. But the Company has to cost for this. This is connected with Blue Star completing 80 years on September 27, 2023. Connected with that , when we launched the new product, there was a huge demand and there are two demands; one is there a 80th year edition. If it is a 75th year, there was a platinum jubilee edition. If it i s a century, there will be a special edition centur y, there is no edition product, but whether you will b e able to make some consumer offer. So, as a part of that their way like for example pay Rs.80 a nd take over air conditioner or 80 installment you will be able to get it or it is a 80-month warr anty like that. It is a one-time offer which is over already. But as far as the warranty cost polic y is concerned, it is based on the past data what is the number of units that were sold and what has been in the field as a population, and within that, what is the cost incurred, based on that calc ulation for the future sales, provisions are made, this could be the potential warranty expenses and t his is continuously monitored by the auditor. It is also kept in mind what the industry is doing. Now, whether our sales went up because of this, I do not think so. There was a general demand . It is a one-time offer.
Natasha Jain: So, what I understand is specifically on the MT ch annel side, now MT wants to stock more of non-seasonal brands and when I say non-seasonal I m ean brands like LG, Samsung, Haier and Havells who have presence across white goods catego ry, and they sell throughout the year. Now,

while our strategies to be an HV AC-focused player, do you think such a changing trend can impact a seasonal brand like us and how do you read this in the medium to long term?
B. Thiagarajan: No, compared with any other player, I think we are less seasonal to direction because we are in B2B space and we are a strong B2B player. See, our pedigree is B2B, right? Our share of market in institutional will exceed 30% and whether it is an office, whether it is a restaurant, whether it is a shop, whether it is a boutique, whether it is an airport, whether it is an ATM, we are present every day. The specific question of room air condit ioners has a summer skew which is common for all companies.
Moderator: The next question from the line of the Dhananjay f rom ASK Group. Please go ahead.
Dhananjay: Just a quick on the UCP part which was non-RAC. Ho w do we see that in let's say the next three to five years in terms of growth? Would that be som ething even larger than RAC in growth wise, or how would that be?
B. Thiagarajan: The commercial refrigeration in a developed countr y can be as large as room air conditioner market, first point.
Dhananjay: Market size or market volume?
B. Thiagarajan: Market size, because it is driven by the volume, r ight. The question is in a developed country, the commercial refrigeration market size can be as high as the room air conditioner. Today, the room air conditioner market size may

be around 24,00 0 crores or so. But whereas today in India that market is only some 5,000 crores for commercia l refrigeration. The second part is, it is highly fragmented, it can be a water cooler, it can be a deep freezer, it can be a dispenser, it can be an ice cuber, or it can be a cold room, it can b e a ripening chamber. And there are multiple categories here, so therefore it can be different. It is dependent on the individual consumption level like US consumes lot of ice in everything, so the ice cuber is a very huge market globally, like that. The third insight is that India's popula tion is very huge. Indian homes are smaller in size and therefore room air conditioner market will continue to grow, that we are only at 7%-8% penetration level, it will continue to grow and in India, the frozen food consumption, process food consumption is negligible. And locally, quite a few vegetables and fruits are available, and in the process the commercial refrigeration penetra tion will take a longer time. Because the base is smaller, it will continue to grow anywhere betwe en 20% to 25% every year.
Dhananjay: So, that growth will also be as strong as what is larger than what we have. And would we ever look at maybe acquiring other players to grow our m arket share, these segments who have a foothold from before?
B. Thiagarajan: I do not think so. That is we don't need that at th is moment. We are well placed.
Moderator: Ladies and gentlemen, as that was the last questio n for the day, I would now like to hand the conference over to Mr. Nikhil Sohoni for closing co mments.

Nikhil Sohoni: So, thank you very much, ladies and gentlemen. Wit h this, we conclude this quarter's earning call. Do feel free to revert to us in case any of y our questions are not fully answered and we'll be happy to provide you additional details by e-mai l or in-person. Thank you.
Moderator: On behalf of Blue Star Limited, that concludes thi s conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

August 13, 2024

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the First Quarter ended June 30, 2024

In furtherance to our letter dated August 7, 2024, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the First Quarter ended June 30, 2024 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

\\172.16.31.16\Legal and Secretarial Documents\(01) Blue Star Limited\2024-25\Stock Exchange Compliances\Regulation 30 - Information and Update\16. Earnings Call Transcript\Q1FY25 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"Blue Star Limited
Q1FY25 Earnings Conference Call"

August 07, 2024

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and Gentlemen, Good Afternoon and Welcome to Blue Star Limited Q1 FY25 Earnings Conference Call.
We have with us today from the Management, Mr. B Th iagarajan – Managing Director and Mr. Nikhil Sohoni – Group Chief Financial Officer.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signal an operat or by pressing the "*" then "0" on your touchtone phone. Please note that this conference i s being recorded.
I now hand the conference over to Mr. B. Thiagaraja n. Thank you and over to you, sir.
B Thiagarajan: Thank you. Good afternoon, ladies, and gentlemen. It's a pleasure to address you today as a part of the Earnings Call. I have with me, Mr. Nikhil So honi, of course, he is joining from Singapore today.
You might have seen the Press Release as well as ot her Announcements shared with the stock exchanges, including the AGM Speech of my colleague , Mr. Vir Advani.
So, you might have seen that the Results are once a gain an excellent one this time, supported by very, very hot summer season. B2B as well as B2C bu sinesses have done well. We have done well in terms of the balance sheet items as well. T he order book has been good, and the margins have improved and of course today, Mr. Nikhil Sohon i will take you through the highlights for the Quarter Ended June 30, 2024. We will also share the outlook for the coming quarter.
From my side, we have interacted individually, coll ectively over the past six months. You have seen my television interviews and other interaction s wherever it is available in the public domain.
The outlook is positive. As I had shared last time, it is a golden period for the Indian air-conditioning and refrigeration industry. We are the fastest growing market in the world and as far as room air-conditioners are concerned I think, and I continue to maintain that by 2045 we can overtake China in terms of market size.
The supply chain constraints continue in the same w ay. It is due to different reasons which you are all aware of, and the domestic supply chain has been improving steadily. There are three items which many of you keep asking. One is connect ed with copper, it's likely to improve in about six months' time. Till then we are imports-de pendent. Compressors, we continue to source from domestic manufacturers as well as from interna tional companies, and this should likely get resolved in say r around 18-months. It's true for e very player in the industry.
The third item is connected with the electronics an d again domestic supply chain is improving. There is a transition that is happening on this fro nt i.e., in other words, hybrid sourcing is being carried out.

The costs are coming down as of now and due to vari ous measures: One is connected with the scale. Second is connected with the value engineeri ng. The third is connected with the indigenization that is happening and finally the su bdued global commodity prices also help.
But having said all this, right now, the geopolitic al situation across the world and specifically the developments in the Middle East region calls fo r extreme caution. It's a matter of concern, things can dramatically change, but we continue to remain optimistic, and I suppose India will navigate through this crisis which is likely to be lasting for about six months of time. That's our understanding at the moment.
We continue to pursue our basic fundamentals. It is connected with growing faster than the market, building strong fundamentals by investing a dequately in research and development, looking out for improvements in margins through mul tiple ways, including supply chain

effectiveness and discipline in terms of cap

ital al location, whether it is capex or working capital
management. In terms of booking, large orders for B 2B businesses like projects, our focus will continue to look for the free cash flows and profit ability rather than market share.
There is one important element I will highlight, an ticipating it may be come up in the Q&A, so that we can address it in advance. Two important po ints: One is connected with the Segment-I margin. It is very high, basically because of the m ix of our own manufactured products in packaged air-conditioning. So, as you are aware, it is the electromechanical projects and packaged air-conditioning and where we have VRF sys tem chillers and packaged air-conditioners. There are significantly high value or ders for equipment executed in the quarter. That's why the margin for this quarter for that seg ment is very high.
The second one I would like to pre-empt is that we maintain that the growth will be somewhere around 25% to 30% in the beginning of the quarter. It increased to 30% to 35%, but in real life we witnessed some 40% growth in March last week its elf. We exceeded the expectations for the Q4 FY2024 results. And in Q1 April, the market grew by some 70%, again in May 70%, June only it came down to somewhere around 10% to 15%. S o, there was chaos in managing the demand versus supply. At the end you know the figur es. We have delivered much more than what we planned for. There have been questions as t o what the revenue we would have lost because we had not planned for the demand which pla yed out. I don't think one can ever plan for a 50%, 60% growth scenario. That would have bee n a futile exercise while keeping the supply chain flexible. So, 50% to 60% growth could be mana ged with great difficulty. Still if we would have had material, we would have sold. Our estimate is we would have done somewhere around Rs. 250 crores worth of revenue and perhaps Rs.20 t o Rs.25 crores worth of incremental PBT we would have earned more, but that that's only for an academic interest. It was an unprecedented summer. I don't think that every now and then you can expect that kind of situation, especially this summer, is the one which is following a very disappointing summer season of 2023.
So, with that, I will hand it over to Mr. Nikhil So honi for his Opening Remarks. Thank you.

Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good afternoon, ladies , and gentlemen. This is Nikhil Sohoni and I will provide you an Overview of the Results of Bl ue Star Limited for Quarter ended June 2024.
We stepped into FY25 on a strong note with an outst anding Business Performance in first quarter and a healthy carried forward order book to be exec uted in coming quarters. Robust demand for our diversified product portfolio across segments a nd focused cost management helped us achieve impressive revenue and profit growth during this quarter.
I) Financial Highlights for the Quarter Ended June 30, 2024, on a consolidated basis are summarized as follows:
• Revenue from operations for Q1 FY25 grew by 28.7% t o Rs. 2,865.37 Cr as compared to Rs.2,226 Cr in Q1 of last year
• EBITDA excluding other income for Q1 FY25 improved to Rs.237.83 Cr, an EBITDA margin of 8.3% of revenue as compared to Rs.145 Cr, an EBITDA margin of 6.5% of revenue in Q1 FY24
• PBT before exceptional items grew 98.9% to Rs.226.0 2 Cr in Q1 FY25 as compared to Rs.113.61 Cr in Q1 FY24
• Tax expense for Q1 FY25 was Rs.57.26 Cr as compared to Rs.30.24 Cr in Q1 FY24
• Net profit for Q1 FY25 grew to Rs.168.76 Cr as comp ared to Rs.83.37 Cr in Q1 FY24
• Carried forward order book as of June 30, 2024, gre w by 13.5% to Rs.6,084.69 Cr as compared to Rs.5,359.05 Cr as of June 30, 2023. Car ried forward order book as of March 31, 2024 stood at Rs.5,697.63 Cr
• The capital employed as of June 30, 2024, increased to Rs.1,737.88 Cr as compared to Rs.1,700 C

r as of June 30, 2023. We continue to inv est in manufacturing capacity, research and development and digitalization initiatives
• Strong operating performance aided the net cash pos ition of Rs.1,042.87 Cr as on June 30, 2024, as compared to a net borrowing of Rs.283.46 C r. The debt-equity ratio of 0.20 on a net basis as on June 30, 2023

II) Business Highlights for Q1 FY25
Segment-I, Electromechanical Projects and Commercia l Air-Conditioning Systems:
Segment-I revenue grew 9.5% to Rs.1,038.99 Cr in Q1 FY25 as compared to Rs.949.12 Cr in Q1 FY24. Segment result was Rs.103.03 Cr, which was 9.9% of revenue in Q1 FY25 as compared to Rs.66.62 Cr, which was 7% of revenue in Q1 FY24

Order inflow for the quarter was Rs.1,466.03 Cr in Q1 FY25 as compared to Rs. 1,224.64 Cr in Q1 FY24
1. Electromechanical Projects Business:
Despite limited traction in commercial building sec tor, we experienced robust bookings from the factories and data center sectors majorly drive n by ongoing government efforts to encourage

manufacturing investments through PLI initiatives. We also witnessed an uptick in enquiries from healthcare and retail sectors. Additionally, i nflow of enquiries and tenders in railway electrification sector remained buoyant throughout the quarter, while there was a slowdown in finalization of orders in the power and metro rail sectors.
Carried- forward order book of Electromechanical Pr ojects business was at Rs.4,557.29 Cr as of June 30, 2024, as compared to Rs.4,038.14 crores as of June 30, 2023, a growth of 12.9%.
2. Commercial Air-Conditioning Systems:
Demand for government sector was subdued; however, the increasing demand from education, manufacturing, and retail sectors more than compens ated, driving revenue growth during the quarter.
Price revisions and prudent cost management helped us improve the margin. Demand for Tier-3 and Tier-4 cities remain strong with significant orders primarily driven by ducted systems and VRF chillers.
We successfully retained our top position in Conven tional and Inverter Ducted Air-Conditioning systems and ranked amongst the top three players in Scroll Chillers, VRF and Screw Chillers. This quarter, we expanded the product range with th e commercial launch of state-of-the-art chillers for data center application and Brine chil lers. With these new product lines, we are confident of penetrating new market segments.
Due to the higher mix from Commercial air-condition ers, especially with good margin products, Segment-I margins significantly improved in Q1 FY25 versus Q1 FY24.
3. International Business:
Demand in Middle East and Africa remain subdued dur ing the quarter. Overall, for our international business, we are focusing on products . Accordingly, we continue to invest in R&D to expand the product portfolio. Our subsidiaries i n US and Europe are engaging with customers and we expect the business to pick up traction soon .
Segment-II, Unitary Products:
The revenue grew by 44.3% to Rs.1,729.52 Cr in Q1 F Y25 as compared to Rs.1,198.45 Cr in Q1 FY24.
Segment result was Rs.158.03 crores which was 9.1% of revenue in Q1 FY25 as compared to Rs.89.34 crores, which was 7.5% of revenue in Q1 FY 24.

1. Cooling and Purification Products Business:
This quarter has experienced exceptionally strong g rowth for room ACs with seasonal demand receiving an additional boost from unusually high t emperatures. The demand exceeded our inventory plans and the company successfully made m ost of the demand to higher production. In our estimate, in the month of May, we would have lost an opportunity to meet the market demand despite 50% higher production. We estimate t hat our market share continues to remain at 13.75%.
Margins for the quarter improved due to volume grow th, while which enhanced operating leverage. Q1 FY25 was ex

ceptional, and we remain op timistic about our growth outlook for the entire year.
2. Commercial Refrigeration Business:
The market for commercial refrigeration, namely, De ep freezers, Water coolers and Modular Cold rooms continued to grow at CAGR of 15%.
BIS-related regulatory changes for Water Coolers an nounced in the last week of March 2024 impacted the sale of Water Coolers in Q1 FY25. Thou gh the production and sales have normalized in Q2 FY25, substantial reduction in sal e of Water Coolers resulted in lower-than-expected revenue growth and profitability in Q1 FY2 5.
Company maintains its leadership in key categories like Deep Freezers, Storage Water Coolers and Modular Cold Rooms.
The outlook for the Commercial Refrigeration market is strong and we expect to accelerate our growth in coming quarters.

Segment-III: Professional Electronics and Industria l Systems:
The revenue grew 23.5% to Rs.96.86 Cr in Q1 FY25 as compared to Rs.78.43 Cr in Q1 FY24.
Segment result was Rs. 9.6 Cr, which is 9.9% of rev enue in Q1 FY25 as compared to Rs.10.49 Cr that was 13.4% of revenue in Q1 FY24.
While most of the product categories are performing well, supply chain disruptions and cost overruns in MedTech business impacted on the segmen t margins.
III) Business Outlook:
The year has begun on a positive note with robust d emand for our product portfolio and the outlook for the remainder of the year continues to be favorable. We anticipate sustained growth driven by ongoing market trends and launch of new p roducts. We are pleased to announce that

our order books remain robust, indicative of sustai ned confidence and trust placed in us by our esteemed customers and partners.
As a part of our commitment to long-term growth and innovation, we will continue to invest in manufacturing, Research and Development and Digital ization. These investments will position us to capitalize on future opportunities and enhanc e our competitive edge. We continue to remain focused on maintaining a prudent approach to balanc e sheet management.
To conclude, we are optimistic about the business p rospects for the rest of the year.
With that, ladies, and gentlemen, I am done with th e opening remarks. I would now like to pass it back to the moderator who will open the floor to questions. We'll try to answer as many questions as we can. To the extent we are unable to , we'll get back to you via e-mail. With that, we are open for questions.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: My first question is on the EMP segment where you said that the mix was kind of skewed towards commercial product segment, which kind of h elped the margin profile. Can you just give a color on how the mix kind of changed? From w hat I understand earlier, it used to be 70% project, 30% product. What was the kind of skew dur ing the quarter? And you were looking at margins earlier at say 7-7.5%. Does this quarter ch ange the outlook? And a sub-question to the project segment or the EMP segment is also on data centers. What kind of revenues on an annualized basis are we generating from this segmen t and if some color can be thrown in terms of what is the addressable Datacenter outlook for u s in terms of per MW capex, what could be a replaceable project size that we could potentially get?
B Thiagarajan: Thank you. First of all, I am not sure where you g ot 70:30 as a figure. Officially, our position is very clear that we are not going to be selectively disclosing any of the products within a particular segment at all. The same question can co me within unitary products, what is refrigeration, what is room air-conditioners. I hav e been a very strong advocate. I have taken it up with SEBI forums and I have said this in many CI I forums, whether it is

integrated report,
annual report, or quarterly disclosures, there is n o level-playing field at all because we compete in a multinational environment where my information is readily available to the international competitors. At the same time, I do not have any in formation on my competitors at all. So, I have been firmly advocating that at least the ROC f iling should be asking for similar disclosures. Otherwise, listed companies are at a disadvantage. Second, we respect that there has to be a level-playing field in terms of disclosures to all the stakeholders. So, this position is very clear, whether it is QIP investors or retail investors, th e information that is put out is same for all.
Coming back to this 70:30 or anything in that segme nt, you know very well, the projects is something which happens based on a particular order being executed, particular site being available, how the progress is taking place. A big order that is booked, nothing may move for

six months of the time, in 7 th or8th month suddenly the billing will come in. The re could be jobs which are going on smoothly, and suddenly some thre e months the billings may not happen. So, even within the Company i.e., within Blue Star, one will not be able to say what is the equipment part of it and/or what is the projects part of it. Equipment again will be based on, say VRF or a packaged air conditioner, it is dependent on the si te availability and the customer just lift the equipment because it is not stored in the site, nor it is a product where it is billed to the dealers, and it is getting consumed. And most of this equipm ent are also cleared after the drawings are approved. Under the circumstances in one quarter, i t may be 20:80 and in another quarter, it can be 80:20, in another quarter it can be 90:10. All t hat we are saying is when you see a huge margin, the skew could be where the products are hi gher. For the simple reason, certain products fetch higher margin. Same way, within projects itse lf, there are certain projects which would have been booked or resulted in a higher margin, ce rtain projects we are just making some 6% or say5% margin. That's the real story. It is extre mely difficult even within Blue Star to be passing a judgment on quarter-to-quarter performanc e. Our interest is to smoothen out and have consistent execution, but it is entirely not in our hands at all. So, therefore, we are unable to disclose anything more than what we already do on t he margin front. The reason I am saying this is for your benefit. Somebody should not end u p projecting that this business has the potential to deliver 10%-plus EBIT margins. Then I am doing injustice to your estimates. The outlook remains very clear. The outlook somewhere c ould be 7.5% to 8% as far as segment 1 is concerned. In the best interest of transparency, we would like to clarify that the margins are due to certain highly profitable orders equipment execu ted. This is the first part of it. Same way here, I am completing the Segment-II outlook. We have bee n saying it is somewhere around 8% and now since the summer season has been good. Barring that the rest of the period goes through there are no major disruptions due to geopolitical situation, we are saying it could be 8.5% to 9% instead of 8% to 8.5%. So, 7.5% to 8% for Segmen t-I, 8.5% to 9% for Segment-II is the outlook we are communicating.

Now coming to data center part of it, the segment is g rowing, there is absolutely no doubt about it. Right now, everyone is investing. According to the information we have, it is driven due to artificial intelligence-related expansions that are happening and there is a huge demand for data centers and all are expanding their capacity. Now, equally the fact is that there are growing concerns

about the carbon footprint related to data centers. Therefore, what are the alternate solutions? We are conscious of this as well. Close to in a year, we think that Rs. 1,000 Cr to 1,500 Cr worth of orders can be booked. It is in th e order of around Rs.1,000 Cr now. It can go up to 1,500 Cr. This business I keep believing it i s something like Telepack some point of the time we used to be a player in that. Mobile cellula r towers, wherever it was coming up for the batteries as well as the switches, there were speci alty equipment, and it was a growing segment at some point of time. Close to around 6-7 years it is a niche business, it was growing, and the profitability was high. The tower companies all hav e reported their growth. We believe in the next 2-3 years' time there will be a huge requireme nt for equipment like chillers as well as electromechanical projects where we do, including t he civil work which are highly profitable, will grow. I would reckon that Rs.1,000-1,500 Cr of revenue is possible in the coming years for at least three years. I do not think a dramatic cha nge in the technology could be there. And you might have seen even yesterday there was an article with regard to AWS Accenture reporting

that one could exploit cloud solutions in order to bring down the carbon footprint. From where we are watching that right now, we are augmenting c apacity in order to execute. In the electromechanical project segment as Nikhil mention ed that the growth is driven today by manufacturing, data center, and educational institu tions. Building segment is showing some kind of revival. During the last six months infrastructu re orders, there was some kind of slowdown. I suppose it is due to the elections and the new gove rnment getting formed, things would have been delayed, but now those orders are also getting finalized. And we believe we will further build on the results we delivered last year for the Segment-I. This is where we are.

Bhoomika Nair: Sir, just on Rs.1,000 Cr, what is the FY24 revenue s from data centers?

B Thiagarajan: It will become selective, right? This is where the problem is that I should not be doing injustice to a regulation. If I, do it, I will notify to the stock exchange and do. I am not doing it because I am peeved by the fact that it is not a level-playin g field. Room air-conditioners for example the information of Voltas, Blue Star, Havells will be a vailable, Amber will be available in different degrees but then I don't have the other competitors . So, this solution will have to be found where we disclose every information. You look at our annu al report. To the extent possible we have disclosed everything. The fact is that whether I am having a level playing field with my competitors, two, I am disclosing the same informat ion to all the stakeholders.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: So, just one follow-up in terms of the Segment-I c ommentary that you just made. In the last concall, you said that manufacturing on data center in orders cannot compensate for the large infra projects that we could not get. So, now that elections are over, are we seeing any pickup in the infra-related orders or is there still delay ha ppening in terms of finalization?

B Thiagarajan: The tenders are being floated. Order finalizations will be coming up in the next 2-3 months. So, one can expect doesn't mean that Blue Star should o r will bag the order, but the market has opened up and we should be successful I suppose in the same ratio as what we have been in the past in terms of share from a particular segment.

Natasha Jain: So, are we in line in terms of maintaining our 25% top line guidance in Segment-I?

B Thiagarajan: What is the guidance you are saying?

Natasha Jain: I think last quarter you've given a guidance at ap

proximately 25% is a top line growth that
Segment-I is expected to see in FY25. So, are we on track in terms of delivering that guidance?
B Thiagarajan: We have been saying some 20% to 25% that's how it has been going by the history. See, the ratio of a particular segment will also depend on t he other segment, right, the room air-conditioners and commercial refrigeration products all have grown significantly due to summer.

Natasha Jain: My second question is in terms of the update. We s hipped out trial orders for commercial AC in the European and northern market. So, what's the up date there, what is the feedback, have we got, any initial feeders on that, which would be he lpful?
B Thiagarajan: We have been successfully testing, validating the products and I think we have made good progress in terms of meeting the technical specific ations. So, that has been our direction to the team that our product should be world-class quality . We should be able to compete with the best of the best in the world. That's what we did in VRF or room air-conditioners or chillers. The second part is connected with the cost part of it. You are competing in the international market. There we were earlier sourcing from China and it is there where we will have a challenge. It will not happen easily. Our direction is as follows: Fir st, to get the quality and technology right and have a product differentiation or a unique selling feature, then it is going to come to the cost because somebody will be negotiating with you stati ng that this is the cost that I got from China. We have to be working on that path. That journey wi ll take 3-4 months. In the meanwhile, you are aware European market is down and the United St ates is also slowing down. And I think these markets are at varied positions United States , they say will revive post the elections, and Europe we really don't know. But that suits us in a manner of speaking in the sense we need to build on our competitiveness, build our manufacturi ng capacity expansion which Nikhil talked about because you have to meet the growing demand o f domestic market as well. So, the bottom line is we have quite a few products in heating, wa ter or air approved by a few OEMs, and the products are now world-class. And the second part o f it is connected with the cost part of it, we are working. And third part is we have to expand th e portfolio because each OEM as we approach the differentiation will have to be there. That is a journey. And as we had maintained, its 2-3 years journey once it is built, it should be a well -oiled machine.
Moderator: The next question is from the line of Akshen from Fidelity. Please go ahead.
Akshen: Sir, just on the AC segment, you mentioned that th ere was a demand/supply mismatch. Towards the end of the quarter if you could give us some co lor on how the channel inventory was? Question two was given the kind of demand/supply mi smatch that we've seen, could you just talk to the pricing action that the industry would have taken? And question three was is there any changes in the norms in the AC division that we typically keep seeing in a few years that is expected this year and how do you think that impact s?
B Thiagarajan: First one is that I think everyone would have plan ned, that's what we hear in the industry forums, that broad agreement was this summer could be harsh , some 25% to 30%, I suppose all players subscribe to weather forecast as well. But it came as a surprise and you would have read many newspaper articles that there is pressure in terms of delivery and next is, it is not only delivery, once you have the material you have to have it proc essed. And then in this extreme summer conditions there was also pressure due to service c omplaints because at 50 degrees plus - 45 degree plus temperature. Further, certain models ma y even get derated as per the specifi

cation,
So, it is not only a supply pressure, it is the ins tallation service pressure as well. Now, the industry rose to the occasion in order to produce m ore and mobilize all kind of supply chains and then go ahead and deliver. My estimate is that industry also would have grown anywhere

between 50% to 60% depending on the region, dependi ng on the brand, that's what we estimate. I do not think the channel would have had inventory beyond one month, which is a normal norm, I do not think it would have been more than that at all, because even in June, July, the material was planned hand to mouth. That's how it is, becaus e quite a few critical components are still imported, that's what we hear from the channels as well.
Now, are there any mitigation measures? The only so lution could be the local supply chain developing. Thanks to the PLI Scheme, the supply ch ain today, after having planned 25%, 50% plus industry growth is thanks to the supply chain that has been developed locally. And other than that, I am not very sure at all because look, it could be other way around as well that you plan for 25% and the market is flat or its de-growt h, that is also possible. So, the question here

is it is beyond that 25%, 30% is a gambling. I don' t think, given the cost of capital, one should be producing every year expecting some 50% growth. I do not think that is the right thing to do. Instead, the industry will prepare for scale up or scale down by planning their supply chain. Look, two-three years ago, the sub-assemblies were coming from China. The quantities would have been blocked in December itself. Then January, February, March this all would have arrived or will be on High Seas. And that is the ti me the story used to be Rs.1,000 Cr of inventory of the industry lying, 700 Cr lying, so on and so f orth. Last year, when the summer failed, we didn't hear much of the noise. And this year, again on the upside, there was shortage, but it was managed well to cope up to even 55%. So, that's wha t the industry will do. Now, it is futile to be keeping inventory. It is not only the capital is blocked. In desperation, prices will come down. So, once the prices come down to take it up is a ve ry difficult task. I would have in my career gone through that at least 15-years in my 40-plus y ear career of trying to go through this painful period of liquidating inventory post summer season due to a failed summer season. Now, regulatory changes, it is connected with the energy label change which is due on 1st of January 2026 and therefore the industry will prepare for th at new energy label change. And the refrigeration-related, there is enough time, and it is to move from low GWT refrigerant or global warming potential refrigerant to ultra-low or near zero. That is their time till 2035. Having said that, the industry has been working on a) old air c onditioners, which are non-rated or rated 10-years ago, whether there could be a program in orde r to replace them. There are discussions going on there through certain regulatory guideline s it can happen. b) The industry has been asking for is the higher energy efficiency products , from 28% GST slab to be moved down to 12% may happen, may not happen, but there is a gree n credit scheme which I have been asking whether a five-star air-conditioner, some green cre dit should be given and so that the consumer benefits which was done in Japan or China at some p oint of time. There are bilateral agencies, including the World Bank looking at certain program s, you might have read that again in the newspapers connected with supply chain resilience t o be built within India. There is research and development you are aware of that, Rs. 1 lakh C r set aside for that so that we are able to innovate and come out with the technologies that is the other piece t

hat is working. And most importantly the UNEP program as a part of COP28, ho w to make cooling devices affordable while making it sustainable. People should have acc ess, and they should consume. So, the industry is fully aligned. There are interactions a nd numerous things happening there. But regulatory wise as far as Blue Star is concerned or preparing for the future, we are ahead of the

curve, and we are closely involved in this policy f ormulation exercise and we are up to date on that, there is nothing to worry.

Akshen: Just to clarify on the pricing, has industry taken a pricing post the season this year?

B Thiagarajan: Yes, w.e.f. June 1 itself, we increased, I don't k now about the others, we increased the price to the tune of around 3%. In the television interviews I have clarified, it's not because demand is high, therefore we are increasing the price, it is basically the input costs have gone up and you are aware of the commodities which went up and also the ocean freight.

Akshen: On your point on channel inventory where I was try ing to come from is that there was clearly higher demand in June which the industry couldn't m eet. So, it could seem logically that there is a mismatch in primary and secondary sales numbers. So, through the year, if demand remains healthy, is there a chance that you could see resto cking back at dealer levels which could lead to your sales being higher than the secondary uptick?

B Thiagarajan: You look at FMCG, there is a demand struggle that is going on. And on the room air-conditioners, specifically, the penetration levels are lower, it is the urban heat effect the way the homes are constructed, you need air-conditioners, a nd it is available at affordable prices, what is there about Rs.35,000 or so. And it is happening through consumer finance and more than 55% of the sale is happening through consumer finan ce. Therefore, people are going ahead and buying. So, one hopes that the demand continues and equally there could be a pessimistic view. Whenever there had been a very strong summer season , festival season cannot be that great. Last year, if you see post the summer season, we all sai d, there is a pent-up demand. The question is that I would be happy that CAGR of 15% is maintaine d. That's what one should look at in the long term. And one should be flexible about that if the growth is high, I am able to step in. If the growth is lower, I am able to regulate. That's how we will go about. Otherwise, I just do not know how the consumers will behave.

Moderator: The next question is from the line of Sonali Salga onkar from Jefferies. Please go ahead.

Sonali Salgaonkar: So, my first question is now beyond the summer sea son, how you foresee the underlying demand trends especially in Q2 and Q3. Apart from the rest ocking of channels, but the basic consumer discretionary behavior, are you seeing an uptick in that?

B Thiagarajan: Going by what is happening in the channels for thi s category is concerned, the demand continues to be good. See, at the end of the day, it's not th e dealer, right, the dealer is an intermediary. So, the consumer sentiments matter, I can be proven wro ng, but the demand is going to be good in Q2, Q3, Q4. And I would have said that the industry will grow for the full year between 20% to 25%. I think it could be even 25% to 30% this year and we have to watch what is going to happen in terms of other events like for example, the oil price, if there is somebody list crisis, simple oil thing can derail for three months' time the demand outlook. The good news is that summer season has gone on well. So, you can relax, it is n ot a huge pressure, relax in the sense you need

not have anxiety. Again, the demand will come back. Next big quarter will be for this category, Q4. To answer your questions, the

sentiments are go od as far as this category is concerned.

Sonali Salgaonkar: Sir, my second question would be any light you wou ld like to throw on your focus on exports, probably target for FY25? And also, I missed the in itial remarks on overall order book. If you could repeat those figures as well.

B Thiagarajan: You asked about the export. I think it is muted. I do not think in US anything is going to happen there. The enquiries are qualifying. As I told you, we are taking baby steps there. Europe again it is the same. So, it is only the Middle East. And I do not think it is going to be a needle mover as far as Blue Star is concerned in this particular year. So, our exports revenue will remain the same like last year with a marginal growth of some 7% or 6%. That's all going to happen is our view at this juncture.

Nikhil Sohoni: Carried- forward order book as on June 30 is Rs. 6 ,084.69 Cr as compared to Rs. 5,359.05 Cr for June 30, 2023. Order inflow for Segment 1 for this quarter is Rs. 1,466.03 Cr, which as compared to last time was Rs. 1,224.64 Cr.

Moderator: The next question is from the line of Sanjay from Ampersand Capital. Please go ahead.

Sanjay: Sir, just two questions. One is that you have so m uch of cash in your book after the QIP that you had done last year. So, can you just tell us like h ow have you changed your capex plan and how much it is for this year as well as next?

Nikhil Sohoni: We have not changed our capex plan; everything is in line with what was planned. So, the capex plan for the current year, we should be spending in the region of around Rs.450 Cr is the expectation. And if you look at it over a period of two to three years, it could be in the region of Rs. 750 to 800 Cr at least. So, that's the kind of capex, which was there earlier also which we had indicated, and we stick to that plan. Of course , anything comes up in between, we will have to see at that point in time. The QIP monies were t aken for a particular purpose, and they have been used for that mix of both manufacturing, R&D a s well as digitalization, and of course, the growing working capital needs, all of that which ha ve played out. Probably the cash position which you are seeing is also because of the excepti onal Q1, which has led to very high collections because of which you are seeing some extra cash whi ch was not probably anticipated, but of course that helps us making cash available for furt her growth if required, but there are no changes in the plans.

Sanjay: And second question is that, I mean, I am sure you would have already explained, but the non-unitary cooling part didn't really grow much. That is the concern of the project part in this Q1 and order book at the same time is up around 20% hi gher. So, should we expect a bit of acceleration in the rest of the businesses during t he remaining part of the year?

B Thiagarajan: Yes, it should be. We had indicated that whenever there is an election year, the order finalization execution gets postponed, that's about it, there's nothing to worry, everything is returning back.

Sanjay: Should we be a little cautious about the margin ex pectation in the future period or we should be getting into a bit of a better margin trajectory ov erall, primarily because the backward integration and everything seems much better now than -?

B Thiagarajan: It depends on the segment, and I had cautioned tha t don't go by Segment-I margin. If it happens at 10, it is a bonus. Our estimate is it is 7.5% to 8% only and Segment-II 8.5% to 9% we are saying, and this is as we see it today.

Moderator: The next question is from the line of Pankaj Tibre wal from IKIGAI Asset Managers. Please go ahead.

Pankaj Tibrewal: My question was two-fold. One, your aspirations fo r going global for the last couple of years. What is the progress right now on the US and the Eu ropean market,

where are we on that path?

B Thiagarajan: See, first of all, we are not directly entering wi th our brand, at least as of now. We are very clear that we have the technology that is needed, IP that is needed in the decarbonization area, variable frequency drives or variable refrigerant flow syste ms, and the heat pumps including low temperature one for heating air-to-air or air-to-wa ter. That is the profile. These two markets are expected to move in that direction because they are heating homes or heating water with conventional technologies of gas or electricity dir ectly. So, therefore the opportunity that is mapped is huge for entire global players, but the p ace in which the adaptation will take place. Many countries had announced some kind of subsidy f or pushing the homes and commercial establishment to move, some countries have not anno unced, some countries deferred certain plans. Now, on the whole, you might have seen by th e international players, the US earning calls or Japanese earning calls that the US and Europe ma rkets for heating, ventilation, air-conditioning, and refrigeration is somewhat muted, and, in some cases, it is even degrowth. That is what is being reported.

In our case, I had explained that a), we have to un derstand the requirements; b), since it is not my own product, I have to make a product for OEM. I have to ensure I am developing a product which fits with this product portfolio which means it is custom developed for that particular customer, how he is positioned in respective market s. The third thing is I have to meet the quality standards that are global in nature. We are happy t o report that with a few OEMs and with the few SKUs we started, we have completed the journey, we are able to design, we are able to develop, test and deliver prototypes, which are of global quality. That is the direction to the team. The second part is connected with how you will beco me globally competitive. In this case, global means Chinese prices. I should be interested in a m argin and with that margin I should be able to match the prices which will be a one-year kind o f a journey in order to get there. It is not easy for a new product to be competing with China in tha t scale to be coming to because somebody in China plus one means he is not going to pay you some premium and buy, he will be eventually interested in your matching the price, that is the other part of it. The third is connected with when the demand will revive. So, in our case we are in a manner of speaking, I am making a statement it's a blessing in disguise, the market is taking t ime to revive. So, when it is revives, I am ready with the prices and the products. So, it is a baby step, and it is fine with us because Indian market

is growing, I am expanding my R&D capacity, I am ex panding my manufacturing footprint and it still fits well with the strategy, I am not desp erate. Now, if you ask me sometime, in the middle of next year, our intention is, even our board asks that what will be our export revenue in about three years' time. I think we will be in a better p osition and deliberately and very firmly Vir and I keep saying this that get the fundamentals right before trying to project a number because if you look at China, it is not China went and markete d their products anywhere in the world at all, people were rushing to China to source. Our desire is that we have a product, we have the technology, we have the capability. People should a sk us, look, can you make it for me? That's a dream. There is a journey to go through that. Til l then this small export revenue is fine with us.

Pankaj Tibrewal: The second question is on the MEP project. While t he tailwind is very strong, the old memories keep haunting us as old-time investors like this wa s the segment which gave us trouble.

What are the checks and balances we are making in place that the same thing is not repeated again in this segment where project overruns and other thing s which are part and part of this business? And how much capital allocation can we expect on th is business because it's been gradually going up now and the old hat kind of keep me remind ing about that risk.

B Thiagarajan: A very good question, intelligent question, pertin ent question. This is the question whether it is Vir or myself or board keep asking ourselves and th erefore the specific mandate to Nikhil for example and his team is to closely monitor this on a monthly basis and we are aware of this, because we have gone through and endured that probl em of what can happen. So, there is an enterprise risk management framework that ERM commi ttee and the sub-committees within that are spending adequate time in order to understand. So, the first it starts with the direction. Direction is not market share and quickly grow. Tha t's not in the DNA of Blue Star. If you are an old-time investor, you will understand that. And between market share and returns, we are very clear about returns. Between profits and balan ce sheet, we are very clear that the balance sheet should be strong. Between short term and long term, we are very clear, long term is the important thing. If you ask anybody in Blue Star, t he PBT percentage with ROCE, everyone will say ROCE is important. Between ROCE and ROE, we wil l say ROE is important. So, that principles are very clear and it is in our DNA.

Now, we know what all can go wrong. There is time d elay, escalation claims are there or not there. When to stop a job, when we will not go ahea d and place orders for the equipment in a particular project. If there is a delay, whether ti me extensions are available and whether we are contractually compliant there. And while booking th e order, every major order, is put through a due diligence completely. And the margin considerat ions, the payment terms considerations and the working capital that will be going in that is m easured in fact it is almost on a quarterly basis Nikhil, Vir, and myself we review this particular b usiness very closely. So, I can assure at least the orders that we have in hand and what capital is being allocated there, to the best of our knowledge, there is no shock that can happen.

Moderator: Ladies and gentlemen, this will be the last questi on for today. It is from the line of Kirti Dalvi from Enam Asset Management. Please go ahead.

Kirti Dalvi: Just two questions. First is on the cash part. If I see on March year-end, net cash was roughly around Rs.456 Cr, which has gone up significantly. So, congratulations for the thing. But I just wanted to know, this doesn't include our dividend p ayout for the last year and where do we see the year-end cash because even if I do the cash flo w calculation seems to be a significant generation, which has happened. So, assuming Rs. 45 0-odd Cr CAPEX guidance, what you have given for the year as a whole, in Q1, we wouldn't h ave incurred much capex as well? And second, sir, is on the professional electronics. I mean thi s is the third segment of ours. The margins have seen a little severe impact. So, if you could throw a little bit more light on the margins in that particular?

B Thiagarajan: So, I will answer the second part, first part Nikh il will be in a better position to explain to you on the cash position. It was a muted quarter. That particular business is dependent on the capex cycle as well and we ourselves are a little bit dis appointed, but fundamentally, there is nothing wrong there, it should revive. There are supply cha in disruptions there in terms of getting the required equipment and completing the delivery. The order inflow there was like the Segment-I, there were certai

n delays, but it has revived, t here is nothing to worry there, but it is not a gre at quarter for that particular segment.

Kirti Dalvi: The sustainable margins will remain in the same zo ne because if I see the segment so over a period of time from the highs of 20-plus, we are tr ending to roughly around 13% to 14%-odd. So, these are the sustainable margins one should co nsider going forward?

B Thiagarajan: No, our intention is to maintain the same margin a s last year.

Nikhil Sohoni: So, on the cash position, see, what you are seeing is, over the March levels, this cash has gone up substantially, as you are aware, it was an excep tional quarter in terms of room air-conditioners and the working capital has got completely released . So, due to better collections and release of working capital it has got converted into cash. Of course, as you now again build up the inventory, the cash is going to get used up because as come Q4, you need to have stocks in position, inventory in position. So, we expect that by year-end probably we should be back to around Rs.350 to 400 Cr cash position, and of cours e the regular working capital CP borrowings if we do some regular borrowing, that's it. So, thi s is not a sustainable cash level, Rs. 1,000 Cr, plus the capex expenditure also was only around Rs. 30 to 35 Cr in this quarter. Large part of the capex is planned to happen around Q2 to Q4. So, that will also use up some amount of cash.

Kirti Dalvi: The treasury income, what we have seen in this par ticular quarter, one can't extrapolate the same, right?

Nikhil Sohoni: That's what I am saying. You cannot extrapolate th at treasury income because the cash collections were exceptional in Q1, and as you buil d up inventory, as you spend on capex, it will go on coming down.

So, I will just put the ending remarks. So, thank y ou very much, ladies and gentlemen. With this, we conclude this quarter's earning call. Do feel fr ee to revert to us in case of any of your questions

were not fully answered and we'll be happy to provi de you additional details by e-mail or in person. Thank you.

Moderator: On behalf of Blue Star Limited, that concludes thi s conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

November 13, 2024

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the ‘Listing Regulations’) - Earnings Call Transcript for the Second Quarter and Half Year ended September 30, 2024

In furtherance to our letter dated November 7, 2024, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the Second Quarter and Half Year ended September 30, 2024 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

Z:\(01) Blue Star Limited\2024-25\Stock Exchange Compliances\Reg 30 - Information and Update\16. Earnings Call Transcript\Q2FY25 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

“Blue Star Limited
Q2 & H1 FY25 Earnings Conference Call”

November 07, 2024

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good morning and welcome to Blue Star Limited Q2 & H1 FY25 Earnings Conference Call.
We have with us today from the Management, Mr. B Thiagarajan – Managing Director of Blue Star Limited and Mr. Nikhil Sohoni – Group Chief Financial Officer of Blue Star Limited.
As a reminder, all participants lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiagarajan. Thank you and over to you, sir.
B. Thiagarajan: Thank you. Good morning, ladies and gentlemen. It's my pleasure to join this call along with Mr. Nikhil Sohoni.
You have seen the results which were declared yesterday and with the revenue growth of over 20% and operating profit growth of around 22% and net profit increase of over 36%, it was an excellent quarter.
Mr. Nikhil Sohoni will provide the highlights of the Results, post which we will answer your questions.
There will be questions related to how the festival season was and specifically the month of October. All throughout, of course, the summer season, the Room Air Conditioners business has done exceptionally well. Some of you might have seen even the GFK Report that came out a couple of days ago. To disclose the specific figure, October being the Diwali month, the volume growth of Room Air Conditioners was around 30% and the revenue growth of around 28%. This is happening after a volume growth of over 53% in H1 for Room Air Conditioners and revenue growth of around 45%. In Q2 alone, the Room Air Conditioners grew 27% and the revenue growth of around 25%.
Now, the questions will come on Segment-II on why that growth is not reflecting? We will explain to you what are the reasons. Despite Room Air Conditioners growing by 27% in Q2 and revenue growing for Room Air Conditioners by 25%, still why the Segment-II revenue growth was lower? The GFK report, if you notice in Q2, the industry growth is reflected as the tertiary growth of 17%, Blue Star growth is reflected as 30%. In H1, the industry growth is reflected as 31% tertiary volume growth and 55% as the Blue Star's growth.
The market continues to do well in consumption. One major concern you might have seen in my media interviews as well over the past two, three weeks, while there is slowdown that is being reported in FMCG or automobile sector, fortunately, the Room Air Conditioners industry is doing well and we are doing well. Therefore, the question is when automobile has slowed down, FMCG has slowed down, even some other durables might have slowed down, why air conditioners alone is growing? The question I am not able to answer. Perhaps:

A) the temperature conditions or the way the people are getting used to air conditioning in other ways, whether it is a restaurant, a car, offices, markets, everywhere they are exposed to air conditioning. So, therefore, at home they may be needing the comfort of air conditioners too. B) The prices have remained stable. C) Huge consumer finance options are available that we continue to witness that more than 50% of the sale is happening through consumer finance. And most importantly, the power consumption has been coming down, thanks to the Energy Saving Scheme. So, we are happy that our industry is doing well, and I hope that it will continue. Having said that, these are uncertain times, we will keep a close watch on what is happening. Fortunately, it's a lean period. There will be one more spike between Christmas and New Year. Then we have to look at what's going to happen for the forthcoming summer season. So, the Room Air Conditioner industry

continues to do well.
The Commercial Refrigeration part of it, is doing well except for the setback in water coolers which is a high margin product. From March 27th of 2024, BIS related changes in terms of specification that has disrupted the supply chain and there are difficulties that are being encountered, we will explain to you. Those are ephemeral in nature and there is nothing to worry about the overall growth prospects for Commercial Refrigeration.
Manufacturing, data center and some parts of commercial real estate are doing extremely well. Infrastructure projects, there was a slowdown in execution, it is coming back post the elections. The commercial air conditioning business continues to do well, which in our case is part of Segment-I, it is not part of Segment-II like other players, and it is doing extremely well, both in terms of order inflow, margins and the consumption across various sectors, including manufacturing, i shops, showrooms and boutiques.
The input costs are stable as of now, and the supply chain-related challenges continue. There is nothing new to report during the quarter and the preparations are on for the forthcoming summer season.
Overall, we are very optimistic about the Financial Year 2025 and I think it will be another landmark year. We are proceeding with our investments wherever we have committed in terms of R&D or digitalization or manufacturing capacity expansion.
One more general point that will come up in the international foray is the testing validation of various products meant for Europe, or the US is going on very well and we are able to deliver quite a bit of products for the refrigeration migrant program, for which the deadline is this calendar year. Now, post the elections, what will be the direction in US? How will the market pan out? We have to wait and watch.
Europe market continues to be slow and all of us are waiting, whether it is Blue Star or international players trying to export to Europe or European players, they are keeping their fingers crossed as to when the European market will open up for consuming the de-carbonization related products. But our pursuit of developing products for this market, getting new customers to gain trust in Indian manufacturer as against China and how we will be able to improve our

own processes in terms of quality and the standards that are to be maintained post-delivery of the material. Those are progressing on as per the plan.
Overall, it has been a good year, and we look forward to closing the year in an exceptional manner. Of course, the same question which you or the financial media keep asking that, “Won't the slowdown of other industries catch up with us?” It is not. Let us hope that it will not catch up with us. Thank you. Over to you, Nikhil.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. So, good morning, ladies and gentlemen. This is Nikhil Sohoni, and I will be providing you an Overview of the Results of Blue Star Limited for Quarter ended September 2024.

I. FINANCIAL HIGHLIGHTS
This quarter, we sustained the momentum established in the first quarter. The strong performance across all key segments, supported by a robust order book, reflects growing demand for our diverse product portfolio. Continued focus on distribution footprint expansion, innovation and R&D, localization & backward integration in manufacturing and supply chain cost optimization has resulted in growth in revenue and profits.
Financial highlights for the quarter ended September 30, 2024, on a consolidated basis, are summarized as follows:
■ Revenue from operations for Q2FY25 grew 20.4% to Rs 2,275.96 cr as compared to Rs 1,890.40 cr in Q2FY24.
■ EBIDTA (excluding other income) for Q2FY25 improved to Rs 149.31 cr (EBITDA margin 6.6% of revenue) as compared to Rs 122.69 cr (EBITDA margin 6.5% of revenue) in Q2FY24.
■ PBT grew 38.3% to Rs 131.39 c

r in Q2FY25 as compared to Rs 94.99 cr in Q2FY24.
■ Tax expense for Q2FY25 was Rs 35.04 cr as compared to Rs 24.26 cr in Q2FY24.
■ Net profit grew 35.7% to Rs 96.06 cr in Q2FY25 as compared to Rs 70.77 cr in Q2FY24.
■ Carried-forward order book as of September 30, 2024, grew by 9.8% to Rs 6,598.20 cr, as compared to Rs 6,008.52 cr as of September 30, 2023. Carried-forward order book as of March 31, 2024, stood at Rs 5,697.63 cr.
■ The capital employed as of September 30, 2024, increased to Rs 2550.28 cr as compared to Rs 2069.62 cr as of September 30, 2023.We continue to invest in manufacturing capacity, Research & Development and Digitalization initiatives.
■ Net cash position of Rs 185.26 cr as on September 30, 2024 as compared to a net cash position of Rs 285.85 cr as of September 30, 2023.

II. BUSINESS HIGHLIGHTS FOR Q2FY25
Segment I: Electro-Mechanical Projects & Commercial Air Conditioning Systems
Segment I revenue grew 32.6% to Rs 1,428.42 cr in Q2FY25, as compared to Rs 1,077.21 cr in Q2FY24. Segment result was Rs 119.21 cr (8.3% of revenue) in Q2FY25 as compared to Rs 65.28 cr (6.1% of revenue) in Q2FY24.
Order inflow for the quarter was Rs 1,899.06 cr in Q2FY25 as compared to Rs 1,764.82 cr in Q2FY24.
1. Electro-Mechanical Projects business
Manufacturing and data center segments continued to drive growth. The infrastructure projects execution is picking up momentum and we are also witnessing order finalizations from commercial real estate sector.
Carried-forward order book of the Electro-Mechanical Projects business was at Rs 5,036.69 cr as on September 30, 2024, as compared to Rs 4609.37 cr as on September 30, 2023, a growth of 9.3%.

2. Commercial Air Conditioning Systems
During the quarter, the focus was to accelerate deliveries and also improved the margins through the ongoing Total Cost Management (TCM) initiatives. The new product development initiatives are on track and given the growth opportunities in manufacturing, data center, commercial real estate, health care and education sector the prospects for this business are excellent.
3. International Business
The development of new products in the areas of decarbonization and energy efficiency improvement for identified OEMs in Europe & North America are progressing well and the field trials for a few products have been completed successfully. There is a slowdown in Europe and the indications are that the demand will revive in 12-18 months. Certain shipments for the US market have commenced but the momentum is expected to pick up post the presidential elections. As we have explained in the past quarters, we would like to position ourselves as a manufacturer of innovative and reliable products for the respective markets and would give this business time for scaling.
Segment 1 margins saw an improvement in Q2FY25, rising to 8.3% of revenue, compared to 6.1% of revenue in Q2FY24. The improvement in margins is a result of the changing mix of business within the segment.
Segment II: Unitary Products
Segment II revenue grew 5.1% to Rs 767.00 cr in Q2FY25 as compared to Rs 729.49 cr in Q2FY24. Segment result was Rs 53.92 cr (7.0% of revenue) in Q2FY25 as compared to Rs 61.61 cr (8.4% of revenue) in Q2FY24

1. Cooling and Purification Products business
This quarter has seen reasonable growth over the previous corresponding period in spite of this being a non-seasonal quarter.
The demand for Room Air conditioners continued to be good and we maintained our market share at 13.75%. In anticipation of the forthcoming festival season, the dealers have begun stocking. As in the previous quarter, consumer finance related sales are significant and tier 3-4-5 markets continue to dominate.
With the localization and scale benefits the margins continue to improve.

2. Commercial Refrigeration busi

ness
Due to regulatory changes pertaining to BIS and Quality Control Order (QCO), production and sale of water coolers saw major disruption. Further, in transitioning to the new standards, while attempting to manage the inventory of old components, the margin for water coolers declined.
There was a delay in ramping up the production of the new range of state-of- the art glass top deep freezers which resulted in lower revenue growth.
To sum up, it was an excellent quarter for RAC in terms of revenue and profitability growth.

However, a muted growth for commercial refrigeration products pulled down revenue growth and profitability in segment 2.
Segment III: Professional Electronics and Industrial Systems
Segment III revenue de-grew by 3.8% to Rs 80.54 cr in Q2FY25 as compared to Rs 83.70 cr in Q2FY24. Segment result was Rs 5.17 cr (6.4% of revenue) in Q2FY25 as compared to Rs 12.23 cr (14.6% of revenue) in Q2FY24.
This business is largely dependent on the import of hi-tech capital equipment. The demand was expected to revive post Union elections, but supply chain restrictions and uncertainties have resulted in long delays in finalization and execution of orders. We expect the growth to revive only in Q4 FY25.
III. BUSINESS OUTLOOK
The prospects for Room AC, Electro-Mechanical Projects and Commercial Air Conditioning business are excellent. The Commercial Refrigeration business suffered in Q1 and Q2 of FY25 due to regulatory changes, but the prospects continue to be good. We are persisting with investments in R&D, Manufacturing and Digitalization and our TCM initiatives continue to pay dividends. We expect FY25 to be another landmark year. Our growth focused mindset supported with prudent financial management ensures a stable foundation for our short-term and long-term ambitions.

With that, ladies and gentlemen, I am done with the opening remarks. I would like to now pass it back to the moderator, who will open the floor to questions. We will try and answer as many questions as we can. To the extent we are unable to, we will get back to you via e-mail.
With that, we are open for questions.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Natasha Jain from Nirmal Bang Securities Private Limited. Please go ahead.
Natasha Jain: My first question is on the UCP segment. Firstly, if you could give us some sense as to what is the split between RAC and non-RAC? The reason why I ask is, you have stated in your press release that your margin decline of 140 basis points was predominantly led by Commercial Refrigeration. So, that's the background I am asking this split. And a related question here is while I understand that there has been regulatory changes and delay in ramp up of some of our products, is there also some kind of slowdown that you're seeing because we've been hearing this commentary for Commercial Refrigeration for a couple of quarters now and even from peers. So, if you could just throw a little detailed color as to what segment within this is driving growth and where are we possibly seeing some slowdown and a medium-term growth outlook?
B. Thiagarajan: Thank you. So, I will try and explain. We are also internally trying to discuss and even on the board we are discussing how to go ahead and classify the segment.
First of all, the segment classification has Electro-Mechanical projects and Commercial Air Conditioning, Unitary Products, and professional equipment and industrial solutions, this has continued for many years. Since some of you may be new to this in case of Blue Star:
Segment-I has got Electro-Mechanical projects which is EPC contracting business. It has got Commercial Air Conditioning which we are of systems or chillers or package air conditioners which are a own manufactured equipment, it is more like a Room Air Conditioner only, we manufacture

those, we compete with the same players in the market and it has got the related income of service as well., It has contracting business, MEP, it has got commercial air conditioning, manufacturing, marketing, commercial air conditioning service. That's what Segment-I contains
Segment-II contains Room Air Conditioners & Commercial Refrigeration products, and it has got related service obligations that we need to do. There is a international part of it, which is you are aware that we are not into the residential part. in Middle East it is not a business in which you will be able to compete because China is there, for India to export Room Air Conditioners or Commercial Refrigeration products is difficult, there could be years where some specific customer of ours ask in the Middle East, we would have delivered which incidentally is the case last year. Now, the International Business, which has just come in, it is B2B in nature. So, it is part of Segment-I. Anything we are talking about products that are being developed or expenses incurred for US or Europe goes into Segment-I. Now, the question here is the Room Air Conditioner versus Commercial Air Conditioning which has been a repeated question because the Room Air Conditioner is a star product which is growing. In fact, Commercial Refrigeration

also grows at the same rate, but relatively it is a smaller market size. That is the problem. Commercial Refrigeration, we have a larger market share. So, to put in perspective let us say Room Air Conditioner market size is around Rs.25,000 Cr to 28,000 Cr, the Commercial Refrigeration market is Rs.4,000 Cr, and our market share in Commercial Refrigeration is 30%, in Room Air Conditioner market, our market share is 13.75% to 14% at this point of time. The question that is asked is that whether we can segregate and give. Selectively, we cannot give. There is another thing that is happening. Some of our peers have Commercial Air Conditioning and Commercial Air Conditioning-Related service also clubbed under Unitary Product segment. Now, if I were to do that, actually my EBIT itself can go up by Rs.200 Cr.

Now, the question is that whether we should be reporting Room Air Conditioner separately, Commercial Refrigeration products separately and commercial air conditioning products separately. That's a debate internally we are having. But the question is that, as I have been saying that I keep raising this in many forums that multinationals who are my competitors, I won't be able to get any information whatsoever, whereas they will be able to get every information that is disclosed by us. Now there is no uniform standard for removing or dissecting and providing any information. Now, that is a debate internally we have got, how best we can provide the information to investors. We believe in transparency. I have absolutely no problem in giving you every information without being accused of selective disclosure to one set of people alone.

Now, I can tell you this much that go by the GFK data which is published. In Q2, the growth of the industry is 17%, Blue Star growth is 30%. H1 Room Air Conditioner growth of the industry is 31% in volume terms and the 55% is Blue Star growth, which is the real thing that has happened in the marketplace.

Now, Blue Star's room AC growth of Q2 is 27%, revenue growth is 25% and in H1 Blue Star's Room AC growth in volume terms is 53%, revenue growth is 45%. This information is available in multiple forms through GFK or otherwise you will know.

Now, you have to bear with me. We are internally debating. We will take a decision at some point of a time about the disclosure. I am not committing anything though. It has to be considered by the audit committee as well as the board to be saying how we are going to report. Now, whether products all to be together or it is Commercial Refrigeration separately in Segment-II

alone, we will also keep in mind how the competitors are reporting and what constraints I have got in terms of disclosing the figures. That's where I am leaving it now.

Come to what is the real issue in Commercial Refrigeration? As I told you, you will be able to relate to this that some Rs.28,000 Cr is the market size of Room Air Conditioner where we enjoy 13.75% market share, close to 30% market share we enjoy in the Rs.4,000 Cr market. That is one data point you have got. And now in that particular Commercial Refrigeration products, I have got numerous products; there are cold rooms, deep freezers and freezing equipment and then there are water coolers. Water coolers continue to be a very profitable part of the business. Deep freezer too is a profitable part of the business.

Now, on March ‘27, there was a regulatory change that came in as a part of non-tariff barrier. Unless your facilities are approved by BIS, you will not be able to dispatch the products from a particular date. So, what obviously you will do? You have gone ahead and produced the products. I am being transparent to the extent possible and disclosing, I don't know who will ask me what question. So, when you had the inventory, obviously, you are passing it away to the dealers at that particular point of time because you won't be able to because this order came in all of a sudden. Okay? So, therefore the tertiary sale would have been taken care for water coolers during the summer season with what was delivered by us. There is no problem. The government at that point of a time had said that the standards are going to be changed, and consultations were on, these standards are related to outlet temperature of the water cooler. Therefore, you had certain raw material with which you have to complete the production, which is as per old specification. There are new specifications as per which you are supposed to produce new water coolers. In this transition, there are two things that are happening. #1, there is a revenue loss because tertiary sale enough material was available with the dealers. The second part is we are using the old material to go ahead and exhaust it and selling a product, where the cost will become high at the price at which it was prevailing, so the margins have shrunk. There is a third problem is the new products are to be manufactured quickly. So, this is a momentary problem. That is the real set back in the water cooler industry.

Now, come to the deep freezers. That regulation came in January itself. Now, we decided that this particular product will have to be fully manufactured, and we decided we will expand the range even up to 200 liters, 100 liters and there is a massive program of indigenization that is going on. Indian market is used to Chinese prices. And when you make in India, it is going to be expensive. There is absolutely no doubt. For any product that's what will happen. We took a call that we will make everything in India only, we are not going to depend on China and in the manufacturing and getting the margins improved, it is taking time. This is about all. Fundamentally, the market is growing, driven by consumption of ice cream and other frozen products driven by pharmaceutical industry, driven by what we call it as HoReCa, which is the hotel, restaurant, fast food, etc., These are the sectors which are driving. It is also driven by the retail sector. So, there is no problem with regard to the growth. There is not going to be any problem that is going to be there going forward from end of Q3 to Q4. In this transition, the growth of Room Air Conditioners is not matched by this business. That's all the issue is. The last part of it, I mentioned to you that Room Air Conditioners are not exported by us anywhere, except when there is anything specific like requirement for a labor camp which one of our B2B customers asking for. In t

he figures of Q2 last year, there was an export to the Middle East of Room Air Conditioner, which is not there this year. Therefore, despite Room Air Conditioner revenue growing by 25%, segment growth is only 5%. This I am disclosing it to you as it is correlated with the GFK findings itself of our growing 30%. In fact, I think in Q2 we have grown much more than many competitors as per GFK report in the tertiary sales, that is the correlation, because in summer we exhausted our stock, we couldn't bill in June itself, so I am disclosing that figure to you. So, overall, there is nothing to worry.

Now, come to this part of it, some competitor is having Commercial Air Conditioning part of the unitary products. How do I compare? Simple. Segment-I and Segment -II of ours and other

competitors you see Blue Star's growth as well as Blue Star margin is a industry benchmark and I have done that and I can tell you that figure if you were to add Segment-I and Segment-II together of ours, because commercial air conditioning service in our case is part of Electro-Mechanical project segment, not part of unitary segment. The revenue growth for Q2 will be 22%, H1 will be 26%, EBIT growth for Q2 will be 36%, H1 will be 54% and total EBIT for H1 will be 8.7%, Q2 will be 7.9%. So, 7.9% and 8.7% are industry benchmark. I don't think anybody have reported that figure.

Natasha Jain: Just one last question in terms of commercial export order, at least we had shipped some quantities to US. So, how's the feedback been there and have we on boarded more clients?

B. Thiagarajan: We are working currently with one client who have taken some products. If you Google, you will understand there's a refrigerant migration deadline set by US and the old refrigerant there was a deadline that was set and before the deadline the shipments have taken place so that customer is happy. The question is there were more quantities asked for, but only that much we can do in order to meet those deadlines. The other customer is in the process of validating the product. In three to four months' time, we should know where we stand. But equally this also I will answer, because I am again repeating, whatever I can state because we have nothing to hide. The whole Trump administration, how they will view. It's a clear thing of 'Make in America', not even 'Make in Mexico' and how the industry there will proceed with. I can tell you that there are Chinese players, Japanese players, Korean players and compared to them we are very small. What is going to happen? We do not know. Because we are developing products for others, we have asked this question as well. What we should do? How we should proceed. I suppose in the next two to three weeks some clarity should emerge with regard to this.

Moderator: The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.

Bhoomika Nair: Sir, you mentioned about the water cooler aspect of the new government BIS terms kind of impacting the quarter. Is it possible to get some idea of how much of a decline we saw and when do we see things stabilizing out here in terms of growth coming back? And question #2 is on the projects business. So, we've seen a very strong growth profile, margin improvement, etc., You did mention about data centers being one of the segments, which is also helping in terms of the segment performance. Since it's something new that we're doing over the last couple of years, if you can talk about what exactly we do there and what percentage of the data center CAPEX do we cater to so that we can try to understand how large this business can become for us over the period of years?

B. Thiagarajan: So, I explained about the Commercial Refrigeration business. There is nothing to worry. It is a transition with regard to the technical changes. It's a C class thing according to me. You will be able to very easily

figure this out, right. I am saying our Room Air Conditioner revenue growth is 25% and you have the Segment-II growth and I am saying two reasons -- one is Commercial Refrigeration impacted, two is a significant number of exports to Middle East of Room Air Conditioners was there, which is not there this year. So, don't worry about it. It's a one quarter issue and it is not to be worried about even in next quarter. So, there is nothing to worry.

Bhoomika Nair: So, things will normalize into the next quarter, which is Q3 onwards it will reflect the -?
B. Thiagarajan: Even in October, it has normalized. There's nothing to worry at all. So, the Segment-I is driven basically by Commercial Air Conditioning products and that is what is driving its huge profitability growth and revenue growth. The projects business continues to be growing at the same rate only. There is nothing dramatic that has happened except that manufacturing and data centers are products which are safe to execute. We hold a leadership position. It is all fast-track products compared with commercial buildings which used to drag on or infra projects which used to drag on. Otherwise, Segment-I continued good performance is due to the commercial air conditioning products and service being part of that segment, which I again explained, in somebody else's case it is part of Segment-II, and you are seeing much larger growth there, here you are seeing Segment-I has the growth. That is why combined Segment-I and Segment-II and read out the figure. This whole thing is confusing you. I am sorry for this, but I am not able to help.
Bhoomika Nair: Sir, just on data center, can you elaborate what exactly and what percentage of the data center CAPEX we do?
B. Thiagarajan: In data centers, we do complete MEP work. Civil is very limited. They may ask you to take related civil work also. It is ducting, piping, insulation, electrical, plumbing that is the part we do. And there is a cooling part of it and we do produce chillers meant for data center, and it's not the entire equipment connected with data center that we do and we are in a manner of speaking an important system integrator there. Our significant amount of business so far has been in offering solutions as a MEP contractor for most of the leading data center service providers.
Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.
Sonali Salgaonkar: My first question is and please help us understand. As per the GFK data that you have quoted, we have outgrown and outpaced the industry by a very large margin perceivably in H1. And even so, we have retained our RAC markets at about 13.75. So, can you just help us understand the dynamics? And also, you quoted October '24 volume and revenue numbers. So, could you please repeat those again?
B. Thiagarajan: October volume growth is 30% and revenue growth is 28%. Come to the market share why it is not happening? It was in Q1 we had planned only for 25% growth. With 25% growth, we could have done 30%, but we managed to do more than 50% growth. Still, we lost sales in May as well as June. I think we would have grown lesser than the industry is my assessment. We are one of the leading players in Room Air Conditioners meant for B2B part of it, institutions like ATM or a small office, etc., but that part of it is not generally captured by GFK. GFK captures only the retail sales, it is based on retail audit. Now, during the election period, there had been a slowdown in the B2B part of the sales and generally in summer season, that particular part of it will not grow there, it compensates during the off-season period. So, our assessment is that it should be somewhere around 13.75% only, though our own teams say, it is 14%, but we took a call, it should be 13.75% only because of Q1. It is important for me to disclose that also our o

riginal

goal in FY25 we will reach 15% market share. I don't think we are going to reach that this year. If we close with 14%, we will be happy.
Sonali Salgaonkar: Sir, my second question is regarding this Commercial Refrigeration, and we understand that these are interim hiccups. From when do you expect to start seeing the improvement in this vertical? And secondly, do we retain our FY25 guidance that we cited in Q1 earnings call of about 20%, 25% top line growth and 8.5% to 9% operating margin?
B. Thiagarajan: The Commercial Refrigeration part is already resolved. From October onwards there shouldn't be any problem, and we continue to maintain; the top line growth of 25% to 30% in Room Air Conditioners or the unitary products as a whole and margin guideline remains. There is no change in that at all.
Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher Private Limited. Please go ahead.
Praveen Sahay: My question is related to the RAC industry, because you had given the numbers for GFK as well as of yours. The growth has been very strong. Industry growth for the first half has been around 31%, you grew by around 45% in volume, even in October 30%. So, how is the channel inventory at this juncture? And usually, we see in the end of Q3, there is some start of the inventory filling for the summers. So, how has been and do you expect this kind of a growth to continue in the coming quarters as well?
B. Thiagarajan: So, first is GFK. GFK is the tertiary sales figures what is really picked up by the customer, which is what should determine your market share or a growth. It's not I dump it on a dealer. In our

case Q1 we exhausted the material. We couldn't sale more, otherwise, we would have improved our market share. So, what has happened is predominantly sold by us during the quarter only. Now, the dealers have become a much more process-oriented. So, first of all, more than 50% of the sale are happening through organized power or modern retailers like Croma, Vijay Sales and Jio, so on and so forth and the regional retailers with Satya, Bajaj, etc., They all have a robust system of what the counters are selling, what are their inventory levels, how they have to schedule the inventories. It is the same like e-commerce that you cannot dump the stock there. The question is price may be negotiated on a quantity, but the material will move in this manner where you will be able to dump a stock in a quarter, could be distributors who are handling so many people and you would have seen our capital employed figure and it is managed extremely well and we do not believe in fact we discourage dumping material on anyone at all. Earlier days, it was China imported one, more than 50% of the material, but today it is all manufactured, and if it is Sri City, all the southern states, whether it is Telangana, Andhra Pradesh, Tamil Nadu, Kerala, Karnataka, Puducherry, it's are all overnight deliveries. Right now, my assessment is there are no huge inventories lying and I do not think in future such a situation will arise. The dealers are very clear about this, that I negotiate a rate for a particular quantity, but I lift it according to what I need and the old days have gone. This is my assessment. When I talk to the dealers, they are very clear. They are monitoring hour-to-hour what is their sale and the inventory across their stores. Bottom line is there is no inventory pressure.

Praveen Sahay: Second question is related to your gross margin. For the quarter, there is a good improvement in the gross margin as overall financials, so if you can highlight what lead to that improvement?
Nikhil Sohoni: When you look at the gross margin, it will be inclusive of all businesses. And as we have reflected some time back, both Room Air Conditioner, commercial air co

nditioning and service,
all will be part of this, in addition to of course the projects business and our Commercial Refrigeration business. So, that on a quarter-on-quarter basis, if you see last year, while it was around 24.8%, this year we have reported at around 26.5%. So, there is an improvement in that margin. This is in line with the margin improvements which you are seeing in EBIT and also which is reflected in the Segment-I as well as whatever improvement would have happened in RAC to a certain extent.
Praveen Sahay: So, is that a product mix or some realization benefits here?
Nikhil Sohoni: It is product mix as well as some amount of material cost also. There is a continuous re-engineering which anyway goes on, which also contributes to it.
Moderator: The next question is from the line of Akshen Thakkar from Fidelity Investments. Please go ahead.
Akshen Thakkar: A couple of questions and then just a suggestion at the end. Both the questions are on margins only. So, if I look at Segment-I, first half margins have been very strong. You had called out some one-offs last quarter, but this quarter seems to be more recurring now. First half margins are at 9% and in the last call you have spoken about margin at the 7.5% to 8% band. Even if I were to assume full year margins at 8%, we are only looking at 7%, 7.5% in the second half. So, any reason to revisit the margin guidance in Segment-I? The second question is around the unitary product business. I guess the math which is not clear like I get your reluctance to call out how large is Commercial Refrigeration, cooler business and fully support you on that. But just to make it a little easy to understand, if you could help us quantify what is the export order in Q2 last year because that would have been gone to zero completely, right. So, it just helps us make sense because if Room AC is 70%, 75% of sales and that's grown at 25% for overall segment to go 5%, I don't know if the Commercial Refrigeration business has declined, which I don't think it might have to such an extent to get to 5%. So, wanted to get a sense of how large the export number was last year?
B. Thiagarajan: So, I appreciate your question. There is no reluctance. It is about the difficulty of being selective disclosure. That's about all. The second is that, see, my competition reports with commercial air conditioning and unitary product segment. Then I don't have access to that figure, perhaps you have the access. Okay? That's the problem. But I have nothing to hide. I am telling you, Room Air Conditioners revenue growth in Q2 is 25%, Volume growth is 27%. Okay? Now, I have also stated that the Commercial Refrigeration has not grown, and it is just coming back. Okay? You may assume that it is flat or it has slightly negatively grown, but there is a clear Room Air Conditioners billing that happened to the international market and we are not in that business, it

will be unless specifically somebody asks for, there is a labor camp, there is a villa being

constructed like that, it was there last year Q2. That's about all.
Overall, it is coming as 5% growth and that's about all. So, there is no reluctance here. I have told you the market size of the Commercial Refrigeration is Rs.4,000 Cr, enjoy 30% market share and the Rs.28,000 Cr plus is Room Air Conditioner market. I am also stating that we are internally trying to figure it out because in every call this question is coming, what is Unitary products segment split? There is a record that is set that Room Air Conditioner and Commercial Air Conditioning can be combined elsewhere. Then the question will come what is Commercial Air Conditioning split. Now, come to the margin question of yours. I am stating very clearly, Segment-I margin is good because of the equipment part of it. The Commercial Air Conditioning

equipment that is there that is doing extremely well like Room Air Conditioner. That's about all. Now, also in projects, let us say for example, project weightage is lower there, your margin will be very high a nd overall guidance is not changing; it should be 7% to 7.5% only should be the margin for Segment-I and 8.5% should be the margin for Segment-II. We are not changing that guidance at all. In a particular quarter, it is looking very high.
Akshen Thakkar: Lastly, just a suggestion. I think over a period of time if you could engage with investors itself, right, to just to get disclosures to a level where it makes us easier for us to -
B. Thiagarajan: I am even proposing the industry together also should meet, I keep telling even the SEBI also. I need the segment reporting even though ROC filing will be there of Daikin or LG or anyone multinational operating here. You take competitors who are in consumer durables. Let's say, are we getting the figure of air conditioners alone there? And all we are getting commercial air conditioning and residential air conditioning separated, it is not. I keep asking in number of forums. See, one day a standard may have to be set that this is how the companies will report. I do understand your difficulty, I am fully with you in this and we as a board also is asking that look, we have nothing to hide in this as long as it is a level playing field of disclosures. Look, there is a competitor who is including Commercial Air Conditioning and related service into unitary products and here unitary products I am including Commercial Refrigeration alone. Now, there are consumer durable players who are reporting as one segment, then air conditioners out of that have to be given. Now, should I be saying, look, forget about others, I alone should disclose? That is what we are internally debating and I am for it. The question is that as investors you should know what every segment is. But the problem in the conference call is unless I have changed it everywhere, unless I have restated last year, unless the board has taken on record, unless it is the beginning of year, I won't be able to give some loose disclosures.
Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.
Rahul Agarwal: Just one question is on balance sheet and cash flow. Looks like we've invested about Rs.300 Cr on the working capital in the first half, which has resulted into almost nearly operating cash flow for the period. What has led to this -- is it purely because the higher EMP sales, which is basically

projects plus commercial basis which has led to higher working capital and where do you expect this to stabilize by March '25?
B. Thiagarajan: Nikhil Sohoni will explain to you . Actually, we are investing in the components meant for the rest of the year and the summer season, because you are aware there are supply chain disruption and there are many non-tariff barriers that are being brought by some manufacturers there, their approvals will be expiring and that is the reason. Anything else?
Nikhil Sohoni: So, that is the primary reason as far as working capital goes. This is particularly with respect to components to ensure sustained supply chain, some stocking is what is required so that is the only thing.
Rahul Agarwal: The next question was on capacity and CAPEX, if you just explain in terms of new product pipeline, what should we expect from Blue Star over the next 6 to 12 months and I am not asking for specific products, what I wanted to know was overall on a 3-4 segment basis what is the company investing money for and what's the budget like?
B Thiagarajan: We keep the product launches schedule. In the commercial air conditioning space, we completed the product launch and that is not to do with the season which is part of Segment-I. There are data center chillers.

There are certain process application chillers including brine chillers and the centrifugal chillers we have taken to the next range and in other words commercial air conditioning, we are a comprehensive player. We are there in their system, we are in screw chillers, we are in scroll chillers, we are in process chillers, and we are in centrifugal chillers. We have introduced some data center chillers. We are expanding that range of data center chillers. That is the planned road map. In the Room Air Conditioner segment, it is not energy label change here. What is the direction? The direction is we should have products at every price

point, and that is the reason why we are growing.
The next part is that you would have also noticed that that we have been introducing somewhere around 75 SKUs every season at this juncture. Going by the last summer season there, the extreme summer conditions call for heavy duty air conditioners. So, if it is not designed for those conditions, it will not be able to deliver the required cooling during the summer season. This was one of the customer experiences issues during this summer season. In fact, quite a few customers ended up asking, a car is running, or a 2-wheeler is running at the temperature, why air conditioner alone at the high temperature is not delivering that kind of cooling when they need that cooling, and which means it is redesigning the equipment and launching certain heavy-duty model many more that is on the anvil. The AI-enabled, Wi-Fi-enabled machines are being asked for by young generation or certain customers and we are introducing that as well. The product launches are scheduled in February, and we will be announcing that. In Commercial Refrigeration I told you that we have just completed that water cooler redesign, and we will be launching a few more models there and we will be going ahead and launching a new range of deep freezers for certain applications also. These are the plans going forward.
Rahul Agarwal: And the budget is about Rs.300 Cr to 400 Cr a year, right?

Nikhil Sohoni: On capital expenditure.
B Thiagarajan: On CAPEX.
Nikhil Sohoni: CAPEX and product development both put them together.
Rahul Agarwal: And working capital you explained the reason that we should see a normalcy by March '25 balance sheet, is that correct?
B Thiagarajan: I think so, that is what is the plan. I will be much more transparent here. See, there are few components which are all in India supply chain is supposed to develop the compressors, copper tubes and electronics. Somewhere it is the capacity constrained locally, somewhere it is the quality constrained because Indian manufacturers will make it for the first time. Somewhere it is connected with the cost because you are replacing China. Somewhere the Chinese players who have invested here are not able to expand, they are waiting for some clearance or visa, so on and so forth. Things are changing dramatically. It is improving. In the meanwhile, we do not want a situation there where you will be falling short of components because in value terms, it may not be significant but complete manufacturing line may be starved of a particular component. And the second part is that since Sri City has become one important hub, Sri City and Chennai, a vendor ecosystem that is developing there and that development approval are taking time also. So, the full capacity may not be coming from there as well. So, we are taking that also into consideration for a huge growth which is CAGR of 20% till 2030 the projection. Next year it may be 25% to 30% growth. This kind of higher inventory should be till the end of summer is my view. I don't think very smooth supply chain is going to happen so very fast because of the reason I explained.
Moderator: Thank you. The next question is from the line of Dhruv Jain fr

om Ambit Capital. Please go
ahead.
Dhruv Jain: In the earlier part of the call, you were mentioning about, how's the market size of Commercial Refrigeration and low market share, I just wanted to understand the same for the commercial AC part. What's the market size like and how are you thinking about growth in your own market share in this vertical given there are more opportunities like data centers emerging in this vertical.
B Thiagarajan: My estimate is anywhere between Rs. 5,000 Cr to Rs. 6,000 Cr because more and more applications are coming in even in process chillers. Data Center again is an evolving thing. Multiple types of cooling are being deployed. As the as the industry grows, many innovative solutions will be happening from the chip manufacturers onwards, to server manufacturers. There are multiple technologies which are very complex advanced one. As of now you can take it as something like Rs. 6000 Cr as the market size of commercial air conditioning. We may be addressing mostly around Rs. 4500 Cr of the market, and our market share should be around 20% there.

Dhruv Jain: How should we think about growth in this vertical, and you also mentioned that this vertical is also seeing growth because of summer, etc. But from a structural three year or five-year point of view, how should we skew on growth for you in this vertical?
B Thiagarajan: It will be driven again by the construction sector. What are the segments that it serves? It is the large infra, social as well as the public infrastructure like airports, metro, railway and hotels, hospitals, which require large chillers. Shop showroom, boutiques will consume the VRF

systems or the package air conditioning systems. My assessment is that easily that should also grow by 15% to 20% every year.
Dhruv Jain: Just one question. We don't give out disclosure with respect to order book, but if I recall correctly about five years back, I think commercial buildings used to be a very large part of your MEP order book. I just wanted to understand what's the diversification of orders like in that vertical from at least in the case where there is an opportunity point of view.
B Thiagarajan: We will attempt to give you that. We don't have any problem in disclosing the Electro-Mechanical projects part of it, infrastructure, commercial buildings, factories and data centers, how those orders are distributed, we will try to give it to you, perhaps in the next call or something like that. Right now, the commercial buildings should be only 20% and the infrastructure should be around 35%. The factories and data centers are a significant part of our focus. The market may not be that, but the market will be very large in buildings, market will be very large in this one. But our success rate or our focus and where we want to play so there is a skew towards factories and data centers.
Moderator: Thank you. Ladies and gentlemen, we will take this as a last question. I would now like to hand the conference over to Mr. Nikhil Sohoni for closing comments.
Nikhil Sohoni: Thank you very much, ladies and gentlemen. With this, we conclude this Quarter's Earning Call. Do feel free to revert to us, in case any of your queries were not fully answered and we will be happy to provide you with additional details by e-mail or in person. Thank you.
Moderator: Thank you. On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line. Thank you.

Call: Feb 2025

February 4, 202 5

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015 (the
'Listing Regulations') - Earnings Call Transcript for the Third Quarter and
Nine Months ended December 31, 2024
In further ance to our letter dated January 30, 202 5, whereby the Company had submitted
the link to the audio recording of the Earnings Call held post announcement of Financial
Results for the Third Quarter and Nine Months ended December 31, 2024 and pursuant
to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your
information and records.
This intimation is also bei ng made available on the website of the Company at
www.bluestarindia.com
Kindly take the same on record.
Thanking you,

Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

Z:\(01) Blue Star Limited\ 2024- 25\Stock Exchange Compliances \Reg 30 - Information and Update\ 16. Earnings Call Transcript \Q3FY25 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"Blue Star Limited
Q3 & 9M FY25 Earnings Conference Call"

January 30, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Blue Star Limited Q3 & 9M FY25 Earnings Conference Call.
We have with us today from the management Mr. B. Thiagarajan – Managing Director, Blue Star Limited; and Mr. Nikhil Sohoni – Group Chief Financial Officer, Blue Star Limited.
As a reminder, all participants' lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiagarajan. Thank you and over to you, sir.
B. Thiagarajan: Thank you. Good morning, ladies and gentlemen. It's a pleasure addressing you today. I have with me Mr. Nikhil Sohoni – our Group Chief Financial officer.
I am happy that we could close the quarter ending December 2024 on a high note once again and you may remember it is almost 12 consecutive quarters, I believe we have delivered good results.
We have even outperformed the market, I think in Q3 FY25, with the revenue growth of 25% and an operating profit growth of around 35%, we would have done better than the market and our peers. Specifically in the Unitary Products segment which you all closely track, you have seen revenue growth of close to around 22% and even margin expansion by around 100 basis points.
The market continues to be good for this particular category. Quite a few other categories within consumer durables or FMCG are yet to witness the revival. We continue to see off-take from the market. The dealers are stocking up for the forthcoming summer season and we are ready with the new products that are to be launched for the forthcoming season.
Equally is the fact that there are quite a few headwinds which we are preparing for. Number one is connected with the supply chain restrictions that continue to happen, which is getting intensified post the US elections, escalation in the cost of raw materials and some liquidity crisis in the market.
There is also the Union Budget around the corner, what it will have in store for us we do not know at the moment.
Most of the market segments are doing well, apart from residential segments. For example, manufacturing investments continue, data center investments are continuing and Tier-3, 4, 5 towns, smaller shops, showrooms, boutiques are doing well.
We had a setback in the Commercial Refrigeration business, which forms part of Segment -II, which we had explained to you, arising out of certain regulatory changes. Consequently, water cooler business not going the way we would have liked in the first two quarters, 3rd Quarter it has stabilized and we are fully ready now for the fourth quarter.
The Professional Electronics and Industrial Systems business, which is Segment-III, there are headwinds, both in terms of supply chain restrictions impacting that and the domestic demand yet to pick up because of the CAPEX cycle.

Overall, we have been not only managing the costs and the growing scale, but we have also been focusing on preparing Blue Star for the future. The investments in research and development, digitalization and manufacturing are continuing as planned. We are keeping a tight control over operating costs, and the profit margin improvement is attributed to this. The scale benefit, combined with tight control on costs, has contributed to the improvement.
Capital allocation is closely monitored by the Board, and we are happy to report that the collections have been good. If there is a working capital increase in certain segments, it is due to certain types of projects that are being executed, or it is connected with the scale, which requires working capital. We are confident th

at we will manage the balance sheet also well.
On the whole, so far, we have done well, and we are on track. We are confident that we will close the forthcoming quarter also on a high note, which means for the third year in succession, we will deliver good results for the whole financial year.
With that, I thank you for your support and quite often, the interaction with you also adds value to

us. Now I will hand it over to Mr. Nikhil Sohoni for his "Opening Remarks".
Nikhil Sohoni: Yes. Thank you, Mr. Thiagarajan. Good morning, ladies and gentlemen. This is Nikhil Sohoni, and I will provide you an overview of the results of Blue Star Limited for the quarter ended December 2024.
Financial Highlights:
On the back of unprecedented growth experienced in the earlier quarters of this financial year, in the current quarter as well Room AC business continued on its exceptional growth trajectory. Benefiting from the strong festive season demand, the Room AC industry stood as an outlier amongst all consumer durables. Other key businesses also delivered robust growth, supported by demand from some key sectors. The growth in revenue and profit is achieved due to our continued focus on expanding distribution footprint, investments in innovation, R&D and digitalization, and strategizing supply chain.
Financial highlights for the quarter ended December 31, 2024, on a consolidated basis are summarized as follows.
■ The revenue from operations for Q3 FY25 grew by 25.3% to Rs. 2,807.36 cr as compared to Rs. 2,241.19 cr in Q3 of last year.
■ EBITDA, excluding other income, for Q3 FY25 improved to Rs. 209.38 cr, EBITDA margin of 7.5% of revenue, as compared to Rs. 155.35 cr, EBITDA margin of 6.9% of revenue in Q3 FY24.
■ PBT before exceptional items grew 24.5% to Rs. 167.20 cr in Q3 FY25 as compared to Rs. 134.29 cr in Q3 FY24.
■ Tax expense for Q3 FY25 was Rs. 46.53 cr as compared to Rs. 333.93 cr in Q3 FY24.
■ Net profit for the current Q3 grew 31.8% to Rs. 132.46 cr as compared to Rs. 100.46 cr in the corresponding quarter of last year.

■ EPS for Q3 FY25 stood at Rs. 6.44 as compared to Rs. 4.89 for Q3 FY24.
■ Carried forward order book as of December 31, 2024, is at a record high of Rs. 6,801.99 cr as compared to Rs. 6,038.53 cr as on December 31, 2023. This was a growth of 12.8%.
■ The capital employed as on December 31, 2024, stood at Rs. 2,763.4 cr as compared to Rs. 2,298.9 cr as of December 31, 2023.
■ Net cash position as on December 31, 2024, was Rs. 102 cr as compared to a net cash position of Rs. 157 cr as of December 31, 2023.
II) BUSINESS HIGHLIGHTS FOR Q3FY25
Segment – I Electro-Mechanical Projects and Commercial Air Conditioning:
Revenue grew 32.2% to Rs. 1,562.41 cr in Q3 FY25, as compared to Rs. 1,182.30 cr in Q3 FY24. The segment result was Rs. 118.7 cr which was 7.6% of revenue in the current quarter, as compared to Rs. 96.7 cr which was 8.2% of revenue in Q3 of last year.
Order inflow for the quarter was Rs. 1,748.3 cr in Q3 FY25, as compared to Rs. 1,260.8 cr in Q3 FY24.
1. Electro-Mechanical projects:
In this quarter there has been a good progress in order finalizations from the factories and data center market segments. On the other hand, we saw muted demand from commercial real estate and infrastructure segment. The company remains committed to faster execution of projects while maintaining a strong focus on healthy cash flow. The carried- forward order book for this business was at Rs. 5,146 cr as of December 31, 2024, as compared to Rs. 4,648 cr as of December 31, 2023, this was a growth of 10.7%.
2. Commercial Air Conditioning:
During this quarter, the Commercial Air Conditioning business delivered reasonable growth compared to the same period last year, reflecting strong demand. Significant contributions from manufacturing, educational, retail and auditorium sectors fueled this improved per

formance.
We further strengthened our market position, maintaining leadership in Ducted systems, while maintaining the number two position in VRF and chiller product categories. The market potential for Commercial Air Conditioning continues to be good. We are also witnessing liquidity issues in certain markets segments and in the process, order finalizations are getting delayed. The profitability of the business may also experience volatility due to the impact of adverse exchange rate and material cost movements. Amidst this mixed scenario, we remain committed to providing innovative and customized solutions by addressing the evolving needs of our customers.

3. International Business:
We are focused on positioning ourselves as manufacturer of innovative and reliable products for European and North American markets. We have been successful in developing and getting a few products approved by three OEMs, and the initial shipments have commenced. However, slowdown in European market and uncertainty around U.S. trade policies is likely to have some impact on the potential scaling up of these businesses.
We are committed towards our international strategy, and as the external factors settle down in future, we are optimistic that our global ambitions will bear fruits.
Segment-I margins at 7.6% were in line with the long-term guidance that we have provided for this segment. This segment comprises both projects as well as products, each business having a very different margin profile which influences the quarterly returns.
Segment-II: Unitary Products:
Segment-II revenue grew 21.9% to Rs. 1,164.4 cr in Q3 FY25, as compared to Rs. 955.4 cr in Q3 FY24. The Segment result was Rs. 94.8 cr which was 8.1% of revenue in Q3 FY25, as compared to Rs. 67.9 cr, which was 7.1% of revenue in Q3 FY24.
1. Cooling and Purification Products
Buoyed by a successful festive season and sustained strong demand, our Room AC business continued on its unprecedented growth trajectory, achieved remarkable growth during this quarter. The strong demand for our products helped us improve our market share for the quarter to 14%. We are proactively addressing the supply chain challenges arising from regulations and non-tariff barriers and are confident that our planned investment in strategic inventory will enable flawless servicing of demand that the forthcoming season will provide.
2. Commercial Refrigeration:
The regulatory issues faced in Water Coolers and Deep Freezers in the previous quarters are behind us and now we are focused on preparing for the forthcoming summer season. We are expecting the upcoming quarter to be promising one as market demand is likely to be strong.
The quick commerce and food delivery market segments are driving growth for Modular Cold Rooms. Apart from Deep Freezers, the market for Visi coolers is growing, with many retailers across the country investing in upgrading their stores.
Overall margins in this segment registered a strong 100 bps improvement in the current quarter, which, as you have seen, was 8.1% in the current quarter as compared to 7.1% in the last corresponding quarter. This was fueled by strong revenue growth in Room AC business, which has led to the benefits from economies of scale.

Segment-III: Professional Electronics and Industrial Systems:
Segment-III revenue de-grew by 22.1% to Rs. 80.6 cr in Q3 FY25, as compared to Rs. 103.5 cr in Q3 FY24. The Segment result was Rs. 6.2 cr that is 7.7% of revenue in Q3 FY25, as compared to Rs. 15.2 cr which is 14.7% of revenue in Q3 FY24.
In this quarter, while the Industrial Solutioning business continued to show momentum and growth, both the Med-Tech and Data Security business have been muted. The operating cycle in these businesses are yet to revive which is impacting order inflow. The challenges in th

is segment
continues to impact revenue growth and profitability, and we expect to revive in FY26. Therefore, we are focused on controlling cost and managing working capital.
III. Business Outlook:
As we closed this quarter on a positive note, we remain optimistic about the growth prospects and favorably look forward to opportunities that the forthcoming quarter will provide. The coming quarters should benefit from three drivers like onset of summer season, potential revival in government spending, and accelerated CAPEX spending by private sector.
However, there are headwinds owing to depreciation of Indian rupee, escalations in commodity prices, and possible supply chain disruptions due to huge demand. We have strong mitigation action in place to tackle these challenges and continue to deliver value to our stakeholders.
With that, ladies and gentlemen, I am done with my Opening Remarks. I would like to pass it back to the moderator who will open the floor to questions. We will try to answer as many questions as we can. To the extent we are unable to, we will get back to you via e-mail.
With that, we are open for questions.
Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question

is from the line of Natasha Jain from Phillip Capital. Please go ahead.
Natasha Jain: Thank you for the opportunity and congratulations, sir, on a great set of numbers. I have two questions, both on the UCP side. The first question is, 3rd Quarter is usually an unseasonal quarter, but we have seen good growth on RAC mainly on account of prolonged summers. Now, having said that, do you think the channel is a little cautious in terms of stocking to Q4 because there could be a chance of a prolonged winter? And any which ways you are sitting on very high bases, so how does that look to you?
B. Thiagarajan: The first part is, it is not due to prolonged summer, the summer had ended by July. It is demand that has been good during the festival season, commencing from Dussehra, Diwali, New Year, it continued. Now, many people keep asking this question whether it's the financial press or investors, fund managers, analysts, FMCG is not doing well or other consumer durables are not doing well, why Room Air Conditioners alone should be? First of all, I wish this continues so I

would not like the demand to slow down. My understanding is as follows, first, this is a category in which the penetration levels are low. Obviously, it will go beyond 8%, it should move towards 30% or something like that over the next few years. So, the CAGR projected by various studies are at 19% over the next five years in order to reach a penetration level that India should have. So, 19% CAGR is the guidance. Also, in one particular year the growth can be 30, and another year it can be 10, it depends on various events, like whether how harsh is the summer, or how the economy is doing, how the disposable income is. Our forward planning or many other government programs, whether it is connected with refrigerant or PLI, supply chain, all are based on this 19% CAGR for Room Air Conditioners.
The second part is connected with prices, which have remained stable, thanks to the competition and localization that is happening. The manufacturing capacity is almost doubling from what it was a couple of years ago, and therefore prices are stable, and one will not like 8%, 8.5% kind of operating margin but the industry is heading towards.
Now the third point is connected with consumer finance options that are available and people's attitude to avail that. There are more and more customers who are ready to go ahead and buy today, and pay over 12 months. 35%, 40% of the sale in a year is through consumer finance. The next reason is, unlike earlier years where I can buy an AC, but power bill who will bear, thanks to the energy labeling program, the

power bills are affordable. If someone is using for 6 hours, 7 hours, that too on hot days, it is not unaffordable.
Next is the urban heat effect or even in entire Tier-3, 4, 5 towns how the homes are constructed, hardly there is cross ventilation. Humidity levels are going up and one is used to air-conditioned environment wherever they go, whether it is a restaurant or whether it is metro railway or whether it is car, whether it is office they experience air conditioning, in non-air-conditioned environment they are not. So, people are beginning to buy.
The last reason, this is my pet subject, the disposable income is substantially taken away by smartphones and mobile phones, which are more than two at a home. There used to be a time when people used to keep buying mobile phones once in six months, once in a year. But people are now using smartphones for a longer period, and I understand the smartphone sale growth has moderated, which means the disposable income is being prioritized for buying something what they do not have or what they essentially need to have. So, the air conditioning industry is benefiting. In all categories I have seen, whether it's refrigerators or televisions or washing machines, there is a particular period when it will grow. I think we are in the step of a change in penetration as far as Room Air Conditioning is concerned. That's how the industry is also planning and moving forward, and the demand has held through Q3. Usually, before Q4, the dealers end up stocking. There is no inventory I am seeing. The secondary movements continue to be good, and you may have seen the GFK Report as well. The key question is: how is the summer season going to be? You mentioned about winter and North India people are disappointed that the winter has gone, and they are feeling that it should have lasted for some more time. Usually, we pray that March first week onwards there is summer, and February onwards again stocking takes place.

So, the bottom line is, it is for various reasons this category is doing well and much depends on how severe the summer season will be. But irrespective of what is happening in one season, one quarter, 19% CAGR is a widely accepted figure by multiple agencies. Thank you. I have taken more time because this question need not be repeated later.

Natasha Jain: Thank you so much, sir, for that detailed answer, that helps. And my last question is on the EBIT margin side. Now if I look at both your Segment-I and Segment-II margins, you are already at peak as per your own guidance, specifically outperformance in your Segment-I. So, from here on how does the margin growth trajectory look like, given the fact that Commercial Refrigeration is yet to pick up? So, what kind of expansion can we expect? Thank you. And all the best, sir.
B. Thiagarajan: I might want to clarify. Commercial Refrigeration, the issues are all over, and we will pick up, there is nothing to worry about. It's again a segment which is expected to grow at 20% CAGR. The margin guideline was 7% to 7.5% in Segment-I, 8% to 8.5% Segment-II. Unless and until something dramatically changes, let us say commodity prices crash, the margin can go up. If there is supply chain disruptions and there is going to be escalation in commodity, it can significantly go down, or Forex. As of now, I think 7% to 7.5%, 8% to 8.5% holds good.
Natasha Jain: Got it. Thank you, sir.
Moderator: Thank you. We will take the next question from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.
Nitin Arora: Hi sir. Thank you for taking my question. Just on the market share part, I know the kind of improvement what we have seen over the past two, three years, and now standing at 14%. How do you think this penetration, especially in the north market in the affordable category which you did, how has been the response of the consumer? If you can

talk about that and you think that can
further help you inching more or you want to calibrate your moves that this 13%, 14% is good enough and let me focus on the profitability given there are some supply chain disruptions which are coming, I hope that's for the near term. So, just wanted your take, how you think about your market share from here.
B. Thiagarajan: I understand. So, it is a category which is growing, and which will continue to grow, therefore the competition will be intense. All the players have set up manufacturing capacity and obviously they will be interested in gaining market share. Unfortunately, only 100% market share is possible. Now, our goal was to achieve a market share of 15% by FY24, which did not happen and FY25 we said that we will achieve a market share of 15%. But as you can see, if we reach 14%, we should be happy. And 15% is what we will attempt. Our sense is that anywhere between 12.5% to 15%, you are a significant player, you will be able to leverage many things and continue to grow. Now, our immediate goal is 15% market share. Our goal is to keep that operating margin intact of 8.5%. For this itself you have to keep in mind, there are many other costs which other categories may not have. So, the first thing I explained in the earlier question is the consumer finance part of it. 40% of the sale is happening through consumer finance, you have to reckon that. Whatever be the reason, the industry offers warranty of five years, so therefore there is some warranty cost.

There will be cost arising out of e-waste regulation compliance, which is the extended producer responsibility.
Now, the import tariffs will continue to happen, and one cannot help it, because it's completely beyond control what can be imported, what cannot be imported, what you have to consume locally, how to find alternate material. So, there will be cost arising out of that as well.
Now, keeping all that in mind, our goal is to reach a 15% market share within a couple of years, and then keep delivering that 8.5%. That is what is our goal. If we do beyond that, that we will see, but we will be very happy if we are able to reach this. Thank you.
Nitin Arora: Thank you, sir. Thank you for a detailed answer. Second, I think Nikhil said in the starting comments, and you also articulated that the scale is coming in which is helping the profitability as well. We understand there are challenges, supply chain challenges ahead of the industry, whether it's respect to compressors and all. But let's say if the season goes well, that's everyone's hope, do you think there are further levers because of the scale where you can improve your profitability going forward?
B. Thiagarajan: Multiple things are there; the scale has only begun. As it continues to grow, it stays, isn't it? So, there is a scale advantage, it will be perpetual, it will continue to be there. First part. The second one is connected with the affluent customers moving up the value chain. So, we are very clearly seeing year-after-year heavy duty air conditioner or Wi-Fi enabled air conditioner, these going up. So therefore, you will be able to improve your margins in certain SKUs. The third one is connected with the ability to innovate and continue to enhance reliability, at the same time in the product in terms of input cost, including alternate materials that may be possible like aluminum microchannel in place of copper, for example. I am saying that these are the levers that will continue to be available. If you are able to translate into margin, it may change from 8.5%, to 10%. Perhaps in some quarters it could be better, but it is not our guidance because we are keeping in mind multiple factors, including competition, and keep maintaining growth.
Nitin Arora: Got it, sir. Thank you very much and all the best, sir.

Moderator: Thank you. I would request all the pa

rticipants to limit their questions to two per participant.
Should you have a follow-up question, please rejoin the queue. We will take the next question from Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Yes. Thanks for the opportunity. Sir, two questions. One, there was a case with W J Towell, our partner in Oman, and that was around Rs. 462 cr. So, any update on that and any likely impact, considering almost six months are over post that now? The second question is in terms of Professional Electronics. So, we have seen some significant margin deceleration in this business almost for back-to-back 3rd Quarter in a row now. This used to be the highest profit margin segment for us. So, where do we see the margin outlook for this segment and in general, in revenue recovery also in this segment any color that you can share, maybe on FY26 or H2 FY26, any update on that? Yes, that's it from my side. Thanks.

Nikhil Sohoni: I will take the question on WJT. So, that arbitration, as you are aware, is in progress. There is a certain timeline to which the arbitration is working. As per that timeline, we were required to file a statement of defense which we have done. There are certain things on which the submissions have been done. And of course, we are confident, as we had told earlier also, that this company in which we were joint venture partners and which we had kind of exited almost seven years back, we have a very strong case, and the same thing holds today, too. So, I do not think there is any risk on that count. Of course, we will wait for the arbitration to play out. But the necessary timelines are being adhered to, and we are doing the filings as per the timelines.
Aniruddha Joshi: Okay. Sir, in terms of timeline means is there any particular end date there?
Nikhil Sohoni: As per the timeline, it will go for another around 12 to 15 months.
Aniruddha Joshi: Okay. Sure, sir. That's helpful.
Nikhil Sohoni: Yes. The on PE&IS, that is the third segment, as we have mentioned, see, earlier the segment used to return the profits when the data security business, etc. were kind of doing quite well. Today, as we have mentioned that there are certain headwinds in both data security as well as Med-Tech, while Industrial Solutions is doing good. So, the margin profile for each segment is different, and accordingly the margins get influenced. So, that is the reason why you see the margins kind of moving in a particular manner. The current drop in the margins is because out of the three segment lines that are there within that segment, two are not doing well and one is doing well. So, as we said, we expect the revival to happen slowly over next year, and by that time probably the segment margins could improve a little.
Aniruddha Joshi: Okay. So, sir, in the near term, maybe next two, three quarters we believe the status quo or the similar weakness in the two subsegments may continue and one segment may continue to do well, is that right?
B. Thiagarajan: As for the Segment-I is concerned, enough order book is there, momentum should maintain. Segment-II, much depends on the summer season, depending on the summer there are years in which the growth is only 10%, there are years in which more than 50% growth we have seen. Segment-III, in certain segments the CAPEX cycle will have to revive. This can begin with the Union Budget the announcement, how the sentiments change. That's how we will look at it.
Aniruddha Joshi: Okay. Sure, Sir. Thank you. Very helpful.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes. Good afternoon, sir. Sir, one, I just wanted to check if I missed out the volume number growth for both 3Q and nine months and second in terms of continuation on the UCPL, the base is very high for last year, both for us as a

lso the industry. So, while the outlook is strong, do you think we can continue to, as an industry, to grow at 15%, 20% plus, particularly in view not so much in terms of demand, but also in terms of the supply chain issues where compressor availability is a

bit of a challenge is what our channel checks tell us. So, if you can, just throw some light on this aspect.
B. Thiagarajan: First question on the volumes - we do not disclose any volumes, but you do have the data from GFK indicating all that we know. See, first of all, GFK is only one part of our business, we do have very large institutional share being a company which is much focused on that as well. Now, all that we know is that the months of October, November, and December we seem to have

performed exceedingly well, much, much better than the industry. So, volumes we do not disclose at all. All that we know is that it is very likely the industry closes above 15 million, and we will close much higher than 1.5 million this year. And that we are aware and more or less this guidance can be given.
Now coming to whether the growth will be, yes, I am saying the growth, if the summer season is good even if 25% growth has to be achieved, we have enough raw materials. Right now, not only Blue Star, all players should have secured their components for the summer season because it's planned much in advance. I want to clarify on the issue of supply chain in general. What is the direction of the Government of India and the DPIT has been, create the component ecosystem, that's why PLI was brought in. Almost all components have been indigenized. For important items, like inner grooved copper tubes also, the factories are coming up. Imports are restricted basically because one will have to create a high-quality component, not because it is cheap, some poor quality comes into the country. Second is that, look, under Make in India, people will have to make it here. Now, if there are restrictions that are there through what is known as the BIS license or the Quality Control Order, it is kept in mind, whether it is available, not available, whether the quality standpoint is reasonable in imports, depending on that, the government keeps extending those licenses. So, there has been no problem, but it is a headache to be watching this. You cannot take for granted it is going to be available. But at the same time, there is no shortage so far, it's not the issue. But the government will keep telling you that, look! how long I should be allowing this, why it is not happening within the country.
Electronics, enough manufacturers are available, which is next important item which imports are being coming in. Now in electronics, unless and until there is a global shortage of microprocessors, which will be an event of a different nature altogether, but otherwise air conditioner-related electronics, there is no supply chain constraint at the moment. For Compressors, the domestic capacities are coming up. It will take some time for it to meet the country's demand as a whole. There are imports and there are enough sources that are available. The question here is whether for the industry, any other technology support, or investment support for the future is the ask from the government-rightly so-and the industry has been working with the government. What kind of other measures we should take so that we are completely self-reliant. This is coming from the fact that we are the fastest growing market for air conditioners, we are expected to be the world's largest market, by 2045 to 2050 we should be the largest in the world. Therefore, the government is insisting create this ecosystem. As far as Blue Star is concerned, our stand has been very clear. For us to make a compressor, we have to reach somewhere around 2.5 million and the investment that you make will have to pay back. The investment that you make

should be able to deliver
compressors, which are meant for the future. Because the energy labeling norms will keep

becoming stringent, compressor design are very important, keeping in mind. If you are investing, that investment should take into account new refrigerants that will have to come in future, keeping in mind the Kigali Paris Agreements. We have to keep in mind that country will continue to consume products that are affordable, therefore the technology should be something that is not very expensive as well. Lastly, Indian consumer would like the product to be highly reliable, so therefore we should be.
Now keeping all these parameters in mind, we don’t see that at the moment but at the right time we will take a decision to get into that also. Many of you have been interacting with us for more than a decade, we were afraid if VRF technology came what Blue Star will do and where is this technology going to come from? We are leaders here, in fact in VRF we are number two. And if inverter came what Blue Star will do, we have mastered inverter. So, the focus is actually to grow profitably, and the focus is to also keep ahead of the curve. So, there is no constraint.
But, with the tariff restrictions that are happening across the globe, it is a very unpredictable situation who will stop supplying what to whom, and the whole world is undergoing this tension, especially since January. We will have to go through this, there no other go. Summer season, the material is secured, there is nothing to worry. Thank you. I hope this will clarify for many of the other participants as well.
Bhoomika Nair: Yes, sir. Sir, the second question is on our capacity addition where we are doing the second phase of expansion at Sri City. So, one is obviously the CAPEX and the timeline, but secondly also wanted to understand how has the first phase kind of helped us in terms of margin expansion as also go-to-market from meeting the demand in a much timelier manner, production, etc., if you can throw some lights and what we can expect as we ramp up, this will benefit us.
B. Thiagarajan: The second part I will answer, first part Nikhil will answer. There has been no go-to-market kind of delay, constraints or anything like that at all. But whether it is energy labelling, our own decision to compete on all price points including affordable, affordable premium, and premium products,

or heavy-duty machines, Wi-Fi enabled systems, commercial refrigeration with lower capacities for import substitution, sophisticated cold rooms, or chillers (including centrifugal chillers and certain chillers meant for data center applications), our investments are the largest in the country in R&D and we continue to deliver. There is absolutely no doubt about it.

If at all the question will be, which product line first we introduce and how we go ahead and expand the product line, always that will be the case. So, we may introduce to move to glass-top to a curved glass-top in phases, that may be the thing that we will be doing. But otherwise, it is a well-oiled machine in that respect. It is for this reason we are not promising or committing into some unrelated lines we want to get into. Often the question is, will we get into consumer durables as a whole or all categories? We are not. In air conditioning and refrigeration, we are deepening and deepening, becoming stronger and stronger. So, there has been no problem. As far as CAPEX is concerned, Nikhil will clarify.

Nikhil Sohoni: Yes. So, coming to CAPEX, we have told earlier also, our investments are modular in nature so capacity is not a constraint. As and when we see demand coming up, we are ready to invest. So,

the capacity at HP plant was already in the region of around 600,000, and at Sri City we were investing, we started with 300,000, we will now

reach up to 600,000 and as and when we want,
we can scale it up. So, in the current year also the capital investments have happened and this will keep happening as we see the demand. We can go up to around 1.8 million to 2.4 million as the demand scales up.

Bhoomika Nair: Sir, CAPEX amount for FY25 and likely in '26, that's it. Thank you.

Nikhil Sohoni: The CAPEX amount over a period of around three years will be in the region of around Rs. 750 cr to Rs. 800 cr, and that will be moving towards both manufacturing as well as product development, and certain amount of digitalization. So, all of these three will be end use of this CAPEX.

Bhoomika Nair: Thank you, sir, and all the best.

Moderator: Thank you. We will take the next question from the line of Naushad Choudhari from Birla Mutual Fund. Please go ahead.

Naushad Choudhari: Yes, hi. Thanks for the opportunity and congrats on a decent set of numbers, sir. Again, a clarification on the margin side. So, two things, the AC energy rating changes due in next one year, plus step-up capacity coming in this time in the AC industry, and it is slightly different versus what historically it has been, this time the OEM's bringing the capacity in the market. Along with these two points, what gives us confidence that we should be able to maintain 8.5%? Do you also fear or have some risk on the margin side because of these two things?

B. Thiagarajan: No, there is no fear and how fear will help? it will not. It is about what all can happen. First of all, the energy label change is due on 1st of January 2026. The product meant for that is already developed, so there is nothing to worry about it because in the energy labeling sufficient time is given for people to develop. It is always a discussion with the industry by consensus when what table change has to take place. It is an ongoing discussion, going forward it can become even more stringent because the installed population is going up, and it is in the interest of the regulators and the industry. We do want industry to grow. But if there is a power cut in summer, how is it going to help us? It used to be the story when I used to be young. Summer season means there will be a power cut, AC sale will be impacted. We do not want that. So, energy label change will be a continuous program. When we plan our strategy, we keep in mind that we have to continuously invest in technologies which will improve the energy efficiency, at the same time, remain competitive.

Margin management is connected with first to the scale. The market will have to grow, and we have to ensure that the growth is maintained. So, the entire industry will have to also play a role in that.

The second part is connected with your ability to manage the total cost, how you are designing the product, what value engineering has happened, where are the procurement sources, how you are driving down the cost which we have demonstrated over the years. Also, since we are a focused

air conditioner and refrigeration player, we believe that we understand the subject, we continue to learn what all can be done.

The third one is that, in the value chain there are other costs, and customer expectation also changes that, a. You should be able to buy through consumer finance; b. The need to delivery on the same day - the quick commerce will force them to think differently about how quickly they will get the

product, how quickly it will be installed plays an important role. And the reliability will have to essentially improve so that you reduce, even though it may be a five-year warranty, how the warranty can be kept in check. So, multiple factors result in margin management.
Now the question has been the other way around, the scale is happening, industry is growing, local manufacturing, backward integration is happening, and you had

a factory in north earlier, you also
have a factory in south, now there should be logistic saving, why this 8.5% should not become 10%. We are saying it is because of the competition because many other things have to be done. We are not guiding today. If it happens 9%, 9.5%, one will see. Thank you.
Naushad Choudhari: Sir, two follow-ups on this. You are indicating about the scale, but we have seen at scale we are also not able to enjoy such kind of margin. Can you be a little more specific which specific cost or line item should help you once you scale up? And that should help you in the margin.
B. Thiagarajan: No, I am saying that, let us say for example in Room Air Conditioner, full year let us say we are growing over 35%, it is not necessary advertising expenses go up by 35%, or the head count goes up by 35%. So, the scale benefit comes through that. Now, when your scale is high you will drive down the input cost also because you have got the purchasing power. Logistics cost of incoming material comes down because of that scale, so the scale is an important lever, so this scale should obviously improve the margin, but I am saying that we are not telling you this 8.5% will become 10% or something like that, it is basically because there are certain new costs that are coming like e-waste, consumer finance, these are new costs, and there is competition. So, the prices will be under check because of the competition.
Naushad Choudhari: And this time, if I am not wrong, especially on the OEM side, capacities would be PLI-linked, so they would be having more incentive in terms of pushing the revenue, they would be having timeline to achieve that, shouldn't that logically create --
B. Thiagarajan: This is an old story, right? Because we are also in PLI, all players are in PLI, finished goods player as well as a component manufacturer. The question is that all will have to grow their revenue in order to earn the PLI. The market is growing, so there is no problem. It was known for earning the PLI you have to show incremental sales over FY21 figure, and all will be headed there. It is not a deterrent in my view, it is good.
Moderator: Mr. Choudhari, I would request you to rejoin the queue for follow-up questions. Thank you. Ladies and gentlemen, due to time constraints we will be taking only one question per participant now so that everybody gets a chance to ask questions. Thank you.
Moderator: The next question is from the line of Rahul Gajare from Haitong Securities. Please go ahead.

Rahul Gajare: Yes, hi. Sir, with respect to the UCP business, I want to know, given that the energy efficiency norms are changing from January, what is the price hike that you would have to pay, given that the growth momentum is strong and it is easier to pass the higher prices? And connected with this, I want to know if the 3rd Quarter had any pre-buying because of the change of energy label, were you able to identify that? Thank you.
B. Thiagarajan: No, the energy label change is from 1st January 2026, and 1st January, 2025, no change has happened. What can happen potentially is somewhere in festival season it can be pre-launched that the future-ready or like that, that can happen. So, right now there is no energy label change.
Rahul Gajare: Okay. Sir, and the PLI, how much was the PLI that was booked in the 3rd Quarter and nine months? And whether this is the reason also that can be attributed to the higher operating profit of the UCP business? That's the question.
B. Thiagarajan: So, the question is that, look, we are already in, say, we have indicated earlier that we are eligible for somewhere close to over a four-year period Rs. 78 cr of PLI benefits for eligible investment of somewhere around Rs. 155 cr or something, I do not remember the exact figure, but it is in the order of around between Rs. 75 cr to Rs. 80 cr, and we are on track

on that. We will be fully
receiving, and these applications are made on a yearly basis, at the year-end we will see. Then what PLI benefits we received for a particular year; we can disclose in the May call. Right now, it is of no relevance whatsoever. But I am committing to you that for our scale and our investments we will fully avail what we are eligible for in Phase-1. You might have read that in Phase-3 of the PLI also we are an applicant. We have to begin the investments on that.
Rahul Gajare: Sure, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.
Shrinidhi Karlekar: Yes, hi. Thank you for the opportunity. And congratulations on the amazing set of results. Sir, you briefly commented on the outlook for some of the key end markets in your projects business, may I request you to please elaborate that a bit more for some of the end markets?
B. Thiagarajan: In the Projects Business you are asking?

Shrinidhi Karlekar: Yes, like manufacturing, data center, commercial building, can you please elaborate a bit?
B. Thiagarajan: Yes. So, our portfolio there, if you are looking at Segment-I, first clarification, it comprises the Electro-Mechanical projects, it comprises the Commercial Air Conditioning products like packaged air conditioning systems, ducted air condition systems, VRF systems, chillers, data center chillers and process chillers and all and the third thing is the aftermarket revenue. All these are B2B in nature and we are leaders, we are number one in quite a few, we are number two in quite a few. In Electro-Mechanical projects, we do the electrical part of it, we do the air conditioning, we do firefighting, we do plumbing. These projects are executed for office complex, it can be an IT park, an airport, a hotel, a hospital, or a metro railway system. Now, the direction for this business is to focus not on market share, but focus on profitability, and focus on free cash flows. In that, the emerging segments in the past couple of years have been also manufacturing

and the data center in addition to what all I told you. So, it is broadly categorized into four verticals, one is the infra projects which are metro railway, or water distribution project, or airports, etc. The second big one is commercial buildings, these are mall, offices, IT, ITES, which are generally done through developers. The third one is manufacturing units or factories. The fourth one is data centers.
Now, what we indicated is that depending on the vertical, your margin profile or the time taken can change. In the infra project it is four years, five years kind of a project generally. It can be even a three-year, but three to five years is a lot. In the case of a commercial building, the entry barriers are low, it is a huge competition, and your margin profile may not be good. And you may be relegated to number three or four level because there may be a builder or a developer who gives it to a general contractor, who is doing everything, and you are just one part of it. Manufacturing is a sweet spot because these are time bound, the owners decide, and data center is another segment where there are stringent quality norms and specialization is required. This is the segmentation. Over the past couple of years, we have been putting our energy behind these manufacturing and data center and the infra projects which are time bound where we have got some unique value to add, therefore our profitability is high and cash flow can be good, depending on the customer profile. That's where we are.
Moderator: Thank you. The next question is from the line of Naushad Choudhari from Birla Mutual Fund. Please go ahead.
Naushad Choudhari: Yes, hi, Sir, just a follow-up on my previous question. So, as most capacities are PLI-led, people would focus on them, having some target to

be eligible for the PLI. If at all the industry doesn't -
if cycle goes down or doesn't go in our favor - do you think this time the margin pressure could be worse than what we have experienced in the past, because this would be OEM-led capacities?
B. Thiagarajan: Obviously, right. If the demand is not there, whether PLI is there or not, people would have planned, they would have already begun manufacturing, they would have ordered the components. We have seen it once in three years-four years where summer won't be good, there will be a growth issue, there will be an inventory issue. It is part and parcel of the game.
Naushad Choudhari: All right, sir. Thank you. And all the best for the future.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nikhil Sohoni for closing comments. Over to you, sir.
Nikhil Sohoni: Yes. So, thank you very much, ladies and gentlemen. With this, we conclude the earnings call. Do feel free to revert to us in case we have not fully answered your questions, and we will provide additional details either by e-mail or in person. Thank you.
Moderator: Thank you members of the Management. on behalf of Blue Star Limited. That concludes this conference. We thank you for joining us. And you may now disconnect your lines. Thank you.

Call: May 2025

May 14, 2025

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the Fourth Quarter and Financial Year ended March 31, 2025

In further ance to our letter dated May 8, 202 5, whereby the Company had submitted the link to the audio recording of the Earnings Call held post announcement of Financial Results for the Fourth Quarter and Financial Year ended March 31, 202 5 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

\\172.16.31.16 \Legal and Secretarial Documents \(01) Blue Star Limited \2024 -25\Stock Exchange Compliances \Reg 30 - Information and Update \16. Earnings Call Transcript \Q4FY25 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"Blue Star Limited
Q4 & FY25 Earnings Conference Call "

May 08 , 2025

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Blue Star Limited Q 4 & FY25 Earnings Conference Call. We have with us today from the management Mr. B. Thiagarajan – Managing Director, Blue Star Limited; and Mr. Nikhil Sohoni – Group Chief Financial Officer, Blue Star Limited.

As a reminder, all participant s' lines will be in listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that th is conference is being recorded.

I now hand the conference over to Mr. B. Thiagarajan. Thank you and over to you, sir.

B. Thiagarajan: Good morning, ladies, and gentlemen. It's a pleasure and privilege to address you this morning. I have with me Mr.
Nikhil Sohoni, who is our Group Chief Financial Officer. Hope y ou have seen the results published yesterday after our Board Meeting , both for Q4 and the full Financial Year .

You might have noticed that the total income , that is the consolidated income , for Blue Star for the financial year ended 31 March , 2025, has crossed Rs. 12,000 cr. And it is another landmark for the company. The net profit before exceptional items had grown by 40% to Rs. 581 cr. The profit before exceptional item, again, grew by 38.6% to Rs. 72.42 cr.

This is consistent performance for the third year in succession, ever since the COVID recovery happened. It's an all -round performance . Except for the Commercial Refrigeration business, the performance of which was impacted due to regulatory changes which we had disclosed in Q1 itself. These are regulatory changes that continued, and the business has recovered, and it had been somewhat flat compared with last year in Q4. As we speak, that business is growing significantly from April onwards. In fact, March was the flat quarter, given that last March (March 24 quarter) was a very significant quarter for that business before the regulatory changes came into effect.

I will hand it over to Mr. Nikhil Sohoni for his opening remarks, but I am pre -empting a few things from the reactions, questions from many investors, financial press, my own wealth advisor s or even neighbors and relatives, about our results compared with our competitors, whichever results have been published so far.

Now, the results, obviously, you all may be confused with what is going on in the industry. I will begin with the first part which is here and now, which is how is April going . From January , I have been saying, last year was a very significant summer season, with April more than 75% growth happening ; and Q1, more than 59% growth happening. On the backdrop of it, this summer, how it will be? There has been a debate for a long time ever since weather forecasts have been available. We have been maintaining, it should be anywhere between 20% to 25%, we would be happy.

Now, April had not been a month, which delivered in line with that outlook. First problem was, in March itself, material was lifted in significant quantities, which resulted in, in my estimate, more than 4 million units in the market. In my view, it was anywhere between 1.5 million to 2 million more inventories than what should have been there. Then there were sporadic rains across the country, including Mumbai for the past few days . April, I understand , the industry would have degrown anywhere between 15% to 20%.

In our case, as I can disclose this since the Board Meeting is over, we would have grown by around 5%. Our own internal target was to grow by 25% to 30%, because if industry is growing between 20% to 25%, we wanted to grow by 25% to 30%.

Second concern will be with regard to Commercial Refrigeration, because it is forming part of the Segmen

t -II. That
business, as I had mentioned earlier, has grown significantly in April '25. It's more than 25% growth, whereas in the last quarter it was flat.

The third information , in the questions that will come up, the Energy Labelling Program in January 1, 2026, whether it is going to change or it is going to change in 2027 again, or is it also going to be in 2028 . The discussions are on and they are in the advanced stages. Our anticipation is, there will be indeed a change in 2026, and the next change will be 2028, with higher parameters. So, as originally envisaged, 2026 change should happen; that is what the industry is prepared for.
Now , I also want to reiterate that Blue Star Segment -II Results , which I have been explaining for the past two quarters , does not include Commercial Air Conditioning and it does not include Commercial Air Conditioning. In our case, it includes the Room Air Conditioners , it includes the Commercial Refrigeration product. I had explained to you. Till such time we reclassify , what is the part of Room Air Conditioner, what is the part of Commercial Refrigeration; I am unable to disclose that to you . But I can tell you that Room Air Conditioner business has grown significantly. Commercial Refrigeration business has been flat. In the fi rst half of the year, it had de -grown , in the last quarter it was flat.
Now, the only way I can indicate is that had it not been Commercial Refrigeration's de -growth, if it had been business as usual, our estimate is that our growth in revenue for FY25 would have been 500 basis points higher. The margin would have been higher by 50 basis points. Even to disclose this, we took the Board 's permission, that this is how we will disclose. Now, it does not include the Commercial Air Conditioning or Commercial Air Conditioning Service, which will be close to more than Rs. 150 Cr kind of profit at any given point of time in any particular year; on the average I am talking about over the years. That is not part of the Segment -II at all, in our case. It is purely Room Air Conditioners and Commercial Refrigeration products.
Then the industry, this is the last point I wanted to make, had been undergoing many supply chain challenges. It is somewhat stable now, with the extensions that are given for the compressor imports. You might have read about an article about E -Waste Extended Producer Responsibility. The companies are filing suit against the government for increasing the rates. Now, Blue Star also has filed a petition. The question here is the revised rate when it came into effect, whether it was provided for or not provide d for? There are companies which would have provided for; there are companies which would not have provided for.
Next part is, you would have read an article or many articles about copper duty, whether it is under FTA and whether localization has happened? The good news is , localization has happened. And we have signed an MOU with Hindalco for sourcing locally , a significant amount of material next year should be coming from within. Now, in the last financial year we would have imported copper. There had been again the question of whether the FTA -related disputes have been provided for or not? These are all business as usual ; some companies would have provided for; some companies would have not provided for. But as far as Blue Star is concerned, what needs to be provided for has been provided for. In other words, for example, in the e -waste matter, we have provided for that additional money and if the court case goes in our favor, we will be writing it back. That's how life will go on.
Now our results, to an extent, may not be comparable with others, because it is a pure operating income that is there, purely for the businesses that I told you in Segment -II. I thought I must clarify this because numerous questions will come later. Our limitation is related to bifurcating.

And we, indeed, consider this and at some point of time it may happen. But as of now we are not able to.

The way you should be able to also figure out our Room Air Conditioners' performance, maybe from G FK. There, you would have seen or some of you would have seen, we have gained market share by 100 basis points. For three consecutive quarters, we have been leading in terms of the tertiary sales as well, in many markets.
So, with that, I hand it over to Mr. Nikhil Sohoni for his opening comments.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good morning, ladies, and gentlemen.
I will be providing you an overview of the Results of Blue Star for quarter -ended March '25.
FY25 on an overall basis has been an exceptionally good year, delivering a 23.6% revenue growth on the back of the strong performance of FY24. Profit before tax grew by 40.9%. EBITDA margin improved by 40 bps from 6.9% in FY24 to 7.3% in FY25.
Carried forward order book rose to the highest -ever level of Rs. 6,263 Cr as compared to Rs. 5,697 Cr in FY24. This reflects on the operational rigor and efficiency , and at the same time depicts an extremely good pipeline to support growth.
The company remains committed to its stated path of investments in research & development, manufacturing, sales & distribution, digitalization, talent development and capacity enhancement in order to strengthen its position in times to come.
Financial Highlights for Quarter ended 31st March 2025
• Revenue from operations for Q4 FY25 grew 20.8% to Rs. 4,018.9 6 Cr as compared to Rs. 3,327.7 7 Cr in Q4 FY24.
• EBITDA, excluding other income , for Q4 F Y25 was Rs. 279.4 0 Cr, an EBITDA margin of 7 .0% of the revenue , as compared to Rs. 241.9 0 Cr, an EBITDA margin of 7.3% of revenue in Q4 FY24.
• PBT before exceptional items grew 16.2% to Rs. 248.8 2 Cr, which is 6.2% of revenue in Q4 FY25 , as compared to Rs. 214.1 3 Cr, which is 6.4% of revenue in Q4 FY24.
Year Ended March 31, 2025

Financial highlights for the year ended March 31, 2025, on a consolidated basis, are summarized below :
• Revenue from operations for FY25 grew 23.6% to Rs. 11,976.7 Cr as compared to Rs. 9,685.4 Cr in FY24.
• EBITDA, excluding other income , for FY25 improved to Rs. 875.9 Cr, an EBITDA margin of 7.3% of revenue , as compared to Rs. 664.9 Cr, an EBITDA margin of 6.9% of revenue in FY24, recording a growth of 31.7%, mainly due to impact of scale.
• PBT before exceptional items grew 38.6% to Rs. 772.4 Cr in FY25 as compared to Rs. 557.2 Cr in FY24.
• Tax expense for FY25 was Rs. 193.6 Cr as compared to Rs. 142.8 Cr in FY24. The effective tax rate was 24.7% for FY25 as compared to 25.6% for FY24.
• Net profit for FY24 grew to Rs. 591.2 Cr, which is 4.9% of revenue as compared to Rs. 414.3 Cr, which was 4.3% of revenue.
• In view of the record revenue and profits earned by the company, a dividend of Rs. 9 per share, previous year Rs. 7 per share, is recommended by the Board of Directors of the company.

• Carried forward order book as of March 31, '25, grew by 9.9% to Rs. 6,263.4 Cr as compared to Rs. 5,697.6 Cr as of March 31, '24.
• Capital employed as of March 31, 2025 increased to Rs. 2,427.3 Cr as compared to Rs. 2,156.7 Cr as of March 31, 2024. This was primarily owing to investment in fixed capital.
• The company reported a net cash position of Rs. 640.35 Cr as of March 31, 2025, as compared to a net cash position of Rs. 455.9 Cr as of March 31, 2024.

II. BUSINESS HIGHLIGHTS FOR Q4FY25

Segment -I: Electro -Mechanical Projects and Commercial Air Conditioning Systems :

The revenue grew 30.6% to Rs. 1,968.2 Cr in Q4 FY 25 as compared to Rs. 1,506.8 Cr in Q4 FY24. The segment result was Rs. 149.9 Cr, which was 7.6% of revenue in Q4 FY25 , as compared to Rs. 112.5 Cr, which was 7.5% of revenue in Q4 FY24.

Segment revenue for the year grew 27.2% to Rs. 5,998 Cr as compared to Rs. 4,715.5 Cr in FY24. Segment result was Rs. 490.9 Cr, which is 8.2% of revenue in FY25 compared to Rs. 341.1 Cr, which was 7.2% of revenue in FY24.
Order inflow for the quarter increased by 17.5% to Rs. 1,439.9 Cr compared to Rs. 1,225.1 Cr in Q4 FY24.

1. Electro -Mechanical Projects :

Continuing with the trend of the previous quarter s, this quarter also witnessed strong order finalizations , primarily from factories and data center market segments. The commercial real estate and infrastructure market segments saw muted demand. The focus remains on faster execution of projects with health y profitability and cash flow s. The company is hopeful that growing data center investment s and focus on manufacturing will result in fruitful opportunities in FY26. The carried forward order book of the business stood at Rs. 4,755 Cr as of March 31, 2025, as compared to Rs. 4,344 Cr as of March 31, 2024, a growth of 9.5%.

2. Commercial Air Conditioning Systems :

The Commercial Air Conditioning business delivered a good performance this quarter, by maintaining its market leadership and improving profitability. Growth was led by resilient demand from Healthcare, Hospitality and Education sectors . While the Industrial and BFSI sectors remain ed muted, the Government orders showed signs of revival during this quarter.

3. International Business :

In FY25, we have developed products for 3 OEMs in the US and Europe and after completion of field trials of the products, commercial shipments have begun. While volatile global trade policies have led to the slowdown, the enquiry levels are higher in anticipation of an India -US trade deal and supply chain de -risking by these OEMs. We expect more clarity to emerge in H2 FY26.
Segment -I margin s overall at 7.6% for Q4 FY25 versus 7.5% in Q4 F Y24, and the margin for FY25 is at 8.2% as against 7.2% in FY24. As this segment comprises both projects and product business, the mix of which influences the margins.

Segment -II: Unitary Products:

Revenue grew 14.7% to Rs. 1,960.2 Cr in Q4 of FY25 as compared to Rs. 1,708.9 Cr in Q4 FY24. It is to be noted that this growth has to be seen in connection with Q4 FY24 growth, which was 34.8%. Segment results improved to Rs. 164.5 Cr, 8.4% of revenue in Q4 FY25 , as compared to Rs. 141.4 Cr, that is 8.3% of revenue in Q4 FY24.
Similarly, the revenue for the year grew by 22.4% to Rs. 5,621.1 Cr in FY25 , as compared to Rs. 4,592.2 Cr in FY24.
Consequently, segment results improved to Rs. 471.2 Cr, which was 8.4% of revenue in FY25 , as compared to Rs. 360.3 Cr, which was 7.8% of revenue in FY24. FY25 was a landmark year for Room AC business, with sales volume crossing 1.53 million units.

1. Cooling and Purification Products

The Room AC business recorded strong growth during this quarter, driven by the upcoming summer season and rising

demand in Tier-3, 4, and 5 markets. FY25 witnessed a very strong demand growth , and the overall performance of this business has been exceptional. Our market share now stands close to 14%.
To capitalize on demand momentum, we have introduced a comprehensive new range of Room ACs during this quarter, including a flagship premium lineup catering to every consumer segment across all price points.
We continue to strengthen our presence across various distribution channels through targeted promotions and in -shop demonstrators, while expanding distribution, especially in Northern India. With 2,100 + service centers, 150 + vehicles, and its 'Gold Standard service', we continue to focus on reliable nationwide after -sales support.
2. Commercial Refrigeration:
The Commercial Refrigeration business was impacted due to regulatory changes in H1 FY25 as well as supply chai

n
constraints. Further, the slowdown in FMCG sector impacted the dairy and the frozen products, including ice creams, which resulted in lower deman d for deep freezers.
In Q4 FY25, the demand has revived and the business has recovered. With the revival of demand from ice creams, frozen food, and growth of quick commerce delivery platform s, the outlook for this business is encouraging.
In Q4 FY25, this segment reported a margin of 8.4%, which is marginally better than 8.3% in Q4 FY24. The margin for F Y25 has improved to 8.4% from 7.8% in FY24, aided by strong revenue growth in Room AC business, leading to a benefit from economies of scale.
Segment -III: Professional Electronics and Industrial Systems:
The revenue de -grew 19.2% to Rs. 90.6 Cr in Q4 FY25 , as compared to Rs. 112.1 Cr in Q4 FY24. Segment result was Rs. 8.8 Cr, which is 9.7% of revenue in Q4 FY25 , as compared to Rs. 13.6 Cr, which was 12.1% of revenue in Q4 FY24.
Segment revenue for the year de -grew by 7.7% to Rs. 348.6 Cr, as compared to Rs. 377.7 Cr in FY24. Segment result was Rs. 29.7 Cr, which was 8.5% of revenue in FY '25 , as compared to Rs. 51.5 Cr, which was 13.6% of revenue in FY24.

The MedTech business is facing headwinds from regulatory developments and the same has resulted in the loss of revenue and profitability for this business. Industrial Solutions business is showing momentum, but it is not compensating for lost opportunities .
III. Business Outlook:
For the third consecutive year, the company delivered exceptional financial results with the total income crossing Rs. 12,000 Cr and profit before tax crossing Rs. 750 Cr. The weather forecasts have predicted a strong summer, an d we are hopeful that the momentum for the Room AC business will pick up in May and June 2025 ; even though, the growth in the month of April 2025 was not in line with expectations.
The hurdles faced by Commercial Refrigeration business are behind us. The strong order book of Segment -I and the growing demand from manufacturing and data center market segments will contribute to growth. The proposed India - US trade deal should help us to scale our international business. Overall, we are optimistic about the prospects for FY26. Of course, we have to keep a close watch on geopolitical developments, potential volatility in commodity prices and supply chain disruptions.
With that, ladies, and gentlemen, I am done with the Opening Remarks. I would now like to pass it back to the moderator, who will open the floor to questions. We will try and answer as many questions as we can . To the extent we are unable to, we will get back to you via e -mail. With that, we are open for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Natasha Jain from Phillip Capital. Please, go ahead.
Natasha Jain: Thank you for the opportunity. Sir, first of all, the detailed commentary was helpful. My first question is on RAC. Now that you have mentioned and all your peers have also given out numbers, the top -line growth was strong, could be because of channel filling and the start of this quarter has been slightly tepid, and May has any which way s, seen continuous rains in North of India. Given that all of our major players have backward integrated, are now sitting with massive capacities , and the season has kind of at least started with slight disappointment, and you said that the BEE rating is due just probably seven, eight months down the line , does that mean that for the remaining part of the year there will be pressure , both in terms of volume, because inventory will be high in the channel and then, therefore, there could not be any pricing advantage?
B. Thiagarajan: So, if you are in this business, you should always be on a watch on that, look if it is going to be not that good summer,
wha

t one needs to do? That's what one will look at it, isn't it? That you won't be in the business . When there is the risk, this will already be there. It's almost like a cricket team , if that season is going to be raining, playing in Australia, England, they will know very clearly, they are trained to do that. If you ask me, before 2021 there was a serious problem becaus e you are ordering for the material, many SKUs coming from China or Far East, you will not be able to do anything because you have already opened the LC, they started shipping it and the inventory pressure will be huge.
Thanks to Make in India, majority of us have already started producing in -house. It is a question of raw material and

what you have planned and how that is being imported or locally sourced month -after-month . So, I do not see inventory as a problem. It is something very quickly will be corrected. So, if you recollect, our memory is short, including many Blue Starites , the whole bad summer was in FY24. It is only one -year it changed. In FY24, if you look at it, as far as Blue Star is concerned, it started exactly like that. IMD forecast, March is becoming very hot and people started buying.

It peaked in quite a few locations in March. April 15, suddenly it stopped. And the Q1 growth in FY24 for us in Room Air Conditioner volume terms was just 2%.
However, the year ended , Financial Year '24 , ended with 20% growth and in fact, the Q3 itself showed 25% growth, the festival season part of it. Whereas, if you look at FY19 , FY20 was COVID -impacted year; one year prior to that was a very bad summer year. It was a huge preparation, and Q1 was minus 10%. Q2, however, showed 14% growth because in July, North India did well , and some parts of the Madhya Pradesh, etc. And Q3 was a flat quarter. Q4 was again some single -digits. Full year was a flat year. So, I am giving you two comparisons. Now, we are again talking about a year on a base which was very, very high.
I am of the view that energy label change will not be an issue at all, for the simple reason, the production of those products would not have commenced and raw materials would have been ordered only for the summer season, finished good inventory when we will , in case the summer fails, I am still hopeful something will happen in May and June, because the weather forecast says from 12th onwards it is going to be tough summer. Whether this year again 20% growth will be for full year? You have to wait and see. But I am not seeing it as a crisis , because we are seasoned players in this, and it will be a disappointment if rain continues throughout the summer. Thank you.
Natasha Jain: Thank you, sir . That was helpful. Just one last question. In terms of Commercial AC, I understand that VRF technology
is the fastest growing, and you have indigenously developed your own technology. Now what I have understood from the industry is , this technology needs to continuously go through R&D in order to be with the updated technology. So, here, because we have already made this technology probably a year before, are we going to see huge R&D spends on this? And therefore, can margins be impacted? Thank you.
B. Thiagarajan: See, not only Commercial Air Conditioning, in fact, even Room Air Conditioning requires technologies for multiple
reasons. So, number one is connected with, you had the gap vis -a-vis competition, you will end up making . Centrifugal chillers, for example, it was not in our portfolio , we have invested in that, we are growing, and we will keep developing that. So, there is a product portfolio gap.
There is a second type of R&D expenses where you want to become competitive. You launch a product, it is functioning very well, but you want to make it very cost effective, improve the margin . Which means you will try out alternate vendors for many components.

That is a second type of R&D.
There is a third thing which is actually energy label change or a refrigerant change in order to improve the sustainability, it will go on.
Fourth is the developing technologies in digital or AI . In order to improve the performance, in order to improve the reliability, in order to improve the energy efficiency itself, so you incorporate those technologies. Now, with all these, it is not only current year, you keep a five years road map and you start developing that, investing in that. So, clear guideline is that whether it is room air conditioner or a deep freezer or it is a commercial air conditioning system, 1.5% to 2% of our revenue will be invested in R&D. It will keep on h appening. And as you can imagine that we are not a global company, some global headquarters is going to develop a technology and give it to us. Whatever we have achieved, if we are able to compete with multinationals or if our products are comparable to mu ltinationals, thanks to our efforts in R&D.
The last point is connected with the backward integration or vertical integration, whenever that needs to be done. So, in make versus buy, in competent ecosystem it's not only regulatory . In order to improve the margins from time -to-

time, we will take such decisions. So, our investments in R&D will continue to happen at around 1.5% to 2% of the revenue. Thank you.
Natasha Jain: Thank you, sir.
Moderator: Thank you. The next question is from the line of Naushad from Aditya Birla Sun Life. Please, go ahead.
Naushad Chaudhary: Thanks for the opportunity and highly appreciate the detailed explanation and almost everything, all queries have been
resolved. Just one, on the EPR side, if at all it is possible, if you can quantify how much we have taken a provision last year, either i n absolute term or as a percentage of revenue? And what was the expected increase on that base for which we are fighting?
B. Thiagarajan: The exact figure Nikhil will be able to tell . What happened was, the recycling was at some Rs. 9 per kg, it got increased

to somewhere around Rs. 23 a kg, that is the issue. Now what is EPR? 10 years ago, whatever number of air conditioners I sold, equivalent material there will have to be recycled. And in India, generally getting this material back is a problem. One air conditioner becoming old that is shifted to another bedroom, and it is bought by somebody , and even if you pay Rs. 4,500, Rs. 5,000, it does not happen. So, you are supposed to be going to the recycler, give the material that you have collected; apart from that, you also buy the certificates for recycling. That rate tripling is the issue. So you assume approximately some Rs. 10 Cr what it was, it will become Rs. 30 Cr. That's the type of formula . As far as Blue Star exact figure, do not worry, it is in the order of Rs. 10 Cr, which will go up to Rs. 30 Cr in the coming year. Last year, midway through it came in, so the differential has been provided for.

Naushad Chaudhary: And this Rs. 9 per kg to Rs. 23 per kg is for retrospective or for the fresh material?

B. Thiagarajan: Fresh material, whenever it came into , the middle of last year it came into effect, which is what you are reading in the newspaper as being contested.

Naushad Chaudhary: Okay, sir. Thank you so much. All the best.

B. Thiagarajan: Thank you.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset. Please, go ahead.

Rahul Agarwal: Hi, sir. Good afternoon and thank you for the opportunity. Sir, you alluded to some outlook on how do you see RAC ahead? Just wanted to understand similarly , because last two years most of the revenue for Segment -I and Segment -II has grown like 20% on an average. Going forward, obviously, the industry outlook looks great but I think these numbers are, I think, very good.

So just in terms of sustainability, if you could help us qualitatively understand outlook for Commercial AC, Commercial Ref and Projects also, going into next year, it will really help? That's the first question.

And secondly, similarly on margins . I think if you could just highlight what could be additional levers from where we are at current levels on both Segment -I and Segment -II. Do we see margin expansion further? And is that more organic or is it going to be more effort -driven? Those are my two questions, sir. Thank you.

B. Thiagarajan: So, thank you. The Room Air Conditioner business is growing, is poised to grow in the coming years and there may be a good year of significant growth beyond 20% , 25%, another year, it may be a flat year, if it is going to be a wash out summer, both can happen. But all taken into account, between now and 2030, the CAGR estimate is 19%. It was an

Ernst & Young report, CII National Committee on Consumer Durables and the Electronics did that. That research it is widely accepted by many stakeholders, and even for many government representation, we continue to use that. And in fact, Air Conditioner will be the fastest -growing category within that Consumer Durables and Electronics at 19% CAGR, market is expected to more than double.

Now, the Commercial Air Conditioning product is connected with infrastructure development, whether it is a core infrastructure or a social infrastructure, where the product goes, shops, showrooms, boutiques, hotels, hospitals, data centers and the manufact uring, educational institution, et c. Our estimate is that it should grow at a CAGR of somewhere between 12% to 12.5%. That is our estimate.

Now, Electro -Mechanical Projects is a big canvas. It's a question of where you want to compete, what kind of risk appetite that you have in terms of cost overruns or the time overruns? So compared with what we are doing, and many number of projects we can get into, our principle has been that do the project selectively where your cash flows are secured and profitability is reasonable. It does not bring down the average profitability of the company as a whole. That has been the approach. So, I am not really worried about the market growth as far as the Electro -Mechanical Project segment is concerned.

Commercial Refrigeration is a fragmented one. It may be a water cooler, it may be a deep freezer, it may be a cold chain -related cold room , and it can be a ripening chamber. And many, many sectors, pharma, quick commerce or the QSR segments and warehouses, a number of customers keep buying. It has a potential to grow at 30%, because India is underpenetrated. So, the growth potential there is very high. And it is yet to reach a room air conditioner kind of a scenario. Room air conditioner struggled like tha t for many years till 2020 -'21. Then post that it is showing signs of growth.

I expect at some point of the time, there are signs now. There is no doubt that the demand is coming back in many sectors, driven by the modernization of the traditional Kirana stores itself. As you have seen Tier-3, 4, 5 towns, every Kirana store wants to sell ice cream or want to sell cold beverages, so the visi cooler, deep freezer market is growing , processed frozen food consumption is growing and healthcare sector is getting modernized. Therefore, if you look at it, the QSR players keep on announcing more and more number of stores , restaurants getting opened even on the highways. Quick commerce is a last year phenomenon , 10% of the total market now is the requirement from the quick commerce segment for delivery related cold rooms or deep freezers. So, this is the overall scenario.

Margin s, ; my view is that to dramatically grow the margin in this particular period, 2025 to 2030, is to be looked at in the context of many investments that have to be made, that when y

ou are trying to penetrate the market in Tier-3, 4,
5 towns, you have to make investments in brand and brand promotions related.
Next, you are all complying with newer and newer regulations, like the Extended Producer Responsibility, there's a cost that comes to that. Next, in -shop demonstrators, when you are expanding your network to 15,000 from 10,000, that additional 5,000 will be coming with some cost like in -shop demonstrators. Consumer finance -related cost, it is 40% of the sale coming fro m consumer finance, that is the cost that comes to you.
So, therefore, there is a phase that you go through, keep on making investments. So, therefore, you make investments for the scale. Let us imagine, the industry was only 8 million in FY24, and FY25 it crossed 10 million, it may cross 15 million in FY26 . Blue Star itself, from 8 lakh to 11 lakh to 15.75 lakh kind of volume we have grown. It will require investments in digitalization, etc. So, in this particular period it is going to be a tough journey, and the competition

will be intense, to improve the margins dramatically, because you are making simultaneously many investments that are needed.
The guidance for FY26, unless and until something dramatically changes remain , for Segment -I, 7.5% ; and Segment - II, 8.5%. And we will attempt to take it to 9%, and that will be with a great difficulty, I think . And if the summer is not going to be that great, that 8.5% to 9% will be very difficult.
Rahul Agarwal: Thanks. And we should assume that whatever growth rates you mentioned on all segments, we should be gaining
market share? That is just a follow -up, yes.
B. Thiagarajan: That's very clear, that we want to grow faster than the market . And we were not happy with Room Air Conditioner in
Q1. Despite a great summer , we were stocked out at some point of time last year, and we did not gain market share in that summer . But if you look at it in Q3, Q4, we have done better, and that 100-basis point market share gain happened in the later part. Now our goal, we have stated that we would like to see that 15% market share quickly and so on , and distribution, branding, ev erything will be happening that way. Thank you.
Rahul Agarwal: Thank you so much, sir. All the best.
Moderator: Thank you. The next question is from the line of Dhruv Jain from Ambit Capital. Please, go ahead.
Dhruv Jain: Thank you so much for the opportunity, sir. My first question is on the MEP business. So, I know that you cater to various segments and do a lot of things there. But just wanted to understand that which segments particularly would be higher than median mar gins and which would be lower than median margins that you reported? Some color there would be very helpful.
B. Thiagarajan: See, generally, the projects in which the equipment content is higher will, obviously, have a higher margin. The projects
in which it's all 12 to 18 months kind of completion will have higher margin. Projects in which you have price variation clause that is built in, will have higher margin . But broadly what we have seen is that manufacturing, data center, these kinds of projects have more than average margin, for the simple reason, they have got a completion period certain, and their revenu e is suffering, these projects will happen. Infrastructure projects like metro railway or railway electrification, substations and all , six months to one -year it can get delayed. Thank you.
Dhruv Jain: I get the point, sir. And sir, the second question is on exports. So, I know that you have embarked upon an export initiative program, but just wanted to understand where are you in that journey from an SKU approval perspective? And if you could just share some thoughts there? Thank you.
B. Thiagarajan: Yes. So, the situation remains the same that we have three customers and we have got products approved for them.

These are in the decarbonization area, and they have started lifting the material. As one would like to scale, you know from January what is happening, and the complete uncertain situation prevails. Therefore, we have to wait and see. And there are a huge number of inquiries that are flowing in and a record number of people are now asking for samples, etc. But it may not straight awa y translate into orders because I think all of them are trying to secure their supply chain. So, as we speak, we have wait and watch whether US-India deal, when it will happen ? US-China deal they are talking about, what will happen ? And whether US or Europe, whether they will get into inflation? Or whether they will be into recession? A number of questions are being asked. So, to that extent it is a disappointment. There is uncertainty in the whole international exports landscape.

In the meanwhile, we are speeding up to give the samples, understand the specifications for numerous inquiries that are coming in because their problem is if China does not open up and whether India is, they will evaluate. It will move on for another one year, I suppose.
Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please, go ahead.
Aniruddha Joshi: Yes, thanks for the opportunity. Sir, one question. Now , in your career you would have seen such weather -related

issues, like early monsoon or late summer multiple times. So just wanted to understand from the experience that whether these things really impact in the medium -term or not? Secondly, are these things in a way helpful, because I guess the smaller / unorganized players would be getting relatively more impacted compared to players such as Blue Star. So, do we end up gaining market share in such periods? That is question number one

Secondly, in case of Commercial Refrigeration, if you indicate about the market size and the market position of Blue Star, let's say, the market share roughly three years ago what it was, what is currently and the shares of other players also? Yes, that's it from my side. Than k you.

B. Thiagarajan: Yes, the last part of your question is Commercial Refrigeration?

Aniruddha Joshi: Correct.

B. Thiagarajan: Okay . Now, many times it has happened that , see, the first thing is, it is seasonal product that sets the tone. And the corrections were not happening. As I explained earlier, we have seen in FY24, when the summer failed in 2023 the recovery happened significantly. So, the situation is different from what it was in the past. But having said that, for that particular year, instead of growing by 25%, the industry can grow by just 10%. That is a possibility.

The weather is becoming unpredictable , no one would think that in Mumbai this kind of rain would happen in the month of May. Now, equally is the fact that it can suddenly become hot, unbearable temperature can happen. So, whether it will impact medium -term or long -term? I do not think so. It depends on the company. Like, for example, will you postpon e expansion of your network? Will you postpone recruiting people or initiating new R&D projects? We do not believe in that at all. We continue to invest; some discretionary expenses one may defer It can create pain for the employees associated, because the variable pay or sales incentive will be linked to the sales growth. So, there is a pain they will undergo, indeed. There is no doubt about it.

Now, in one particular year, you earned a significant amount because it was an unexpected bumper sale and, in another year, you are losing it. So, we have seen this again and again happening . I have not come across fortunately, two summers consecutively disappointing in my 45 years of career. So, therefore, I am of the view even May, June should bounce back is

my view , let us see. I can be entirely wrong. But the good news now , as I have told you is , you can quickly correct the supply chain. You asked me a question whether the smaller players will be impacted? I do not think so. They are now matured players. We handhold each other if you mean the vendors or the OEM suppliers and we should be doing better. I can put it another way , 10 years ago it used to be a huge tension and mourning and disappointment and all that. It is not , it's part of the game , it will happen. Thank you.

Aniruddha Joshi: Okay. Sure, sir. And on the Commercial Refrigeration part?

B. Thiagarajan: Yes, Commercial Refrigeration, if you take deep freezers, which are chest freezers, many types, whether it is glass top, hard top, and the water cooler, or the negative temperature storage, all these put together, we will be having close to 31% market shar e there. We would like to maintain, if possible, improve. But that market is significantly growing.

Second part is modular cold rooms, which are walk -in coolers we call it, which goes in very large numbers to restaurants, pharma industry, logistics, warehouses, etc. And there, again, we hold 32% market share. Water cooler is a small part, we have been leaders there, there is nothing to worry. So, market leadership is not an issue there. The issue is connected with the market to open up, it is opening up.

Last year was a disappointment for a different reason altogether, which you are all aware, the many regulatory changes connected with import. Most importantly, we all imported from China many commercial refrigeration equipment . When you indigenize, it will not be as price competitive as China was able to deliver. The customers are used to Chinese pricing. So, therefore, even though you are trying hard, the question that comes up is , when the margin will go up? So, this is the issue , the customer got used to a Chinese price for many decades. You suddenly stop importing. When you make locally, it is going to take time for you to improve the competitiveness. That's where it is. Thank you.

Aniruddha Joshi: Thank you. Thank you, sir.

Moderator: The next question is from the line of Anupam Gupta from IIFL Capital. Please, go ahead.

Anupam Gupta: Yes. Thanks for the opportunity, sir. Sir, the question is on the RAC business, primarily RAC and Commercial Refrigeration if you can talk about . Basically, where are you in terms of backward integration at , let's say, at the end of FY25 in terms of in -house, third -party, and imported sort of sourcing? And over the next two, three years, how do you see it changing incrementally? Also, because there is pressure from the government to indigenize, as we saw in case of compressors very recently. S o, if you can just give a color here?

B. Thiagarajan: So, there are a few items which we should deal with. The number one is connected with the compressor . Second item is the motor . Third item is the copper tubes . Fourth item is electronics . Fifth item is refrigerant. All of them are critical items from the supply chain point of view and constitutes a significant part of the cost that goes into air conditioner. Refrigerant, we will not be manufacturing at all. We are working with the manufacturers in order to ensure that adequate capacity is available. As the refrigerant phase down begins by 2028, we should not be ending up paying huge price due to shortage. I do not mind saying this, there have been press articles there. The industry should work together to help create more capacity for R32 refrigerants. I do not think that it is going to be a challenge per se.

Copper tubes, inner grooved copper tubes were getting imported from FTA countries like Vietnam predominantly .

There are issues related with the Certificate of Origin, whether the copper is mined withi

n ASEAN countries in order
to avoid or pay a full duty. There have been clarifications from the Ministry in March. If that is so, there is a cost that gets added. Whet her there is domestic capacity that is available, that was initiated two, three years ago, good news is that domestic capacity commissioning has taken place. As I mentioned in the opening remark, with Hindalco we were the first one to sign the MOU for sourcing. There are two other players as well who will be making copper tubes here, including Adani and MedTube. And so therefore, it may be expensive than what the industry was getting because of the reasons I told you, but there is no supply chain probl em there.
The third item is the electronics, and significant number of EMS players are available. Our policy has been clear that we will invest in R&D for developing our IP, but get the PCBs or electronics assembled outside . Because that enough capacity is there, that is not a value -adding job , the money comes from IP. So, we are not going to be setting up a PCB assembly unit in -house and all; there are enough players. That is the model even multinationals follow. That is where we are . We are no longer worried about it, but we are speeding up our efforts to develop the IPs.

The next item is motor. See, because of the automobile and other industries, BLDC motor ecosystem has developed completely. And their quality standards have improved and there is no problem anymore. So even if restrictions com e in, it plays in a much bigger way. Even multinationals who were prevented from exporting to India, they have set up a manufacturing facility here. So, there is no problem with that.
Now the question is compressor that is one big item. There are multinationals who have their technology, and they are setting up their own facility , they are in the process of scaling. There are compressor manufacturers , there are two Chinese compressor manufacturers, GMCC and Highly. GMCC is part of the Midea Group. They are telling us that they are expanding their manufacturing capacity within India. There are also the players who are trying to get the components and asse mble in -house. There are a number of players who are attempting to do that.
As far as Blue Star is concerned, we have kept all our options open, that we will continue to source from the players from whom we had been sourc ing. We have assured the players who will have excess capacity , because when we set up, they are setting up a larger capacity than they would consume. Therefore, we are in discussions with them. We are testing their compressors. In principle, we have agreed to source, if they will be giving.
The third option of getting the components in CKD form like another model that is being proposed, that set up an assembly line, we have no problem with that at all. It's a low -cost investment.
Last item, as in 2030, if you have to look back, you are leaders in air conditioning and your volumes have reached 5 million plus kind of. In this situation, why you shouldn't be making compressor can come ? Therefore, we are looking at how to design a compressor, what it takes? And we are in the primary school there . But the program is very much on, and this is where we are.
So, the bottom -line is, see there are supply chain challenges. There are mitigation measures. Now, the mitigation measures have to come with two important conditions. Number one, the quality standards. Actually three ; quality standards , continuous supply , third is the cost. On all angles, we believe , at least for FY26, we are fully secured , till the end of summer 2026 we are fully secured. Nothing to worry. Thank you.
Anupam Gupta: Okay. And will it be right to assume, so let's say, if we look out at FY27 -'28, except compressor, everything would be
India -based to a very large extent?
B. Thiagarajan: Yes, yes, yes. I

think even by FY27.
Anupam Gupta: Okay. I understand. That's all from my side. Thank you.
Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please, go ahead.
Aditya Bhartia: Hi, sir. This is Aditya Bhartia from Investec. Sir, my first question is on something that you mentioned in your opening
comments that in April we have seen 15% to 20% decline for the industry sales. Just wanted to understand, was it the primary sales that you were speaking about or secondary sales? Because in case, we are speaking about secondary sales, then is it fair to assume that primary sales would have fallen by even a sharper pe rcentage, given that the inventory in the system was fairly high?
B. Thiagarajan: No. I mean, at this point of time, we will have visibility only to the primary sale. And secondary sale visibility, to some
extent, we will have, because of the information coming from the stores. The thing is, our understanding, based on whatever data tha t we have got, indeed, the opening inventory was higher than what it should be, because there will

be a compressor shortage, ACs will not be available, the dealers ended up stocking. I do not know the market data; we have to wait and see for the G FK report whenever it is published for the month of April. In our case, primary sales as

well as secondary sales are up by a marginal 5%. We would have expected it to be 30% and it is 25% lower than what we thought. We have not de -grown compared with last April. For your information, last April, we were 79% higher than the previous April.
Aditya Bhartia: Understood, understood. And given, sir, that this year industry has been operating with higher -than-usual inventory
for compressors, given all the shortages that we were kind of hearing about, what implication can a weak summer have on the compressor scena rio?
B. Thiagarajan: Yes, one -month ago I answered a question, what happens if summer happens, compressor shortage will be there? Now
I am answering in other case It is good in my view, in the sense that you need not go and pay a higher price. See, today the world is highly volatile, right? We do not even know what will be the exchange rate and what will be the ocean freight rate? Now you see that the effects of this will start following. The Logistic sector will be impacted and there will be seaports which are closed and that's what will happen. And yes, compressor inventory of three or four months more you have, it is good.
Aditya Bhartia: Understood, sir. That's helpful. Thank you so much.
Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please, go ahead.
Sonali Salgaonkar: Sir, my question is on pricing actions. In your media interviews earlier towards the start of this year, you did mention
that you will be evaluating price hikes. Sir, my first question is, have you taken any price hikes in Q4? And with this scenario of sor t of this muted demand, do you think it will impact the industry's ability to take pricing actions despite supply chain disruption?
B. Thiagarajan: First, see the principle. The principle is that if there is a raw material cost increase or cost increase due to exchange
rates, that is passed on to the consumer , accelerating for two or three months . And therefore, the implemented price increase with effect from 1 st January, it coincided with the release of new models. Again, in April, first week, we have increased the prices. That is the input cost which t has gone up.
Now when the demand comes down, so what happens is that you end up introducing some schemes. We are not there yet. In other words, there is no desperation. If the demand itself is not there and you are taking some 2%, 3% price lower for the sake of getting volumes , we will rather manage the inventory than trying to play with the prices. But th

ere could be some schemes in order to keep your market share.
So, what it will mean? It will mean, how the industry as a whole is going to operate? The desperation has to happen industry -wide. Then some player will drop the price and that's what will happen. But we are not yet there as of now. It can change only late r because the general belief is that the news you would have read, May 12th onwards, the sky is supposed to clear up, the temperatures are to peak. Anyway, the industry is not operating with some 25% margin to be taking this decision. We are talking about an industry, some 8% to 9% margin industry it is. And if there is a cost and it has to be, you have to manage the inventory well, which means you have to regulate the incoming material and the production in line with what you need for the summer.
Sonali Salgaonkar: So, sir, what has been the quantum of price increases that you took in April and also what is the cumulative amount
YTD?

B. Thiagarajan: . There was 3% to 4% taken in January, 4% to 5% from April 1.
Sonali Salgaonkar: And that has not impacted the demand so far in your view, the price increase?
B. Thiagarajan: Q4, we did exceptionally well. It did not impact at all, but it is not that it resulted in margin improvement because the
input costs had gone up at that point of time. Now, we have increased it by 5% and in any case, the first month went with some 5% growth only and we have to wait and watch. So, 3% to 4% and 4% to 5%.
Sonali Salgaonkar: Understood. That's all from my side, sir. Thank you.
B. Thiagarajan: Thank you.
Moderator: The next question is from line of Achal Lohade from Nuvama Institutional Equities. Please, go ahead.
Achal Lohade: Yes. Good afternoon, sir. Thank you for the opportunity. Sorry, if I am harping on the same question. Sir, I wanted to
just quickly get your sense in terms of the April, May, and June, what would be the mix in terms of the primary sales for the industry? Would that be like 40 -40, 20 -20 or any proportion if you could highlight, just a mix?
B. Thiagarajan: No, I couldn't follow. The mix of primary --
Achal Lohade: Yes, primary sales perspective, how large will be April, May, and June individually, if you would have any proportion?
B. Thiagarajan: No, it has been erratically changing. All that I can tell you is April, May, and June together, if you look back many
years, it will be some -45% of the total sale happening.
Achal Lohade: Okay, understood.

B. Thiagarajan: Yes, see, what we have seen is some four, five days of heat in any particular week, immediately it peaks. So hidden in
your question is what is lost in April, whether it will come back in May or June? If that is the thing, no one knows. I would also pay heed to the fact that how the sentiments also change in the market. There are border tensions that are there, and I keep telling, it is not the US trade war is impacting the stock market alone or the company exports; the stock market or the US trade war -related issues or the immigration issues. The entire South India, there are numerous people who are dependent on that. The IT -related jobs, new jobs or people who wanted to migrate, people who wanted to study there. So, sentiments also have dram atically changed, and as it keeps changing.
So, put together all, nobody knows and I should not pretend so much growth will happen. All that I can say is we thought going by what was the forecast, etc. 20% to 25% growth should happen. Blue Star should grow 25% to 30%. As we sit and see now with a muted April, I would down it to say 10% to 15% growth, and if extremely lucky, it will be 20% growth, because one -month has gone, another seven days have gone.
Achal Lohade: Understood. And just a second question, in terms of the South mix for the industry as a whole and for us, would it be
possible to get some sense ?
B. Thiagaraja

n: And my guess is that it will be roughly 30%.
Achal Lohade: And for us, sir, would it be similar or little higher?

B. Thiagarajan: In our case, it will be higher, close to around 40% of our sale will be coming from South, because we hold more than
20% market share in quite a few markets there.
Achal Lohade: Right. And that has seen a 25%, 30% drop, right, in April?
B. Thiagarajan: No. Our 5% growth is thanks to those locations also.
Achal Lohade: No, for the industry, sir? Sorry, that that is my last question. For the industry, was that a drop as much?
B. Thiagarajan: I do not know reason why it dropped , all that I know is, that I hear, that anywhere between 15% to 20% all India
dropped. Given that summer sets in early in Kerala and Tamil Nadu, it is likely South India contributed more , because North can come back in summer until July.
Achal Lohade: Understood. This is very helpful, sir. Thank you so much and wish you all the best.
B. Thiagarajan: Thank you.
Moderator: Thank you. The next question is from the line of Arshia Khosla from Nirmal Bang. Please, go ahead. Sir, the current
participant has been disconnected.
B. Thiagarajan: We can take one more question.
Moderator: Yes, sir. The next question is from the line of Keshav, an individual investor. Please, go ahead. As there is no response,
we will move on to the next question. It's from the line of Shiv Kumar Prajapati from Ambit. Please, go ahead.
Shiv Kumar Prajapati: Yes. Hi, sir. Thanks for having my question. So, my question is more on the data center front. So, we are seeing that
data center is about to boom in the coming years. So, I want to understand the liquid cooling opportunities available for us, like, so, I just want more clarity, are we present in this segment or are we planning to foray into this segment? And what would be the opportunity size and margin profile?
B. Thiagarajan: See, number one, we are a leading player with a huge market share in the MEP related to data center, which are
mechanical, electrical, plumbing, putting together the data center -related equipment, other than the server part of it. So, in MEP, we are presen t in a big way and will be a preferred vendor as well. Now, if you look at the equipment that goes into, we are a manufacturer of chillers , we make a few types of chillers meant for data center applications as well, and we are expanding tha t range. Now, liquid cooling has not penetrated in India much, and we do not have that, but we are in talks with many players abroad for getting that technology.
Shiv Kumar Prajapati: Okay. Okay, got it, sir. Thanks, and best of luck.
B. Thiagarajan: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the
conference over to Mr. Nikhil for closing comments.
Nikhil Sohoni : Yes. Thank you very much, ladies and gentlemen. With this, we conclude the quarter's earning s call. Do feel free to
revert to us in case your questions were not fully answered. We will be happy to provide you additional details by e - mail or in -person. Thank you.

Moderator: Thank you. On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

August 13, 202 5

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the First Quarter ended June 30, 202 5

In further ance to our letter dated August 7, 202 5, whereby the Company had submitted the link to the audio/video recording of the Earnings Call held post announcement of Financial Results for the First Quarter ended June 30, 202 5 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

\\172.16.31.16 \Legal and Secretarial Documents \(01) Blue Star Limited \2025 -26\Stock Exchange Compliances \Reg 30 - Information & Updates \11. Earnings call
Transcript \Q1FY26 BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"Blue Star Limited
Q1 FY26 Earnings Conference Call "

August 07, 2025

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day and welcome to the Blue Star Limited Q 1 FY26 Earnings Conference Call.
We have with us today from the management Mr. B. Thiagarajan – Managing Director, Blue Star Limited; and Mr. Nikhil Sohoni – Group Chief Financial Officer, Blue Star Limited.
As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiagarajan. Thank you , and over to you, sir.
B. Thiagarajan: Thank you. Good morning, ladies, and gentlemen.
You might have seen the results which we have published yesterday . So, I take it as what was a disappointing quarter that had ended . I do not know ; I leave it to your judgment that it was better than what you expected or worse than what you expected.
As you are aware, we had commen ced the financial year with the hope that the summer season will be an impressive one with 25% of growth during the season , 25% to 30% market will grow, and Blue Star also will grow. This is for Room Air Conditioner s. But unfortunately, due to unseasonal rains, as I would have or Nikhil would have explained to you, during the course of the summer season, several times in the media or in one -on-one meetings or telephonic calls, it was a disappointing summer. So, I had also expr essed that i t is not a disaster. It is a disappointing one. But the long -term prospects for room air -conditione rs business at a CAGR of 19% over the next five-year period should happen and we firmly believe in that. And this particular disappointing summer season obviously calls for some corrective actions so that we maintain profitability , we improve our efficiency , and we do not lose momentum in terms of research and development or market expansion or talent acquisition and other initiatives which are str ong pillars for Blue Star.
Fortunately, Blue Star, as you are aware, is not only dependent on B2C businesses, it is also dependent on B2B businesses. And fortunately, that part of the business is doing well. In fact, order book for the B2B businesses is at all -time high and we conti nue to grow at double digits.
With that, I will hand it over to Nikhil for his remarks. Later on, we will answer your question.
Thank you.
Nikhil Sohoni: Thank you, Mr. B. Thiagarajan . Good morning, ladies, and gentlemen. This is Nikhil Sohoni, and I will provide you an overview of the results of Blue Star Limited for quarter ended June '25.
Following an exceptional year of growth, FY26 started on a softer note, driven primarily by unseasonal rains across the country, which resulted in a muted demand primarily for Room Air Conditioning segment. Despite this headwind faced by Room AC business, the company has delivered robust revenue growth across other key businesses. Backed by healthy order book and

prospects of demand reviving during festive season, we are optimistic about the growth for full year.
Financial highlights for the Quarter -Ended June 30 on a consolidated basis are summarized as follows :
• Revenue from operations for Q1 FY26 grew by 4.1% to Rs. 2,982 cr as compared to Rs. 2,865 crores in Q1 FY25.
• EBITDA excluding other income for Q1 FY26 recorded at Rs. 199.99 cr and EBITDA margin of 6.7% as compared to Rs. 237.8 cr, which was EBITDA margin of 8.3% of the revenue in Q1 of last year.

• PBT before exceptional items dropped by 27.8% to Rs. 163.23 cr in Q1 FY26 as compared to Rs . 226.02 crores in Q1 FY25.
• Tax expenses for Q1 FY26 was Rs . 42.41 cr as compared to Rs . 57.26 cr in Q1 FY25.
• Net

profit for Q1 FY26 de-grew to Rs . 120.82 crores as compared to Rs . 168.76 crores in Q1 FY25.
• Carried- forward order book as of June 30, 2025, grew by 12.5% to Rs. 6 ,843 cr as compared to Rs. 6 ,085 cr as of June 30, 2024. Carr ied- forward order book as of March 31, 2025, stood at Rs. 6,263 cr.
• The capital employed as of June 30, 2025 stood at Rs. 2,821 cr as compared to Rs. 1 ,738 crores as of June 30, 2024. We continue to invest in manufacturing capacity, research and development and digitalization.
• The company reported a net cash position of Rs. 370.9 cr as of June 30, 2025 as compared to the net cash position of Rs. 1 ,042.9 cr as of June 30, 2024.

II. BUSINESS HIGHLIGHTS FOR Q1 FY26

Segment -I: Electro -Mechanical Projects and Commercial Air Conditioning Systems:

The Segment -I revenue grew by 35.9% to Rs. 1,412.5 cr in Q1 FY26 as compared to Rs. 1,038.9 cr in Q1 FY25. Segment result was Rs. 111.6 cr, which was 7.9% of revenue in the current quarter, as compared to Rs. 103 cr, that is 9.9% of revenue in Q1 of last year.

Order inflow for the quarter was Rs. 1,963 cr in Q1 FY26, as compared to Rs. 1,466 cr in Q1 FY25 .

Coming to individual businesses within this segment :

1. Electro -Mechanical Projects:

We experienced strong order bookings in the projects business during the quarter, driven primarily by continued demand from factory, data center and healthcare market segments, indicating sustained interest and healthy pipeline for upcoming quarters.

Inflow of inquiries and tenders in railway electrification and metro railway sectors remain subdued and we continue to maintain selective approach to infra projects.

Carried- forward order book for Electro -Mechanical Projects business was at Rs . 5,080 cr as on June 30, 202 5 as compared to Rs. 4,557 cr as on 30 th June 2024.

2. Commercial Air Conditioning Systems :

During the quarter, Blue Star's Commercial Air Conditioning business delivered robust growth in line with the overall market trends, reflecting sustained demand and strong execution. All key product categories like Ducted systems, VRF and Chiller s registered healthy growth during the quarter.

Key demand contributors included the Manufacturing and Education sectors driven by infrastructure expansion and increased investment in climate control solutions. However, demand from Government and Public sector remained muted due to low capital expenditure and commercial retail demand was also relatively modest.

3. International Business :

The international business is also part of this segment, where we continue to pursue our international foray and are steadily progressing in the U .S. markets. The engagement with European customers is also underway with discussions at various stages of finalization. Uncertainty due to geo -political factors, including the U.S. trade negotiations, may act as a short -term impediment. We are also focused on strengthening our presence in Middle East and African markets.

Segment -I margins at 7.9% for Q1 FY26 versus 9.9% in Q1 of last year. The quarterly margins are influenced by projects and product mix and hence may not be comparable with the previous periods.

Segment -II: Unitary Products :

Segment -II revenue de-grew by 13.3% to Rs. 1 ,499.4 cr in Q1 FY26 as compared to Rs. 1,729.5 cr in Q1 FY25 . Segment result was Rs. 87.5 cr, which was 5.8% of revenue in Q1 FY26 as compared to Rs. 158 cr in Q1 FY25 which was 9.1% of revenue.

Individual Businesses within this segment :

1. Cooling and Purification Products busines s:

This quarter presented unexpected headwinds due to the early onset of monsoon across India, making this an unusually soft summer season. However, as in the past, we have done marginally better than industry and we estimate that our market share has slightly improved above 14%. While the near -term environment remains challengin

g, we remain confident in the underlying strength of
the category and are strategically positioned and focused on navigating this phase effectively as we look ahead to a stronger demand revival during the upcoming festive season .

We continue to invest in expanding our distribution footprints across the country. We remain confident in our outlook for the rest of the year and expect to close FY26 with reasonable growth.

2. Commercial Refrigeration :

Commercial Refrigeration business witnessed strong growth in Q1 FY26 as we are now on a f irmer footing. The regulatory challenges we faced in Storage Water coolers category last year ha ve been resolved. Growth in this quarter was primarily driven by strong demand from processed food and pharmaceutical segments, reflecting a positive turnaround in key end -user industries.

In Q1 FY26, this segment reported a margin of 5.8% as compared to 9.1% of Q1 FY25. Margins for the current quarter were impacted by a sharp decline in Room Air Conditioning business. With the lower volumes, the operating leverage benefits witnessed in Q1 FY25 could not be replicated in this quarter, thus resulting in the drop in margins.

Segment -III: Professional Electronics and Industrial Systems

The segment revenue de -grew by 27.3% to Rs . 70.4 cr in Q1 FY26 as compared to Rs. 96.9 cr in Q1 FY25. Segment result was Rs. 7.7 cr, which was 10.8% of revenue in the current quarter, as compared to Rs. 9.6 crores, which was 9.9% of revenue in Q1 of last year.

The segment faced a decline in revenue driven by continued challenges in Med Tech and Data Security business es. The Med Tech business has been impacted by regulatory uncertainty with the government temporarily stopping the import of refurbished medical devices. However, Industrial Solutions business is experiencing steady growth supported by manufacturing and testing demand.

Segment margins at 10.8% for Q1 FY26 versus 9.9% in Q1 of last year. The improvement was majorly due to favorable change in product and service mix.

III. BUSINESS OUTLOOK

While the first quarter of FY26 was impacted due to poor Room Air Conditioner sales o wing to unseasonal ra ins during the summer season, it is expected that the demand will revive during the festive season. Further, our strong portfolio of B2B products and solutions comprising of Electro - Mechanical Projects , Commercial Air Conditioning and Commercial Refrigeration should help us partly offset the shortfall during the rest of the financial year.

Aligned with our long -term vision for growth and innovation, we remain committed to strategic investments in manufacturing, R& D, and digitalization , while ensuring sustainable value creation for our stakeholders.

With that, ladies, and gentlemen, I am done with my opening remarks. I would like to pass it back to the moderator who will open the floor to questions. We will try to answer as many questions as we can. And to the extent that we are unable to, we will get back to you via e mail. With that, we are open for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aniruddha Joshi from ICICI Securit ies. Please proceed.

Aniruddha Joshi: Sir, in case of UC P business, if you can indicate the revenue growth rates in RAC, air cooler, and even commercial refrigeration separately, it will be great. Then secondly, what is the inventory as of either 30th June or even 31st July, if you can indicate on that. T hirdly, what are the initiatives that the company has done to clear the excess inventory, means either free installations or additional trade discounts or consumer discounts ? Or what are the additional initiatives the company has done . Lastly, now the new norms will come into picture from 1st of January. So , whe

ther the company will be able to exhaust all the trade inventory by that time ? Or how should we read the situation panning out? That's it for my side.

B. Thiagarajan: Thank you. Unfortunately, I think you are new to the call. This has been clarified several times. Unitary Cooling Products is the segment classification, and anything further break up there will be selective disclosure. So , we will not be able to indicate product category wise information.

All that I can say is that , that particular segment comprises Room Air Conditioner s and Commercial Refrigeration products such as water coolers, deep freezer, or cold chain equipment. It does not include, like our competitors, some of the competitors have the service business of central or package air conditioning that is not in that particular segment. It is purely products.

Now, unfortunately, this has been going on for some point of time. If we have to reclassify, we have to look at the industry, how they report, and then we have to. Then it involves re -grouping, etc. The fact of the matter is, in this particular quarter, what is impacted is Room Air Conditioner s. Now, Room Air Conditioner s' market size is around 6x of the commercial refrigeration market. Then you can make a guess what it is. In our case also, it will be the same. Whatever share there, same share here. So, therefore, the question is unfortunately not answerable.

Second part, inventory is not an issue at all. This also I had clarified in many television interviews or one -on-one interactions. Nikhil or Swati also would have clarified that the moment the market was not picking up, all it takes is two weeks to correct the manufacturing.

Now, those days, some three years ago, it used to be China imports. So , what you have committed, it will be in high seas and you will be saddled with the inventory till the end of the festival season. Now, normally in a system, 30 to 45 days of inventory will be there, always. Now, it is not just in, just out. In addition to t hat, we will excess the inventory, if that is the terminology , it is a one month of sale. That is all the excess inventory Blue Star has got. Inventory is not an issue at all. That on e month inventory will be sold off. And there is the correction in not billing began in April first week itself. So, therefore, with the dealers, there is nothing need to be done to be giving additional discounts or whatever it is. Whatever is the market operating prices and the schemes existing, that is going on. The real issue is when the demand will pick up. So, t o you and to the other participants, I would request that inventory is not an issue. It is just 30 days more inventory is there. That will move away.

The real question is that whether the festival season will be good. It begins with, in Tamil Nadu it is called Aadi (festival in Tamil Nadu) l ike that. There is Independence Day sale. There are some early indications it will be good. But really, we have to see in a volatile trade situation across the globe and in India, what all will happen, we do not know. We wish and pray that the festival season is as good as last year.

Your last question was connected with the , what was the last question?

New norms. We are all well prepared. See, usually what happens is in anticipation of the energy label change, many people end up buying in Q3 itself because a new 5 star will be costlier than the existing 5 star. So , there are a lot of people who end up buying. So, it is a question of production planning, the new products, as well as the old products, how we will do in Q3. Anyway, from 1st January, you have to make the new label. This energy label change happens in consultation with industry . We all know what is the n ew norm , and we all know which date it is coming into effect. So, therefore, research and development , supply chain issu

es are already over. So, there is absolutely no concern about that.

Aniruddha Joshi: Just last one question. You had indicated earlier that Blue Star is also looking for a JV partner for compressor manufacturing. While we have got one-year additional window, but any update on this JV?

B. Thiagarajan: I have not stated. No, I have not stated as we are looking for a JV partner. I will , again, this question should not come up later in the call. Blue Star is not manufacturing compressors today. It is a question of scale. We know that within a couple of years, we will reach 2.5 million kind of quantity. Therefore, we should look at compressors.

Now there is and the QCO extensions may happen, may not happen. There are manufacturers in India who are planning to expand. So , we will keep monitoring both. What are the import restrictions? What are the manufacturing capacity expansion that is happening here within India? We have kept all the options open. Procuring from Indian manufacturers, as and when they expand. Two, keeping our ears and eyes open . If we have to manufacture, we will go ahead and manufacture. Three, if few Indian manufacturers have come together to make compressors, we are open to that idea.

Right now, our supply chain is secured for about 12 months ’ time, in the sense that till end of next summer season we are covered. So , we will keep reviewing it. And compressor supply chain resilience is no longer bothering us because we have kept multiple options.

Moderator: The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please proceed.

Shivkumar Prajapati: So, my first question is , the other peers have also reported their numbers. And for the UC P segment , the numbers are drastically down , 34% and 50% for two players , while we managed just about 13% to 14% of decline. I just want to understand what did we do right. And you have also

highlighted that we have gained some market share. So , would you be able to quote some figures

as I think in Q4, we ended it around 14% ? And what would be the current market share?
B. Thiagarajan: This is your second question, or you have some other questions ?
Shivkumar Prajapati: Sorry, this is my first question.
B. Thiagarajan: Well, second question also you complete . I will answer both together. What is your second question?
Shivkumar Prajapati: So, second question is basically on the inventory with the dealers and distributors. So, post the BEE norms, would we be sh aring some burden with these players or will we be helping them ?
B. Thiagarajan: That question I have already answered. It is only excess inventory of 30 days is there. The label change is a long time away. So , it is not an issue at all. So , inventory is not an issue. And I request all participants, please take note of , as far as Blue Star is concerned, it has got 30 more days of inventory.
And all that one ha d to look for is that when the growth will take place and so that I maintain that still full year this industry has got an opportunity to end the year with 10 % to 15 % growth. That is what will happen whenever there is a summer season which is not good. So, one has to watch for, if at all there should be anxiety, how well the economy will progress, how well the festival season will progress. So , inventory is not an issue.
Coming back to your first question that is connected with the market share of 14%, it would have moved up, in my view, to 14.2% or something like that. Why we should have done well? We have been gaining market share. That has been our history. Every year we have, even during the COVID period, we have gained market share. And we started with the momentum. Our goal was to end the year with 14.5% market share. So , this is happening with multiple initiatives. Number one is having products at every price point ,

and expanding our distribution footprint in Tier 3, 4, 5 cities, specifically in northern region and places where our market share was lower than all India average , improving it. It is all because of that.
Moderator: The next question is from the line of Natasha Ja in from Phillip Capital. Please proceed.
Natasha Jain: My first question is on the channel expansion that you have mentioned. Because we have got market share gains primarily because of that, I just want to understand if you could call out what is your footprint in South versus non -South. And what is the scope to expand here further? How much are we non -indexed in the rest of India? And therefore, what can be the growth opportunity just by channel expansion? That is my first question.
My second question is, if you could throw some light in terms of how different geographies are doing ? How is South doing? Is it any better than it was before? Because South disappointed the most and Blue Star is indexed to South versus probably no rth, how is it doing? You are lower indexed there. Therefore, on that account. And lastly, in terms of exports, while I understand U.S.

the tariff uncertainties, but in non -U.S. markets , what is the scope there? And are these high -margin businesses? If yes, what kind of scale -up can we expect and by which year? That's it, sir.
B. Thiagarajan: So, the first is, the market share gain is not just due to distribution footprint expansion alone. It is having products at all price points that India is a vast country. Different types of consumers are there. There are entry -level products that are consumed. Heavy -duty air -conditioners are consumed somewhere. Someone is asking for Wi -Fi-enabled , AI-enabled air -conditioners. Someone is asking for sophisticated controlled air. Someone is asking for purification and health -related features. So, you have to have a product portfolio at the right prices. That is the first part of it.
Distribution footprint, it is not by sheer numbers it will be happening. You can go and say, my distribution has become now 20,000 channels or 25,000 channels. That is not the point. Blue Star understands in every town what is the market size. In that, each of the counters, what is the potential of that counter? In that, what is my current share? And therefore, what I have to do?
Even in Chennai, I may be having more than 20% market share. But I should be looking at, in a particular counter, whether I am getting 20% or not. All India market share may be 14. There are markets in which we will have 7 % or 8%. There are markets in which we will have 10%. So , each of these markets, we internally call it as a surgical strike, go ahead, and work there in order to take the market share higher.
So, a sheer number of expanding the distribution footprint will not get the market share at all. For a simple reason, a dealer will agree to be your dealer and display a product because you are actually compensating for the space that you occupied, an in -shop demonstrator you will be deploying.
And that alone is not going to help. It will help, but that alone will not help. So , that is the answer to that.
Now, coming to the geographical thing, we have not thought about when Kerala failed , we thought in Tamil Nadu , Andhra Pradesh will be. That was not picking up. Then I thought it is going to be picking up in West and then North. All over, the same thing happened. So, according to us, the de -growth is common across the country by coincidence.

The last part of your question is connected with the international. First of all, our exports, the international footprint itself is low. And we are on a program to improve our international footprint on two conditions. One is, it will not bring down our ROCE. Two, it will not bring down our profitability.
Our approach has been, we will not enter

there in Blue Star brand name. We will be making for
other players there, established players there. We have acquired around three customers across the United States and Europe. Now, the tariff uncertainty has been there. Today it has got aggravated. But the question is, all along there has been a doubt what will happen to the tariff. Both the sellers, like us and the buyers, they have been very careful in arriving at what needs to be done.
Now, our dependence on exports, total, all exports put together is 2% of our revenue. If you take United States, it is 1% of our revenue. So , it is not going to be impacting our operations in either

manner and what can happen is, we had got our products approved and we are in the process of getting our products approved for other players. We are, you know, in the international market, we have to be doubly sure that product has to be performing well, complying with all their international standards . And it is new to us, every market. And therefore, we have been going slow , and we were about to ramp up. That may get delayed . That's about all. So , it is not going to impact the financials in any manner.
Our decision is please wait and watch what happens because what happened today may change later. We do not know at all. So , we are focusing on working with our customers to keep developing the products and figure out what is the best way they would like to source. That is where we are.
Moderator: The next question is from the line of Akshen Thakkar from Fidelity . Please proceed.
Akshen Thakkar: Congratulations on seeing through a relatively tough quarter. My question was around the Electro - Mechanical Project business. You have seen four quarters of 30% plus growth in this business. I mean, obviously the base is stiff. But could you give us some color on what kind of growth you are expecting in this business in the coming quarters or maybe for the full year?
Then on the Unitary Product business, I think the comment on TV this morning by V ir was that we are still gunning for double -digit growth. That would imply sort of close to mid -teen growth for the rest of the year. Is that something which is an aspiration, a target, or a guidance?
B. Thiagarajan: I will come into the second part of it. The thing is that if you plot all the years where the summer has failed, summer sales have not been good, eventually the industry ends up growing at least 10%. And so that is going by the past record. It is not necessary; it will repeat now. But, you know, it is a question of pent -up demand. It is not that they don't want the AC. They wanted the AC. Summer was not harsh. They postponed it. Remember this. I mentioned this last investor call as well , that May, June, or July are very important months for the consumers in terms of schooling, vac ation. They do have additional burden. So , if they can shift that expenditure, that is fine and they come back during the festival season.
This particular year, there is energy label change. So , therefore, just before the energy label changes , huge purchases take place. So, therefore, there is an expectation going by the past data that growth can be 10%. That's why I mentioned to the earlier question also. Eventually we should look at how the festival season plays out and aims to close anywhere between 10 % to 15% growth. That is what it is.
Now, Electro -Mechanical Projects , that particular segment has got the EPC business of contracting. It serves many segments. It is infrastructure projects, data center projects, manufacturing units or factories, buildings, hotels, hospitals, so on and so forth. It also has the package d air conditioning equipment, like VRF, chillers so on and so forth.
In a particular quarter, it all depends on the closure of a job or somebody is ready to lift the equipment if it is package d air cond

itioning. So , the B2B part of the business is doing good. And

at the same time, it is also cyclical . That is why I keep mentioning in our case, we are not entirely dependent on Room Air Conditioner . There is something else to it.
Now, your question is that can we assume this kind of growth full financial year? That is not the guidance. The thing is that we would like to grow somewhere around 15%. That's about it. And we have always said that the margin should be 7 to 7.5% . For the benefit of other participants , I

am clarifying that also here. So, Unitary Cooling Products , the growth should be 10 % to 15 %. That is the aspiration going by the past record of the industry. For margin, our aspiration is 8 % to 8.5 %. But in a summer impact ed year, it may be tougher. It may be 7 % to 8%. It all depends on how the festival season is and the last quarter is going to be.

As far as Segment -I is concerned, 15% growth is possible and 7 % to 7.5% margin we will be able to maintain. And the situation is highly volatile. It is not the U.S. tariff is not connected with the exports alone. There will be other implications arising. For example, the exchange rate , and other industries which are dependent on, therefore, the consumer sentiment.

So, it is going to be an important period and it could be a volatile period as well. And we have to watch out and pray that the festival season goes on and Indian economy maintains its momentum.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark . Please proceed.

Ravi Swaminathan: My first question, once again, on the first segment , with respect to what is the, i f you can give the order book breakup of the key categories like commercial real estate, residential real estate, retail, data center, infra. And if you can give some commentary on each of these sub -categories, which is doing relatively well, which is doing average.

B. Thiagarajan: Ravi, I will answer this question. The thing is that I do not have the data and the second part is , basically , we have , first of all, understand this. Why that is important? How fast the project will get closed? How healthy is that order book? That is what you are trying to assess.

First of all, I am assuring you that we are not interested in any unhealthy order. If it is a commercial real estate versus infrastructure projects or data center, what orders we book and carry according to us is a healthy order with good cash flows and decent margin. That is why we are not going ahead and building the order book or fighting for a market share. Okay?

Now, b roadly, the buildings, factories, and the infrastructure are equally divided. And in a particular quarter, the manufacturing may go up. In a particular quarter, the building, because the orders are not being finalized based on Blue Star ’s strategy . Orders get finalized in the manner in which the consumers want. And therefore, you can assume always it is one -third, one -third, one -third. And that is what we would like it to be as a part of our risk mitigation itself.

Second question of yours ?

Ravi Swaminathan: My follow -up on this is, I mean, are we adding new products into this Project segment category , like equipping ourselves for advanced projects in categories like data centers, et cetera? This is

leading to this kind of growth vis -à-vis other competitors who are not going that fast in the Project business.

B. Thiagarajan: I won't underestimate any competition at all. All our competent players, everybody wants to grow. So, a ll should be doing the right things to build their own competitiveness.

As far as Blue Star is concerned, you are talking about Segment -I, I suppose, because the equipment addition means it has to come from the commercial air conditioning systems or

what
used to be called as the package d air conditioning. Yes, there are specific chillers meant for data center application. There are chillers meant for brine application. Product portfolio expansion is driving the growth and we continue to focus on that.

Now, in even VRF, there are next generation VRF are getting developed. And if you are pointing towards specific data center, like liquid cooling, we are working on that as well. But the question is that as and when the market will be there for a particular product, our intention is to be ready with a particular product. And that is why compared with others , see, in case of multinational, their R&D happens internationally.

The Indian companies need not to bear that R&D expenses. In case of Blue Star, you have seen that significant amount of investments are taking place there. Close to around 1.5% of our revenue is in R&D. That is what is making us grow. We will continue to d o that.

Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities . Please proceed.

Achal Lohade: Sorry , if I am asking a repetitive question, sir. Sir, if you could help us with the volume decline for the industry for the quarter, just a broad sense, what kind of decline is it? Because the range we keep on hearing is a fairly large number, but just your sense on the same. And we, in terms of the margin, we have seen for the UCP segment, 330 basis point margin contraction. You know, at the gross level, have we been able to maintain or if there is a contraction even at the gross margin level? And if you could also help us in terms of A &P spend in that segment, how much has been the reduction or if it is s ame or increased?

B. Thiagarajan: Second part, Nikhil will answer. As far as the first part is concerned, our understanding is , from various reports . There are institutional sales as well. My guess is that the industry de -growth would have been around 30%. Again, it is not degrowth over last year. It is something that one should look at it at all. As analysts, you all will look at it because that is important for you. We look at it from the point of view of 3 years CAGR. See, summer of 2023 was a bad summer. Summer of '24 was a 57% growth summer. And now there is a decline. So , the question is if you take a CAGR, it continues to grow.

There is a second thing we look at within Blue Star is January to June, how it looks like rather than April to June. For the simple reason, April purchases got preponed to March itself. So , if you look at it like that, the degrowth will be in single digit.

Now, why that is important? While the market should do whatever it is doing, for us, it is connected with the strategic direction. It is connected with the investments that we have to make and the competitiveness that we have to build.

In other words, we will not sit with a long face and worry about one quarter is washed out , what to do ? I do understand from stock market point of view. So , here, we are very clear that whether the industry is growing. So , therefore , if you look at 3 years ' CAGR, still it has grown. If you look at January to June, the de -growth is single digit. That is all I worry about. But what I hear is there is a 30% de -growth in the industry. And so, in a period like this, frightening numbers, it is better to ignore.

And the second part, Nikhil can answer .

Nikhil Sohoni: So, as far as margins go, if you would have heard my commentary also, it was mentioned that when the volumes drop, definitely there is some amount of operating leverage benefits that you normally get will not be getting it in the current quarter. That said, last year's Quarter 1 was an exceptional quarter. So , definitely the economies of scale benefit were there. And hence, you are going to witness the contraction in the margin

s the moment the volumes have come down.

In addition to that, the mix between various components within this segment will also have a role to play. So, it is not , of course, at a gross margin level will be a function of how the material costs have moved, which all of us are aware of. You know, the movements in copper, aluminum and what are the inventories available So, that is not going to impact it in a major way. Definitely most of this kind of comes from the play of volumes. So , that is as far as the overall margins go.

Coming specifically to your question on what are the ad spends and all, that again kind of at the moment we see the volumes kind of de -growing. There is some amount of control which definitely comes on these spends. So , they will not be to the extent they were done last year. And accordingly, some contraction in those spends will also happen.

So, there are certain unique expenses which also come every year, which are industrial -level expenses. We are aware of costs like e -waste, etc. also come. So , they will have a play on the margins. So, this margin drop which you are saying is a combination of all of this. So , it is not a gross margin impact. It is more an impact which comes because economies of scale and certain unique expenses which come every year.

Achal Lohade: Just a clarification, sir, on the first answer. Sir, again, I am sticking to the first quarter at this point in time, April to June quarter. You said industr y declined 30% Y -o-Y. And we have said our market share is marginally higher. Does that mean that our volume decline is also in the similar fashion or slightly lower than that or it is substantially lower than that?

B. Thiagarajan: I mentioned the market share went up by 0.2%, which means our decline is lower than the industry.

Achal Lohade: Yes, no, sir, the math is if...

Moderator: Sorry to interrupt you.

Achal Lohade: I will fall back in the queue, ma'am .

Moderator: The next question is from the line of Ke yur Pandya from ICICI Prudential Life Insurance. Please proceed.

Keyur Pandya: Sir, first question is on the overall growth for the room AC for the Financial Year '26. So, the hope is on the festive season. Now, currently, I mean, in the August, say, in South, Kerala or Onam - related demand, are you seeing any early signs of demand revival or for the time being, it is just a hope and you would focus on more of September, October for the growth revival ? That is the first question.

B. Thiagarajan: I mentioned it starts much earlier. It is something as Aadi (festival in Tamil Nadu) sales starts , and then there is the Independen ce Day sales is being done , and then the Onam will come. The early indications are it is good. But we do not know because the situation is changing every day. We have to wait and watch. So, therefore, that full year should be a double -digit growth is an expectation.

Keyur Pandya: Just, I mean, the context was that, sir, because there will be some pre -buying before this December deadline, which is just a timing difference because someone buys in December and may not buy in Jan.
And second point is that Q4 base was also higher because a lot of pre -stocking has happened in Q4 FY25. So , in that backdrop, we will have a high base of Quarter 4 this year. So , this 10% looks reasonably high. And that was the reason I asked this question.
B. Thiagarajan: Q3 of last year was not a stocking season. Q4 is a stocking season. So, therefore, when energy label change is there, it should be much higher than last year Q3. That is the first part of it.
Now, there are two ways of looking at it. We can imagine a situation of everything is going to be bad. I do not know how that will help. The question is that the past record shows if there is a summer season which is disappointing, full year, again, it will not be a 25

%, 30% growth . It will end up at least with a 10% growth. That is one part of the track record.
The second part is, whenever there is an energy label change that particular quarter peaks, actually. And that is the history and the record that is available. Now, there is, on the other hand, huge volatility in the market. Lot of things are happening globally and in India. So , we can assume that, look, things will be fine or you can assume things will be a disaster.
So, as far as Blue Star is concerned, we will be prepared for both of it. But our interest is not a quarter. Definitely not. That is why we are there for 82 years and beyond, right? We have to go through and a number of times we would have gone through this kind of period. Fortunately , we are a B2B and B2C company. And g oing by your argument, if everything is going to be bad, fine, you have to face it. But as of now, we won't plan for everything is going to be bad. As far as festival season is concerned, t he question is, there are dealers who have inventory. There are dealers who are beginning to buy. Or there are the tertiary movement we are seeing much faster in many counters. So, that is an indication.

Keyur Pandya: Inventory or one month above normal inventory?
Nikhil Sohoni: That's right .
B. Thiagarajan: Yes, in our case.
Keyur Pandya: So, it is total one month inventory or one month above normal?
B. Thiagarajan: One month above normal.
Keyur Pandya: Understood. And sir, last one question that is on your Commercial Refrigeration side. We are seeing deceleration in store counts for quick commerce business . Are we seeing any impact on , say, growth in terms of growth deceleration from that segment? Not degrowth, but growth deceleration.
B. Thiagarajan: Quick commerce is about 10% of the business. So , there is pharmaceutical. There is food and beverages retailing , and there are quick service restaurants. There are farm and related logistics providers. There is ice cream. Like that there are so many segments there. Quick commerce is one. And there are many segments which continue to do well. In any case, the penetration of that segment, that sector, is very low. And I won't be worried about one particular segment decelerating. If you see, it is a bonus.
Keyur Pandya: Thanks for elaborate answers.
Moderator: The next question is from the line of Devesh Advani from Reliance General Insurance. Please proceed.
Devesh Advani: Actually, you said that for the full year, you are expecting revenues to grow at 10 to 15 odd percent . So, how about specifically for unitary products in terms of revenues growth you are expecting for full year? And how about profitability growth for the whole year?
B. Thiagarajan: I have not talk ed about full-year revenue at all. So, the discussion of about 10 % to 15 % is Room Air Conditioner business has the potential to grow , even though it is a disappointing summer. That is the expectation. That is all the 10 % to 15 % figure is that.
Devesh Advani: And as far as earnings is concerned , bottom line is concerned, what is the expectation for the whole year?
Nikhil Sohoni : See, we don't give again a breakup within the segment. For Segment -II, we have been guiding that you should go by around 8% margin. And this year, of course, there will be a Quarter 1 impact. So, you can look at it at around 7% to 8%.
Anupam Goswami: Sir, just a little clarification. When you say two months of or one month of above normal inventory, that is basically an average inventory throughout the year and hence that indicates in the monsoon period or Q2, it will take more than two months to recei ve it?

B. Thiagarajan: No, what I am saying is that ideally, I should have had some inventory. And today around, going by the monsoon sales only , so 3

0 days of more inventory is there. See, there is always inventory in the pipeline —whether in our factory, our warehouses, or in the field. If you put it all together, it will amount to around 45 days of stock, consistently . And because we also have a factory in Himachal Pra desh, which is a smaller market, it has to move to other places. And against that, we may have 75 days of inventory, so which is 30 days more. That 30 -day figure is based on monsoon sale period. If it is a peak season, that 30 -day will be a 10 -day sale, right?

Anupam Goswami: And when do you see this picking up and after BEE norms, if there is slight growth or market picks up, do we again see a quarter flow slow because of a pre -buy?

B. Thiagarajan: Again, I am telling you, the thing is festival season is the one the pickup happens. The 30 -day inventory is not a big thing at all. You have to look at that when the market will revive in terms of faster movements. And it will be from Onam season or Independen ce Day sales onwards; you will start getting the indications. Festival season peaks during Diwali and subsequently against New Year. It is a long way off. So , energy label plus the festival season. People who postpone buying in the sum mer season that is what should result in the growth. These are all expectations; I am telling you. Honestly, we will not be sitting and worrying what , you know, I should not be , at least Blue Star is not imagining the worst and then preparing for. It is not going to help in any manner. We have adequate risk mitigation mechanism.

So, if a sale is not happening, you have to manage the inventory, you have to cut down the production, you have to defer the discretionary expenses. You will. And you will be very careful in expenses such as advertising and marketing ahead of the festival season. You will watch really what is required in that market and you will end up doing. So , those cost levers will be applied. But the preparation will be for simple reasons . In five years, this category should be more than double. That nobody is going to stop. So long-term investments will continue to take place. And any other thing is whether we were aware last week that th ese U.S. decisions would impact India in this manner. I am again saying it is not exports. The exchange rate may be impacted. Many other sectors in India will be impacted, which will impact Blue Star , because we are also dependent on B2B. But all these are par t and parcel of the game. Our aim is simple, that I should build my competencies for the future. I should keep delivering good performance, better than the industry quarter after quarter . And that is all we can do, right?

Otherwise, I don't have any way to guarantee to you , festival season will be good or there will be a double -digit growth. I can go by only past data. And a number of things that are happening are not due to the industry or due to Blue Star . It will keep happening, whether it is summer or tariff or a war or a number of other things.

Anupam Goswami: Sir, any pricing discount going on in the industry and in Blue Star ?

B. Thiagarajan: When we have only just one -month inventory, there is no reason for us to cut the prices. Normal schemes, whatever is the market operating prices, that will go on. Again, gross margin is not the issue. The growth has to happen.

Moderator: The next question is from the line of Aditya Bhartia from Investec . Please proceed.

Aditya Bhartia: Sir, while we have seen a decline versus last year, but if I look at versus Q1 two years back, which is Q1 FY24, there is still a growth in the UCP vertical. In that context, margins falling quite sharply versus, let's say, the margins that we recorded in Q1 FY24, looks a bit surprising. The other way in which I am also kind of considering is that overall volumes or overall revenues thi

s quarter was still higher than off -peak season of Q2 or Q3 last year. But margins have come off quite sharply from there. So, is there some element of some other expenses being involved or some gross margin erosion as well?

Nikhil Sohoni : Yes, so see here, when you look at the margins two years back, one has to factor in that over the two years, there has been an increase in volume. So , there will be an increase in some amount of fixed cost also because the cost comprises of fixed, semi -variable and variable. So, it is not that only variable costs will be the part of the cost composition. And that is going to definitely impact when you are looking at what period two years back was there. The volume increase over the last two y ears and the fixed cost increase over the last two years, along with the inflation increase, is going to impact the margins to some extent.

So, as I also said, there are certain new expenses or expenses which are impacting like e -waste and all. So, they will also impact the margins. So, all of these costs are unique for that period and you cannot be relating it to comparing it with what was the cost two years back.

Aditya Bhartia: And versus second and third quarter of last year also, there is a decline in margins. I mean, second

and third quarter are, of course, off -peak seasons and therefore volumes tend to be lower. So, should we be kind of comparing those?
B. Thiagarajan: The question is that, you know, in summer season of this year, you are anticipating a 25 % to 30% growth. So , you invest in many things like advertising and huge number of in -shop promotions and in -shop demonstrators. That is what happens. So , you are preparing for a huge season, a nd you are employing additional people for installation and service.
Now, then April, when it is disappointing, what you think is that the forecast was , May will be the heat wave. So, therefore, you carry on to look at May. And then you say that from May 15th, you hear it will pick up. So, therefore, a quick correction.
Also, you will not be recruiting somebody in the field and you will ask them to go immediately. There are notice periods that are involved, etc. So, therefore, a c ost that is committed when the season abruptly fails, like a summer rain, it always ends up in erosion of margin.
In Q2, Q3, you will be cautious of those corrections. That is why I mentioned to you. You wouldn't end up advertising thinking that this festival s eason is going to be good. You will be watching and watching , and stage by stage you will be doing.
So, therefore, if your question is related to whether there will be a margin dip compared with last year in Q2 and Q3, according to us, it should not be. In Q2 , probably one month impact should be there for the simple reason July of last year was again a very peak month. So , July of this year,

still the de -growth continues. So , therefore, some part, that is one -third of Q2 may be a problem. Q3 should not be a problem. Ideally, the margins should be managed during those quarters.
Nikhil Sohoni: Yes, so that answers a large part of it. And in addition to that, when you look at , say, Quarter 2 and Quarter 3, again, as you yourself said, are the lean quarters, where you know that there are certain expenses which are anyway controlled, since it is a lean quarter, whereas this quarter was not expected to be lean. So , you have a different level of in-shop demonstrator expenses who are there, all of those who are kind of deployed for that season.
Now, those cannot be pulled off just whenever you want. So, that is a certain amount of period which is already committed to them. Those expenses will stay in that quarter. So, these are the unique one-quarter expenses which are there for that season which you will have to live with. Those are the kind of expenses which will result in imp

acting the margins more than which may not be incurred in Quarter 2 or Quarter 3.
Aditya Bhartia: Fair point. That is a very, very fair answer. Just one clarification, sir.
Moderator: Sorry to interrupt, Mr. Aditya. May we request you to join the queue again?
Aditya Bhartia: Sure, thanks.
Moderator: Thank you. Due to time constraints, that was the last question. I would now like to hand the conference over to Mr. Nikhil Sohoni for closing comments. Over to you, sir.
Nikhil Sohoni: Thank you very much, ladies and gentlemen. With this, we conclude this quarter's earning call. Do feel free to revert to us in case any of your questions were not fully answered. And we will be happy to provide you additional details by email or in person. Thank you.
Moderator: Thank you. On behalf of Blue Star Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 12, 2025

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the Second Quarter and Half Year ended September 30, 202 5

In further ance to our letter dated November 6 , 202 5, whereby the Company had submitted the link to the audio recording of the Earnings Call held post announcement of Financial Results for the Second Quarter and Half Year ended September 30, 202 5 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

Z:\(01) Blue Star Limited \2025 -26\Stock Exchange Compliances \Reg 30 - Information & Updates \11. Earnings call Transcript \Q2FY26 \LettertoExchanges - Q2FY26EarningsCallTranscript.docx BSE Limited
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BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
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NSE Symbol: BLUESTARCO

"Blue Star Limited
Q2 & H1 FY26 Earnings Conference Call"

November 06, 2025

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good morning, and welcome to the Blue Star Limited Q2 & H1 FY26 Earnings Conference Call.
We have with us today from the management Mr. B. Thiagarajan – Managing Director and Mr. Nikhil Sohoni – Group Chief Financial Officer.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Thiagarajan. Thank you, and over to you, sir.
B. Thiagarajan: Thank you. Good morning, ladies, and gentlemen.
You might have gone through the Results of Q2 FY26. So, it was a tough quarter. You are aware of the impacted summer season that continued through July. Post that, on August 15th, we had the GST announcement. So, practically from 15th of August till September 22nd, not only the Room Air-Conditioner business and also some part or some segments of Commercial Air-Conditioning business were also impacted. As we are a company having interest in B2B as well as B2C segment, we could deliver modest growth. On the whole, it was a tough quarter. The fundamentals are strong. The growth story for the industry is strong. Even if you look at the CAGR from FY20 or you ignore the COVID years you take from FY22, the industry has grown, and Blue Star has grown in double digits. So, there is no doubt about the long-term prospects of this business. It is just that this particular financial year is tough.
We had mentioned that it is probable that the second half of the financial year should be better than first half, we still believe so. But having said that, whether it will make up for the shortfall in H1FY26, I doubt at this moment. Going by what is happening in the market, considering the inventory levels of Room Air-Conditioners that are in the market, one would think that if we close the year with industry being flat, we being flat, we should be very happy. I do not think we will be able to grow over the previous year , given that it was a huge growth year.
It is also probable that the industry ends up with (-15%) over last year and Blue Star does better than that, because we are dependent on just two windows now. In December, prior to the energy label change for a couple of weeks, and then you have wait for summer season to set in the last few days of February and the month of March. That's all the window that is available as far as Room Air-Conditioner business is concerned.
Commercial Refrigeration business is smaller in terms of market size which is growing , but it cannot make up for the shortfall in Room Air-Conditioner business. Commercial Air-Conditioning continues to do well. While the order inflow was lower due to the reasons I mentioned because GST impact is also affecting certain segments like for example government or educational institutions, so on and so forth. We think that business will revive.

In Electro-Mechanical projects business, other than the infra-projects, all other segments are doing well, whether it is buildings or data center or manufacturing, the matter of concern in the slow execution of infra-projects and speed is not picking up there. So overall, it is a rain-interrupted match. As I keep telling, it is all Duckworth-Lewis method. We do not know how many overs are left or what is the asking rate, so rain keeps interrupting on one side.
The other way to look at it, first half of the movie was not that interesting, post-intermission, one hopes that the movie will be good. But on the whole, one will close the year with a great feeling.

I do not think so because the momentum was somewhat disrupted. But

I keep repeating that the
CAGR you estimate for any period over the past five years, four years, three years, it is more than 15% for the industry. So in this whole thing, we seem to have done well, better than the industry, gaining market share. But fine, internally, I keep telling that everyone failed in that I failed with better marks is not the consolation. But we have done better than the industry.
One more question that will come is inventory in the pipeline. So, while post-summer we thought the inventory will get liquidated during the festival season, but due to this GST interruption, it did not. For the period September 22nd till Diwali day, we witnessed, as far as Blue Star is concerned, more than 35% sale, but post that there is a lull period. Our inventory level, based on the latest estimate, as on date is around 65 days of sale. Ideally it should be only 45 days of sale. I do not know the industry inventory levels, but I know that the industry inventory days are much higher than 65 days. So, which means it is going to be a period where all these inventories have to find way to the market. So the channel as well as manufacturers inventory liquidation will be top priority. From 1st January, the manufacturers have to produce new products or re-label the existing products, depending on the energy efficiency level.
The signal that we want to give is, indeed second half of the movie will be better, there is no doubt about it. We will continue to maintain our fundamental principles, that is grow faster than the market, control the expenses, both operating as well as capex, find ways and means to maintain the margins, or contain the deterioration of the margins and close the year hoping that summer sets in early.
That is where we are. So, I hand it over to Mr. Nikhil Sohoni for his remarks.
Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good morning, ladies, and gentlemen. This is Nikhil Sohoni, and I will provide you an overview of the results of Blue Star Limited for quarter ended September 2025.
Coming to financial highlights :
In Q2 FY26, the company reported modest growth amidst multiple challenges. The Room Air-Conditioner segment continued to witness demand slowdown after a subdued monsoon-led Q1 FY26 as prolonged rains and lower temperatures impacted secondary sales and delayed channel offtake. Also, the Room AC and Commercial AC demand was deferred due to GST rate reduction announcement on 15th of August, 2025, which subsequently came into effect only on September 22, 2025. In Project business, execution of factories and data center projects remained steady, though the pace of new order inflows was subdued.

Financial highlights for the quarter ended September 30, 2025, on a consolidated basis are summarized as follows:
■ Revenue from operations for Q2 FY26 grew 6.4% to Rs. 2,422 cr as compared to Rs. 2,276 cr in Q2 FY25.
■ EBITDA excluding other income for Q2 FY26 improved to Rs. 183.4 cr and EBITDA margin of 7.6%, as compared to Rs. 149.3 cr and EBITDA margin of 6.6% in Q2 FY25.
■ PBT grew 1.3% to Rs. 133 cr in Q2 FY26 as compared to Rs. 131 cr in Q2 FY25.
■ Tax expense for the current quarter was Rs. 33.4 cr as compared to Rs. 35 cr in Q2 FY25.
■ Net profit grew 2.8% to Rs. 99 cr in Q2 FY26 as compared to Rs. 96 crores in Q2 FY25.
■ Carried-forward order book as of September 30, 2025, grew by 7.9% to Rs. 7,120 cr as compared to Rs. 6,598 crores as of September 30, 2024.
■ Carried-forward order book as of March 31, 2025, stood at Rs. 6,263 cr.
■ The capital employed as of September 30, 2025, increased to Rs. 3,531 cr as compared to Rs. 2,550 cr as of September 30, 2024.
■ Net borrowings of Rs. 417 cr as of September 30, 2025, as compared to net cash positions of Rs. 185 cr as of September 30, 2024.
II. BUSINESS HIGHLIGHTS FOR Q2 FY2026.
Segment-I: Electro-Mechanical Projects and Commercial Air Conditi

oning Systems.
The Segment revenue grew 16.5% to Rs. 1,664 cr in Q2 FY26 as compared to Rs. 1,428 cr in Q2 FY25. Segment result was Rs. 147 cr which was 8.8% of revenue in the current quarter, as compared to Rs. 119 cr which was 8.3% of revenue in Q2 FY25. Order inflow for the quarter was flat at Rs. 1,922 cr in Q2 FY26; in the previous year it was Rs. 1,900 cr.
Individual business within this segment:
1. Electro-Mechanical Projects:
While the enquiry inflows from buildings, data centers and factories were good, order finalizations during Q2 FY26 were muted. As far as Infrastructure Projects are concerned, the company continues to be selective. Owing to the strong order book and faster project execution billing

growth during the quarter was strong.
Carried-forward order book of Electro-Mechanical Projects business was at Rs. 4,840 cr as of September 30, 2025, as compared to Rs. 5,037 cr as of September 30, 2024. It was a negative growth of 3.9%.

2. Commercial Air-Conditioning:

The business grew in line with the market trends. However, billing pace moderated post-GST reforms from mid-August until late-September. The company continues to maintain its market leadership in ducted systems and scroll chillers, and ranks among the top three in VRF and screw/ chillers.

3. International Business:

With the approval process and trial marketing having been completed for a few products in the US market, the supply scaled in Q1 FY26 and Q2 FY26. The tariff-related uncertainties persist and the business should accelerate further once the India-US trade deal is concluded. With the successful development of products for both the US and Europe, the company continues to be optimistic about the prospects for international business.

Overall, the Segment-I margin saw an improvement in Q2 FY26, rising to 8.8% of revenue compared to 8.3% of revenue in Q2 FY25. The improvement in margins is a result of the changing mix of business within the segment.

Segment-II: Unitary Products:

The revenue de-grew 9.5% to Rs. 694 crores in Q2 FY26 as compared to Rs. 767 crores in Q2 FY25. The segment result was Rs. 43 cr i.e., 6.2% of revenue in Q2 FY26 as compared to Rs. 54 cr, which was 7% of revenue, in Q2 FY25.

Individual business within this segment:

1. Cooling and Purification Products business:

Unfortunately, the Q2 FY26 was also impacted and the only silver lining was the good secondary sales with effects from September 22, 2025. With the energy label change scheduled for implementation on January 1, 2026, it is likely that the Christmas and New Year sales would be good. Preparations are underway for the launch of new products for pre-summer summer season 2026.

2. Commercial Refrigeration Business:

The business experienced a modest quarter. With the GST rate reduction on various food products, we expect significant demand growth in H2 FY26. We are expanding our energy efficient and IoT enabled product range to meet evolving customer needs, while deepening penetration in Tier 2 and Tier 3 markets through localized distribution and service support. The Segment margins were lower as compared to previous corresponding quarter. In last year Q2, the margins reported were 7%, whereas in current year the margins are 6.2%.

Segment-III: Professional Electronics and Industrial Systems:

The revenue de-grew 20.1% to Rs. 64 cr in Q2 FY26 as compared to Rs. 81 cr in Q2 FY25. Segment result was Rs. 6 cr, which was 9.6% of revenue in Q2 FY26, as compared to Rs. 5 cr which was 6.4% of revenue in Q2 FY25. The de-growth is primarily due to uncertainties surrounding the current business model of MedTech solutions business pending the finalization of regulatory policy framework.

Industrial Solutions continued its strong growth momentum on the back of manufacturing and testing demand. Data Security solutions

continued with steady performance driven by robust
demand from BFSI and large enterprises. As the business navigates through challenging times, efforts on expense rationalization helped to improve the margins.

III. BUSINESS OUTLOOK:

We are optimistic about the prospects of Room AC business as the benefits of GST rate rationalization will spur the demand in Q3 FY26. However, unseasonal rains in several parts of the country continue to be a matter of concern. While the order inflow in Electro-Mechanical Projects business continues to slow, we expect demand revival in Commercial Air-Conditioning and Commercial Refrigeration businesses. Several initiatives have been undertaken for reducing both operating cost as well as working capital in order to substantially improve the H2 FY26 performance.

With that, ladies, and gentlemen, I am done with the opening remarks. I would like to now pass it back to the moderator who will open the floor for questions. We will try and answer as many questions as we can. To the extent we are unable to, we will get back to you via email. With that, we are open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Natasha Jain from PhillipCapital. Please go ahead.

Natasha Jain: Thank you for the opportunity. And good morning, gentlemen. First of all, congrats on a resilient set of numbers. My first question is on Segment-I. So Commercial AC, which is a higher margin business, witnessed loss of sales as per your opening commentary. Overall also execution has been slow on account of range, your top line growth was moderated to 16.5% versus 30% run rate before. Now, this segment saw margin expansion and it's also above our broader guidance of 7% to 7.5% range. So can you explain how margin expansion happened? And sequentially also it's been a sharp improvement, so were there any favorable terms with our vendors here? That's my first question.

B. Thiagarajan: So, thank you for asking this question, this will benefit others as well. So, you are right, this segment comprises Electro-Mechanical Projects as well as the Commercial Air-Conditioning and also the Service business, all the three are there. Now, the margin in a particular quarter will depend on which are the segments that have done well, broadly here. So the weightage of Commercial Air-Conditioning or the weightage of Electro-Mechanical Projects, will impact also Second part is connected with what kind of jobs and projects got closed Broadly for your guidance, the margins are good in manufacturing, data center segments. Margins are not that good in Infrastructure Project segments. Again, in Commercial Air-Conditioning Projects, we have ducted or packaged air conditioning which are conventional, we have got chillers, we also have got VRF systems. Again, each one of them have different set of profit margins. So, in the quarter, whether it is 7%, 7.5%, sometime 8%, you should not actually worry at all.

What is the outlook? The potential for this business is just 7% to 7.5%. It can be 7% in some quarter, 7.5% in some quarter. Our guidance for the rest of the year is also the same, 7% to 7.5%. That's how it will be. This segment is not going to dramatically improve the margins in the coming quarters at all, because there are quite a bit of investments that are being made to enhance the reliability of the product.

So therefore, we are putting money into the product and normally one will say that we are re-engineering the product and we are going to be improving the margins by value engineering. That is not the case because the product is becoming very digital with the electronics content being very high as the sophistication is being built, and quite a bit of the products are being or components are being sourced from India and many manufacturers are there for the f

irst time. So the guidance as far as Segment-I is concerned, it is 7% to 7.5%. That's what you should go ahead with.

Natasha Jain: Understood, sir. My second question is on Segment-II. So our top line has de-grown by 10%, and both Commercial Refrigeration and Room AC has declined. Again, your UCP margin has shown resilience and what is surprising is Q-on-Q it has actually improved. And in conjunction, if I check your creditors, you have also made very steep payment to your creditors. So my question here is, did we avail some good cash discount from our creditors which actually protected our UCP margins?

B. Thiagarajan: A number of things. The very first thing is, in Q1FY26 if you look at it, we were all investing for the summer season. And when April it was not happening, second half of April will happen. Then we said May it is going to happen. Weather forecast was also like that. So we did not get into any cost saving measures at all. Plus advertising expenses, it was heavy. Like we were in IPL, that commitment was made, we had to continue with that.

Now, subsequently, when summer has not happened, you do many things. The very first thing is connected with advertising, which is easy to do, in-shop demonstrators, for example. And you go ahead and focus on manufacturing cost reduction. And you will be also seeking discounts wherever it is possible. But the significant part is connected with the cost reduction, that's what had happened.

Now, the going forward, again you should ask this question, what margin we are likely to end the year with, for your benefit, for the rest of the analysts, fund managers who are all joining this call. First of all, the history is as follows that 9% to 9.5% margin outlook was there, then we toned it down to 8.5% to 9%. When the summer failed, we said that still 8% is possible. And as I see it now, as I keep in mind what is likely to happen in the coming months with the huge inventory in the marketplace, I think we should be very happy if we end the year anywhere between 7% to 7.5%. We will work towards 7.5%, it can well be 7%. It all depends now on that February second half, March and the inventory have to move out before the energy label change. That's the outlook

for that.
Natasha Jain: Got it. Sir, one last question if I may ask. You lowered your guidance from positive 5% earlier to now flattish. You would also recently address the media sometime around the festive period saying that our sales have been good and we maintain our guidance. So, just wanted to understand what

really changed in the interim that there's a cut in our guidance in just a couple of days. That's it. Thank you.
B. Thiagarajan: It is good that you asked that question. So the question was that, I repeat what I had been maintaining, that whenever summer fails, I said the second half does well, festival season as well the subsequent summer season build up in Q4. Therefore, there is always a possibility that you can make up and grow even by 10%, that's sort of the beginning statement. When the GST cut came in, fine. We have to wait and watch how fast this GST implementation will happen and post that, we will see. And 10% growth, we had said earlier, 15% potential was there. That was the thinking. The secondary sale movement between September 22nd and October 18th, 19th was 35% in our case, actual sale to the consumers from the channel. Post that, it is dull, the movement is not taking place. And the window that will happen will be only before the energy label change. And the rain continues all across the country. So the festival season has not gone well despite the GST reduction, it has not helped to reduce the inventory.
But what I could make out is that all the players are carrying inventory. In our case, I told you, we would have preferred it to be 30 to 45 days. Last year, it was 34 days as of now. But unfortunate

ly,
65 days of inventory is there if you add up what is in the channel and what is with us. So this will lead to the sale happening to the channel and the channel carrying the inventory even till February. So, therefore, even though I may be erring on a wrong side, it is probable that February-March is so very great like last year, everybody is stocking up because there will be shortage of material in summer. I do not think that will be the situation. So therefore, one should be happy if we match last year's number. Even with that, the CAGR, if you look at it, will be some 18% for the industry, and slightly better for Blue Star.
I am also cautioning that it is now dependent on that six weeks in Q4. So it can well be a growth which is minus 15%, it could be. So the range could be minus 15% to 0. But as of now, I am still hoping that one can attempt to deliver flat growth, if there is going to be a good summer outlook. That's the change. The festival season has not gone as one would have expected.
And I also would think that, there is a comparison that is being made with auto sector. And obviously, that industry was not growing. And in this case, you are comparing with a huge previous year. And in terms of hierarchy, people may be putting that money in their hands into auto ahead of air conditioners, they will wait for the summer season, it is probable.
I do not see any problem in the long term growth outlook at all. It is just that this is a rain affected year. Thank you.
Natasha Jain: Thank you, sir.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Thank you, sir. The question is on the Commercial Refrigeration part of it. Last year, we have seen some challenges out there and there was a muted growth or even a decline in that segment. Could

you kind of speak about how the growth has panned out in YTD on that segment, just to understand either qualitatively or with some numbers, whichever manner that you can speak about?
Secondly, in terms of the RAC segment, it is said that there is a lot of inventories, etc. As we get into the year end, before the BE rating changes, do you think there could be some pressure on margins as the industry tries to liquidate the inventory prior to the BE rating change by December? Could that be a bit of a challenge?
Lastly, if I may also squeeze in, our working capital has seen quite a bit of an increase on our net cash levels going to net debt level. As this inventory is wound down by the year end, do we see us coming back to the net cash level?
B. Thiagarajan: On the cash part, Nikhil will explain. The cash is not connected with working capital alone, there is a capex that has to be incurred for long term. So, the first perspective is, when we talk about growth, we have to keep in mind we are talking about growth over an unprecedented year, that is what is probably giving a wrong picture. I again repeat that you calculate the CAGR, the industry has been growing, Blue Star has been growing even in Room Air-Conditioner.

So, first I will answer the Room Air-Conditioner margin. If the inventory levels are higher in the market and demand will be there basically because the energy label change is there, and once the energy label change is implemented, the prices will be higher for the new energy label products, so the demand will be there. So, it is a question of the demand versus what is available and one's aspiration for the market share. All players would like to reduce their inventory levels and there will be pressure on the margins.
As far as Blue Star is concerned, we want to grow faster than the market. We have been disciplined about the margins and we have the track record of maintaining the price discipline. So, we will attempt to hold on to this margin level. But at the same time, we have indicated to yo

u, we would
like to close the year between 7% to 7.5%. So, the sum n substance, there will be pressure on margins, but we have to deliver this. We will stay disciplined and find ways and means to achieve that profit level. But if the inventory levels are so very high, one should anticipate pressure on the margins. So, this is the second part of the question.
The very first question you asked is Commercial Refrigeration. Last year, yes, there were regulatory changes in terms of Bureau of Indian Standards in water coolers and as well as deep freezer that had happened prior to March itself, but it impacted in the rest of the period. Those are all over. But the growth again, these two products are also impacted due to monsoon or rain, intermittent rains. But still it has grown, it has grown in the order of around 7% to 8%. But the market size being smaller, it cannot make up for the shortfall in the Room Air-Conditioners.
Outlook for that product, it will still grow, that's what we feel. And given that that industry has gained significantly in the GST, the food products or food retail, our customers are all investing in huge expansion. So, that should translate into business. And one can say that it will be somewhere around 7.5% to 8% growth at least should be possible for this business in this financial year as a whole.

Nikhil Sohoni: So, coming to cash flow, as Mr. Thiagarajan also remarked, it's not just working capital, it is also capex that one has to look at in totality. And in this case, particularly, you will have to see over a period of time. You are right in saying that it was a net cash position last year and before that, and now we have moved to a net borrowing position. It has to be seen in light of the last two years. If you see in 2023, we had a QIP, so there was a cash position which was available in 2023 and 2024 and 2025 was an exceptional year in terms of sales, so you had very good cash accruals at the same time, you had working capital levels which were at a minimum. So, all of that aids in cash generation. And you are seeing and comparing it with a year in which there is an inventory buildup, as we all know. So the working capital levels have gone up. At the same time, you have to continue with your capex. So, given that, I think this kind of borrowing position that we are having is given.
Looking at the projections, by year end whether we will be back to the net cash position, I think a lot hinges, as Mr. Thiagarajan again said, on the last six weeks, on how February and March turns out to be, and how in December the inventory levels can be brought down. If the year goes well and estimated kind of volumes do come back, there is no reason why we should at least not be, borrowing levels should not come down. But at the same time, if the last six weeks and December inventory levels do not come down, then we could see the continuing borrowing in the company's balance sheet. That's how it will be.
Bhoomika Nair: Sure. Thank you all the best.
Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.
Umang Mehta: Hi. Thank you for the opportunity. Sir, just wanted to check on your Commercial AC, particularly for data centers, data center chillers. So, from what we understand, you had some start in the air-cooled data centers, and you are developing something on liquid side. Possible to share any update and any outlook on that particular business? That's the first question.
B. Thiagarajan: First of all, in data centers, MEP part of it, we are leading. So, that does not involve any equipment manufactured by us. We continue to be a preferred vendor in that segment. Second part is connected with which are the equipment that we can deliver. So, we do have some chillers, and some chillers are being developed. On the liquid cooling part of it, we are exploring

some
partnerships, and we are continuing to explore. I do not think that these products will be launched before the end of this financial year at all. These are high-tech products, and one will have to look at the proper field trials and commercializing that product category. So, it is not going to be making any kind of significant contribution in this financial year.
Umang Mehta: Got it, sir. And the second question was on your slight caution in terms of order inflows in MEP. Anything particular that is kind of dragging the inflow? Because overall, we are seeing quite a lot

of tailwinds, right, on data centers and even private sector capex.
B. Thiagarajan: No, it is not a slight caution, it is a serious caution. In the sense, look, for me, the enquiry inflow will indicate order finalization trend. Now, enquiry inflows are lower, and order finalizations are taking time in quite a few segments. And then, existing infra-projects, are taking much more time

than what one would have estimated. Therefore, we will be cautious. You know our principle there, we are not chasing market share there. We are interested in good margins or reasonable margins and good cash flow.
The issue will be this, right, that the hypothesis could be you have a bad summer, therefore, Room Air-Conditioner business or Commercial Refrigeration business is impacted. That should not lead to suddenly changing our approach to Projects business. Our enterprise risk mechanism is very clear that we will be cautious. That is the truth. Just because there is a problem in Room Air-Conditioner business, it is not that we will go ahead and book any order and try to keep the revenue up. That is not the principle or the philosophy of Blue Star.
Umang Mehta: Got it, sir. Makes sense. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Sandeep Tulsiyan from Sundaram Alternates. Please go ahead.
Sandeep Tulsiyan: Good afternoon, sir. First question is pertaining to we doing better than industry, definitely points to some market share gains that we had in the quarter. If you could speak more on the regional color, how your strategy of gaining market share north is panning out. Market share gains in first half of this year were more pronounced in north, south or any other specific regions?
B. Thiagarajan: The first caution is that the results of many companies are not announced. I will not say that we are doing better than the industry. But I know in terms of the volumes, based on our estimates, I think in Q2 the industry would have shrunk by around 17%. And our estimate is in Room Air-Conditioner, we have shrunk only by 12%. In H1, our estimate is the industry would have shrunk by 15% and we have shrunk only by 10%. To that extent, we may have done better. Again, it is all our estimates. So that disclaimer I want to place on record.
The second part is that we have indeed analyzed the growth or the extent of de-growth is same across all regions, because it is not making a significant difference at all. The northern region has been doing better than the previous year because of our own penetration had been lower there. But you cannot figure out a single market which is doing extremely well, definitely not, all are impacted in some manner.
Sandeep Tulsiyan: The second question is regarding this average selling price increase due to BE norms. When you guide for let's say 5% growth this year, you are guiding more in terms of volumes, is it? Or you are building in this price increase and the volumes will be down by let's say 5% to 10% and with ASP you might be 5% higher for the year?
B. Thiagarajan: No, I am not. In my case, the volume, or the revenue, I am keeping the same, whatever change has taken place. If you are asking, suppose the energy label change, but what I am comparing with, I am comparing with the previous year, correct? An

d there would not be any significant difference.
So one can say that for the period January to March, because the energy label change has taken place, volume to price or the average price realization may be higher compared with the Q4 to Q4, one can argue. Indeed, it will be so. But right now, I am not getting into that at all. I am keeping

the average price realization of last year and this year same. On that basis, I am saying the growth. For this guidance, I am not changing anything.
Sandeep Tulsiyan: Okay, it will be better in case whatever that price increase comes in. Last question is, sir, on the payables, I think there was a very sharp increase of Rs. 1,000 cr. I mean, we paid much faster in the balance sheet. Just checking on that, any specific reasons why it's showing a Rs. 956 cr increase?
B. Thiagarajan: Honestly, I keep having this particular quarrel with the finance professionals. It is all on that particular last day. And how it will make a difference, I do not know, that too in the middle of the year. So the question is that somebody can pay on 30th of September or 7th of October. So, according to me, that is not the measure. That's what I feel. Nikhil can explain.
Nikhil Sohoni: Yeah, I think you have covered it. See, basically, you are looking at over March, one has to see over a longer period of time. I do not think at the month end, it's the right reflection, because whatever gets built up in March gets paid out in April. And that's how one has to see. So, if you just look at March to September, it is more or less going to be the story every time.

Sandeep Tulsiyan: Understood. Thank you so much.
Nikhil Sohoni: And one has to realize that it is a seasonal nature. So in March, technically, you will have more buildup also happening, so that's the other reason.
Sandeep Tulsiyan: No, but I am looking year-on-year. Last year, there was, let's say, Rs. 350 cr; Rs. 1,000 cr suddenly seems very high. So that's the reason I thought I would check.
Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.
Aditya Bhartia: Hi, good afternoon, sir. My first question is on the inventory levels that you spoke about. Just wanted this clarification, the 60 to 65 days of inventory is the combined inventory that brand and channel is carrying, is that so?
B. Thiagarajan: That's right.
Aditya Bhartia: Understood. And within this, according to you, inventory is higher at both the levels, even channel is already carrying much higher inventory and to that extent, there may be some difficulty in selling inventory before December, before the new energy efficiency norms come in. Is that the reason why you are anticipating some bit of pricing pressure?
B. Thiagarajan: Two things you have to keep in mind. First of all, you cannot stop a factory, correct? One. Second fact is that, always for summer season you start manufacturing and building the inventory, from December onwards you end up building the inventory. Now you have got inventory with the dealer, so you are regulating the production in such a manner that whatever you have produced, you will be able to sell, the dealers will be able to sell.

Now, the question is what dealers buy, they should liquidate it before summer. You have to pass a judgment that what will be the summer season demand and you cannot wait for commencing the production in February or January for the February and March. And the new label products production also will have to commence. So it is a complex situation at the moment.
Now, fact of the matter is that the festival season have not gone on well. And GST interruption, post that that was good. Now you have got rains and disruptions and it has to pick up at some point of time about around the 15th of December, that is why the caution is. And I

suppose all
manufacturers are intelligent, they are not going to be blindly producing, correct. All of them will regulate. It has happened in the past as well, that is what you do. But the only thing here is a cut off. If you want to sell this product beyond 31st of December, you have to re-label that as per the new energy label norms.
Aditya Bhartia: So in that case, isn't it so happening that the new manufacturing we start doing as per the new efficiency norms, because if we curtail production by beyond a certain level, then unabsorbed overheads may also start hitting us?
B. Thiagarajan: All that in life it carries on there. The manufacturing planning is different. There are platforms, there are common components and how it has to be done. We know how to do it. Exactly what numbers will be produced between now and 31st of December, that has to be closely monitored and done.
Aditya Bhartia: Understood sir. And just the last bit on Segment-III, which has been kind of struggling for some time, how should we think about this segment from a slightly longer term perspective?
B. Thiagarajan: I do not think it carries a significant weightage to Blue Star's performance. It's a business we have been in for a long period of time. There are a set of customers who are looking forward to Blue Star contributing in that particular segment. And it's not consuming any capital. And there are principals who have a very long relationship. So Industrial Systems business, it will continue to grow. Directly there is a correlation with the manufacturing investments on the GDP growth. So one can say that at a CAGR of 10% to 12%, it will grow.
The MedTech business, which is connected with diagnostic machines like MRI, CT scanner, right at the moment there are regulatory uncertainties. They are yet to announce the regulations pertaining to the refurbished medical diagnostic equipment. That policy is in the making. Now, we are not sure at all that how this policy will pan out. There is one make in India requirement, refurbished machines that obviously will have to be regulated. In what form it will be regulated, we do not know. So to that extent, there is uncertainty out there.
So the outlook is that till such time that policy is announced, which could be Q4 of this year, it is going to be muted. Industrial systems with the growth in manufacturing, all these products are consumed by even many laboratories, educational institutions that continue to do well.
Aditya Bhartia: Understood, sir. That is very helpful. Thank you.
B. Thiagarajan: Thank you.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya: Thank you. Just one question that is on Electro-Mechanical segments, so Segment-I. Considering the slowdown in order intakes and order book, how should we think of growth for, say, the next three or four quarters? And any qualitative color on anything is changing or anything is decelerating as far as growth is concerned? And in that backdrop, how should we think of profitability as well? Not for this year, but say probably next four or five quarters. Thank you.

B. Thiagarajan: For the Segment-I you are asking?

Keyur Pandya: Yes, Segment-I.

B. Thiagarajan: Segment-I here are two parts, one is the Commercial Air-Conditioning. I would say that that segment has huge potential to grow again, because it's a very large segment where you have shops, showrooms, boutiques, manufacturing, small hospitals, small healthcare, and Tier 3, 4, 5, many such establishments getting air conditioned. My guidance will be, it will be having a CAGR of 12% over the next five years. So that is the industry and we should do better than the industry, that is the attempt there.

As far as Projects business is concerned, there will be plenty of opportunities to grow as in

frastructure is growing and as manufacturing is growing, as data center investments and data center growth also will begin, because we are now having a huge amount of enquiries. Growing by 10% to 15% is very easy, but the question is that good cash flows, good margin, if that is the case, I would say that 10% growth is the guidance.

Keyur Pandya: There is no deceleration. I mean, looking at the order book and order inflow, should we assume a couple of quarters or three, four quarters, the growth rate may be lower?

B. Thiagarajan: No, it is not. I do not see a deceleration. Definitely not. Right now, the order inflow was muted, but it should come back. That's not a problem. There is a reason, that business capex is cyclical in nature. So I will not look at a deceleration at all.

Keyur Pandya: Understood. Note that, sir. Thanks a lot. All the best.

Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori: Yeah. Thanks for the opportunity, sir. Overall, when I look at the commentary throughout the call, somewhere definitely there has been caution. I just want to understand whether this is the near-term caution that we are seeing, because you also talked about the demand momentum getting disrupted. Or probably you believe that actually your outlook for FY27 also probably has been impacted, and probably now your view has changed a bit. If you can throw broad color on the overall, because if you look at today on the commentary, we have sounded more cautious on Commercial ACs as well as on Room Air-Conditioners. So just want to have a broad understanding about how we look at the things from near-term, that is, H2, and from FY27 point of view.

B. Thiagarajan: Yeah. So the Commercial Air-Conditioning, there is no caution at all, 12% to 15% kind of growth has been the story there. It is not suddenly going to become 25%, 30% and all that. Never that industry has grown like that at all. And there is no caution there whatsoever. It is just that there were disruptions this year, and it is not summer dependent again. So there is absolutely no caution whatsoever in Commercial Air-Conditioning.

Projects business, we have been always cautious. Ever since 2011, we are very clear that we not chase market share. It has to be based on the free cash flows and margins. That’s how it is. And that business is fully dependent on the order book that you have, order inflow that you are seeing. Now, order book you have seen, there is not a significant expansion in the carried forward order book. And the order inflow is dependent on also the enquiry inflow. Going by that, we are telling you we are cautious. Added to that, we do have, let's say, we have explained this earlier. There are infra projects which are electrification, railways, metro railway, airports, water like that. The data center and factories is another segment. There are buildings as another segment, buildings will include even hospitals, hotels. Now within these three buckets, it's a de-risking factor, what kind of orders I should have. And in that particular part, while the buildings or factories, data center, they are all getting executed as per the timeframe, infra projects are taking time. Therefore, I am not able to release some headroom for taking another order. That's about all. So therefore, we are cautious. I am summarizing.

Room Air-Conditioner is the largest part of the business. It is a summer impacted year and the rain keeps interrupting, there was a GST disruption. And even if you account for it, CAGR is 18%. And CAGR outlook for that business is 19%, there will be a year in which it will grow by 25%, another year it will be minus 5%, it does not matter. And the outlook is positive. And we have gained market share. We will move towards 15% market share. And by FY27, we should get to

15% market share. That

is a goal there.
The Commercial Air-Conditioning, by nature, it will be only 12% CAGR growth. And there, we will grow ahead of the market. So there is absolutely no problem. Electro-Mechanical projects, we will maintain it only at around 10%. The cash flow and the profits are important. So the caution is, you may be getting that feeling because I am changing the outlook. I said Room Air-Conditioner, for example, can make up for the summer and still grow 10%, that has been the history so far, that is looking very unlikely. And if February-March does well, one can look at matching last year's market size and quite probably, it may be even lower at this juncture. That's all I can say.
Manoj Gori: So sir, in this case on Room Air-Conditioners, so keeping aside FY26, obviously this is a year with a lot of uncertainty. But if I look at a two-year CAGR, let's say from FY25 to FY27, when we have been talking about 15% CAGR growth. This indicates in FY27 we should grow by close to around 30%, 35% for that 15%, 17% CAGR growth?
B. Thiagarajan: CAGR, you cannot be doing two-year excluding one-year. That's not the way to do it. According to me, if you look at the FY20 to FY26, it is 16%. FY21 to FY26, it will be 24%. FY22 to FY26, 21%. FY23 to FY26, it will be 15%. By many estimates, FY25 to FY30, it will be 19%. So, do not worry about it.

Manoj Gori: Okay, sir. Thank you, sir. And wish you all the best.
B. Thiagarajan: Thank you.
Moderator: Thank you. The next question is from the line of Nirransh Jain from BNP Paribas. Please go ahead.
Nirransh Jain: Hi, sir. Thank you for the opportunity and I apologize if this question is already covered. Firstly, I want to better understand how we are expecting the secondary demand to pick up during the weak winter season on the account of energy rating change. Given that the demand is already weak and post festive despite at least a 7%, 10% cut in the retail prices. So do we mean a pickup in the primary sales by brands as they liquidate their old inventory or the higher discounts to drive the secondary demand during this Christmas and New Year period?
B. Thiagarajan: So first part, the growth we are talking about is over the previous year. Previous year also winter, this year also winter. Previous year there was no energy label change and now there is energy label change. What is the significance of energy label change? So you are buying a 5-Star air conditioner. The 5-Star air conditioner which is before 31st December, and post 31st December there may be a 7% to 10% price increase. Of course, the new 5-Star will be higher energy efficient, but the consumer will think that I am buying a 5-Star air conditioner, which is a 5-Star air conditioner of 2025. So therefore, it comes as one added thing.
Second is that the GST has brought down the price and there was lull post Diwali. So what has gone wrong? Nothing has gone wrong, right? The penetration levels are lower and people want to buy air conditioner. Because last year was a huge year, we are feeling the pain. Otherwise, I do not think there is something fundamentally has changed or some other product has replaced this product. So therefore, in Q3 weather compared with the previous year, 10% growth should be looked at. By all means, you should look at it and it can happen. The caution is only, there is already enough inventory there in the field, that has to get liquidated and the dealers' working capital level should permit them to stock other products for me to post revenue. That's where we are.
Nirransh Jain: Sure, sir. Very helpful. Secondly, I just want a clarification that when we say 65 days of sales approximately at the channel and branch, so is it possible to quantify this in terms of approximate volumes? I am asking this because when I say two months of sales, whether it is the two months during summer season or the average monthly

sales for the entire year, so how do we look at it?
B. Thiagarajan: No, no. When I say this, it is estimating the sale during this winter season only. It is not summer. In summer, this will mean that 15 days of summer inventory. We do not do that at all. When I say as on date and looking at the winter season sales and how much more is there. And I said that normally one would have been happy with 45, it is at 65.
Nirransh Jain: Sure, sir. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Bhagyashree from Kotak Securities. Please go ahead.

Bhagyashree A: Good afternoon, sir. Thank you for the opportunity. So, I assume the Unitary Product segment includes the cassette ACs and the tower ACs which are used in projects. So, just one confirmation whether this is a part of the UCP business? And can you help us with the growth numbers particularly for Room ACs for Q2 FY26? And what is the year-end outlook for the same? Thank you.
B. Thiagarajan: So, cassette ACs will be used by many parts, even the Commercial Air-Conditioning will use it. So the factories produce and in a Commercial Air-Conditioning product even a Room Air-Conditioner may be there, so that's fine. So, you cannot say cassette air conditioner is reported only under Commercial Air-Conditioning. It is reported, if it is part of that application, it will be. If it is part of Room Air-Conditioner, it will be. So, that is the first part of it.
Now, I have stated this a number of times that Unitary Cooling products comprises Room Air-Conditioners as well as Commercial Refrigeration products, and it is difficult for us (to provide bifurcation), it will become a selective disclosure. But if I am to look at the industry volumes based on my estimate, I think the industry volumes, more or less the revenue, de-grew by 17% and Blue Star volumes would have de-grown by 12% in Q2.
Bhagyashree A: Alright. Thank you so much.
Moderator: Thank you. The next question is from the line of Sucrit Patil from Eyesight Finetrade Pvt. Ltd. Please go ahead.
Sucrit D Patil: Good afternoon to the team. I have a forward-looking question on Blue Star's long-term direction. As more players are entering or may enter the cooling and refrigeration space, what is Blue Star doing to build a strong edge, not just through product range or distribution, but something deeper like a way of working or thinking that grows over time and makes the company stand out amongst the peers? Thank you.
B. Thiagarajan: This question will be applicable for all companies, all products. So the very first thing is that whether you are in a growth segment and whether you have got leadership there. And we have been a long-term player there and we have a good reputation for being there. If it is so, when the industry is growing, I should be growing if I keep doing the good things. That is the first part of it in general.
The second part of it is that how you continue to grow or expand your market share. So you said that other than the product range, but product is very important. Products are innovative, products are reliable, products are available at all price points and it is able to compete and overall competitiveness, therefore, that you have to continue to invest and build, because in a fast-growing segment there will be many competitors. All of them reputed, all of them trying to grow their own market share.
The third part is that the intangibles, how you will excel. The important part is the customer experience, whether it is in delivering a product, in installing a product and in the lifetime, how you look after the consumer. Next is that how you improve your operating efficiency through

digitalization and, therefore, you are able to improve your profitability. Lot of things together have to be orchestrated i

n order to maintain your leadership position and grow. And this will be the same for all leaders in all categories. You have to stay ahead of the curve in anything. That if innovation is going to take place, whether you are ahead of that. Whether energy label change is going to take place, are you ahead of the curve. Whether refrigerant change is happening, whether you are ahead of it. When there is a digitalization, whether you are ahead of it. AI, whether you are ahead of it. So that's how you play.
Sucrit D Patil: Okay. My last final question, again a forward-looking one on margins and cost planning. As GST changes and weather disruptions keep on affecting the demand, how are you planning to protect the margins? And are there any smart internal methods that you are going to be putting into place that helps you keep the delivery quality high without putting any pressure on the profits? Thank you.
B. Thiagarajan: So, broadly how you will weather-proof your business, because the weather can spoil the game so there is no doubt about it. And each time this happens, you will try to become smarter. I am not claiming we have become smarter. The question is, whether there are other portfolios which will protect you, which means the equal attention to B2B products as well as B2C products.
The second is, within Room Air-Conditioner there is a significant amount of consumers who are B2B. How you will enhance your share from those customers. The next part is connected with how you will have the inventory production management in such a manner you are able to manage the disruptions without being saddled with the huge inventory. That is beginning to happen, because earlier the industry was dependent on importa, Blue Star was dependent on imports, in which case the material would have arrived. Because we are now manufacturing in a big way, we can at least curtail the production. Component ecosystem is evolving so you are able to curtail and

manage the component ecosystem.
Second, whether you have mastered that, I would not say so. Because it is that three month window is very significant. Any business that is seasonal, there will be some pain if the season is not happening. But we continue to work on various initiatives. Like for example, you might have ended up advertising in IPL anticipating that there is going to be a summer season, in summer sales you will be. But next time I will be very clear and I may not go ahead and incur the expenditure in advance and suffer. I will have to change my marketing expenses mix substantially in order to weather-proof ourselves..
Sucrit D Patil: Thank you for the guidance. And I wish the entire team best of luck for Q3.
B. Thiagarajan: Thank you.
Moderator: Thank you. Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nikhil Sohoni for closing comments. Over to you, sir.

Nikhil Sohoni: Thank you very much, ladies and gentlemen. With this, we conclude this quarter's earnings call. Do feel free to revert to us in case any of your questions were not fully answered. And we will be happy to provide you additional details by email or in person. Thank you.
Moderator: On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us today. And you may now disconnect your lines.

Call: Feb 2026

February 4 , 2026
Dear Sir/Madam,
Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the Third Quarter and Nine Months ended on December 31, 2025

In further ance to our letter dated January 30, 202 6, whereby the Company had submitted the link to the audio recording of the Earnings Call held post announcement of the Financial Results for the Third Quarter and Nine Months ended on December 31, 2025 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.
Thanking you,
Yours faithfully,
For Blue Star Limited
Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a
Z:\(01) Blue Star Limited \2025 -26\Stock Exchange Compliances \Reg 30 - Information & Updates \11. Earnings call Transcript \Q3FY26 \LettertoExchanges - Q3FY26EarningsCallTranscript.docx BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol: BLUESTARCO

Blue Star Limited Q3 & 9M- FY-26 Earnings Conference Call"

January 30, 2026

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR ,
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL OFFICER,

Blue Star Limited
January 30, 2026

Moderator: Ladies and gentlemen, good morning, and welcome to the Blue Star Limited Q3 & 9MFY26 Earning Conference Call.

We have with us today from the Management Mr. B. Thiagarajan – Managing Director and Mr. Nikhil Sohoni – Group Chief Financial Officer.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch-tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Thiagarajan. Thank you, and over to you, sir.

B. Thiagarajan: Good morning, ladies and gentlemen. It is a pleasure and privilege to interact with you. You might have seen the press release yesterday after the board meeting. I had been indicating

from November onwards that this quarter is also going to be a subdued one and if at all one can expect some revival in the Room Air-Conditioner's growth with the energy label change that was scheduled on 1st January 2026. Therefore, you will see, the results are almost same as what I had indicated. It is a modest revenue growth, a flat or a slight modest increase in the operating profit, even the carried-forward order book indicated a modest growth.
The highlight, while Nikhil will deal with it, the silver lining is that the room air-conditioner business seems to be returning to the growth path and building up to the Q4 onset of summer season and the cost control measures that we had implemented that seem to be resulting in managing the margins well.
Otherwise, it is a quarter which one would like to forget and move forward, the Q3 and look at an excellent Q4 that is where we are. In other words, 2025 was a year, I think, after many, many years of quarter after quarter significant growth, we faced the challenges.
I believe that we are doing better than the industry peers, and we would have shown higher margins, gained market share modestly some decimal points and we would like to now focus on Q4 and FY27.
With that, I will hand it over to Nikhil for highlighting the details of Q3 & 9M-FY26 results. Over to you, Nikhil.
Nikhil Sohoni: Thank you, Mr. B. Thiagarajan. And good morning, ladies and gentlemen.
Let me take you through the financial highlights for the Q3 FY-26:
During Q3 FY-26, the company has recorded a modest revenue growth despite challenging market conditions. The good news is that for the first time in this fiscal, the Room Air-Conditioner business has witnessed modest growth owing to channels building up the inventory ahead of the energy label change deadline of January 1,2026.

Financial highlights for the quarter ended December 31, 2025 on a consolidated basis are summarized as follows:
■ Revenue from operations for Q3FY26 grew by 4.2% to Rs. 2,925.31 cr, as compared to Rs. 2,807.36 cr in Q3FY25.
■ EBITDA, excluding other income for the Q3FY26, improved to Rs. 220.72 cr, EBITDA margin of 7.5%, as compared to Rs. 209.38 cr, EBITDA margin of 7.5% also in Q3FY25.
■ PBT, before share of profit and loss of JV and exceptional items, was marginally lower at Rs. 164.66 cr in Q3FY26, as compared to Rs. 167.20 cr in Q3FY25.
■ Tax expense for the Q3FY26 was at Rs. 27.07 cr, as compared to Rs. 46.53 cr in Q3FY25.
■ Pursuant to the notification of the Labour Codes and as required by ICAI Guidance Notes, the Company has recognized an incremental impact of Gratuity and Leave Encashment amounting to Rs. 56.35 cr on an estimated basis. This non-recurring item is shown as an Exceptional Item in consolidated Statement of Profit and Loss account for the quarter ended December 31, 2025.
■ Consequently, the net profit was at Rs. 80.55 crore in Q3FY26, as compared to Rs.
1

32.46 crore in Q3FY25.
■ Carried-forward order book as of December 31, 2025, grew by 1.3% to Rs. 6,898.74 cr, as compared to Rs. 6,810.00 cr as of December 31, 2024. Carried-forward order book as of March 31, 2025, stood at Rs. 6,263.36 cr.
■ The capital employed as of December 31, 2025, increased to Rs. 3,550.51 cr, as compared to Rs. 2,763.44 cr as of December 31, 2024.
■ Net Borrowings were at Rs. 352 cr as on December 31, 2025, as compared to a Net Cash Position of Rs. 102 cr as of December 31, 2024.
Coming to business highlights for the Q3FY26:
Segment-I: Electro-Mechanical Projects & Commercial Air Conditioning Systems.
Segment-I revenue grew by 8.6% to Rs. 1,696.21 cr in Q3FY26, as compared to RS. 1,562.41 cr in Q3FY25. Segment result was at Rs. 114.66 cr, that is 6.8% of revenue, in Q3FY26, as compared to Rs. 118.73 cr, which was 7.6% of revenue in Q3FY25.
Order inflow for the quarter was lower by 16.5% compared to previous quarter. The quarter order book was Rs. 1,459.57 cr in Q3FY26, as against Rs. 1,748.37 cr in Q3FY25.
Coming to Electro-Mechanical Projects business:
In the third quarter, enquiry momentum from Buildings, Data Centers, and Factories was encouraging, but few large order finalizations were deferred to next quarter. Hospitals and malls have witnessed strong growth potential, including in Tier-3 cities, supporting a favorable medium-term outlook.

Commercial office demand remains healthy in select pockets, while data center and factory segments continue to see stable and robust enquiry traction, supporting steady order momentum. We continue to remain selective about new order bookings as we focus on effective capital deployment.
Since the infrastructure project profitability is lower than commercials, buildings, factories, and data center verticals, as we approach closure of these projects, the segment margin gets impacted to an extent.
Carried-forward order book of Electro-Mechanical Projects business was at Rs. 4,777.34 cr as on December 31, 2025, as compared to Rs. 5,146.27 cr as on December 31, 2024, a negative growth of 7.2%.
Commercial Air-Conditioning systems:
The Commercial Air-Conditioning business saw healthy order bookings in this quarter, supported by strong demand. While the revenue during this quarter was subdued, as some product deliveries were shifted to next quarter, the strong order book gives confidence in the future prospects.
International Business:
Given that, the tariff-related uncertainties persist; the future prospects of the U.S. business are highly dependent upon the outcome of the India-U.S. trade deal. Despite this headwind, our foray into the U.S. and Europe is progressing well.
On account of the above change in the business mix, Segment-I margins were lower at 6.8% of revenue in Q3FY26, from 7.6% in Q3FY25.
Segment-II: Unitary Products:
The revenue was flat at Rs. 1,154.22 cr in the Q3FY26, as compared to Rs. 1,164.36 cr in the Q3FY25. Segment result was Rs. 97.65 cr, which was 8.5% of revenue in Q3FY26, as compared to Rs. 94.78 cr, 8.1% of revenue in Q3FY25.
Coming to Room Air-Conditioners:
As anticipated, the energy label change with effect from January 1, 2026, helped in reduction of inventory, and we witnessed revival of growth. The company would have gained market share slightly during this quarter. The cost reduction initiatives undertaken since Q1FY26 have contributed to the improved margins.
The production of new range of products as per the new energy label norms has begun, and the company is preparing for the summer season 2026. We have taken short-term and long-term measures to achieve supply chain resilience. The depreciation of INR and rising commodity prices will compel us to revise the prices upwards in Q4FY26. The dealer network expansion is progressing as per the plan.

As far as Commercial Refrigeration Business goes:
Contrary to the expectations that the commercial refrigeration business will rebound during the festival season onwards, the market remained muted. Consequently, all the product lines, other than the storage water coolers, de-grew. The anticipation is that the demand will revive only during the summer season.
Due to focus on cost optimization and overall cost management, the segment margins improved to 8.5% in Q3FY26, as compared to 8.1% in Q3FY25.
Coming to Segment-III, that is Professional Electronics and Industrial Systems:
The revenue de-grew by 7.1% to Rs. 74.88 cr in Q3FY26, as compared to Rs. 80.59 cr in Q3FY25. Segment result was Rs. 6.83 cr, which was 9.1% of revenue in Q3FY26, as compared to Rs. 6.20 cr, which was 7.7% of revenue in Q3FY25.
The uncertainties around the regulatory policy framework pertaining to the Med-Tech Solutions business are yet to be resolved. Consequently, the business has slowed down. However, Industrial Solutions continue to grow, driven by strong demand in the automotive and steel industries, and Data Security Solutions maintained steady performance.
Coming to business outlook:
While three quarters of this fiscal have been challenging, the signs of market revival are encouraging. The company expects Q4FY26 to be a strong quarter for Room Air-Conditioners, Commercial Air-Conditioning, and Refrigeration products.
In Electro-Mechanical Projects business, the demand from Factories and Data Center vertical continues to be healthy. In anticipation of a robust growth in FY2027, the Company is focused on expanding distribution reach and continues to invest in R&D, manufacturing, and digitalization,

while persisting with cost optimization measures.
With that, ladies and gentlemen, I am done with the opening remarks. I would like to now pass it back to the moderator, who will open the floor to questions. We will try and answer as many questions as we can, and to the extent that we are unable to, we will get back to you via email.
With that, we are open for questions.
Moderator: Thank you so much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. Our first question comes from the line of Natasha Jain from Phillip Capital. Please go ahead.
Natasha Jain: Very quick 3 questions. First, your UCP top line is flattish, I imagine commercial business is muted, and yet you have posted margin improvement. So, can you call out the kind of cost rationalization that you have done this quarter?

B. Thiagarajan: Thank you, Natasha. The first thing is that, as you are aware, this question will keep coming. It is a blended revenue and results pertaining to Room Air-Conditioners and Commercial Refrigeration. As far as revenue is concerned, commercial refrigeration, there seem to be a problem that is connected with, you know, we keep wondering why that is happening. It is basically because of the FMCG related demand that has not come back at all. So, the ice cream, QSR, and other segments will have to go into expansion mode. We thought with the substantial reduction in GST for food and processed food products, there should be huge demand growth, and at least we have not seen till now that part reviving.
So, the Room Air-Conditioners is the one which has helped us. You know, we have not only grown in revenue, which the breakup I won't be able to disclose. You all will get it once the GFK numbers get published. The margin improvement is basically our own decision of not to get into discounting in order to improve the numbers. First of all, you are aware that 1st of January was an energy label change.
Now, the inventory pressure was there in for all the brands and as I had indicated in the Q2 results, our inventory situation was much lesser. We stopped producing the products in order that we won't be saddled with inven

tory. If you are saddled with inventory, you will be heavily discounting in order to get rid of the stock before the deadline.
For the benefit of others, a 5-star would have become 4-star, 4-star would have become 3-star, so on and so forth and obviously, 3-star being the highest selling SKU, we would have got into trouble if we are going to produce inventory in anticipation of the market demand. We took that decision much earlier, not to slow down the production and move towards the new energy label products.
The second part is connected with the variable cost connected with the Room Air-Conditioner business. We had been moderating ever since May 2025, and those are resulting in improved margins.
Now, I will have to also deal with what will happen in Q4. I think in January, there would have been enough inventory which the brands would have pushed into the channel and I do not see January to be a great month, it should pick up in February. All depends on how the summer season is going to begin.
In the meanwhile, three things have happened. Number one, due to GST, there would have been a 10% reduction to the consumer. The energy label change would have pushed up the prices, depending on the SKU, depending on the brand, I am talking about Blue Star. It would have increased the prices at least 5% to 7%, this is what would have happened. Then you have got the commodity prices and the exchange rate.
All this put together, the price is going to be much higher. So, GST reduction is available, whereas the other three, energy label change, plus you have got the commodity prices, which are continuing to shoot up and the exchange rate. This will result in, my estimation is that somewhere around at least 10% of net increase to the consumers, whereas the consumer would have been believing that

there is a 10% reduction than last year. They are going to get it because the GST reduction will translate into, which is not going to be the case.
Therefore, we will need much more discipline going forward in Q4 and in the summer season itself. We have to watch, one, how the demand will be dependent entirely on summer season, two, how the pricing will be in the marketplace from February onwards. January is anyway a period when old inventory would have moved out. From the second half of February onwards, we will see how things shape up.

The good news is that demand seemed to have revived, and there will be pent-up demand as well. Our intention is to maintain this kind of margin levels in Q4 as well, for the simple reason, again, I am disclosing the costs that are being borne by the industry. Number one is connected with the consumer finance itself that it is 40% of the sales, and it will continue to grow and the consumer finance cost burden is shared with the dealers.

The second part is connected with the e-waste liability. As we move every year, for Blue Star, the 2016 numbers multiplied by 70% of that, which will become a liability. In the industry, and in the marketplace, a five-year warranty seems to be a thing, and 5 to 10-year warranty cost, is the other part of it. And in-shop demonstrators are also an additional cost.

So, with all this, meaningfully, one should be running the business for delivering ROCE. And I think that 8.5% kind of a margin is bare minimum, one should look at it. If it is a great summer year, one should try to do 9.5% in the best interest of the category.

Natasha Jain: This is extremely helpful. Just one clarification. Sir, you mentioned that 10% will be the net increase to consumers, right? This is after incorporating the GST discount.

B. Thiagarajan: Approximately. This can vary in the sense that you are consuming old raw material and you keep buying the raw material. The volatility is very high in the marketplace of the commodity prices and the exchange rate, and you are building up to the summer season, y

our consumption of the raw material will also depend on these factors. I think it should be around 10%. I am not categorically saying in the region of around 10% increase is inevitable.

Natasha Jain: And one last question. So, the entire thesis is based on a good summer, right? So, let me just ask you a slightly reverse question. Just hypothetically speaking, if Calendar '26 is also bad in terms of summer, then how does Blue Star navigate the challenges? What are the other sharp growth levels which can keep us afloat despite RAC and commercial not working in case of a bad summer?

B. Thiagarajan: The very first thing is that history shows that you will not—yes, two consecutive summers have not happened like that, And with the pent-up demand, given that the category penetration is very low, it should be much better than last year. People are not going to keep postponing forever. Also, our market size is nowhere comparable to China, so that should be kept in mind.

Then I said that weatherproofing Blue Star is a program, which means you need to look at the B2B businesses as well, like the commercial refrigeration is not that season-dependent and therefore it is not that much impacted. There is some impact if the summer season gets washed out, but

commercial air conditioning is another portfolio where we have a strong presence. And in Electro-Mechanical Projects, whether it is connected with the traditional segments—buildings—or factories and data centers, we should not have any worry. Infrastructure comes with its own risks. So, the weatherproofing of Blue Star is connected with the portfolio and how you manage. The second part is connected with how much of the expenditure you can keep variable. For example, advertising. If, in anticipation of the summer, you will begin in the middle of March with the IPL matches beginning, you will end up spending and committing to that, hoping that April second half will be better. But last year, that is what happened—you spent the money, nothing happened, and you couldn't set it right. So, we do have variable expenses and how we can manage them.

The third part is that localization is happening in a significant manner, whether it is the finished goods or whether it is connected with the component ecosystem. Therefore, you will be in a position to manage inventory. See, the 2025 summer washout was managed far better than the 2023 summer washout. In 2023, the inventory lasted for a much longer period. That is why we have what we call internally the "weatherproofing Blue Star" program. But having said that, I am again saying, two summers cannot be the same. We have not seen it, but even if the summer is going to be bad, the demand will not be that bad.

First of all, remember this: when you compare next year, you will be comparing with a bad year. So, obviously, the result will show that, but internally, we will be looking at how we do versus FY25 rather than FY26. I am answering the initial questions elaborately so that these questions do not come up later.

Moderator: Our next question comes from the line of Rahul Agarwal from Ikigai Assets. Please go ahead.

Rahul Agarwal: Sir, firstly, just a clarification on Natasha's question. The 10% net hike, 8% to 10%, is basically after the GST cut, right? It is adjusted for the GST cut.

B. Thiagarajan: Yes. Look, the management has been very clear that any reduction will be passed on to the consumer, any increase will be passed on to the consumer if you have to maintain the margins. So, the GST reduction was completely passed on. Then you have got the energy label change pushing up the prices, then you have got the commodity prices, then you have got exchange rate so, it's all happening, and there's a plus-minus.

Rahul Agarwal: Basically, now getting to questions, just a couple of them. Firstly, on the growth outlook, so, on Segment-I and Segment

-II, and Segment-I, essentially on the projects and CSE, typically, we discussed 12% to 15% CAGRs is what the growth rate should be. I think if I look at past three years, we have done way better than that, 20% kind of growth.
Just wanted to understand, in your sense, how should we model, like, a medium-term growth here, right? Because projects have been doing extremely well for you. Commercial, plus international, I think a mix of these segments is actually doing better. Some color on that will be helpful over a two to three-year time frame.

B. Thiagarajan: The problem, as I will straightaway answer, the thing was that, for varied reasons, FY26 has been muted. The order finalizations didn't happen, and we didn't see the liquidity in the market. You are aware that we are extremely cautious in getting into infrastructure projects, because infrastructure projects are low margin, long duration, and as these projects get to the closure stage, which is usually two, three years later, you start booking many costs. And therefore, we have been very, very cautious in chasing market share out there.
Commercial Air Conditioning is connected with multiple sectors—factories, shops, showrooms, boutiques, hospitals, so on and so forth. Unfortunately, the shop, showroom, boutique, retail segments, we have not witnessed any great growth in FY26. But in FY27, there are signs that it will come back in a good manner.
Keeping all this in mind, I think if you ask me at the moment, I will take it as CAGR of around 8% to 10%, and then revise it depending on how the first six months of the next fiscal goes.
Rahul Agarwal: The nine-month growth rate for Segment-I is almost 20%, right?
B. Thiagarajan: Correct. The pending order book was there. But the thing is that I will slow it down for six months, because you have seen order inflow has not been good, right.
Rahul Agarwal: And secondly, on the commercial ref, similar question, 9-month growth rate, if you could just comment on growth rates for 9 months for commercial refs, and how should we build the medium-term CAGR for this segment?
B. Thiagarajan: You don't really have the breakup of that for me to disclose, but the category is supposed to grow at a CAGR of anywhere between 12% to 15%, given the processed food penetration, dairy, pharma—anything you take. FY26 was again a bad year. but you can take 12% to 15% CAGR as a good modeling assumption and Room Air-Conditioner, despite the failed summer, I would still model it anywhere between 18% to 20%.
Moderator: Our next question comes from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: In the opening comments you indicated about, while nine months were muted for UCP, but there are demand drivers now. So, if you can elaborate a bit more on this, means, like, which regions you are seeing the growth, east, west, north, south, or rural versus urban? Are you seeing growth coming back in metros or in terms of the product profile, whether the growth is more in premium versus the value-for-money air conditioner? So, if you can share more details on these aspects.
B. Thiagarajan: So, all the regions have done well, it is not one region has done well like that and obviously, the Tier-3, 4, 5 are the ones which will continue to drive the growth. I think that is true for many categories, because the penetrations are relatively lower there. But it will actually depend on the agricultural income, and that is the driver of the rural economy in India.
I have been saying this that Tier-3, 4, 5 consumers and geographies will constitute close to 70%, which is reflected in the consumer finance schemes being availed, and that is also reflected in the question you asked. It is the entry-level products. And whether it is airline, whether it is car,

whether it is two-whe

eler, or whether it is mobile/Wi-Fi services, you will see this, that Indian market is driven by aspirational middle class. It is highly price sensitive, focused on entry-level value-for-money products, and you see that in number one, number two positions in many categories and that should be true for air conditioners as well.
Aniruddha Joshi: Just last question. Mr. Mohit Sud is appointed as the Executive Director of UCP segment for a period of 5 years. So, heartiest congratulations to Mr. Mohit. and what will be the 5-year KRAs in terms of for Mr. Mohit from the board, whether it will be driving market shares, driving profitability or entry in new products, etc. So, if you can elaborate on that?
B. Thiagarajan: No, the annual KRAs are set by the NRC and approved by the board. So, that will continue to happen; that is an internal process. The broad drivers of the company will translate into KRAs. Whatever is the company strategy, that determines the strategy of, that drives the KRAs of, let alone Mohit, whether it is Vir or me, or Mohit, or the entire top management. The company's strategic KRAs and operational KRAs, will determine ours.

Now, broadly, if you want to understand what we are looking at is that our track record has been growing faster than the market and gaining market share. We have not yet reached our first goal of reaching 15% market share. We are somewhere, we have crossed 14%, and even in a challenging year, I think we have gained marginally some market share. So, that we need to do.
The second important part is, that growth has to be a profitable growth, which means the margin guidelines that I mentioned, somewhere around 8.5%, EBIT margin is absolutely important and in ROCE, Blue Star is a benchmark, an outlier in the industry that we look at anywhere between 25% to 30% ROCE, that is an important KRA. There are other numerous KRAs for example, brand salience, that brand has to be made relevant to new consumers, and it should continue to become stronger in terms of salience.
The next is customer experience, which differentiates us. It is an important strategy of Blue Star to provide a world-class customer experience. So, broadly, the company's strategy is this, and that will translate into KRAs, including things such as that we will be ahead of the curve in terms of sustainability initiatives, like if it is an energy labeling, if it is connected with refrigerant, new refrigerant migration, carbon footprint, we have been ahead of the curve. That is what we would like to continue. So, this is what will determine all our top management KRAs.
Aniruddha Joshi: Just last thing, in this entire trade inventory summer, etc., the issue which is forgotten is the compressor. From 1st of July, again, the industry as well as Blue Star will have to manufacture compressors in India. So, how do you see the preparedness of Blue Star on this aspect?
B. Thiagarajan: The thing is that, first of all, it is not Blue Star as a manufacturer, whether there is enough component ecosystem that is available for us to source. I have stated this till at least 2028, and we need to reach a particular scale for considering manufacturing of compressors but supply chain resilience is an important program. And I think we are well secured with the domestic manufacturing capacities that are coming up from many players.

Aniruddha Joshi: Very helpful.
Moderator: Our next question comes from the line of Sonali S. from Jefferies, India. Please go ahead.
Sonali S.: Sir, my first question is, could you help quantify, maybe on an industry level or the company-specific level, whichever you are more comfortable with, the inventory situation for air cons now versus, say, start of October?
B. Thiagarajan: Sonali, thank you, but I don't think we deserve any congratulations. It is a very modest growth. It is not a great result, I would say. But we may have done better than the industry—that is our hope.
On inventory levels, my estimate is that, for the industry, it may be around 8 to 10 weeks, and it may be lower for us. For us, I think it may be 5 to 6 weeks, that is my estimate. For the others, I am guessing the industry would be at that level.
And on the second part, I couldn't follow that. From October onwards, there has been a substantial reduction. Now, I would say, you see, inventory will not be zero in any case. Some 2 to 4 weeks inventory will always be there. In our case, I think there is at least some 2 to 3 weeks of more inventory, but it is always manageable. That is what it is.
The industry, again, first of all, production was done anticipating a great summer. Then during the GST transition, there was a bottleneck and a blackout period. Then you were left with a winter season coming in, and the energy label change, so, there was pressure. But I wouldn't consider inventory to be a major bottleneck for February or March. The one and the only event that we should be watching out for is the onset of summer. If the summer sets in, there is nothing to worry about.
Sonali S.: Sir, just a clarification over here, 5 to 6 weeks is company plus channel, right? And secondly, what is the normal inventory level? 4 weeks?
B. Thiagarajan: Yes, it will be around 4 weeks. Normally, from January onwards, we start building up inventory for the forthcoming season, because you won't be able to meet demand in the last week of March or in April and May. So, we would be even comfortable with, in our case, 8 weeks of inventory being there in January, 10 weeks of inventory being there in February, 12 weeks in the month of March, if the summer is going to be stronger.
But we will be very cautious having gone through the past, and also because the systems are changing now. You have got a local component ecosystem and your own manufacturing units. You are not dependent on some China imports or finished goods. And I would say that, in the build-up to the summer, even 8 weeks of inventory is okay.
Sonali S.: Sir, my second question is regarding the price hikes that you mentioned, that about 10% price hike. Sir, would it be able to bifurcate this price hike between, A, the hike because of energy efficiency, and secondly, because of the rising input cost? I believe energy efficiency has already entailed a 7% to 8% price hike. So, is it fair to assume that just 2%-3% have been passed on to the consumers because of the price hike?

B. Thiagarajan: No. First of all, this will vary. This is not a universal norm. Depending on the product design, it can vary from manufacturer to manufacturer, so don't take it as if I am talking for the industry.
My estimate is that there are certain products in our portfolio where the new energy label would have cost only 5%. There are also models where energy label is pushing up the price between 7% and 8% in our portfolio.
The other part of it is entirely dependent on when you bought the inventory and what pipeline you have got, because it is changing week-to-week. So, it is very difficult to estimate. Broadly, I am saying around some 7% may be due to energy label change, and you may have around 8% to 10% arising out of commodities, offset by 10% reduction due to GST.
So, therefore, , I am saying the ballpark impact is around 10%, but it is very difficult to estimate at this point in time. Again, we are not a forex dealer determining daily rates. When you announce a price, it will be for at least 3 months period, or 2.5 months period. You can't be altering prices every day. So, you have to pass a judgment and increase the prices.
And the dealers won't be able to manage. They can't sell at one price, and then change it the day after tomorrow, because the customer who has bought will be fighting. So, therefore, I am saying we will be looking at a p

rice increase soon when the inventories get liquidated.
Sonali S.: Sir, any quantification ballpark of as to how much price increase would you want to pass on the input cost pressures?
B. Thiagarajan: I am telling it may be in the order of 10%.
Sonali S.: 10% more?
B. Thiagarajan: That is right. We will determine it, and let us say if some U.S. deal is signed, the dollar may come down, and what is all going to happen, I don't know, because every day something is changing.
But if you ask me to take a call today, it is important to increase the price by 10%.
Moderator: Next question comes from the line of Keyur Pandya from ICICI Prudential AMC. Please go ahead.
Keyur Pandya: Sir, first question on the margin that you mentioned, 8.5% kind of margin for UCP. I think in last con call you, looking at the slowdown, you guided for 7% around margin for the segment. So, now this is more of 8.5 aspiration, or do you think you can achieve that in Q4 and in FY27, despite all the inflationary challenges?
B. Thiagarajan: So, what I indicated, two parts. Number one is, what could be the margin for Q4? You have seen the Q3 margins and you have to look at the next year steady state, that is what it means. It is not full year is going to be changing to this. You can't make up for the summer,
Keyur Pandya: But FY27?
B. Thiagarajan: Q4FY26 and FY27, the margin outlook is 8.5%. Unless and until summer is going to be so very harsh summer, it can go up to 9%, and then I am not forecasting anything now. It can be looked at

closer to March. My estimate is that if you do 8.5%, that is a reasonable margin, looking at it today, especially with the higher prices.
Keyur Pandya: So, just one clarification on this. The assumption is that the operating leverage of good summer and good volume growth would allow you to take the price hikes that you mentioned, and thereby 8.5% kind of margin?
B. Thiagarajan: Not at all. You have seen our margin. It is above 8% already in Q3and Q4, irrespective of the summer season, irrespective of the price increase, 8.5% is doable. FY27, 8.5% should be the target.
If the summer season is extremely good, it can go up to 9%. We don't know now; that call has to be taken.
Price hike has to be taken in any case. It is not optional. In a category in which the margin is in the order of 8% to 8.5%, you can't absorb this kind of commodity price increase or the exchange rate issues. That is not your option. In my mind, it has to be done.
Remember one more thing. While the Wage Code-related cost is in the exceptional item, it is a permanent burden. So, conversion costs, service costs, warranty, service costs, all of these will have to be borne, and it has to be passed on. There is another element of cost that we can't ignore just because, in this quarter, it is under exceptional items. It is going to push up the cost of the product or the services.
What can happen is, and it is a level playing field; it is not that one brand can absorb it and another brand cannot. At the industry level, the timing may be different at different intervals, but everyone will have to act. What this means is that overall prices will go up.
Consequently, whether demand will be lower and whether, because of this, the 19% CAGR

reduces to 17% or 16%, we will have to see, that can happen, but I don't think there is a choice. If it is a very high-margin industry, one can have the discretion. We are not passing on or absorbing costs, which is not the case here.

Keyur Pandya: And second question on the Segment-I, where considering the order book, you are saying for the full year FY27, the growth should be in single digit. It may be by choice because of the better quality of order book, but then it should see lower growth because of the lower order book, and will that have any impact on the guided margin range?

B. Thiagarajan: No, I don't think the

re is a reason to worry about margin there. In the Commercial Air Conditioning products, prices have to be increased. In Electro-Mechanical Projects, the price escalations have to be obtained for a higher labor cost because it is a people business there, and there is indeed a wage code-related burden that is existing.

The last point is on infrastructure projects. Roughly one-third of our revenue comes from infra projects, and quite a few of these projects will now come to closure, as few of these projects are metro railway projects or water, railway electrification, etc. So, when these projects are nearing to closure, usually the costs go up and it pulls down the overall margin, so, you would have seen already the margin is lower than last year in Q3. I think this will be a trend for next two, three

quarters, because the infra projects are coming to a closure. Otherwise, I don't see a concern for huge correction in the margin.

Moderator: Our next question comes from the line of Renu Baid from IIFL Capital. Please go ahead.

Renu Baid: While other queries have been answered, if you can just help us understand a bit more in terms of updates with respect to how are we working on new product development or JV tie-ups for the data center market, chillers as well as the HVAC solutions?

B. Thiagarajan: You know we are a very large player in chillers. So, therefore, I don't think we need an external collaboration for developing a chiller for the data center market. So, those developments are going on.

The second part is connected with certain other solutions meant for data center segment, which is actually called the liquid cooling or the CDU (Cooling Distribution Unit). These, we are exploring multiple tie-ups across multiple geographies, which are classified in nature because we have signed non-disclosure agreements.

I think, this is the same as once in 3-4 years, something new happens, and you need to figure out at that point of time, clarity completely doesn't emerge, but our track record has been that we are able to catch up, like the VRF. At some point of time, what we will do for VRF was a question and it happened. Indeed, that is the market, but for one part of the data center market, we need time. So, we are discussing.

Renu Baid: And for our own in-house products, by when would we be commercially ready?

B. Thiagarajan: I think many models are in advanced stages, let us say, 12 months and in the MEP part of data center or the EPC part of it, we are the leader.

Even in the semiconductor-related space of air conditioning, which are sophisticated electromechanical projects, we are market leaders. We are building our leadership in that sector as well. And so, these two, combined with factories — factories is a regular one — and then data centers or semiconductor, we are building leadership in a significant manner in EPC part of it. Because of that, we believe that with these pillars again, we will be able to build the market share and be a leader there or be a preferred choice of the customer. But the products have to be tested thoroughly, and that is what is happening now.

Moderator: Our next question comes from the line of Naveen Baid from Nuvama Asset Management. Please go ahead.

Naveen Baid: My questions have been answered.

Moderator: Our next question comes from the line of Deepak from Unifi Capital. Please go ahead.

Deepak: So, we are fairly new to the business, but we have two questions, if you could please help us. The first is just on the EMP segment. We noted that you have given a single-digit growth guidance.

Could you give us some nuance as to what is generally the split of this business, and which pocket you are seeing some slowdown in? And why is it that these margins tend to come down close to the closure of these projects?

B. Thiagarajan:

Number one is, it includes multiple things. It includes the Electro-Mechanical Projects and the Commercial Air Conditioning broadly. For obvious reasons, I can't tell you the breakup of that, but the entire thing is slow. In other words, the B2B business, order inflow has been muted for a very long time, and for various reasons There was some GST related disruption, then there have been liquidity issues as well, and other than some infra projects, order finalization has not been happening.

Having said that, January has begun very well, and many inquiries are coming up for finalization. So, that should be happening. But when your pending order book is lower, your growth in the subsequent months will be impacted, that is why I said that one should look at a single-digit growth or just a 10% growth.

The impact is, and I am repeating again, there is an infrastructure segment, there is a building segment, there is factory and data center segment, out of which infrastructure is the lowest profitable segment within that. Then, these infrastructure projects take many years, 3 to 5 years. As you are aware, we are part of the Mumbai Metro, for example, we are executing Bangalore Metro, there are some railway electrification projects, and there are certain water distribution projects.

All these projects, when it is moving towards closure, the cost overruns can happen. You are in a great hurry to close and hand over. Then, at that point of a time, the margin will further come down. That is where we are. So, that is the only reason. Otherwise, the other parts are all doing well.

Deepak: So, should I understand this, in summary, basis the current order book, you feel next year it is going to be single digit for the reasons you explained. And would you say this is the bottoming out for order inflows, and inflows could start improving from here? Or do you think inflows will also continue to stay at these levels?

B. Thiagarajan: See, looking at the customer's behavior and what has happened in January, I think it has bottomed out, and it is taking off. That is what is our sense. See, in any business, it cannot be down when the penetration levels are lower, forever it cannot be down. It has to revive at some point of time. that is what is happening. Like, I can tell you that, in January itself, we will have close to Rs. 400 cr worth of orders already, which is a record month again. So, I think it is taking off after a subdued period.

Deepak: That is very clear. Just my second question is, the margins in the Unitary Product segment are very strong, right? If you had to call out one or two primary drivers as to why you have been able to sustain these margins despite how these last few quarters have been, what would those be?

B. Thiagarajan: I don't think it is very strong; it is good. As I told you, our guideline has been that it should be 8.5%. And the reason being that, we were very clear that we would not force ourselves into any inventory pressure. So, we stopped our controlled production, and therefore we are not desperate to liquidate the stocks at a lower price. That is first part of it.

Second part of it is connected with the variable costs. Ever since April, when the summer was not happening, those measures were implemented meticulously. And the marketing spends or the employee sales incentives itself will be lower as well, because some part of the compensation is through the quantities sold.

The third part is systematically ensuring that input costs are controlled. That is why it happened and it is a continuous process. This challenge will continue, and we have to deliver.

Deepak: And lastly, any initial trends that you are getting from the channel, retail side on how these summer months are shaping up in Q4 and probably what they are thinking for Q1?

B. Thiagarajan: All that we know is that, compared to the previous months,

it is better. So, it is not spectacular.

And we have to see when the summer sets in. As of now, it is not setting in. The weather everywhere seems to be very pleasant, winter continues and let us see when it is going to set in.

Moderator: Our next question come from the line of Naushad C., from Aditya Birla Mutual Fund. Please go ahead.

Naushad C.: Just one clarification again on the project business, sir. If EMP is slowing and commercial AC is growing faster, should we expect a margin improvement in this business in FY27?

B. Thiagarajan: No, it is not. All that I mentioned, it is not becoming zero, you do have a significant amount of projects out there. We are talking about growth, whether it will be a significant growth. Again, I am saying that it will be a growth at a CAGR of 8% to 10%. So, it is not stopped. That is first part of it.

Second part is that there are factories, data centers and buildings. These are good-margin projects, and while margin may not improve dramatically, but they are not going to deteriorate. On the other hand, infrastructure projects will be at the peak of its execution, because we want to expedite closure and, in that process, it is a lower profitable segment. Commercial Air Conditioning order inflow was muted, but now it is picking up.

So, if you ask me broadly, on margins, whether FY27 should be better than FY26, that is what one can guess. But always you have seen that we have been exceeding the estimates, that the percents used to be this, right? So how come 8% margin you are delivering? Our guideline has been that we will be some 7.5% margin. 7% to 7.5% is supposed to be the margin. Sometimes it used to be 8%.

So, in the order of around 7% in FY27 modelling, you can assume that should happen. It is not going to become some 8.5% because some projects are slowing. It has not slowed down. Some parts, there is a slowdown. We are not changing our stance.

In other words, I am summarizing for the benefit of everyone. The outlook for Q4 is 6.5% to 7%, closer to 7%, maybe for Segment-I, and it should be 8.5% for Segment-II. That is the guideline.

Naushad C.: From a 3 to 4 years point of view, should we expect a higher CAGR growth from a commercial AC sub-segment versus EMP, or should both grow parallelly?

B. Thiagarajan: By all estimates, the commercial or any B2B part of the business, it is expected to grow only at 10% to 12% CAGR. Room Air-Conditioners is durable, and its penetration level is very low. So, it is projected at a CAGR of 19%. Or if it is a bad summer year, it will be worse. That is about all. So, this is not going to change. I don't see some significant 20% growth, nor we are into any inorganic growth at all.

See, if the market is going to be like this, for us to grow, it has to be inorganic growth and it is not that we were not present in some segment and now we are going to enter that segment. There is no such thing. We have been in all parts of the segment.

Naushad C.: Anything you want to talk about on the export side? We are tracking quite well. We have reached to not sizable, but at least RS. 200 cr of odd run rate we have reached on a quarterly basis.

(Inaudible)

B. Thiagarajan: I will answer this, and then we will close. So, the thing is that, first of all, FTAs are getting signed, but it has not meaningfully translated into any significant business. Our interest has been Europe, where, anyway, the heat pump market is very slow. It has not taken off at all.

But on the other hand, the U.S. market, because of these trade barriers, is where it is. Now, it is suiting us, actually, because you can keep developing more products, and you have got domestic challenges as well.

So, the thing is, if the market would have opened up, there was a huge demand, and we had to go ahead and do all this, we would have. But as of now, we are very clear that we are not enterin

g

there with our own brand. We are investing on our own R&D and manufacturing in order to become globally competitive. And we have developed products which have been successfully tested abroad. The customers whom we acquired; they are all very happy.

But the conditions are, in Europe, market has not opened up. The European market consumers expect some subsidy from the government to switch over to heat pump or green products. In U.S., there is a trade barrier. So, therefore, it is fine. We are moving steadily, and we are building that foundation.

The direction is as follows: when China grew in exports, it was not that China was going and marketing anywhere. The people, they went to China to shop. Same way, we should build a capability where somebody should say, "Can you make for us?" That is a situation or a position we would like to build. That is where we are.

So, Rs. 200 crores, Rs. 300 crores, Rs. 400 crores and all doesn't matter at this point of time. We know very well we are poor in our export footprint. But I can tell you, in three-year time, I think 15% of our revenue should come from exports.

Moderator: Thank you. Ladies and gentlemen, due to the interest of the time, we will take the last question from Manoj Gori from Equirus Capital. Only one question. Mr. Manoj, please go ahead.

Manoj Gori: Sir, I just need one clarification. Most of the questions have been well answered. Just one clarification on the project business. So, 8% to 10% range that we are talking about is for the entire EMP business, right? And not only for the infra business.

B. Thiagarajan: No, Electro-Mechanical Projects business in totality.

Manoj Gori: Yes. That's all, sir.

B. Thiagarajan: And even Commercial Air Conditioning business.

Nikhil Sohoni: Thank you very much, ladies and gentlemen. With this, we conclude this quarter's earning call. Do feel free to revert to us in case any of your questions were not fully answered, and we will be

happy to provide you additional details by email or in person. Thank you.
Moderator: Thank you so much, sir. On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 12 , 2026

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the 'Listing Regulations') - Earnings Call Transcript for the Fourth Quarter and Financial year ended on March 31, 202 6

In further ance to our letter dated May 7, 202 6, whereby the Company had submitted the link to the audio recording of the Earnings Call held post announcement of the Financial Results for the Fourth Quarter and Financial year ended on March 31, 202 6 and pursuant to Regulation 30(6) read with Part A of Schedule Ill of the Listing Regulations, we are enclosing herewith the Earnings Call Transcript of the said Earnings Call, for your information and records.

This intimation is also being made available on the website of the Company at www.bluestarindia.com

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Blue Star Limited

Rajesh Parte
Company Secretary & Compliance Officer
Encl: a/a

Z:\(01) Blue Star Limited \2025 -26\Stock Exchange Compliances \Reg 30 - Information & Updates \11. Earnings call Transcript \Q4FY26 \LettertoExchanges - Q4FY26EarningsCallTranscript.docx BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 500067 National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai - 400 051

NSE Symbol: BLUESTARCO

"Blue Star Limited
Q4 and FY '26 Earnings Conference Call "
May 07, 202 6

MANAGEMENT : MR. B. THIAGARAJAN – MANAGING DIRECTOR – BLUE STAR LIMITED
MR. NIKHIL SOHONI – GROUP CHIEF FINANCIAL

OFFICER – BLUE STAR LIMITED

Moderator: Ladies and gentlemen, good afternoon, and welcome to the Blue Star Limited Q4 and FY '26 Earnings Conference Call. We have with us today from the management, Mr. B. Thiagarajan, Managing Director of Blue Star Limited and Mr. Nikhil Sohoni, Group Chief Financial Officer, Blue Star Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Thiagarajan. Thank you, and over to you, sir.

B. Thiagarajan: Thank you. Good afternoon, ladies and gentlemen. It's a pleasure interacting with you once again in connection with the financial results for Q4FY26 and FY '26. You all have seen the results approved by the Board yesterday and we are here to explain the results in detail.

As you would have seen, we have more or less delivered in line with expectation though some of you feel that we exceeded the expectations. FY '26 was a very challenging year with many headwinds one after the other. It started out with a weak summer season , then we had interruptions due to GST reduction announcement on 15th of August till 22nd of September, the secondary sale and therefore, the primary sale was impacted.

Post that, we had the energy label change and connected with that, you can see the trade stocking prior to that and the trade trying to liquidate that stock later on . In between, there were trade war -related hiccups all throughout the year, it still continues, which impacts us in terms of the supply chain itself on numerous raw materials that we get. One is about the availability and t he second is about the prices.

As we were beginning to build up towards the summer season, you're aware of the war and the war -related impact. It's not much to do with the availability of LPG pricing alone. That's the minor one, how the supply chain overall will be impacted and the over all market sentiments that will play a role in the coming days.

We have been waiting for the summer season to take off in a big way, which indeed happened on 13th of April. As we speak, we are in a great summer season. One hopes that this summer l asts for another 8 weeks for managing the huge inventory in the trade and the inventory build -up that we may have, which we will deal with as a part of the questions and answers.

Before that, I will pass it on to Mr. Nikhil Sohoni for the opening remarks. Over to you.

Nikhil Sohoni: Thank you, Mr. Thiagarajan. Good afternoon, ladies and gentlemen. This is Nikhil Sohoni

and let me take you through the financial highlights for the quarter and year ended 31st March 2026. FY '26 has been a challenging year with multiple headwinds affecting revenue and profitability across businesses. However, demand for room air conditioners pi cked up towards the end of the year, helping the company to post highest ever quarterly revenue in Q4 FY '26.

Coming to quarter ended March 31, 2026, the financial year highlights are as follows. On a consolidated basis, revenue from operations for Q4 FY '26 grew 1.3% to RS.4,072 Crore as compared to RS.4,019 Crore in Q4 FY '25.

EBITDA, excluding other income for Q4 FY '26 improved to RS.326.3 Crore , EBITDA margin of 8% as compared to RS.279.4 Crore an EBITDA margin of 7% of the revenue in Q4 of last year. PBT before exceptional items was higher at RS.282.6 Crore in Q4 FY '26, as compared to RS.248.8 Crore in Q4 FY '25.

Pursuant to the notification of the Labor Co des as required by IC AI guidance note, the company has recognized the incremental impact of gratuity and leave encashment amou

nting to RS.56.4 Crore for the period ended 31 st December 2025 on an estimated basis, and this was shown as an exceptional item.

In the current quarter, the liability was reassessed and finalized at RS.38.83 Crore and accordingly, the provision of RS.17.5 Crore has been reversed in Q4 of FY26 . Tax expense for Q4 FY26 was RS.72.9 Crore as compared to RS.54.8 Crore in Q4 FY25. Net profit was at RS.227.2 Crore in Q4 FY26 as compared to RS.194 Crore in Q4 FY25.

For the year ended March 31, 2026, the financial highlights on a consolidated basis are summarized below. Revenue from operations for FY26 grew 3.6% to RS.12,402 Crore as compared to RS.11,967.6 in FY25. EBITDA, excluding other income for FY26 improved to

RS.930.4 Crore , an EBITDA margin of 7.5% of revenue as compared to RS.875.9 Crore and EBITDA margin of 7.3% of revenue in FY25, recording a growth of 6.2% mainly owing to overall focus on cost management.
PBT before exceptional items de -grew 3.9% to RS.741.9 Crore in FY26 as compared to RS.772.4 Crore in FY25. Pursuant to the notification of the Labor Codes as required by ICI guidance now, the company has recognized the incremental gratuity and leave encashment amounting to RS.38.8 Crore .
This nonrecurring item is shown as an exceptional item in consolidated statement of profit and loss for the year ended March 31, 2026. Tax expense for FY26 was RS.175.8 Crore as compared to RS.193.6 Crore in FY25. The effective tax rate was 25% for FY26 as compared to 24.7% for FY25.
Net profit for FY26 , de-grew to RS.527.3 Crore , 4.3% of revenue as compared to RS.591.3

Crore , which was 4.9% of revenue in FY25. The Board of Directors of the company have recommended a dividend of RS.8.5 per share. Last year, the dividend was RS.9 per share.
Carried forward order book of March 31, 2026, grew by 10.5% to RS.6,923 Crore as compared to RS.6,263 Crore as of March 31, 2025. The capital employed as of March 31, 2026, increased to RS.3,258 Crore as compared to RS.2,427 Crore as of March 31, 2025.
Net cash position was at RS.175.5 Crore as of March 31, '26 as compared to a net cash position of RS.640.3 Crore as of March 31, 2025.
Coming to business highlights. For electromechanical projects and commercial air conditioning, that is Segment 1. The Segment 1 revenue grew 1.1% to RS.1,989.9 Crore in Q4 FY26 as compared to RS.1,968.2 Crore in Q4 FY25. Segment result was RS.128.5 Crore , which was 6.5% of revenue in Q4 of FY26 as compared to RS.149.9 Crore , which was 7.6% of revenue in Q4 FY25.
Segment revenue for the year grew 12.8% to RS.6,762.8 Crore as compared to RS.5,998 Crore in FY25. Segment results was RS.501.9 Crore , which was 7.4% of revenue in FY26 as compared to RS.499.9 Crore , which was 8.2% of revenue in FY25. Order inflow for the current quarter was higher by 35.7% compared to corresponding quarter of FY25 , which was RS.1,954.39 Crore in current quarter versus RS.1,439.9 9 Crore in quarter 4 of last year.
Coming to Electromechanical Projects business. Q4 FY26 saw strong equity momentum for buildings, data canters and factories with bookings growing 35%. Order inflow for the year was lower by 10% compared to FY25 as the order inflow was sluggish in previous quarters.
The carry forward order book of Electromechanical Projects business was at RS.4,664.5 Crore as of March 31, 2026, as compared to RS.4,755.2 Crore as of March 31, 2025.
Coming to commercial air conditioning systems. The commercial air conditioning business gained momentum during the quarter, supported by healthy demand from the government, industrial and retail segments, while the bookings from office, education and IT se ctors remain subdued.
The revenue growth in ducted systems and chillers during this quarter has been good and VRF is showing steady progress. We remain confident

in the medium -term prospects of the
business with steady growth expected across key product categories.
International business, which also form ed part of this segment, the geopolitical uncertainty, including tariff -related uncertainties persist . The future prospects of the U.S. business are highly dependent on the outcome of the India U.S. trade deal. However, despite this headwind, our foray into U.S. is progressing well.
Our supplies to Europe have also commenced, and we remain optimistic on the prospects for this business. On account of the change in the project mix , entire the business mix within

the Segment 1 , the margins were lower at 6.5% of the revenue in Q4 FY26 as against 1.6% in Q4 FY25 and the margin for FY26 year ago was 7.4% as against 8.2% in FY25 .
Coming to Segment 2, that is Unitary Products . The revenue grew 1.3% to RS.1,985 Crore in Q4 FY26 as compared to RS.1,960.2 Crore in Q4 FY25 . Segment result was RS.206.9 Crore . That is 10.4% of revenue in Q4 FY26 as compared to RS.164.5 Crore , which was 8.4% of revenue in Q4 FY25 .
Revenue for the year de -grew by 5.1% to RS.5,332.4 Crore in FY26 as compared to RS.5,621.1 Crore in FY25 . Consequently, segment results declined to RS.434.8 Crore , which was 8.2% of revenue in FY26 , as compared to RS.471.3 Crore , which was 8.4% of revenue in FY25 .
Within Segment 2, the room air conditioner business witnessed reasonable growth with primary demand picking up in March and channels across all regions stocking up for the

summer. The dealer network expansion continues to progress as planned.
Despite the multiple challenges, we gained market share marginally during the current quarter. Quite a few cost rationalization measures taken in Q1 FY26 owing to poor summer season continued till the end of the financial year, and it resulted in improved margins for the quarter.
Commercial refrigeration business due to muted demand from frozen food and QSR segment throughout the year, the market for deep freezers and cold rooms remain stagnant. However, storage water coolers witnessed double -digit growth driven by strong demand fr om government and corporate sectors . Due to delayed onset of summer season, advertising and field marketing campus had not commenced in March 2026.
This, combined with prudent pricing and other cost optimization measures undertaken since April 2025 resulted in improvement of segment margins to 10.4% in Q4 FY26 as compared to 8.4% in Q4 FY25 .
Coming to Segment 3. The revenue grew 7.3% to RS.97.18 Crore in Q4 FY26 as compared to RS.90.56 Crore in Q4 FY2 5. Segment result was RS.14.3 Crore , that was 14.7% of revenue in Q4 FY26 as compared to RS.8.8 Crore , which is 9.7% of revenue in Q4 of FY25 .
Segment revenue for the year de -grew by 12% to RS.306.8 Crore as compared to RS.348.6 Crore in FY25 . Segment result was RS.34.9 Crore , which was 11.4% of revenue in FY26 as compared to RS.29.7 Crore , which was 8.5% of revenue in FY25 .
The uncertainties around the regulatory policy framework pertaining to MedTech Solutions business are yet to be resolved. And consequently, the business has slowed down. However, the Industrial Solutions business continued to grow driven by strong demand i n automotive

and steel industries and the Data Security Solutions business maintained steady performance.
Coming to business outlook. From the second week of April '26, summer had set in and secondary sales of room air conditioners have picked up momentum. Driven by encouraging demand from manufacturing and data canter sectors, electromechanical projects and commercial air conditioning business segment is expected to maintain growth momentum.
With rising input costs and volatile exchange rates, there will be challenges in managing the margins. Further, the ongoing Middle E

ast crisis can lead to a supply chain disruption and also dampen growth. We remain cautiously optimistic about the prospects for FY27.
With that, I would now like to pass it back to the Moderator , who will open the floor for questions. We'll try to answer as many questions as we can. And to the extent we are unable to, we'll get back to you via email. Thank you.
Moderator: Thank you very much. We'll take our first question from the line of Natasha Jain from Phillip Capital India. Please go ahead.
Natasha Jain : Thank you. Good afternoon, everyone. I have 3 questions. First, in terms of UCP, RAC being a hypercompetitive market requires constant ad and promotional spend. Could you throw some colour in terms of your strategy that are you now protecting margins or will we see elevated ad spend later in the year? And if you are protecting margins, will that impact our volumes ?
Second question, in terms of April, what we observed with the first 15 days is pretty much flat because of rain. Second 15 days, only secondaries have picked up, it seems. Primary either the channel is pretty much sto cked in south or people do not want to stock because of the rapid weather condition. So , with that background, could you tell us how are you reading near-term, given that season will probably end towards the end of June?
And lastly, given costs have increased so much, are you seeing a very sharp down trading happening because what we're seeing is lower tier brands are gaining market share at the cost of all higher ones. So, any colour on that will help. Thank you.
B. Thiagarajan: Thank you. The first question is connected with the advertising and marketing. If you know in March 202 5, we were anticipating a great summer season, even the IMD forecasted so and the dealers, they were stocking anticipating the compressor shortage in a big way. In Q4 FY25 , there was huge advertising that took place.
Subsequently, it is very difficult to correct. For example, on IPL you would have made a huge commitment , you would have bought a media. But when the summer failed, we suffered. Few things could be corrected. That's about all, but a significant amount of

marketing spends were happened .
In Nikhil's remarks what he meant was in Q4FY25 , there was huge advertising spend . In Q4FY26 , we were clear about it because summer had not set in, summer set in on 13th April

only. Therefore, in Q4, in preparation, specifically end of February -March, the spend s were very low. This includes also many in -shop promotions like in shop demonstrators, so on and so forth, which we are stepping up post the onset of summer season.
The other advertising happens in some measure for overall brand visibility. The real advertising for room air conditioners including tactical , is indeed a function of how the demand in the marketplace. Again, during the festival season last year, there was a GST announcement, and demand was not picking up , so Onam or subsequent period, we had to call it off. That's how it works .
There is no intent to stop our investments, which is in the order of around 1.5 % into 2% of our products business revenue, that's what is advertising, brand building, field marketing expenses. That will continue depending on the demand.
If there is an extreme situation like that, we will do and it will not affect because if the summer itself has not set in and you go and keep advertising sale is not going to happen. But because you have not advertised despite that, it is not that you r brand i mage is eroded . So that we are very conscious of that.
The second question is connected with the weather. I told you, 13th April, the summer season had set in, and, it has taken well from 13thApril obviously , you have to wait for the dealer field inventory to get liquidated. They had bought inventory in December because there was an energy level ch

ange. Post that, they know the prices will keep going up and they stocked up. Indeed, in February and March, they would have bought it because they know the price increase has been announced and the new material that will go into the market will be at higher prices.
Whether the secondary / tertiary movement, or whether it is primary pickup, it is now clearly the function of how severe the summer will be and how long it will last. The question here is, another 6 weeks, whether summer will be active. As we speak to the primary movement has commenced already in many markets and we have to wait and see. In one single sentence, we are happy that the summer season has set in, we are not celebrating like it was 2024 summer. We have still 2, 3 weeks to go to assess how it is going to pan out.
And your third question is part and parcel of that. The function of the increased cost to be passed on is again dependent on the demand in the market. Thank you.
Natasha Jain: Thank you sir. All the best.

Moderator: Thank you. Next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan : Hi sir, thanks a lot for taking my question.
Moderator: Sorry to interrupt Mr. Ravi Swaminathan can you use your handset mode please? Your audio is not clear.
Ravi Swaminathan : My first question with respect to the price increase in a ir conditioners. How much amount of price increase you would have taken since January 1 st, including the B EE norm change? And how much more needs to be taken to compensate for the raw material price increase that has happened?
B. Thiagarajan: We have stated this in many media interviews of mine; it will be there roughly around 8 %from SK U to SKU. I t is around 5% is the price increase on account of energy level change alone on an average. Subsequent to that, till the April beginning, it will be around 8% for the raw material price increase and the exchange rate, all put together.
It should have been around 13% price increase that is warranted. We would have taken until now the , you know very well, again, I'm repeating, the inventory was enough. The primary sale is beginning to pick up. For whatever primary had happened, we would have realized up to 8% out of 13% price increase, 5 more percentage of increase will happen as the May , June billings are happening , that is the reality. It may vary from model to model. On the average, you can assume it to be so.
Ravi Swaminathan : And is it completely enough to cover the cost inflation, which is there and protect the EBIT level margins for the Cooling Products segment?
B. Thiagarajan: 13% will cover the desired margin levels. And here again, it does not take into account going forward what cost increases will be there, like what has happened in our post -war is the plastic petroleum -based input costs, like, for example, styrene polystyrene and all those costs will go up.
Ravi Swaminathan : Got it. With respect to the project business also in terms of raw material prices going up, and that some of the costs might be , some of the projects might be fixed base contract, how to think about any margin impact that can happen in the next 12 months because of the raw material price increase and currency depreciation that has happened?
B. Thiagarajan: I don't think we have any concern there. If any , it's all covered for the price variation.
Having said that, if you have delayed or the delay is attributable to us, during the delayed

period, price variation will not be applicable. I do not think we have any kind of an impact
at the moment in terms of input material cost has gone up. See, how it was is that you always
assume that price variation will provide for something and there is some contingency that is

available and so that is not the major concern there.

Ravi Swaminathan : Got it sir yes thanks a lot.
Moderator: Thank you. We'll take our next question from the line of Rahul Agarwal from I kigai Asset.
Please go ahead.
Rahul Agarwal : Hi sir, very good afternoon thanks you for the opportunity. Sir, three questions. Firstly, on
the international business. If you could just provide some colo ur on what's the 1 -year outlook
and a 3 -year outlook in terms of new customer approvals and the growth you see the revenue
potential there? Second question was qualitatively, if you could talk about the growth
outlook for fiscal '27 on commercial AC, commer cial refs and projects. And third was on
the balance sheet. Just wanted to know what's changed for the payable number?
I'm assuming that there is a bit more inventory stocking and hence, the creditors actually
look like maybe you paid in advance and hence they dropped down considerably. Just if you
explain that in terms of what's the change there? That's all from my side. Thank you.
B. Thiagarajan: The international, it is a wrong time to be talking about long term. Honestly, many trade
deals are , t on the verge of signing and huge uncertainties prevail . All that I can say is we
have approval for quite a few products with quite a few of customer and these are connected
with the air to water or air to air heat pumps. As far as United States is concerned, you might
have read already, the US market is stagnant, or it is de -growing for our customers. The
HVAC market there was not doing that great last year. Now with many other economic
factors , it is likely to slow down. That is the information we have got.
We are new entrants. Even if we sell 100 units, it is a growth for us. It is an additional market ,
so the trial marketing or the validations and all that continue to go on. Today, that is not a
very, very significant part of the business. We have approvals, acceptance and even customer
preferences for quite a few products for quite a few OEMs in these markets. That's where it
is.
Europe, it has been slow. It continues to be slow. Now with the new Energy S ecurity, the
countries are beginning to insist that the people should begin to use heat pumps rather than
the boilers. That's where we are.
We have mentioned repeatedly that it is a very important and critical portfolio for Blue Star.
It may not contribute significantly to the revenue, but in about 3 years, depending on how
the global economy is going to pan out, we should be beginning to grow that business
significantly. In all this, Blue Star is not entering with its own brand. Blue Star is not
acquiring any brand from those markets. Blue Star is not setting up any joint ventures there.
It is Blue Star making products for others as a CDM manu facturer. That is our strategy.

The second part, the commercial refrigeration business, again, to a very large extent, like
quite a bit of cooling for frozen food. It is dominated by the ice cream segment. And the last
FY26 was a bad year, FY 27, we have to wait and watch. It all depends on how the ice -cream
retail network is expanding and that significantly impacts this business. Pharma or other
sectors are very, very minimum. We are not into fresh produce , like pack houses or
vegetable fruit processing, we are not into that. Those are large EPC contracts.
In the modular cold room business, or mod ular refrigeration products it is somewhat muted
market. In any case, for you all, the , we are talking about RS.35,000 Crore plus room ai r
conditioner market versus RS.5,000 Crore of commercial refrigeration market, which is
addressed by Blue Star. So, this is one particular segment, which has a huge growth potential,
but it is yet to grow.
What was your third question?
Rahul Agarwal : If you can comment on the commercial AC and the project segment outlook for growth
outlook on revenue for fiscal '27?
B. Thiagar

ajan: In commercial air conditioning again last year which was impacted by the multiple fac tors,
including GST in some way. The outlook continues to be around 8% to 10% kind of growth,
and the growth is today driven predominantly by manufacturing sector. In case of projects,
it is driven by manufac turing as well as the data cent re both of, in both these segments, we
are market leaders, we continue to do well.
To give you a rough idea that the data cent re, the MEP part, where we are leaders, we would

estimate the market size to be somewhere around RS.3,500 Crore and we do a business of around RS.1,000 Crore there. This is likely to more than double within 3 years, going by the inquiries in hand and going by the order finalization speed that is there. So ther efore, the MEP part of that RS.1,000 Crore has the potential to go to RS.3,000 Crore within 3 years. Roughly 15% of Blue Star's revenue may be coming from data center, MEP business alone. So that is the outlook there . It is the sunrise sector . In manufacturing, it is connected with semiconductor EV battery, solar cells. These are the segments which require air conditioning and expert cooling solutions , and we continue to do well there. Quite a bit of orders is under execution , quite a bit of orders are in pipeline , and here again, this will be growing tremendously over next 3 to 5 years.

Both in commercial air conditioning and the electromechanical projects while buildings or infra projects like airports, metro, these are , these will continue to happen. Very attractive part of that segment is financing; there is no worry. Cash flow, there is no worry. These are very fast-tracking projects; 9 to 10 months you have to complete.

These kinds of projects are very attractive to us. This is where we will bet on. Blue Star is

not having the complete range of data cent re cooling equipment. We are leaders in MEP part of it. We have a few chillers, but if you have to talk about the CDUs, which are co oling distribution units, pre-cooling that particular space, we are on the lookout for technology. We are discussing with the many partners but nothing material as of now. Thank you.

Rahul Agarwal : Okay thank you.

Moderator: We'll take our next question from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Thanks for the opportunity. Sir, if you can share any outlook for the air conditioner indust ry as well as Blue Star for FY 27, considering , there is an extremely favo urable base of FY 26. Secondly, whether the excess trade schemes like free installation or higher discounts for the trade. So, whether all of them have been discontinued. So , and at the same time, commodity prices have increased. So, considering all these things, what will be the outlook for margins as well? Question number two.

And last question. In terms of now Blue Star has solid market share in air conditioners. And in a way, connected with dealer distributor manufacturing capability. So, is there any potential to enter, is there any plan to enter other products in a way either white goods or durables like washing machines, refrigerators or any other matter for that matter? Because if AC penetration r eaches a very good level in FY 30, so what will be the key driver beyond that. I guess, the feeding will have to be done now for t he gr owth to be seen maybe after FY29, FY30? Yes, these are the questions.

B. Thiagarajan: So, your first question is about industrial air condition ing?

Aniruddha Joshi: No sir Air C onditioner industry itself. Overall, RAC industry.

B. Thiagarajan: So first of all, room air conditioning industry, given the penetration, it will be the fastest - growing market in the world. And I still maintain by 2030 it should more than double the CAGR at 18% to 20%, it should happen. There may be a year with lower growth,

the re may

be year with very high growth and one more summer season may get washed out in the coming years.

All that apart, the outlook is very, very encouraging. And this is for the growth of the industry. And w hat is today around perhaps FY 26 let us say it is going to be 17.5 million units. I will not be surprised many things happen and it ends up with 40 million to 50 million units by FY30. It has the potential, it can happen.

What I will not very sure is whether it is an industry which, given the number of players, the competition, the increas ing competition and increasing investments in manufacturing capacity, whether it will provide that 8% to 9% of operating margin. So, the question will

be the margin will be under extreme pressure.

It is, again, a function of how rapidly the demand builds up and what is going to happen to the commodity prices, specifically copper and other electronic components. This is what is the thing that the indus try players will have to look out for. It is just because the market is growing , it is not necessary that the margins will expand , it will continue to be under pressure. That is the outlook for the industry.

Commercially, air conditioning industry is steady though . It's a function of many infrastructures getting built . There, the penetration level is higher. It is urban -centric , but you see more and more tire 3, 4, 5, towns having air conditioned restaurant or air condition marriage halls or air-conditioned hotels, hospitals, so on and so forth, it will go inside with

the construction cycle and the infrastructure development.
We are market leaders there. The competitive intensity is not that high like room air conditioner, but you do have the technology -related changes, the product innovation cycle or the time it takes to develop those products like VRF, and today, it is advanci ng very rapidly because energy efficiency requirements, reliability requirements, automation requirements are very high in that particular part.
Unlike United States, in India, the residential air conditioning market size i s very big. It is more than RS.35,000 Crore . and the thing you are dealing with something like RS.5,500 Crore market in commercial air conditions, EPC p art of the market will be huge .
It will continue to grow. Then the question is whether , you are able to pr otect your margins , whether you are able to protect your cash flows. That is what we are focused on. We are not chasing the market share we have repeatedly stated this.
And where the expertise is paid for , are you getting sufficient returns for the expertise that you have built in that particular domain. Today, it is manufacturing and data center and some other point of time, it may be something else.
It will continue to grow because these 2 sectors, India is reinventing itself, and it is attracting a lot of investment.
The margin outlook given the commodity prices, it is a wrong time to predict anything because when you are in adverse situation, you swing to the other extreme. But it is bad. You don't have any visibility at all, whether it is exchange rate or whether it is the commodities. there will be a huge shortage of electronics because of helium -related issues , so it is unfortunate that we are in thist situation. That you have to deal with quarte r-to-quarter.
And right now, we are focused on how to ensure that our prices or our price realization is in line with the cost increase that has already taken place. Once this quarter ends, there will be

additional input cost increase if the war is not ending. That's where we are.
Aniruddha Joshi : Okay. Sure, sir.
Aniruddha Joshi : The entry in possible other products like refrigerator washing machine?
B. Thiagarajan: We have as on date, the foreseeable future, we don't have any such plans at

all. We will be
focused on air conditioning and refrigeration. There will be geographical expansion, which we have begun.
India itself is a very high -growth market. We have no plans whatsoever to get into white goods.
Moderator: We'll take our next question from the line of Sonali Salgaonkar from Jefferies India.
Sonali Salgaonkar : Sir, I have the following questions. Firstly, what is the inventory level in RACs right now versus the start of this year, say, January '26. Secondly, the quantum of price hikes is definitely re quired to cover up the margins. But in your view, do you think it will lead to a demand destruction industry -wide, not only limited to Blue Star? Thirdly, your capex and FY '27 outlook in terms of revenue or margins, please?
B. Thiagarajan: The last part, Nikhil will deal with. The inventory level will be reasonable as of now. The question is that the dealers have to begin stocking. So already Ma rch, a huge billing took place.
13th April onwards, it is selling in the secondary tertiary very well. And my estimate as on date, it would have come to a reasonable level, which means around 45 to 60 day s of inventory should be there.
If the summer is active, this 45 to 60 days of inventory should get exhausted even within 20 days of time. That is how it should happen. I do not think today the inventory of Blue Star is an issue at all because it is locally manufactured, you can regulate it in a particular manner. The challenge is that to monitor how much is moving out and how much will be the primary billing and how I will moderate the production. That's where it is. As of now, that is not the concern. The concern is connected with how the pricing will be passed on to the consumers. I cannot talk about other brands. In our case, it is very important for us to pass on the increase. It's not that we operate with huge margins. It is very important that the margins are in the order, I'm saying the segment 1, we want to continue to ma intain that 7% to 7.5% outlook.
Segment 2, we want to maintain 8% to 8.5%, okay? That's where it is. Now at the same time, we have to march towards our market share goal of 15%, which is currently at around

14.25%. So, this is a function of how long the summer will be active, how much pri ce realization can be improved.
This is a very critical period to judge that. Now the consumer demand will drop. If the

summer is active, it's not going to be, as I have told you that, let us say, last year to this year, 13% price increase, but there is a 10% GST benefit. Actually, the consumer is going to pay around 3%. And that's where we are.
So, I am not very sure off take will be reduced because of this price increase. I am not seeing that the summer is going to be hot. The issue will be due to the war, let us say, tomorrow, the petroleum prices are increased, or diesel prices are increased and the inflation peaks during this period, the consumer sentiments may force the consumers not to spend. That can happen.
I am not able to comment on that, but I know for sure that the consumer sentiment will dramatically change if, for example, petrol prices are going up or diesel prices are going up. But this 3% net of GS T increase may not pull down.
Probably a 5 -Star buyer will end up buying a 3 -Star or somebody in a high -end 5 -Star may end up buying a normal 5 -star and one may end up buying a brand which has priced it cheaper. That all that can happen. I don't think they will postpone the purchase for this particular aspect. Thank you. Sorry, Nikhil, about the balance sheet and capex .
Nikhil Sohoni: Yes, sure. So, can you hear me?
Moderator: Yes, sir.
Nikhil Sohoni: Yes, so with regards to capex , see, the annual capex can be anywh ere in the region of around RS.250 Crore to RS.350 Crore . So that's the normal spend that we have. When I say this capex , it includes a

ll type of capex that is the normal routine capex , maintenance capex , investments in R&D, product development as well as whatever IT i nvestments that we'll be doing.
All of that will be in that region. As regards what growth we can expect for the next year FY'27, I think it is too early to comment. You already heard Mr. Thiagarajan that summer is just set in, and we would like to wait and watch because , it entirely depends on how the summer actually plays out t o predict for the year.
Sonali Salgaonkar : And the margin outlook?
Nikhil Sohoni: The margin outlook, what we have said already, that given the cost pressures that we are having in terms of commodity pressures that are there and unlimited the kind of good way in which we price increases can take place, that is going to be margin pressur e this year. The headwinds are going to be there.

Moderator: Next question is from the line of Aditya Bhartia from Investec.
Aditya Bhartia : Given that you pointed out of 13% kind of a price increase that was required, around 8% has been taken so far. Does that mean that in Q1, we are likely to have margin pressure and the margins hopefully then recover through the course of the y ear if commodity cost cool off. And if commodity costs stay where they are, then the impact of higher plastic pricing and other crude derivatives has yet to hit us, that starts hitting us from quarter 2 onwards ?
B. Thiagarajan: Yes, I have stated very clearly, the additional price increase has come into effect in May itself. We have to pass it on , it is a function of the secondary demand, then the dealers will have to buy. That's where we are.
We are also stating that there will be margin pressure throughout the year and un less and until something dramatically changes in Q2 or Q3, we do not know and we are still maintaining that 8% to 8.5% is the outlook for the market.
Aditya Bhartia : Sure, sir. So, we are still aiming for 8% to 8.5% kind of UCP margins in this year ?
B. Thiagarajan: As we said today.
Aditya Bhartia : Understood. So, there are cost pressures, but we feel fairly confident that we should be able to pass those on. Is that understanding, correct?
B. Thiagarajan: That's right. In a good summer here, it should be 8.5 % to 9% for your information. We are saying 8% to 8.5% should be the thing in my very open ing remarks or to the first question, I have stated, th e market will continue to grow.
The margins will be continuing to be under pressure until 2030. I am not seeing that it is 8% to 8.5% continuing as the market expands further . Also, as far as this financial year is concerned, as we see today, we believe 8% to 8.5% is possible.
Aditya Bhartia : Understood , all the costs that have gone up since the war broke out, those costs are yet to get reflected in the 13% kind of price increase that we spoke about ?
B. Thiagarajan: Yes.
Aditya Bhartia : Understood. So plastic pricing f urther goes up ? Sure, sure . That’s clear. Thank you so much.
Moderator: We'll take our next question from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni : Just 1 question. You spoke about RS.3,500 Crore cooling opportunity right now for data center out of it, you can do RS.1,000 Crore as an MEP contractor. C an you highlight of those RS.1,000 Crore , how much equipment can we source internally?
B. Thiagarajan: These are MEP contracting , if you're talking about cooling equipment , it will be negligible.

That market is completely separate.
Pulkit Patni : Sure. So basically, as a contractor, we are doing RS.1,000 Crore , which is the part of market?
B. Thiagarajan: That material will be something like bus duct or sheet metal, insulation, such things. I t's not connected with cooling.
Moderator: Next question is from the line of Renu Baid from IIFL Capital.

Renu Baid: Two questions from my side. First, on the RAC business for the Unitary Cooling, can you help us with the volume numbers for FY '26 and at what utilization levels are you sitting at the factory?
Second is on the MEP portion of the business, where you've highlighted data center and manufacturing a key growth market. These are sectors where typically customers or one would presume the pricing envir onment is relatively favourable?
So just trying to understand in these segments, especially data center kind of market likely to double up in the next 2 to 3 years. Any reason why we are still expecting margins to be at 7%, 7.5% level only and not expecting the project margins to improve as quality of projects that we are executing on the core HVAC side or the MEP side are also improving ?
B. Thiagarajan: The last part I'll answer it; our portfolio is not only manufacturing and data center e. We do have buildings we do have infra projects , so it's a blended margin we are talking about.
My estimate is that the market would have been growing any way, we don't know the final numbers of the marke t. It should be somewhere around 15.5 million or something like that.
We have already said that in the volume terms, we will be somewhere around some 11% of the market . As far as the segment 2 margins are concerned, I'm saying that we are at a juncture where we hav e to necessarily pass on increase.
If it is not passed on now, it will be even more difficult later because this is the time the increase will look like only 3% over last year. The more you delay, it will look like that we are increasing more r. I suppose I've answered all question.
Renu Baid: Sure, my perspective was that its data center is growing at almost 40%, 50% CAGR for you r market share in the project business would increase from current 15% levels to close to 20%, 25% 3 years out. So, should that not have a positive tail effect on the segment profitability when we look at the blended for the company?
B. Thiagarajan: Within the segment, it is at 33%, data centre . I mentioned Blue Star's revenue will be RS.20,000 Crore ,in that it (data center) will be RS.3,000 Crore . In that co ntest 15% of the company's revenue could be , so do not m ix up that statement with this.

Within the projects business, there are data centres , there are factories, there are buildings, there are infra. Now in that particular business, we have been operating between 7% to 7.5%.
I will not, at this juncture say that it's going t o become some 8% to 8.5% or 8.9%.
Indeed, it is true that the data center market will grow and that part of the business will be significant within that segment. We are not making a statement that I'm not going to be in buildings or I'm not going to be in other verticals. As of now, that is all the guidance that we are giving.
Renu Baid : Got it. And the average utilizati on level for our RAC facility?
B. Thiagarajan: I want to remind that Sri City , Himachal is built in such a manner that it is operating at full capacity, whatever little we can improve, we keep improving. But otherwise, it is operating at 100% capacity, which is s omewhere around 6.5 lakh units.
The balance out of our 1.6 million comes fr om Sri C ity factory, not exactly 1.6 , it will be somewhere around 9 lakh unit because we also buy window air conditioner and few SKUs from outside.
Sri City is bu ilt in the module of .3 lakhs (Units) . So, 3 lakh, became 6 lakhs, 6 lakhs became 9 lakhs. This 9 lakhs can become 12 lakhs . Therefore, this capacity is added in line with the market re quirement . Today, if we are saying this year, the growth will be good, it will be operating close to 100% capacity.
Then we will be deciding by October to expand one more line and the factory is built in such a manner, the building is available. It is an assembly line that we n

eed to invest. What we
were to invest last year, we said that we will post pone and look at it in October.
So, in October, we will go ahead and take that call. Therefore, the answer is it is operating close to 100% capacity in room air conditioners or commercial refrigeration.
Moderator: Next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade : Good afternoon, sir. Thank you for the opportunity. Just wanted a clarification. With respect to the industry size, did you mention from a fiscal year FY26 perspective, the 14.5 million pieces for the industry, sir?
B. Thiagarajan: No. I didn't say , FY25 was be somewhere around 15 million only. I think it should be 17.5 million for FY 27. I also mentioned FY26 final figure , it should be close to 14.7 5 million or 14.5 million to 14.75 million because it would have degrown only by around 5% in volume over the previous year.
Achal Lohade: And our market share is 11. 25%, like what you said in volume terms and value terms,

14.25%. Have I understood right, sir?
B. Thiagarajan: That is right.
Achal Lohade: Got it. The second question I had was with respect to given where we are currently, you said the season actually started only on 13th of April properly? What kind of delay we have had seen? And do you think the we ather it's progressing, we could have really an extended summer season, particularly for South?
B. Thiagarajan: It has happened in the past like that. The question is weather patterns have completely changed and so it is just impossible. You have to keep your fingers crossed. Only the good news is that the forecast one week prior to that is becoming much more accurate. The delayed monsoon means it may begin in the first week of June and it is setting in by 15th June. It's not that it is going to get delayed to July or something like that. If it is going to be a disastrous monsoon, it will have other consequences actually. It is again not worth praying for that as well. All that one should look forward to is rest of May and first half of June, if the summer is active, and perhaps in few pockets of North till June end, that is good enough.
Achal Lohade: Understood. Understood. And just a clarification of the Q4 UCP margins, it is fair to say that there are elements of the provision reversal and the lower cost which has improved the margins?
B. Thiagarajan: What provision reversal I am not able to follow.
Achal Lohade: Labor Co de provision, the final assessment and the reversal of that RS.17 Crore , RS.18 Crore ?
B. Thiagarajan: So that is in the exceptional item. Provision was made in the exceptional item, provision is taken back in exceptional item , so there are no provisions out there.
Achal Lohade: Understood. Thanks for the clarification, sir. Thank you so much.
B. Thiagarajan: And that does not go into business also.
Achal Lohade: Got it, got it, sir. Noted. Thank you so much.
Moderator: Thank you. We'll take the next question from the line of Karan Gupta from Acmiil . Please go ahead. Karan?
Karan Gupta : Yes. Most of the questions on MEP side have been answered but I just want some clarification on that. Overall data center project as you said, we are providing the chillers and for the CDU side we are doing some partnership. So how much is the in -house product and how much is the outsourcing in the MEP side? So, chillers as you said we are the market

leader ?
B. Thiagarajan: In MEP of data centers, we do not have any cooling equipment at all. It is all electrical or mechanical equipment . Cooling equipment is bought always separately by a data center provider . In that cooling equipment business, we do not have the complete range. We have few chillers, we do not have CDUs, we do not have fan wall units, for

example , we are in the process of developing or making partnerships. In the MEP part of it, it is broadly the electrical mechanical accessories, again main electrical equipment will be bought by them separately.
Karan Gupta : Okay, okay , what about the order book size in that segment, MEP side, for the data center?
B. Thiagarajan: I told you that we estimate the market to be anywhere between 3,000 to 4,000 and our order book will be somewhere around RS.1,500 Crore .
Karan Gupta : RS.1,500 Crore ?
B. Thiagarajan: Yes, I'm saying at any given point of time. You're talking about order book, right?
Karan Gupta : Yes, yes.
B. Thiagarajan: Broadly translate in annual revenue of around 1,000, but the inquiry inflow is very huge, very big numbers.
Karan Gupta : Okay, sure. Thank you.
Moderator: Thank you. Next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.
Keyur : Thank you. One question is that because of the stocking that you mentioned in quarter 4,

should we expect lag for at least in quarter 1 between the primary sales and secondary sales looking at the inventory situation?
B. Thiagarajan: Your statement may be true for April. Generally, April first week itself, it should start in and it began only in May first week .
Keyur: Understood, sir. Sir, thanks a lot. All the best.
Moderator: Thank you. Next question is from the line of Manish Raj from Canara HSBC. Please go ahead.
Manish Raj : Thank you. Thank you for the opportunity. Just one question. If the summer progresses as the way it is progressing right now, what is the kind of primary sales that we can expect on last year's basis , if you could give us a growth number?

B. Thiagarajan: I have always stated that the given there is price increase of I'm saying average you take at least 10% over last year, a good performance would mean anywhere between 25% to 30% over last year.
Manish Raj: And will that result ?
B. Thiagarajan: I'm saying that over last year Q1 for the industry, if it is a 25% growth, that means it is a very good summer. That's what one will have to imagine and imagine last year summer was not a great summer.
Manish Raj: Correct.
B. Thiagarajan: And 25% because in that 15% is the real growth, some 10% is arising out of the price increase. That's what it is, and it looks like there is a probability that it will happen. Again, it's a function of summer.
Manish Raj : Sir, just adding to that part. If it pans out , as the way the expectation is, then at the end of Q1, are we going to be sitting on a lower inventory versus what we were sitting last year? Is that thought process, right?
B. Thiagarajan: Yes, yes. The inventory adjustment even last year was not that difficult. The problem last year was that it was compounded by one factor after the other factor. You're starting with an assumption there will be shortage of raw material and therefore you have to produce. Then the weather forecast says that weather is going to become hotter by 15th April. April 15th, it says May will become hotter and it will continue like that.
Then the next part of it, there is a festival season was completely dampened. Then you got into energy label change, what will happen to old inventory, new inventory. Those are all the issues there. I'm saying inventory management of the industry and Blue Star will be far better this year because if the moment summer has not set in, people have moderated production .
They know very well that we have to wait for a lag in the primary sale, it has already happened. Now they will be moderating what is the production and what is the sale that is happening and I don't think that will be the concern at all. The issue will be how to pass on the price increase fully now and how to pass on the price increase post the season. There will be war-related increase in cost , s

o this year will be about margins rather than inventory.
Manish Raj : Thank you, sir.
Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to Mr. Nikhil Sohoni for closing comments. Over to you, sir.
Nikhil Sohoni: Thank you. Thank you very much, ladies and gentlemen. With this, we conclude this

quarter's earnings call. Do feel free to revert to us in case of your questions are not fully answered, and we'll be happy to provide you additional details by e -mail or in person. Thank you.
Moderator: Thank you, members of the management team. On behalf of Blue Star Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.